

Economic Calendar

September 2026



MON	TUE	WED	THU	FRI
31 Aug AUSTRALIA MI Inflation Gauge Aug y/y prev 4.0% (11:00am) GDP Partial Q2 (11:30am) Inventories exp 0.6% prev 0.5% Company Profits exp 3.1% prev -1.3% Private Sector Credit Jul exp 0.6% prev 0.8% (11:30am) CHINA NBS PMIs Aug (11:30am) Manufacturing exp 49.6 prev 49.2 Non-Manufacturing exp 49.8 prev 49.0 JAPAN Industrial Production Jul (P) exp -0.7% prev 1.9% (9:50am) NEW ZEALAND ANZ Business Confidence Aug prev 56.1 (11:00am) UNITED STATES Dallas Fed Manufacturing Index Aug exp 1.6 prev 1.3 (12:30am)	1 Sep AUSTRALIA Cotality Home Value Index Aug exp -1.2% prev -0.7% (12:01am) Current Account Balance Q2 exp -\$31.0bn prev -\$27.1bn (11:30am) Net Exports Cont'n Q2 exp -0.3ppts prev -0.8ppts (11:30am) Dwelling Approvals Jul exp -5.0% prev 7.2% (11:30am) CHINA RatingDog Manufacturing PMI Aug exp 51.5 prev 50.9 (11:45am) EURO ZONE CPI Aug y/y (P) exp 3.2% prev 2.9% (7:00pm) Unemployment Rate Jul prev 6.3% (7:00pm) UNITED STATES ISM Manufacturing Aug exp 55.2 prev 55.6 (12:00am) JOLTS Job Openings Jul exp 7380k prev 7359k (12:00am) Construction Spending Jul exp 0.2% prev -0.1% (12:00am) GLOBAL S&P Global Manufacturing PMI Aug (F)	2 AUSTRALIA GDP Q2 (11:30am) q/q exp 0.2% prev 0.3% y/y exp 1.7% prev 2.5% NEW ZEALAND Building Permits Jul prev -3.6% (8:45am) RBNZ Policy Decision prev 2.50% (12:00pm) UNITED STATES ADP Employment Change Aug exp 48k prev 44k (10:15pm) Factory Orders Jul exp 0.6% prev -0.3% (12:00am) Durable Goods Orders Jul (F) exp 0.5% prev 1.1% (12:00am) Federal Reserve's Beige Book (4:00am)	3 AUSTRALIA RBA's Jones - Panel (11:00am) Goods Trade Balance Jul exp \$1.0bn prev \$1.9bn (11:30am) CHINA RatingDog Services PMI Aug exp 50.5 prev 50.4 (11:45am) EURO ZONE PPI Jul y/y prev 4.6% (7:00pm) NEW ZEALAND Terms of Trade Q2 prev -2.0% (8:45am) UNITED STATES Fedspeak - Waller (10:30pm) Trade Balance Jul exp -\$74.5bn prev -\$73.3bn (10:30pm) ISM Services Aug exp 54.3 prev 54.1 (12:00am) GLOBAL S&P Global Services PMI Aug (F)	4 EURO ZONE Ger. Factory Orders Jul prev 3.1% (4:00pm) Retail Sales Jul prev -0.3% (7:00pm) JAPAN Household Spending Jul y/y exp -1.8% prev -3.3% (9:30am) UNITED KINGDOM BoE Governor Bailey - Speech (6:50pm) UNITED STATES Employment Report Aug (10:30pm) Nonfarm Payrolls exp 55k prev -23k Unemployment Rate exp 4.1% prev 4.1% Avg Hourly Earnings exp 0.3% prev 0.1%
7 AUSTRALIA ANZ-Indeed Job Ads Aug prev 0.8% (11:30am) EURO ZONE Ger. Industrial Production Jul prev 0.2% (4:00pm) Sentix Investor Confidence Sep prev 0.9 (6:30pm) GDP Q2 (F) prev 0.4% (7:00pm) UNITED STATES Labor Day - Markets Closed	8 AUSTRALIA Westpac-MI Consumer Sentiment Sep prev 88.9 (10:30am) NAB Business Survey Aug (11:30am) Conditions prev 4 Confidence prev -6 RBA's Hunter - Panel (1:20pm) CHINA Trade Balance Aug prev US\$112.50bn JAPAN GDP Q2 (F) prev 0.3% (9:50am) Current Account Jul prev -¥92.3bn (9:50am) UNITED STATES NFIB Small Business Optimism Aug prev 99.8 (8:00pm) Consumer Credit Jul prev US\$14.2bn (5:00am)	9 CHINA CPI Aug y/y prev 0.5% (11:30am) PPI Aug y/y prev 3.5% (11:30am) M2 & Credit Data Aug (9-15 Sep) M2 Money Supply y/y prev 7.7% New Loans ytd prev CNY10380bn	10 AUSTRALIA MI Inflation Expectations Sep y/y prev 4.9% (11:00am) EURO ZONE ECB Policy Decision (Deposit Rate) prev 2.25% (10:15pm) UNITED STATES PPI Aug y/y prev 0.0% (10:30pm) Existing Home Sales Aug prev -1.7% (12:00am)	11 NEW ZEALAND BusinessNZ Mfg PMI Aug prev 54.3 (8:30am) UNITED KINGDOM Monthly GDP Jul prev 0.3% (4:00pm) UNITED STATES CPI Aug prev 0.1% (10:30pm) UoM Consumer Sentiment Sep (P) (12:00am)

Economic Calendar

September 2026



MON	TUE	WED	THU	FRI
14 JAPAN Industrial Production Jul (F) (2:30pm) NEW ZEALAND Performance Services Index Aug prev 50.6 (8:30am) Net Migration Jul prev 1610 (8:45am)	15 CHINA Monthly Activity Data Aug ytd y/y (12:00pm) Retail Sales prev 1.2% Industrial Production prev 5.3% Fixed Asset Investment prev -6.7% EURO ZONE EU ZEW Expectations Sep prev 31.4 (7:00pm) Trade Balance Jul prev €1.8bn (7:00pm) NEW ZEALAND Retail Card Spending Aug prev 1.3% (8:45am) UNITED KINGDOM ILO Unemployment Rate Jul prev 4.9% (4:00pm) UNITED STATES NY Fed Empire Manufacturing Sep prev 20.6 (10:30pm)	16 AUSTRALIA Westpac-MI Leading Index Aug ann'd prev -0.2% (10:30am) EURO ZONE Industrial Production Jul prev 0.0% (7:00pm) JAPAN Core Machinery Orders Jul prev 9.7% (9:50am) NEW ZEALAND Current Account Q2 prev -NZ\$1.0bn (8:45am) UNITED KINGDOM CPI Aug y/y prev 2.9% (4:00pm) UNITED STATES Import Price Index Aug prev -0.4% (10:30pm) Retail Sales Aug prev -0.6% (10:30pm) NAHB Housing Market Index Sep prev 35 (12:00am) Business Inventories Jul prev 0.0% (12:00am) FOMC Policy Decision exp 3.625% prev 3.625% (4:00am)	17 EURO ZONE CPI Aug (F) (7:00pm) NEW ZEALAND GDP Q2 prev 0.8% (8:45am) UNITED KINGDOM BoE Policy Decision prev 3.75% (9:00pm) UNITED STATES Phily Fed Manufacturing Index Sep prev 47.4 (10:30pm) Housing Starts Aug prev -12.4% (10:30pm) Building Permits Aug (P) prev 4.3% (10:30pm) Pending Home Sales Aug prev -2.3% (12:00am)	18 AUSTRALIA RBA's Bullock – Testimony (9:30am) JAPAN CPI Aug y/y prev 1.9% (9:30am) BoJ Policy Decision NEW ZEALAND Trade Balance Aug prev -NZ\$1949mn (8:45am) Monthly Price Indices Aug (8:45am) UNITED KINGDOM GfK Consumer Sentiment Sep prev -14 (9:01am) Retail Sales Aug prev -0.5% (4:00pm) UNITED STATES Industrial Production Aug prev 0.2% (11:15pm) Leading Index Aug prev 0.2% (12:00am)
21 UNITED KINGDOM Rightmove House Prices Sep prev -2.0% (9:01am) UNITED STATES Fedspeak – Goolsbee (8:30pm) Chicago Fed Nat Act Index Aug prev -0.08 (10:30pm)	22 AUSTRALIA RBA's Bullock – Fireside Chat (1:10pm) EURO ZONE EC Consumer Confidence Sep (P) (12:00am) UNITED KINGDOM Public Sector Borrowing Aug prev £1.8bn (4:00pm) UNITED STATES Richmond Fed Manufacturing Index Sep prev 4 (12:00am)	23 EURO ZONE S&P Global Manufacturing PMI Sep (P) (6:00pm) S&P Global Services PMI Sep (P) (6:00pm) UNITED KINGDOM S&P Global Manufacturing PMI Sep (P) (6:30pm) S&P Global Services PMI Sep (P) (6:30pm) UNITED STATES S&P Global Manufacturing PMI Sep (P) (11:45pm) S&P Global Services PMI Sep (P) (11:45pm)	24 AUSTRALIA Labour Force Survey Aug (11:30am) Employment Change prev -15.8k Unemployment Rate prev 4.5% Participation Rate prev 66.9% EURO ZONE IFO Business Climate Survey Sep prev 88.8 (6:00pm) UNITED STATES Building Permits Aug (F) New Home Sales Aug prev -10.5% (12:00am) Kansas City Fed Manufacturing Index Sep prev 10 (1:00am)	25 EURO ZONE M3 Money Supply Aug y/y prev 3.4% (6:00pm) UNITED STATES Durable Goods Orders Aug (P) (10:30pm) UoM Consumer Sentiment Sep (F) (12:00am)

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian and New Zealand data are Westpac forecasts and for other countries are Bloomberg consensus forecasts as at the time of publication. Westpac forecasts are subject to change in subsequent publications. (P) refers to preliminary or first estimate; (S) refers to second estimate; (F) refers to final estimate.

Economic Calendar



September 2026

MON	TUE	WED	THU	FRI
28	29	30		
CHINA Industrial Profits Aug y/y prev 11.2% (11:30am) NEW ZEALAND Filled Jobs Aug prev 0.3% (7:45am) UNITED STATES Dallas Fed Manufacturing Index Sep (12:30am)	AUSTRALIA Household Spending Indicator Aug prev 1.1% (11:30am) RBA Policy Decision exp 4.35% prev 4.35% (2:30pm) CHINA Current Account Q2 (F) prev US\$195.1bn EURO ZONE EC Economic Confidence Sep (7:00pm) EC Consumer Confidence Sep (F) (7:00pm) UNITED STATES FHFA House Prices Jul prev 0.0% (11:00pm) S&P CoreLogic CS House Prices Jul prev 0.24% (11:00pm) JOLTS Job Openings Aug (12:00am) Conf. Board Consumer Confidence Index Sep prev 89.4 (12:00am)	AUSTRALIA CPI Aug (11:30am) Headline m/m prev 1.0% Headline y/y prev 3.5% Trimmed Mean m/m prev 0.5% Trimmed Mean y/y prev 3.6% Private Sector Credit Aug (11:30am) Dwelling Approvals Aug (11:30am) CHINA NBS PMIs Sep (11:30am) Manufacturing Non-Manufacturing RatingDog PMIs Sep (11:45am) Manufacturing Services JAPAN Industrial Production Aug (P) (9:50am) NEW ZEALAND ANZ Business Confidence Sep (10:00am) UNITED KINGDOM GDP Q2 (F) prev 0.4% (4:00pm) Nationwide House Prices Sep UNITED STATES ADP Employment Change Sep (10:15pm) Personal Income Aug prev 0.4% (10:30pm) Personal Spending Aug prev 0.2% (10:30pm) PCE Deflator Aug prev 0.2% (10:30pm) GDP Q2 (F) ann'd prev 1.5% (10:30pm) Chicago PMI Sep (11:45pm)		

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ECONOMIC BULLETIN

Preview of RBNZ September 2026
Monetary Policy Statement
(Wednesday 2 September, NZT 2pm).

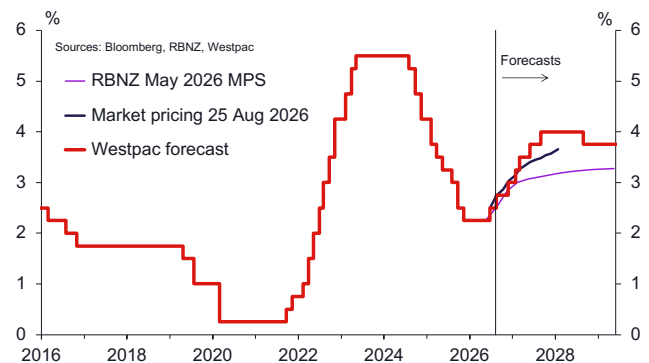


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Removing a little bit of stimulus

- We expect the RBNZ to raise the OCR by 25bp to 2.75% at its 2 September meeting. We see a consensus decision.
- The RBNZ's projections are likely to imply a 3% OCR by year-end, the same as in the May MPS.
- Beyond 2026, we expect the OCR forecasts to also remain similar to the May MPS profile which implied the OCR peaking around 3.3%.
- Of interest will be any signalling the RBNZ offers about the likelihood of an OCR hike in October. We expect the RBNZ will signal that future moves are data dependent.

Official Cash Rate forecasts



RBNZ decision and communication.

We expect the RBNZ to follow through with another 25bp OCR increase to 2.75%. The decision seems likely to be reached by consensus.

We see the RBNZ being equivocal about the potential for an October OCR increase. They seem likely to adopt a data-dependent approach to determining whether to continue raising rates in October, given they will be close to the 3% neutral rate level the RBNZ often emphasises, and there is a lot of data due for release over September and October.

Data since the May projections were completed possibly imply a modest downward adjustment to the RBNZ's OCR forecasts. Lower energy prices and inflation expectations seem to have that implication, although plenty of risks remain around those forecasts. Hence, it's possible the RBNZ's view won't have shifted that much. We tend to think there won't be much of a shift in the RBNZ's OCR forecasts given the significant uncertainties at present.

Scenarios.

A hawkish scenario is one where the RBNZ seems firmly resolved to continue to raise the OCR in October (and beyond). This might be signalled through a modest increase in the OCR forecasts from the terminal rate of 3.28%. If the RBNZ raised their neutral OCR assumption, then this would increase the chance of this scenario. Also, the MPC could imply that an OCR increase in October is more likely than not. Markets might then conclude increases are on the cards in both October and December, taking the OCR to 3.25% at year end.

A more dovish scenario is that the MPC might suggest that after 50bp of hikes it now has the luxury of taking some time to assess how the inflation outlook is evolving before raising the OCR further. Depending on the exact wording, this might bring into question whether an OCR increase might occur even in December. Less likely, more dovish market participants might even speculate that no further OCR increases may occur.

We don't see either of these options as especially likely and would put perhaps a 10-15% probability on each.

Kelly's take.

The strategy to return the OCR to around 3% by year-end seems clear and uncontroversial. It's unclear that further increases will be required at every remaining meeting in 2026. The economic recovery remains fragile and significant risks abound. Care should be taken to not take the recovery for granted – especially while the improvement in the labour market remains embryonic.

Nonetheless core inflation remains too high, and I remain sceptical that inflationary supply shocks will dissipate either quickly or sustainably. Hence, it's likely that higher interest rates will be required through 2027 once the economy is sustainably operating above trend and the labour market is recovering. A data-dependent approach is appropriate.

Appendix: Key developments since the May Monetary Policy Statement.

Activity: The economy's starting point remains close to the RBNZ's May forecast. GDP rose 0.8% in the March quarter, slightly below the RBNZ's 1.0% forecast, although historical revisions mean the level of activity was a little firmer than expected. June quarter growth is also likely to be close to the RBNZ's flat forecast (we have pencilled in a 0.1% decline). As a result, the RBNZ's estimate for the starting point output gap is unlikely to have changed materially from its May assumption of around -1.5%.

Labour market: Recent data have been mixed but continue to point to softness in the labour market. The unemployment rate rose to 5.6% in the June quarter, above the RBNZ's 5.4% forecast. Employment growth

was firmer than expected, though some of that strength likely reflected survey volatility. Wage growth was also a little firmer than expected but non-threatening, with the Labour Cost Index rising 0.7%qtr and 2.0%yr. Overall, these data are unlikely to have shifted the dial materially for the RBNZ. Updated estimates of net migration and population growth over the past year have been lower than expected.

Sentiment-based activity indicators: Understandably, surveys of the business sector have swung around in recent months. Looking across the latest QSBO, ANZBO and PMI results, overall business confidence is back around the levels seen before the Middle East conflict began. Businesses continue to report pressure on operating costs, and some hiring intentions gauges remain low. In the household sector, consumer confidence has also rebounded, although it remains low by historical standards. Given recent developments in the conflict, sentiment may weaken a little when the next ANZ business and consumer surveys are released just ahead of the RBNZ meeting.

Housing market: Housing market conditions have remained soft. Sales have fallen 5% since May, the average number of days to sell remains elevated and prices have edged down slightly. The RBNZ had already assumed a modest decline in prices over 2026 and limited gains over 2027, and significant changes to those assumptions appear unlikely.

Inflation: Inflation indicators have been volatile, reflecting recent large swings in global oil prices. While oil prices have picked up again in recent weeks and are elevated, they remain lower than assumed in the May MPS. The broader inflation picture does not appear more concerning than the RBNZ had anticipated. Headline inflation was 4.1% in the year to June, slightly below the 4.2% rise in the May MPS forecasts (but higher than the RBNZ's updated 3.9% forecast at the July OCR review). Core inflation measures remained within the RBNZ's target band in the June quarter, and there was little sign of widespread spillover from high oil prices into other areas. Non-tradables inflation also eased to 3.4% in the June quarter, in line with expectations. But businesses' operating costs remain under pressure, with large numbers of firms continue to report rising costs and plans to increase prices.

Inflation expectations: Surveys of households, businesses and professional forecasters all recorded declines in inflation expectations in the September quarter. In most cases, expectations have returned to the levels seen before the oil price spike. That will be encouraging news for the RBNZ given the risk of a step higher following the recent rise in headline inflation and the continued firmness in oil prices.

Trade: Prices for New Zealand's commodity exports have remained firm, and merchandise export volumes

are on track to grow by more than 2% this year. Services exports, particularly tourism, have also strengthened and are expected to grow by around 8% this year. Although oil prices remain elevated, the terms of trade are still likely to be around 4% higher than the RBNZ expected through the latter part of this year.

Financial conditions: Domestic financial conditions have mostly tightened since the RBNZ's May meeting. Notably, one- and two-year fixed mortgage rates have risen by around 35bps since May, compounding the increase seen since the start of the year. As a result, the easing in borrowing costs seen over recent years as households rolled off earlier high mortgage rates has now come to a close. The NZ dollar TWI is currently sitting at 67.2, above the 66.6 level assumed in the RBNZ's May projections.

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Week beginning 31 August 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Hike odds have risen, but not odds-on; Short duration nation.

The Week That Was: Deciphering signal from noise in real time.

Focus on New Zealand: Shaking it off.

For the week ahead:

Australia: Q2 GDP and partials, private credit, current account, dwelling approvals, goods trade balance.

New Zealand: RBNZ policy decision, ANZ business confidence, building permits, ToT, building work.

Japan: industrial production, household spending.

China: August NBS and RatingDog PMIs.

Euro Area: HICP inflation, unemployment rate, retail sales.

United States: nonfarm payrolls, unemployment, job openings, ISM PMIs, factory orders, trade, productivity.

Information contained in this report current as at 28 August 2026.

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Hike odds have risen, but not odds-on



Luci Ellis
Chief Economist, Westpac Group

When we last [updated](#) our rates view on 29 July, we said that the risk of a rate hike in November could not be ruled out, but it was no longer the base case.

The strong July monthly CPI does raise the chance of an RBA hike in November. But we do not think this one data point is enough to rush all the way to the other side of boat and lock in a hike. The RBA has emphasised that the monthly data are noisy, and their short history means seasonal patterns are unclear. The new financial year is a time when many businesses re-price, with subsequent months more moderate. This has been a pattern in the data in the past and might be again this year.

Recall also that the earlier data flow broke the other way. Labour market and wages data, as well as the Q2 CPI were all softer than RBA had been forecasting. Consumer spending has been more resilient recently, but we do not think the RBA will read “not outright contracting” as a sign of upside inflation risks crystallising.

Our earlier expectations for near-term hikes centred on concerns about outsized pass-through of higher fuel costs. Risks from this source have faded. If the RBA does raise the cash rate in the near term, it would more of an insurance hike, reflecting unease about a slow pace of return of inflation to target.

The timing of the September meeting is awkward for policymakers considering an early hike. The August CPI is released the following day. If it surprises on the downside or is simply moderate, the Monetary Policy Board (MPB) could look premature if it hiked the day before. (For anyone wondering, the RBA does not receive CPI data ahead of the market. A small number of ministerial staffers get an embargoed release a [couple of hours early](#), but not the RBA.)

For this reason, a November hike is more plausible than September. In our view, November timing would still require confirmation from the intervening data.

Whatever the next few meetings bring, split decisions are a distinct possibility. If the minutes are any guide, some MPB members seem to be leaning towards the idea of pre-emptive hikes as insurance against future price spikes. The post-Review personnel changes have added a more academic – and potentially more activist – perspective to the MPB.

Its proponents could be less inclined to wait out monetary policy’s transmission lags when inflation is half a percentage point above the target range.

“Higher July CPI raises risk of November hike, but is not enough to lock one in.”

But other members are likely to differ from the staff about the level and trend growth in supply capacity, particularly labour supply ([see this note from Ryan Wells](#) in May for more background). A September hike would certainly involve dissents. Depending on Q3 inflation and the rest of the data flow between now and then, a November hike could easily involve a split vote as well.

Bottom line: there are near-future states of the world which will lead us to change our call and expect a hike in November. As we [said at the time](#) of the August MPB meeting, we believe that investors should allow for some risk of a hike later this year. But one monthly CPI print is not enough evidence to price in a hike fully. We will be particularly attentive to the labour market and national accounts in coming weeks, as well as the August CPI.

Short duration nation

- High bond yields have spurred the US government into manoeuvres to contain debt-servicing costs. They also matter for the US mortgage market, where mortgages are mostly fixed-rate. Existing borrowers by definition do not face higher repayments when bond yields rise, but they can feel 'trapped' by the high cost of moving or refinancing.
- The US model of 30-year fixed rate mortgages that are cheap to refinance is unlikely to be replicated in Australia. It only exists because of significant government intervention. Our tax, prudential regulation and superannuation systems also favour floating interest rates, even for loans with long contractual maturity like mortgages.
- Long yields still matter for fiscal policy, and our corporate bond market is attractive to both domestic and offshore (Kangaroo) issuers and investors. But when thinking about financial conditions from a monetary policy perspective, the short end of the yield curve matters far more than in some countries.

Ten-year bond yields have breached 5% in Australia and the UK in recent weeks and are in the 4.6–4.8% range for US Treasuries, levels that have not been seen for some years. [As discussed last week](#), this has spurred the US government to try to rearrange its finances to dampen yields. Its concerns go beyond the cost of servicing its own debt. In a mortgage market with predominantly fixed-rate loans, high bond yields drag mortgage rates up. Existing borrowers are insulated, but higher rates discourage moving, refinancing and home ownership. Demand for new homes is lower, weakening homebuilding activity, and some households feel 'trapped' by their current low mortgage rate. The cash-flow effects of monetary policy are therefore more concentrated on prospective borrowers and movers in a way that differs from Australia, where most mortgages reprice when the RBA tightens.

Some Australian observers see that relative insulation from interest rates and wish our system could be more like the US system. The reality is that the 30-year fixed-rate mortgage that is also cheap to refinance is almost unique to the US market and relies on a raft of expensive government interventions. From the government-sponsored entities (Fannie Mae, Freddie Mac, both still in [government conservatorship](#), along with [Ginnie Mae](#)) to the network of [Federal Home Loan Banks](#), the US mortgage market is built on an unusually large public infrastructure. Even other markets with shorter fixed terms sometimes rely on government interventions, such as Canada's [Canadian Mortgage and Housing Corporation](#) insuring securitised loans.

Countries that intervene less in their mortgage markets mostly follow [one of two patterns](#). Some, like Germany, offer fixed-rate mortgages, but refinancing or moving before the term expires involves expensive break fees, to compensate lenders for the interest rate risk. Borrowers cannot refinance cheaply

into a lower rate when bond yields fall. The secondary markets for housing in these countries tend to be less liquid, and home ownership rates are often lower than in Australia – [below 50%](#) in the case of Germany.

The tax system favours it

The other model for mortgage markets is more like the Australian model, where loans have long terms but are mostly variable rate or only short-term fixes for 2–3 years. In Australia, this structure rests on a web of incentives for both households and financial institutions favouring that outcome.

For households, the main incentive comes from the tax system. For owner-occupiers at least, mortgage interest is not tax deductible, unlike in the US. Paying your mortgage out of post-tax income is a powerful incentive to pay it ahead of schedule. Doing so delivers a risk-free, post-tax return of the mortgage rate, which would be difficult to match elsewhere. The option of being able to pay ahead of schedule is therefore highly valuable to borrowers.

Because of the interest rate risk involved for lenders if the loan is fixed-rate, pre-payment is typically unavailable or at least limited for fixed-rate loans. This includes break fees on exit and limits on the payments into redraw facilities. The peculiarly Australian mortgage features of offset accounts and redraw facilities are rarely offered in countries where fixed-rate mortgages predominate. This means Australia's tax system encourages borrowers to value payment flexibility, which in turn favours variable-rate loans. Borrowers can insulate themselves from rate rises using pre-payment buffers, rather than needing a fixed interest rate to do this.

"Tax and regulatory settings make widespread 30-year fixed-rate mortgages unlikely in Australia."

APRA incentivises it

The regulatory system also encourages variable-rate lending. Normally, banks are assumed to be in the business of "borrowing short" (e.g. deposits at call) and "lending long" (e.g. mortgages). Fixed rates normally include a term premium – a kind of insurance premium for the risk that funding rates move against the lender. By borrowing short and lending long, banks earn that spread as profit. This is a matter of interest rate risk: the effective maturity of at-call deposits is often very long, because people tend to stick with one bank for transactional banking for a while.

This strategy can occasionally blow up, however, if short rates (and so funding costs) rise above the average yield on one's assets. It can also blow up if the assets are bonds and other

fixed-coupon assets that fall in value when long yields rise, as Silicon Valley Bank and other US banks found out the hard way a few years ago.

Australian banks are more protected from these risks because, unlike other regulators, APRA requires banks and other deposit-takers to hold capital against “interest rate risk in the banking book”. Its “Pillar 1” [approach](#) is more prescriptive than the global Basel standards, which [capture](#) this risk in “Pillar 2”, which is more about principles-based supervision rather than a capital requirement.

This changes the incentives for both lenders and borrowers. Instead of “borrowing short to lend long”, Australian banks end up borrowing short to lend short: variable rate mortgages and three-month BBSW links for some other loans. A bank that funded long fixed-rate mortgages and business loans with floating-rate deposits, without an offsetting hedge, would incur more measured interest-rate risk and potentially a larger capital requirement.

The super system reinforces it

The design of the superannuation system also contributes to Australia being a short-duration nation. Almost all currently open superannuation funds in Australia are what is known as “defined contribution” (DC). Members contribute a pre-specified fraction of their wage, while the fund manager seeks the best returns, without guaranteeing outcomes. This structure favours allocation to equities rather than fixed-interest bonds, because on average their returns are higher (the “equity risk premium”).

This model contrasts with “defined benefit” (DB) pensions, where there is an explicit promise of a post-retirement income stream based on some formula such as fraction of final salary. These types of pension systems are seen in [some other advanced countries](#), and they imply a long-dated liability that needs to be matched, usually with fixed-interest assets. A DC system does not have the same type of liability, so it has less need to liability-match.

As a DC system matures and more people move into retirement phase, fixed-interest portfolios might become more important. For now, though, Australia’s superannuation system generates less demand for long-term fixed-interest assets than a DB system would. This does not prevent Australian borrowers from accessing long-term funding through global capital markets, but it does mean there is less natural domestic demand for long-duration fixed-interest assets.

Central bank watchers need to remember it

For all these reasons, Australia is a ‘short duration nation’. Long yields still matter for asset valuations, hurdle rates, fiscal policy and some forms of private financing activity. Our corporate bond market is attractive to both domestic and offshore (Kangaroo) issuers. But organic domestic demand and supply for fixed interest securities is lower than in some countries. Long

yields therefore matter less for monetary policy transmission and should receive less weight in considerations of financial conditions than in, say, the US or Japan.

A few conclusions arise from this difference. First, a US-style 30-year mortgage that is both fixed-rate and cheap to refinance is unlikely to become the norm in Australia.

Second, assessments of financial conditions can put more weight on the short end of the yield curve than the long end. In the US, people sometimes trip themselves up when bond yields move, thinking that this shifts financial conditions and means that the Federal Reserve does not have to move the policy rate to achieve the same effect. If yields moved because market participants expect the Fed to move the policy rate, though, things can get quite circular. Central banks can only use higher yields as a reason not to hike (or lower yields as a reason to hike) a few times before credibility suffers.

Third, it matters why yields have moved. For example, yields might fall because inflation expectations have fallen. The apparently looser financial conditions this implies do not need to be offset. The broader point is that the relationship between financial conditions and the policy rate is not mechanical. This was the lesson the [Bank of Canada](#) and [Reserve Bank of New Zealand learned the hard way](#) with their experiments with a Monetary Conditions Index in the 1990s, and that the RBA highlighted [at the time](#). And in a short duration nation like Australia, that lesson needs to be remembered when thinking about financial conditions in the present day.

Cliff Notes: deciphering signal from noise in real time

Elliot Clarke, Head of International Economics
Ryan Wells, Economist

The main event in Australia this week was the [July CPI](#) report. It surprised modestly to the upside on both a headline (1.0%/3.5%yr) and trimmed mean basis (0.5%/3.6%yr). Strength in durable goods pricing was a key contributor, including for clothing and footwear, motor vehicles and household contents; however, in part this was due to regular seasonality caused by the conclusion of the EOFY sales discounting period. Of greater concern was the upside surprise for market services, even after making an allowance for the larger-than-expected awards wage increase which came into effect in July. While the risk of another RBA rate hike later in the year cannot be dismissed, it is not our base case. In the interim though, the RBA will certainly maintain a hawkish bias.

The inflation print was followed up by another solid showing from the [household spending indicator](#), up 1.1% (7.0%yr) in July. Gains were broadly based but led by discretionary spending categories – consistent with the resilience recently shown by our own card indicators. That said, some pockets of strength may have been more price than volume led. The end of the fuel excise cut will also likely temper momentum in discretionary spending in coming months, particularly if global oil prices hold up.

We also received two partial indicators for investment this week ahead of Q2 GDP next Wednesday.

[Construction activity](#) disappointed, a 2.1% decline in Q2 bringing annual growth down to 2.1%yr. Most of the decline was driven by the mining sector following the completion of a large mining infrastructure installation in WA earlier in the year. Lumpy completions like these tend to have a smaller impact on National Accounts estimates as GDP is reported on an accrual basis (i.e. as work is done). Activity was otherwise firm, namely in residential construction (1.7%) and non-residential building (0.5%), though public infrastructure declined again. The recent uptick in cost pressures will be closely watched hence, but the pipeline still looks broadly balanced as public works roll off and private activity picks up.

[Private CAPEX](#) also surprised to the downside, falling 3.6% in Q2, although the annual pace remains at an elevated 10.7%yr. An unwind in machinery and equipment spending was the chief culprit, falling 8.9% in the quarter, largely due to a cooling in data centre-related equipment spending – an import-intensive component that will have only a negligible net impact on GDP. Excluding this specific dynamic, private capex spending rose a solid 2.6% in the quarter. Total capex plans also remain very healthy, consistent with double-digit real growth over the 2027-28 financial year.

Ahead of next Wednesday's release, our Q2 GDP preview will be published later today on [Westpac IQ](#).

Offshore, the data flow was centred on the US consumer. US GDP growth was unrevised in Q2's second estimate at 1.5% annualised. In the detail, household consumption was revised up a touch (3.2% to 3.4% annualised) but offset by marginal downward revisions to business investment and government spending, as well as a larger drag from net exports. US personal consumption growth then beat expectations in July as it rose 0.2%, aided by a 0.4% increase in incomes. That said, the deflator was also 0.1ppts stronger at 0.2%, leaving real consumption flat for the month compared to a solid average gain of 0.2% per month through the first half.

While US consumers have steadily increased everyday spending at a steady clip through 2026, they are reticent to act on housing. US new home sales unexpectedly dropped by 10.5% in July to an annualised pace of just 607k – a new low for 2026. House price growth also remained weak, the FHFA house price measure and S&P Cotality Case-Shiller 20-City index averaging a monthly gain of just 0.1% through the first half.

While the stronger of the two major sentiment surveys, Conference Board consumer confidence still bears witness to households' entrenched anxiety. In August, the index held near its lowest level in 18 months – a level also materially below the historic average. Cost of living pressures are critical to consumers' concern: inflation has outpaced wage growth since the pandemic and workers fear this trend will continue, with 1-year inflation expectations remaining elevated in August at 5.8%yr – a multiple of nominal income growth.

Away from the data flow, this week the White House announced a new set of sanctions against Iran, ambitiously heralded by President Trump as Iran's "economic D-Day". The US' plan directly sanctions more than 70 entities related to various activities undertaken by Iran. However, the effectiveness of the new measures largely rests on whether the US is prepared to act against China, given their strong trade and financial relationship with Iran. The initial response suggests China is unlikely to acquiesce, with initial reports suggesting the unilateral sanctions will be ignored by China and Hong Kong.

The piece of news on the Strait that moved markets this week was instead reports of further discussions on commercial shipping between Iran and Oman. If agreed to, this could bring a degree of confidence over supply through the Strait, particularly if the US remains focused on applying economic pressure.

Shaking it off



Kelly Eckhold
Chief Economist NZ

Our new Economic Overview depicts a recovering economy after a pause at the height of the Iran war. Growth is expected to strengthen and broaden beyond the external sector that has thus far carried the economy forward. High and persistent inflation means the RBNZ is now on a tightening path. Higher domestic interest rates should support a gradual appreciation in the New Zealand dollar.

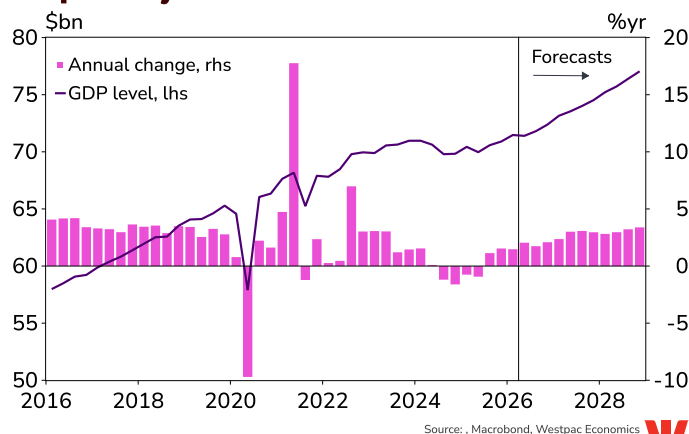
[Westpac's August 2026 Economic Overview](#) carries a broadly constructive message about the New Zealand economy. The disruption caused by the Iran conflict has left its mark, lifting fuel costs, slowing spending and resulting in a temporary pause in growth through the middle of the year. However, we believe the economy is beginning to shake off those disruptions. Activity is recovering, export incomes remain strong, and the effects of earlier monetary easing are still working their way through the economy. At the same time, inflation has proven more persistent than expected, meaning interest rates are now moving higher and will continue to do so over the next 18 months.

Our central view is that New Zealand remains in recovery mode, albeit with a more uneven profile than many would have expected six months ago. We estimate that GDP was essentially flat in the June quarter as the Middle East conflict pushed up prices and weighed on confidence and spending. Nevertheless, there are signs that growth has already resumed in the current quarter. Economic growth is forecast to reach 2.1% in 2026 before accelerating to 3.0% in 2027. The unemployment rate is expected to remain elevated in the near term but gradually decline from 5.6% currently to 4.9% by the end of next year.

The composition of growth is important. Domestic demand remains patchy, particularly for households facing higher living costs and a softer labour market. In contrast, the export sector continues to outperform. Strong commodity export prices and tourism earnings are supporting incomes, especially in regions with significant exposure to the rural economy and tourism. This divergence between export-led and domestic demand-led activity is likely to remain a defining feature of the economy over the coming year. Nevertheless, we do expect the recovery to gradually broaden, with a stronger labour market supporting consumer spending and the services sector contributing more to growth as 2027 nears and through the next year.

While the growth story is encouraging, inflation remains a key macroeconomic challenge. Annual inflation has risen to 4.1%, largely reflecting the surge in fuel prices following the Iran conflict. However, the more important point for the

NZ quarterly GDP



Source: , Macrobond, Westpac Economics

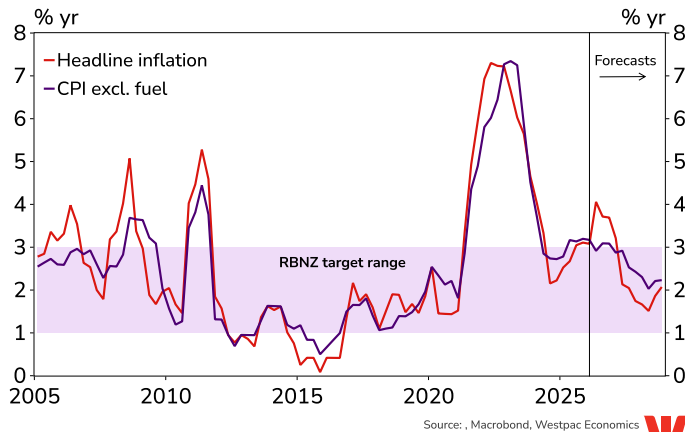
RBNZ is that underlying inflation pressures remain stubbornly firm. Core inflation has spent an extended period above the midpoint of the Reserve Bank's 1-3% target range, with domestic pricing pressures remain firm despite weak growth and higher unemployment.

A key reason for the continued strength in domestic inflation has been increases in administered prices, such as those in the electricity and local authority sectors. Costs in these areas have continued to make an outsized contribution to inflation, albeit with some signs that these pressures might diminish over coming years. On this front, the Government this week confirmed [plans to cap the extent of local council rates](#). While the proposed changes might limit the increases in direct costs for households, this would not remove the underlying challenges of funding council spending and could result in a shift to more user pays and direct charges.

Although headline inflation is expected to decline as fuel price effects wash out, core inflation is unlikely to move sustainably back towards 2% without further policy tightening. That assessment is central to both our interest rate and exchange rate outlooks.

The RBNZ began its tightening cycle with a 25bp OCR increase in July and has signalled that additional hikes are likely. [We expect another two 25bp increases](#) before the end of this year, taking the OCR to 3%. The first of these is expected to occur next week. We doubt the RBNZ will be dissuaded by recent drops in global energy and fuel costs to move away from their signal of an end-2026 OCR of 3%. Beyond that, we anticipate further tightening through 2027,

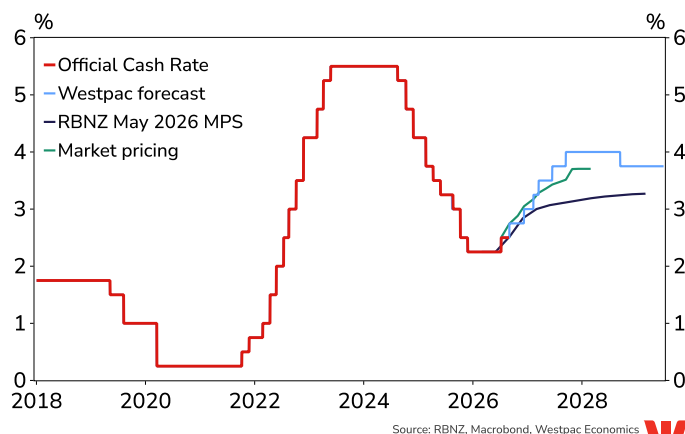
CPI inflation forecasts



ultimately taking the OCR to around 4%. The RBNZ is unlikely to endorse any such OCR profile in the Monetary Policy Statement next week, but rather leave their options open and adjustable to the data as it falls in coming months.

Our view is that although borrowing costs have already started rising, monetary policy is not yet restrictive by historical standards and would not be restrictive even at a 3% OCR. The move towards 4% through 2027 is the point at which policy begins to exert a more meaningful restraining influence on demand and would ensure core inflation moves back down from the top quarter of the 1-3% of the target range to the 2% level the RBNZ claims to target. The higher OCR will maintain upward pressure on wholesale interest rates and bond yields – which are also being supported by higher global long-term interest rates.

RBNZ Official Cash Rate



A stronger New Zealand dollar now seems more likely than it has for a while. With the OCR at cyclically low levels, growth weak and high levels of war-related uncertainty the NZD has struggled to outperform in the last year. With the more constructive economic outlook and higher interest rates, a

stronger NZD may be in prospect. The NZD should rise versus a still-overvalued US dollar that should weaken over the next couple of years. Our forecast is for NZD/USD to finish 2026 around 0.60 and rise to approximately 0.66 by the end of 2027.

The interest rate story is particularly important when considering prospects for the relative performance of the New Zealand and Australian dollars. NZD/AUD fell to a 15-year low in May as the expected paths for RBNZ and RBA policy diverged, but it has since risen. As the RBNZ continues raising rates in 2027 and the RBA's tightening cycle matures, yield differentials should become more supportive of the New Zealand dollar.

For exporters, a stronger currency will eventually act as a modest headwind. Nevertheless, strong commodity prices, resilient global growth and improving domestic confidence should continue to provide support. For importers and inflation-sensitive sectors, a firmer currency would help reduce imported inflation and assist the RBNZ in bringing inflation back towards target.

So to summarise, the August Economic Overview's key message is that New Zealand's recovery remains intact despite a difficult mid-year period. Export earnings, tourism and the lagged effects of earlier monetary easing are supporting growth and should drive a stronger expansion through 2027. Persistent inflation means the RBNZ is on a tightening path that could ultimately take the OCR to around 4%. That outlook points to higher domestic interest rates, narrowing rate differentials relative to Australia and other advanced economies, and a gradual appreciation of the New Zealand dollar over the medium term.

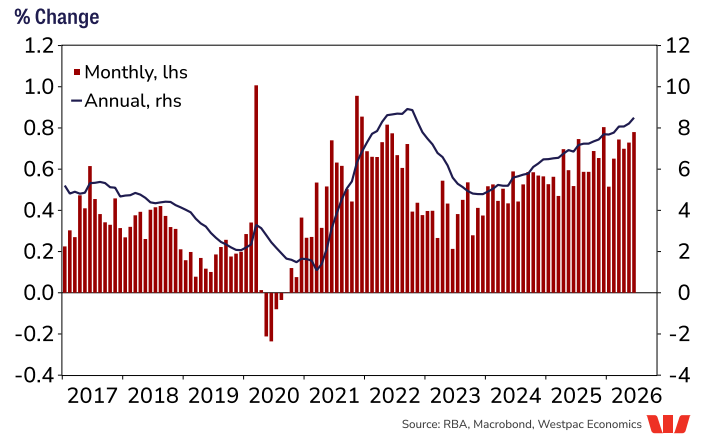
AUS: June Private Sector Credit (%mth)

Aug 31, Last: 0.8, Westpac f/c: 0.6
Market f/c: 0.7, Range: 0.2 to 0.7

Despite the RBA's cash rate hikes in the first half of the year and slower economic growth momentum recently, private sector credit surprised to the upside in June. Headline growth ticked higher to 0.8%_{mth}, the top of the recent range. Firm business credit was the main driver, while housing credit was broadly stable.

We predict that growth will ease back to 0.6%_{mth} in July. We expect to see clearer signs of a slowing in housing credit growth, with high interest rates and falling house prices beginning to have a larger impact, and investor credit beginning to soften more decisively following tax changes. Business credit is a big unknown, but after two consecutive months of solid growth, risks are skewed towards a softer reading.

Private Sector Credit Growth



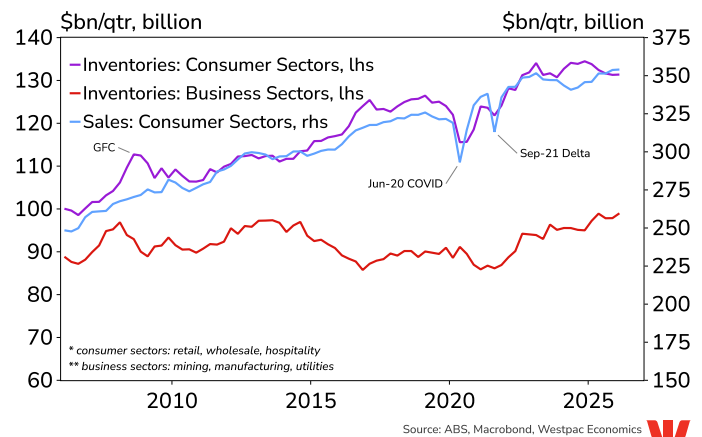
AUS: Q2 Inventories (%qtr)

Aug 31, Last: 0.5, Westpac f/c: 0.6
Market f/c: 0.5, Range: -0.3 to 1.0

Private non-farm business inventories increased 0.5%_{qtr} in Q1, following a modest 0.1%_{qtr} decline in Q4. Mining inventories rose strongly (+5.8%_{qtr}), while inventories outside the mining sector declined 0.3%_{qtr}.

For the June quarter, imports of consumer goods grew strongly (+5.5%_{qtr}), with some of these imports likely adding to inventories, particularly motor vehicles. This accumulation is expected to be partly offset by a modest rundown in mining inventories following the substantial build-up recorded in Q1, when weather-related port closures prevented some production from being exported. There is also likely to have been a rundown in public inventories, reflecting the partial unwind of the build-up in non-monetary gold recorded over previous quarters.

Inventories



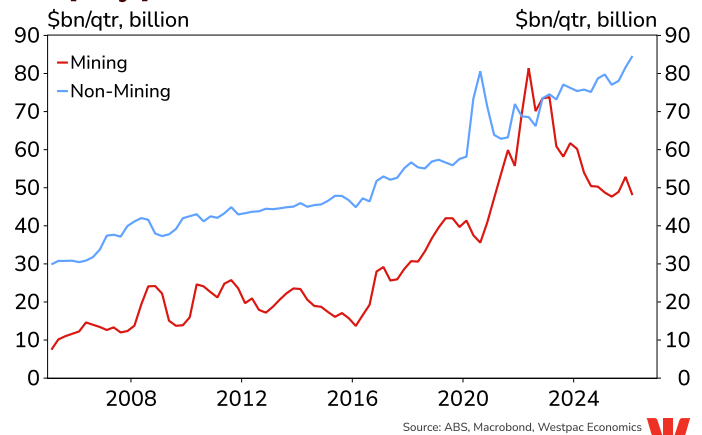
AUS: Q2 Company Profits (%qtr)

Aug 31, Last: -1.3 Westpac f/c: 3.1
Market f/c: 2.0, Range: 1.0 to 5.0

Headline company gross operating profits declined 1.3%_{qtr} in the March quarter 2026, driven by a 9.1%_{qtr} fall in mining profits as lower iron ore prices and cyclone-related disruptions weighed on export volumes. Non-mining profits rose 3.7%_{qtr} and 6.1%_{yr}, with gains broadly based across construction, wholesale trade, manufacturing, and information media and telecommunications.

We expect company profits to rebound by 3.1%_{qtr} in Q2. Mining profits are likely to recover strongly following the weather-related weakness in Q1, consistent with the 10.4%_{qtr} increase in mining export values over the quarter. By contrast, non-mining profit growth is expected to be slightly lower, with the full impact of the Middle East-related fuel price shock weighing on margins across a range of industries.

Company profits



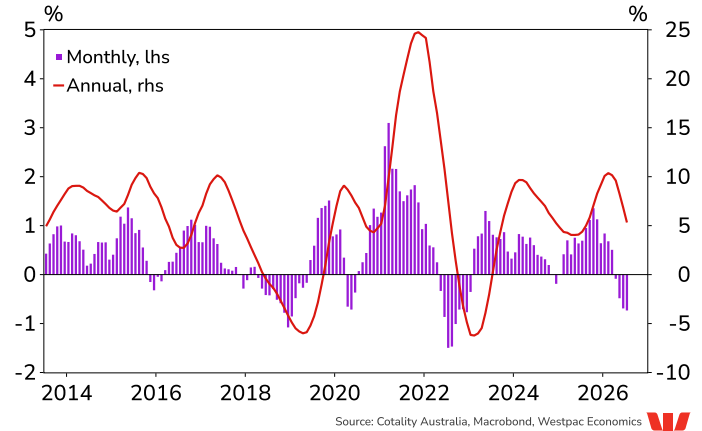
AUS: Aug Cotality Home Value Index (%mth)

Sep 1, Last: -0.7, Westpac f/c: -1.2

The Cotality home value index – covering all of Australia – fell 0.7% in July with downward revisions showing a 1.5%qtr decline over the three months to July, the most significant since the 2022 price correction. Annual growth slowed to 5.3%yr (see [here](#) for full July analysis).

The August update is set to show a significant further deterioration with the daily measure pointing to a 1.2% decline nationally. The detail shows slightly bigger declines starting to show through in Adelaide and Perth, markets that have been relative resilient to date. Price declines continue to be slight larger in Sydney, August tracking a 1.5% monthly fall. Markets are still adjusting to higher interest rates and the tax policy changes introduced in the May Federal budget with weakness likely to continue near term.

Cotality home value index



AUS: Jul Dwelling Approvals (%mth)

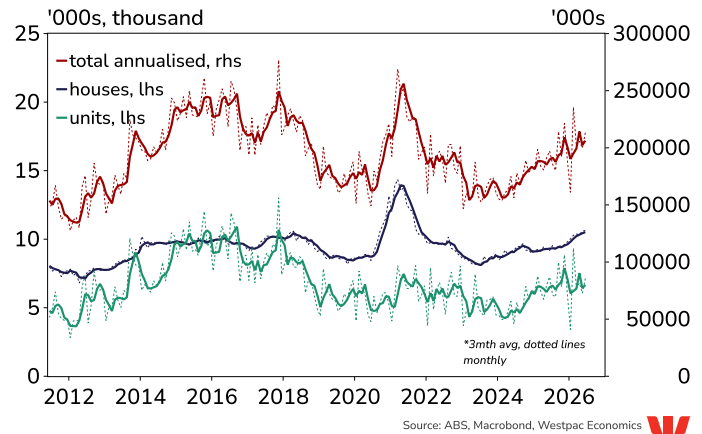
Sep 1, Last: +7.2, Westpac f/c: -5.0

Market f/c: -5.0, Range: -12.0 to 0.0

Dwelling approvals rose 7.2% in June lifting annual growth to 8.9%yr. The result was driven by a big rebound in unit approvals but with private detached dwelling approvals relatively resilient as well given interest rate rises since the start of the year (see [here](#) for full June analysis)

July is likely to see a pull-back as units cycle the June jump and more interest-rate softening effects start to show through. Overall, the July month is expected to see a 5% decline in approvals. While risks are to the downside, we expect residential building to remain relatively resilient through 2026 with latest updates on activity showing continued gains and a sizeable pipeline of work under construction (see [here](#) for comments on Q2 results).

Building approvals



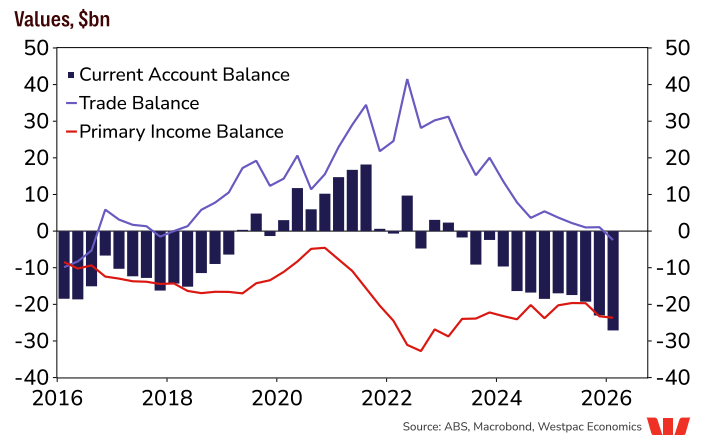
AUS: Q2 Current Account Balance (\$bn)

Sep 1, Last: -27.1, Westpac f/c: -31.0

Market f/c: -30.0 Range: -34.6 to -12.9

The current account deficit widened to \$27.1bn in Q1, and we expect it to increase further in Q2, by about \$4bn to \$31.0bn, a new record high. The goods trade balance should continued to shrink, as import growth far outpaced export growth. The services trade balance should be a little more stable, but it will remain firmly in deficit at around \$9bn. We expect some positive contribution from the primary income balance, as returns on Australian assets abroad, mainly portfolio investment, should exceed domestic returns on foreign-owned assets.

Current Account Balance



AUS: Q2 Net Exports (ppt cont'n)

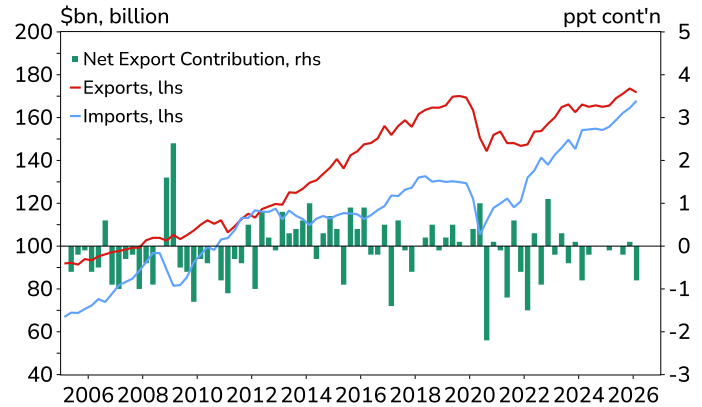
Sep 1, Last: -0.8, Westpac f/c: -0.3

Market f/c: 0.1, Range: -0.6 to 0.5

Net exports look to have detracted from GDP growth again: after -0.8ppt in Q1, we expect a -0.3ppt contribution in Q2.

Major commodity exports – mainly iron ore and coal – look to have rebounded sharply after declining in Q1. Goods imports will likely emphasize a few major themes that developed that quarter. EV sales surged in Q2, and we expect to see a corresponding rise in imports, while fuel imports should also be higher despite higher prices. Consistent with the message from the CAPEX data, which showed that data centre investment fell back in Q2, inflows of ADP equipment used for data centre fit-outs look to have eased as well. We also expect a negative contribution from services trade. Education exports are likely to fall again, in line with lower student numbers.

Net exports



Source: ABS, Macrobond, Westpac Economics

AUS: Q2 GDP (%qtr)

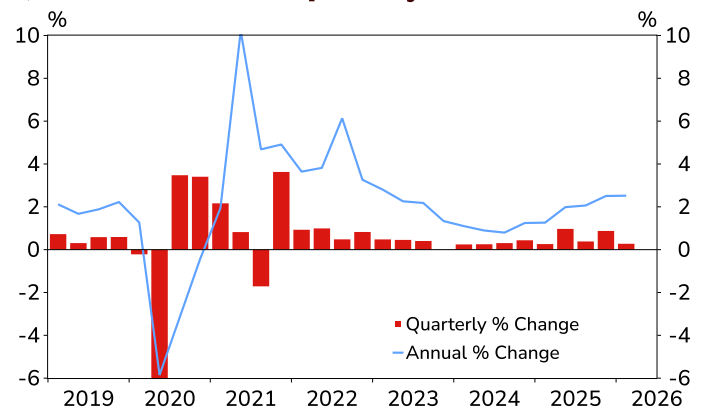
Sep 2, Last: 0.3, Westpac f/c: 0.2

Market f/c: 0.4, Range: 0.0 to 0.6

We expect that Australia's economy expanded just 0.2%qtr in Q2 and 1.7% in year-ended terms. Given the impacts of the conflict in the Middle East, and the ongoing effects of higher interest rates, Q2 was always going to be a challenging quarter. However, all things considered, the economy is showing some resilience, with notable structural support coming from investment in data centres, renewables and the construction required to house a growing population.

Please see our [Q2 GDP Preview Bulletin](#) for more details.

Q2 GDP forecast: 0.2%qtr, 1.7%yr



Source: ABS, Macrobond, Westpac Economics

AUS: Jul Goods Trade Balance (\$bn)

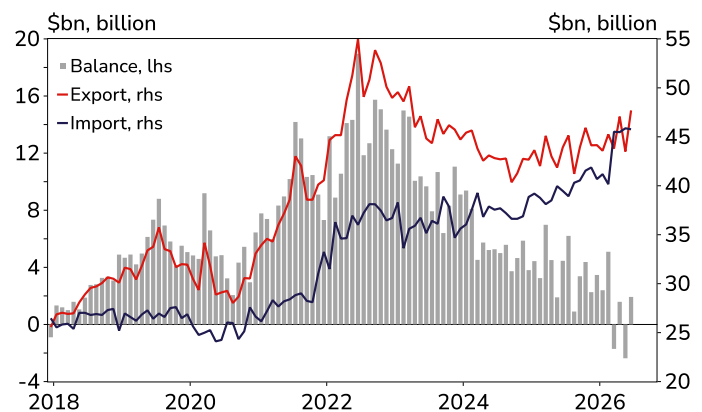
Sep 3 Last: 1.9, Westpac f/c: 1.0

Mkt f/c: 1.3, Range: 0.0 to 2.7

The goods trade balance recovered in June, jumping from a \$2.4bn deficit to a \$1.9bn surplus, thanks to a surge of almost 10% in exports. We think volatility will persist into July and the headline balance fall again. However, we expect it to remain in surplus, likely around \$1bn.

Volatile gold flows will probably remain the dominant force. The precise movements are hard to predict, but lower prices in July and in the preceding few months make declines likely. Major commodity outflows will probably be somewhat mixed after steep increases across all three major commodities in June. On the imports side, we will be watching closely to see whether buoyant vehicle imports, driven by strong demand for EVs, are beginning to lose steam as fuel prices fall. ADP imports will also be in focus as an indicator of how capex spending may have evolved in early Q3.

Goods trade balance



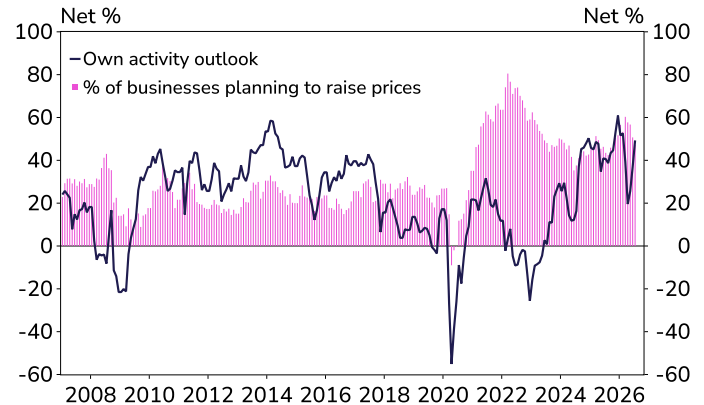
Source: ABS, Macrobond, Westpac Economics

NZ: Aug ANZ Business Confidence

Aug 31, Last: 56.1

Business confidence rebounded strongly in July, reaching just below its pre-conflict levels, while the pricing measures in the survey generally softened. However, responses were more concentrated in the early part of the month, before resumed hostilities sent fuel prices higher again, so we may see some backpedalling in the August results. Nonetheless, the economy appears to be shaking off the initial effects of the oil price shock, underscoring the case for removing some of the policy stimulus that was put in place last year.

ANZ Business Outlook survey



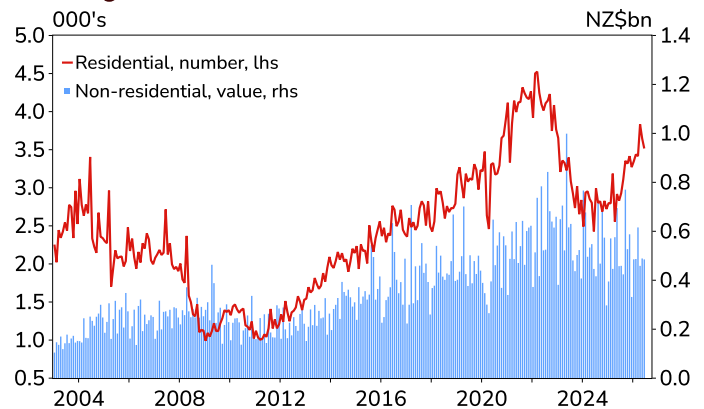
Source: ANZ, Macrobond, Westpac Economics

NZ: Jul Building Consents (%mth)

Sep 2, Last: -3.6, Westpac f/c: 2.0

Residential building consent numbers slipped back again in June, dropping 4% over the month. We're forecasting a modest 2% rise this month. Smoothing through the normal month-to-month swings, the longer-term trend in consent issuance has remained positive. June saw the number of new dwellings consented over the past 12 months rising above 40,000 for the first time since 2023. We expect that trend higher will continue this month. However, there are questions about whether that momentum will be sustained given the softness in the housing market and rising financing costs. In the non-residential space, we've seen softness in the number of retail and office developments, but greater resilience in the industrial segment.

Building consents



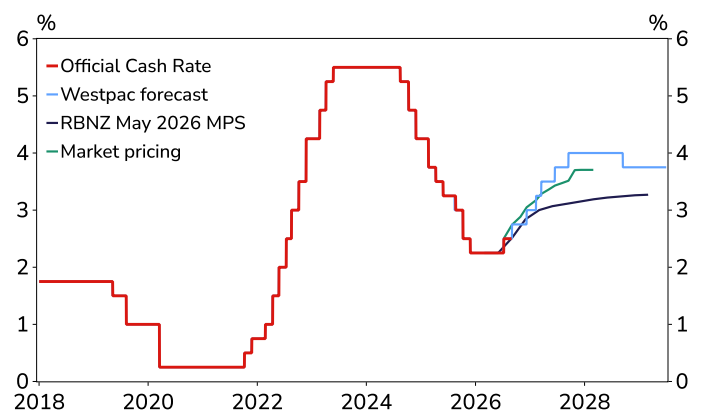
Source: Stats NZ, Macrobond, Westpac Economics

NZ: RBNZ Sep Monetary Policy Statement (%)

Sep 2, Last: 2.50, Westpac f/c: 2.75, Market f/c: 2.75

With the RBNZ kicking off a new tightening cycle in July, [we expect it to follow up with another 25bp increase at its September meeting](#). The RBNZ's projections will likely continue to imply a 3% OCR by year-end, though we expect the committee to be equivocal about whether the next hike could come in October or December. The economy has evolved largely as expected since the RBNZ's May forecasts, and core inflation remains on the high side of the target range. For more detail see our MPS preview bulletin.

RBNZ Official Cash Rate



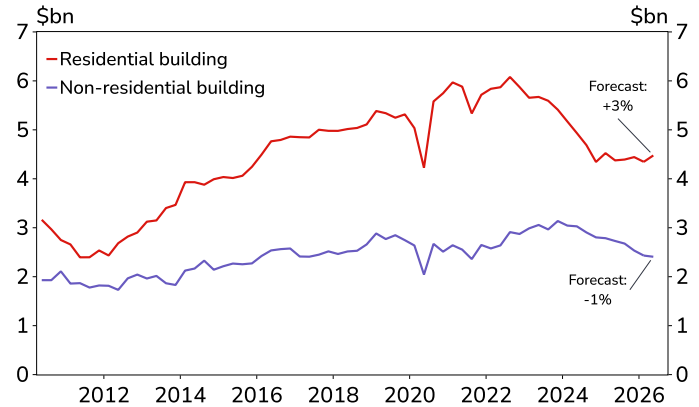
Source: RBNZ, Macrobond, Westpac Economics

NZ: Q2 Building Work Put in Place (%qtr)

Sep 4, Last: -3.5, Westpac f/c: 1.8

We're expecting a 1.8% rise in building activity in the June quarter. That's mainly due to an expected 3% increase in residential work. That follows an unexpected decline last quarter and would leave home building activity at subdued levels. At the same time, non-residential building activity continues to decline, with occupiers and developers cautious about major capital outlays. We're forecasting a 1% drop in non-residential work this quarter.

Volume of building work



US: Aug Employment Report

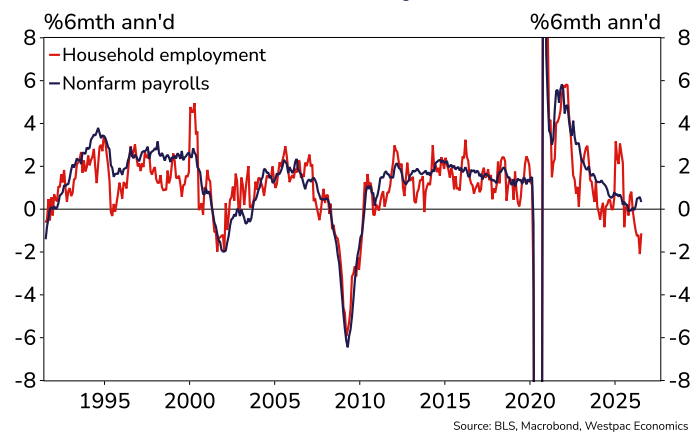
Sep 4, Payrolls, Last: -23k, Mkt f/c: 55k, WBC f/c: 70k
Sep 4, U/E Rate, Last: 4.1%, Mkt f/c: 4.1%, WBC f/c: 4.2%

The July payrolls read was a material disappointment: 23k jobs were lost against the market's expectation for an 80k gain. More telling for the underlying health of the labour market were back revisions to May and June, which delivered a cumulative 103k downgrade after June's -74k revision.

The household survey also continues to point to downside risks for payrolls. Over the past six months, payrolls have reported a gain of 44k per month, while the household survey an average decrease in the number employed of 153k.

These trends are unlikely to turn in the August report. We are most likely to a moderate gain for payrolls with evidence of downside risks in the revisions and/or household survey.

Jobs measures differ markedly



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 31							
Aus	Aug	MI Inflation Gauge	%ann	4.0	–	–	Inflation expectations have drifted higher.
	Q2	Company Profits	%qtr	–1.3	2.0	3.1	A recovery in the mining sector should drive profits higher.
	Jul	Private Sector Credit	%mth	0.8	0.7	0.6	Moderation on the cards, focus on housing credit growth.
	Q2	Inventories	%qtr	0.5	0.5	0.6	Higher inventories of consumer goods offset by mining.
NZ	Aug	ANZ Business Confidence	index	56.1	–	–	Strong lift in July, but was at the low point for fuel prices.
Jpn	Jul	Industrial Production	%mth	1.9	–0.7	–	Industrial momentum has improved recently.
Chn	Aug	NBS Manufacturing PMI	index	49.2	49.6	–	The unexpected contraction in July highlights ongoing challenges.
	Aug	NBS Non-Manufacturing PMI	index	49.0	49.8	–	The most recent result was the weakest since 2022.
US	Aug	Dallas Fed Manufacturing survey	index	1.3	1.6	–	Tentative signs of improvement emerging.
Tue 01							
Aus	Q2	Current Account Balance	\$bn	–27.1	–30.0	–31.0	Continues to deteriorate due worsening goods balance.
	Q2	Net Exports Contribution	ppt	–0.8	0.1	–0.3	Strong goods imports will drive another negative contribution.
	Jul	Dwelling Approvals	%mth	7.2	–5.0	–5.0	A pull-back in units and more interest-rate softening effect.
Jpn	Aug	S&P Global Manufacturing PMI	index	55.1	–	–	Last read at a record high.
Chn	Aug	RatingDog Manufacturing PMI	index	50.9	51.5	–	Holding up better than official statistics.
Eur	Aug	S&P Global Manufacturing PMI	index	52.8	52.8	–	Continues to recover post the conflict induced downturn.
	Aug	HICP inflation	%ann	2.9	3.2	–	Upside risks from higher energy prices remain in focus.
	Jul	Unemployment Rate	%	6.3	–	–	Has been at historical lows for a while.
US	Aug	S&P Global Manufacturing PMI	index	53.2	–	–	Tariff uncertainty has clouded the growth impulse.
	Aug	ISM Manufacturing	index	55.6	55.2	–	Markets look for signs of stabilisation.
	Jul	JOLTS Job Openings	000s	7359	7380	–	Labour demand showing signs of easing.
Wed 02							
Aus	Q2	GDP	%qtr	0.3	0.4	0.2	The economy has proven more resilient than feared.
NZ	Jul	Building Permits	%mth	–3.6	–	2.0	Residential consents continuing to trend higher.
		RBNZ Policy Decision	%	2.50	2.75	2.75	Signalling of the pace of future hikes will be of interest.
US	Aug	ADP Employment Change	000s	44	48	–	Labour demand is easing gradually.
	Jul	Factory Orders	%mth	–0.3	0.6	–	Business demand remains uneven.
	Jul	Durable Goods Orders	%mth	1.1	0.5	–	Investment intentions appear cautious.
Can		BoC Policy Decision	%	2.25	2.25	–	Fully expected to remain on hold.
Thur 03							
Aus	Jul	Goods Trade Balance	\$bn	1.9	1.3	1.0	Vehicle, fuel and ADP equipment imports in focus.
NZ	Q2	Terms Of Trade	index	–2.0	–	–	A sharp lift in oil prices to dominate firmer export prices.
	Aug	ANZ Commodity Prices	%mth	–3.9	–	–	Some rebound in dairy prices; meat prices softer.
Chn	Aug	RatingDog Services PMI	index	50.4	50.5	–	Holding up better than official statistics.
Eur	Aug	S&P Global Services PMI	index	51.7	51.7	–	Activity has returned to growth post the conflict related slowdown.
	Jul	PPI	%ann	4.6	–	–	Underlying inflationary pressures continue to ease.
US	Jul	Trade Balance	US\$bn	–73.3	–74.5	–	Trade flows remain impacted by tariffs.
	Q2	Productivity	%ann	1.4	1.4	–	Productivity gains remain under scrutiny.
		Initial Jobless Claims	000s	203	205	–	Remain low and stable.
	Aug	S&P Global Services PMI	index	56.8	–	–	Services activity continues to drive growth.
	Aug	ISM Services PMI	index	54.1	54.3	–	Service sector momentum remains solid.
Fri 04							
NZ	Aug	Volume of Building Work	%qtr	–3.5	1.0	1.8	Bounce in res work, non-res activity continuing to drop back.
Jpn	Jul	Household Spending	%ann	–3.3	–1.7	–	Continues to track lower despite real wage gains.
Eur	Jul	Retail Sales	%mth	–0.3	–	–	Consumers remain cautious spenders.
US	Aug	Nonfarm Payrolls	000s	–23	55	70	July's payroll decline surprised expectations ...
	Aug	Average Hourly Earnings	%mth	0.1	0.3	–	... while wage growth remained subdued ...
	Aug	Unemployment Rate	%	4.1	4.1	–	... and lower participation limited the rise in unemployment.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (28 Aug)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.35	4.35	4.35	4.35	4.10	3.85	3.60	3.60	3.60	3.60
90 Day BBSW	4.55	4.46	4.46	4.46	4.26	4.01	3.76	3.61	3.71	3.70	3.70
3 Year Swap	4.65	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
3 Year Bond	4.68	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
10 Year Bond	5.12	4.95	4.85	4.75	4.65	4.65	4.65	4.65	4.65	4.65	4.65
10 Year Spread to US (bps)	44	30	25	20	10	5	0	-5	-10	-15	-20
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.68	4.65	4.60	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.05	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.68	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.72	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	4	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (21 Aug)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.7199	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5954	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	159.52	162	160	160	158	156	154	152	150	148	146
EUR/USD	1.1645	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3588	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7210	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2081	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.2	0.2	0.3	0.4	0.4	0.4	0.4	-	-	-	-
%yr end	2.4	1.7	1.5	1.0	1.1	1.3	1.4	1.5	2.6	1.0	1.5	2.5
Unemployment rate %	4.2	4.4	4.6	4.8	4.9	4.9	4.8	4.8	4.3	4.8	4.8	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.1	0.8	0.6	0.6	0.8	0.5	-	-	-	-
%yr end	4.1	3.9	3.7	3.9	3.1	3.2	2.9	2.6	3.6	3.9	2.6	2.4
Trimmed Mean CPI %qtr	0.8	0.8	0.8	0.8	0.8	0.7	0.6	0.6	-	-	-	-
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.9	2.7	3.3	3.3	2.7	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	-0.1	0.6	0.7	1.0	0.5	0.6	0.7	-	-	-	-
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.4	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	-	-	-	-
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

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Short duration nation

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Share

Tax and regulatory settings make widespread 30-year fixed-rate mortgages unlikely in Australia, and bond yields matter less for financial conditions than in some other countries.



- High bond yields have spurred the US government into manoeuvres to contain debt-servicing costs. They also matter for the US mortgage market, where mortgages are mostly fixed-rate. Existing

borrowers by definition do not face higher repayments when bond yields rise, but they can feel 'trapped' by the high cost of moving or refinancing.

- The US model of 30-year fixed rate mortgages that are cheap to refinance is unlikely to be replicated in Australia. It only exists because of significant government intervention. Our tax, prudential regulation and superannuation systems also favour floating interest rates, even for loans with long contractual maturity like mortgages.
- Long yields still matter for fiscal policy, and our corporate bond market is attractive to both domestic and offshore (Kangaroo) issuers and investors. But when thinking about financial conditions from a monetary policy perspective, the short end of the yield curve matters far more than in some countries.

Ten-year bond yields have breached 5% in Australia and the UK in recent weeks and are in the 4.6–4.8% range for US Treasuries, levels that have not been seen for some years. As discussed last week, this has spurred the US government to try to rearrange its finances to dampen yields. Its concerns go beyond the cost of servicing its own debt. In a mortgage market with predominantly fixed-rate loans, high bond yields drag mortgage rates up. Existing borrowers are insulated, but higher rates discourage moving, refinancing and home ownership. Demand for new homes is lower, weakening homebuilding activity, and some households feel 'trapped' by their current low mortgage rate. The cash-flow effects of monetary policy are therefore more concentrated on prospective borrowers and movers in a way that differs from Australia, where most mortgages reprice when the RBA tightens.

Some Australian observers see that relative insulation from interest rates and wish our system could be more like the US system. The reality is that the 30-year fixed-rate mortgage that is also cheap to refinance is almost unique to the US market and relies on a raft of expensive government interventions. From the government-sponsored entities (Fannie Mae, Freddie Mac, both still in government conservatorship, along with Ginnie Mae) to the network of Federal Home Loan Banks, the US mortgage market is built on an unusually large public infrastructure. Even other markets with shorter fixed terms sometimes rely on government interventions, such as Canada's Canadian Mortgage and Housing Corporation insuring securitised loans.

Countries that intervene less in their mortgage markets mostly follow one of two patterns. Some, like Germany, offer fixed-rate mortgages, but refinancing or moving before the term expires involves expensive break fees, to compensate lenders for the interest rate risk. Borrowers cannot refinance cheaply into a lower rate when bond yields fall. The secondary markets for housing in these countries tend to be less liquid, and home ownership rates are often lower than in Australia – below 50% in the case of Germany.

The tax system favours it

The other model for mortgage markets is more like the Australian model, where loans have long terms but are mostly variable rate or only short-term fixes for 2–3 years. In Australia, this structure rests on a web of incentives for both households and financial institutions favouring that outcome.

For households, the main incentive comes from the tax system. For owner-occupiers at least, mortgage interest is not tax deductible, unlike in the US. Paying your mortgage out of post-tax income is a powerful incentive to pay it ahead of schedule. Doing so delivers a risk-free, post-tax return of the mortgage rate, which would be difficult to match elsewhere. The option of being able to pay ahead of schedule is therefore highly valuable to borrowers.

Because of the interest rate risk involved for lenders if the loan is fixed-rate, pre-payment is typically unavailable or at least limited for fixed-rate loans. This includes break fees on exit and limits on the payments into redraw facilities. The peculiarly Australian mortgage features of offset accounts and redraw facilities are rarely offered in countries where fixed-rate mortgages predominate. This means Australia's tax system encourages borrowers to value payment flexibility, which in turn favours variable-rate loans. Borrowers can insulate themselves from rate rises using pre-payment buffers, rather than needing a fixed interest rate to do this.

APRA incentivises it

The regulatory system also encourages variable-rate lending. Normally, banks are assumed to be in the business of "borrowing short" (e.g. deposits at call) and "lending long" (e.g. mortgages). Fixed rates normally include a term premium – a kind of insurance premium for the risk that funding rates move against the lender. By borrowing short and lending long, banks earn that spread as profit. This is a matter of interest rate risk: the effective maturity of at-call deposits is often very long, because people tend to stick with one bank for transactional banking for a while.

This strategy can occasionally blow up, however, if short rates (and so funding costs) rise above the average yield on one's assets. It can also blow up if the assets are bonds and other fixed-coupon assets that fall in value when long yields rise, as Silicon Valley Bank and other US banks found out the hard way a few years ago.

Australian banks are more protected from these risks because, unlike other regulators, APRA requires banks and other deposit-takers to hold capital against "interest rate risk in the banking book". Its "Pillar 1" approach is more prescriptive than the global Basel standards, which capture this risk in "Pillar 2", which is more about principles-based supervision rather than a capital requirement.

This changes the incentives for both lenders and borrowers. Instead of "borrowing short to lend long", Australian banks end up borrowing short to lend short: variable rate mortgages and three-month BBSW links for some other loans. A bank that funded long fixed-rate mortgages and business loans with floating-rate deposits, without an offsetting hedge, would incur more measured interest-rate risk and potentially a larger capital requirement.

The super system reinforces it

The design of the superannuation system also contributes to Australia being a short-duration nation. Almost all currently open superannuation funds in Australia are what is known as “defined contribution” (DC). Members contribute a pre-specified fraction of their wage, while the fund manager seeks the best returns, without guaranteeing outcomes. This structure favours allocation to equities rather than fixed-interest bonds, because on average their returns are higher (the “equity risk premium”).

This model contrasts with “defined benefit” (DB) pensions, where there is an explicit promise of a post-retirement income stream based on some formula such as fraction of final salary. These types of pension systems are seen in some other advanced countries, and they imply a long-dated liability that needs to be matched, usually with fixed-interest assets. A DC system does not have the same type of liability, so it has less need to liability-match.

As a DC system matures and more people move into retirement phase, fixed-interest portfolios might become more important. For now, though, Australia’s superannuation system generates less demand for long-term fixed-interest assets than a DB system would. This does not prevent Australian borrowers from accessing long-term funding through global capital markets, but it does mean there is less natural domestic demand for long-duration fixed-interest assets

Central bank watchers need to remember it

For all these reasons, Australia is a ‘short duration nation’. Long yields still matter for asset valuations, hurdle rates, fiscal policy and some forms of private financing activity. Our corporate bond market is attractive to both domestic and offshore (Kangaroo) issuers. But organic domestic demand and supply for fixed interest securities is lower than in some countries. Long yields therefore matter less for monetary policy transmission and should receive less weight in considerations of financial conditions than in, say, the US or Japan.

A few conclusions arise from this difference. First, a US-style 30-year mortgage that is both fixed-rate and cheap to refinance is unlikely to become the norm in Australia.

Second, assessments of financial conditions can put more weight on the short end of the yield curve than the long end. In the US, people sometimes trip themselves up when bond yields move, thinking that this shifts financial conditions and means that the Federal Reserve does not have to move the policy rate to achieve the same effect. If yields moved because market participants expect the Fed to move the policy rate, though, things can get quite circular. Central banks can only use higher yields as a reason not to hike (or lower yields as a reason to hike) a few times before credibility suffers.

Third, it matters why yields have moved. For example, yields might fall because inflation expectations have fallen. The apparently looser financial conditions this implies do not need to be offset. The broader point is that the relationship between financial conditions and the policy rate is not mechanical. This was the lesson the Bank of Canada and  Reserve Bank of New Zealand learned the hard way

with their experiments with a Monetary Conditions Index in the 1990s, and that the RBA highlighted [at the time](#). And in a short duration nation like Australia, that lesson needs to be remembered when thinking about financial conditions in the present day.

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July CPI – Inflation boosted by end of year price resetting

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#inflation

By [Justin Smirk](#) & [Neha Sharma](#)

16:04 August 26 2026

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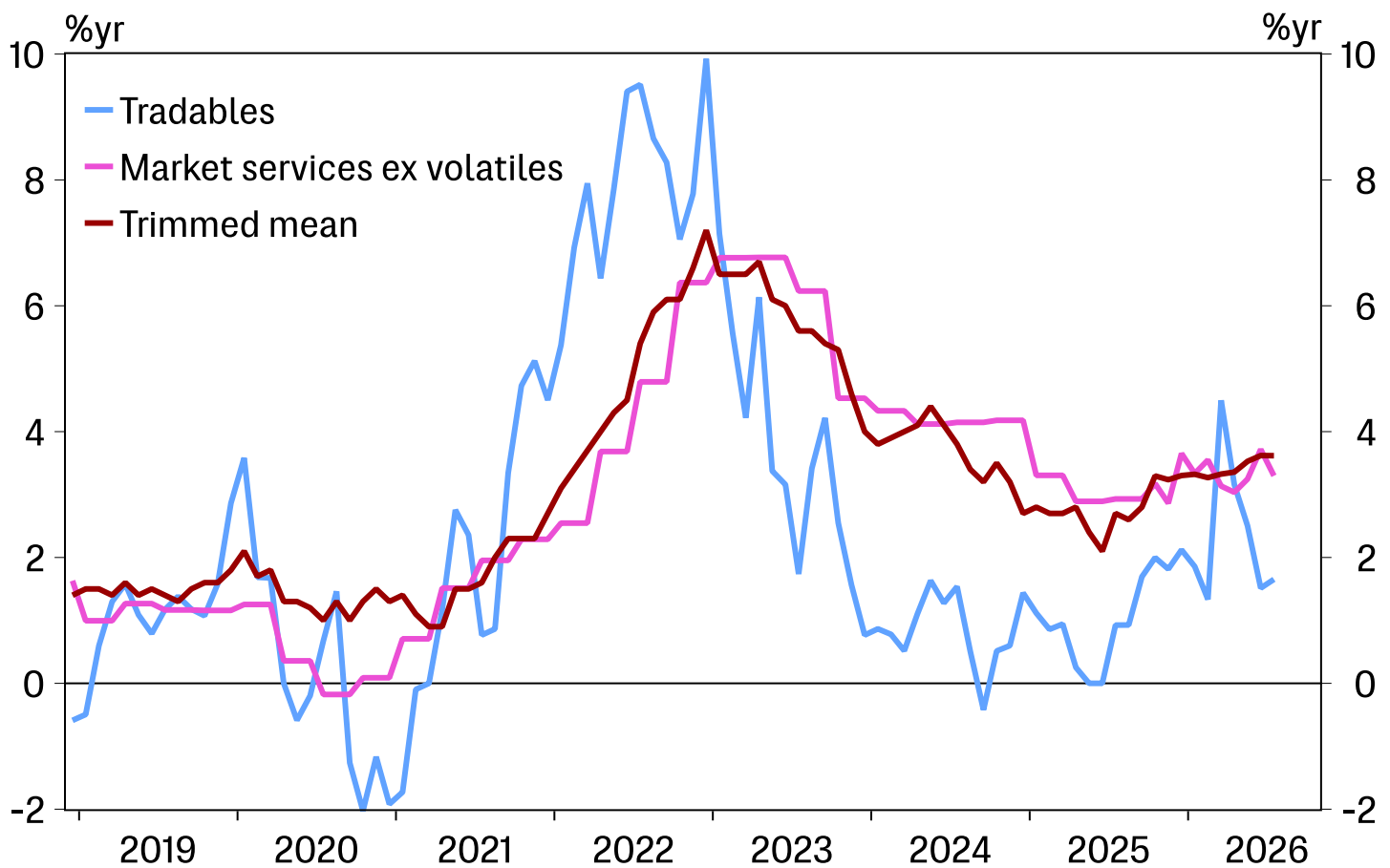
July Monthly CPI: Headline 1.0% $\text{mth}/3.5\%\text{yr}$, Trimmed Mean 0.5% $\text{mth}/3.6\%\text{yr}$. Market services ex volatile 0.9% $\text{mth}/3.3\%\text{yr}$.



- The CPI rose 1.0% in July, stronger than Westpac expectation of 0.8% and market expectation of 0.9%. This saw the annual pace ease to 3.5% yr from 3.8% yr due to base effect of a stronger print a year earlier.

- Trimmed Mean (TM) inflation rose 0.5%_{mth} compared to Westpac's expectation of 0.4%_{mth} with the annual pace holding flat at 3.6%_{yr}. Both Westpac and the market were expecting a 3.5%_{yr} pace.
- Market services excluding volatiles increased 0.9%_{mth}/3.3%_{yr}. This core measure of domestic inflation eased from 3.7%_{yr} in June but still holding above the 3%_{yr} pace overall. We need confirm if the outsized increase this month was a one-off due to the larger than expected increase in award/minimum wage or is it something more fundamental.
- Dwellings and rents were as expected, underpinning the trimmed mean. The upside surprises were mostly in durable goods (motor vehicles, clothing & footwear, household appliances, furniture & furnishing, audio visual & computing equipment) while household services (restaurants, domestic travel, other recreation activities, other services in respect of motor vehicles) made significant contributions.
- Domestic inflationary pressures remain elevated. The question is just how much is due to post financial year price adjustments and how much is a sustained increase in underlying inflationary pressure. The monthly CPI does not provide enough information to confirm this in either direction.
- Housing costs (rents and dwellings) remain well contained despite the stronger than expected increase in utilities. Nevertheless, there is some concern with market services coming in on the high side. This means the RBA will continue its hawkish rhetoric.
- However, both the labour market and wages are softer than what the RBA expected so while the risk of a November rate hike remains, this is not our base case and we expect the RBA to remain on hold this year.

Inflation: analytical measures



Source: ABS, Macrobond, Westpac Economics



July CPI in more detail

After back-to-back declines (-0.7% in May and -0.1% in June), the July CPI rose 1.0% (1.0% mth) and 3.5% yr, above both our forecast and market expectations of 0.8% and 0.9% respectively. The six-month annualised pace (of the seasonally adjusted CPI) is running at a solid 3.9% yr pace, the fastest pace in the very short history of this series (from April 2024).

Meanwhile, core measures of inflation were also stronger than expected. TM inflation rose 0.5% (0.49% mth) and 3.5% yr, on par with the strongest monthly read in the series' history. The result was also stronger than both our and the market's expectations of 0.4% and 3.5% yr.

The largest contributors to the monthly headline read were automotive fuel (0.3ppts), domestic holiday & travel (0.2ppts) and audio, visual & computing equipment which saw a 7.7% jump contributing 0.1ppt. There was also a larger than expected increase in alcohol & tobacco of 1.2% but the contribution was just 0.08ppt. The largest detractor in the month was international holidays which unexpectedly fell 2.5% mth , shaving off 0.1ppt.

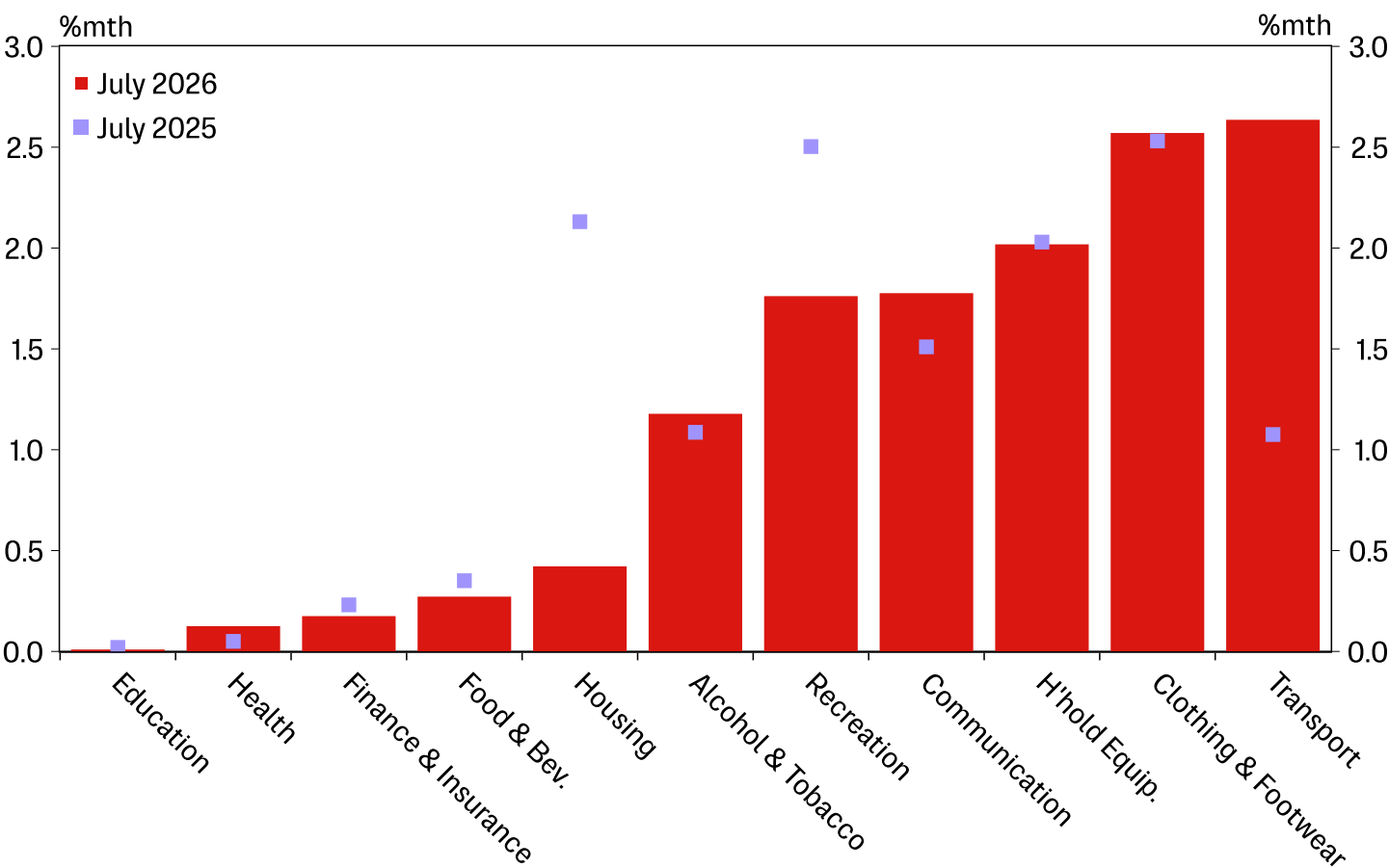
Market services excluding volatiles and holiday travel was up 0.8% mth against our expectations of 0.5% mth . We expected a strong number given the higher-than-expected minimum wage decision and survey measures suggesting stronger labour cost pressures, but the result exceeded even this.

Some key drivers of market services in the month included restaurant meals (1.2%*mt*h), clothing repairs (1.0%*mt*h) and audio, visual and media services (0.7%*mt*h). Some components of recreational services also recorded above 1.5%*mt*h reads. The key downside surprise here was insurance, which rose 0.2%*mt*h following the 0.3%*mt*h decline in June. More broadly, all but one component of market services (ex-volatiles & holidays) are running above the RBA's target band on a year-ended basis.

New dwelling costs came in line with expectations rising 0.4%*mt*h, with the year-ended pace softening slightly to 5.7%*yr*. We expect the disinflation to progress slowly here with above-average price changes by trade material suppliers. But a sustained downturn in established market will limit developers' pricing power. Rents were slightly stronger, lifting 0.4%*mt*h/3.6%*yr* against our expectation for a 0.3%*mt*h/3.5%*yr* rise; the seasonally adjusted rise was 0.3%*mt*h. The strength is consistent with tight vacancy rates. We continue to closely watch housing costs as they are an important driver of core domestic inflationary pressure.

More broadly, the breadth of inflation widened in July with the share of the basket running above 3%*yr* lifting slightly to just above 45% from 43% in June and 42% a year ago. We also saw the share running below 2%*yr* fall to 37% from 42% in June so we can't deny it is possible that inflationary pressures are picking up.

Monthly CPI by Category



Upside surprises

- Household textiles was the key surprise rising 11.5%mth vs 2.9%mth. This is more noise than signal, reflecting bounce-back from a changed timing of sales periods and discounting.
- Audio, visual and computing rose 4.2%mth against expectations of a 0.9%mth rise. Equipment was the key miss (7.7%mth vs 1.5%mth), but services also surprised 0.7%mth vs 0.3%mth).
- Domestic travel rose 6.2%mth vs 3.0%mth.
- Automotive fuel rose 7.5%mth following the partial unwinding of the fuel excise cut in July to 16c/l. We had expected a 5.1%mth rise.
- Restaurant meals rose 1.2%mth vs 0.8%mth.
- Therapeutic appliances rose 2.6%mth vs 0.4%mth, with dental services also surprising 0.9%mth vs 0.5%mth.

CPI Item	Qtr CPI		Monthly CPI		
	Sep-26 % qtr	May-26 % mth	Jun-26 % mth	Jul-26 % mth	Jul-26 % mth
Food	1.0	0.6	0.4	0.3	0.4
of which, bread & cereals	0.9	0.2	0.7	-0.3	0.0
of which, meat & seafood	0.7	1.1	-0.3	0.2	0.2
of which, dairy & related products	1.8	2.3	1.3	0.2	-0.1
of which, fruit & vegetables	0.8	1.1	1.0	-0.8	0.6
of which, food products nec	0.4	-0.9	-0.2	0.0	0.6
of which, non-alcohol beverages	0.5	1.5	1.0	0.0	-0.3
Alcohol & tobacco	1.0	0.9	-0.5	1.2	0.4
of which, Alcohol	0.7	1.3	-0.7	1.2	0.4
of which, Tobacco	1.6	-0.1	0.0	1.2	0.3
Clothing & footwear	0.4	-2.9	-1.0	2.6	2.0
of which, garments	-0.6	-3.3	-3.1	3.2	2.6
Housing	1.3	0.5	0.5	0.4	0.3
of which, Rents	0.9	0.4	0.3	0.4	0.3
of which, House purchases	1.3	0.9	0.4	0.4	0.4
of which, Electricity	-3.6	0.9	0.7	-1.6	-4.4
of which, Gas & other fuels	6.8	-3.1	2.7	2.8	5.5
H/hold contents & services	1.0	0.3	-4.2	2.0	1.4
Health	-0.3	-0.5	-0.1	0.1	0.1
Transportation	1.0	-3.9	-2.7	2.6	1.9
of which, auto fuel	0.9	-11.9	-10.9	7.5	5.1
Communication	1.2	0.2	-0.7	1.8	1.5
Recreation	1.8	-3.1	1.8	1.8	1.9
of which, holiday travel	3.0	-6.9	4.6	1.8	3.2
Education	0.1	0.0	0.0	0.0	0.0
Financial & insurance services	0.8	0.2	0.5	0.2	0.2
CPI: All groups %qtr/%mth	1.0	-0.7	-0.1	1.0	0.8

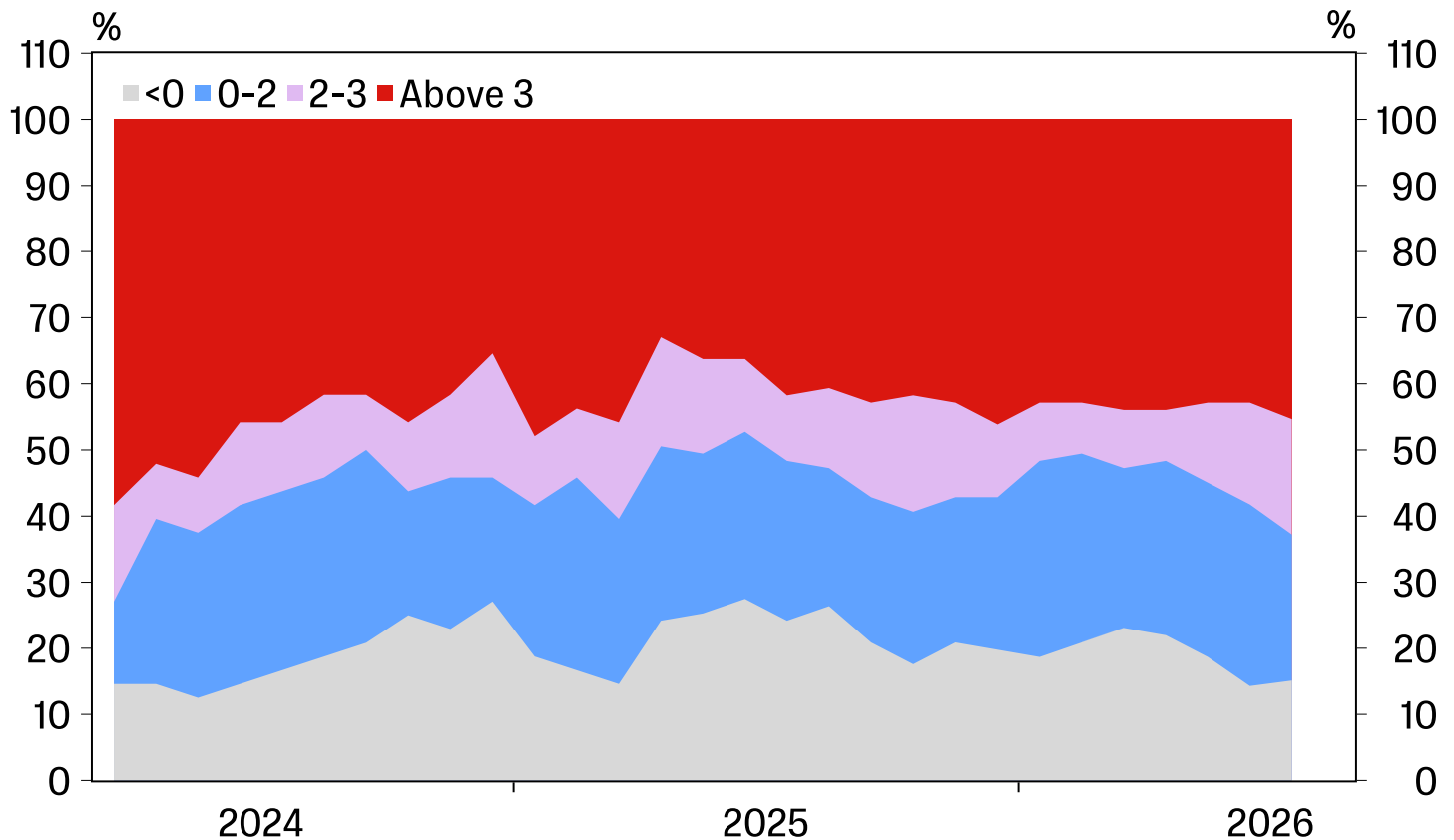
Downside surprises

- International travel was the key downside miss -2.5%*mth* vs 3.5%*mth*.
- Fruit & vegetables both fell -1.7%*mth* (0.3%*mth* exp) and -0.1%*mth* (0.8%*mth* exp), respectively.
- Insurance rose 0.2%*mth* vs 0.8%*mth*.

On face value, the July CPI presents an upside risk to our estimates for the September quarter inflation release but just how much is unclear at this stage. We are processing the more detailed data in today's release and will advise our readers of any changes in a more substantial note.

Inflation Sub-Categories

Year-ended, Share of Basket



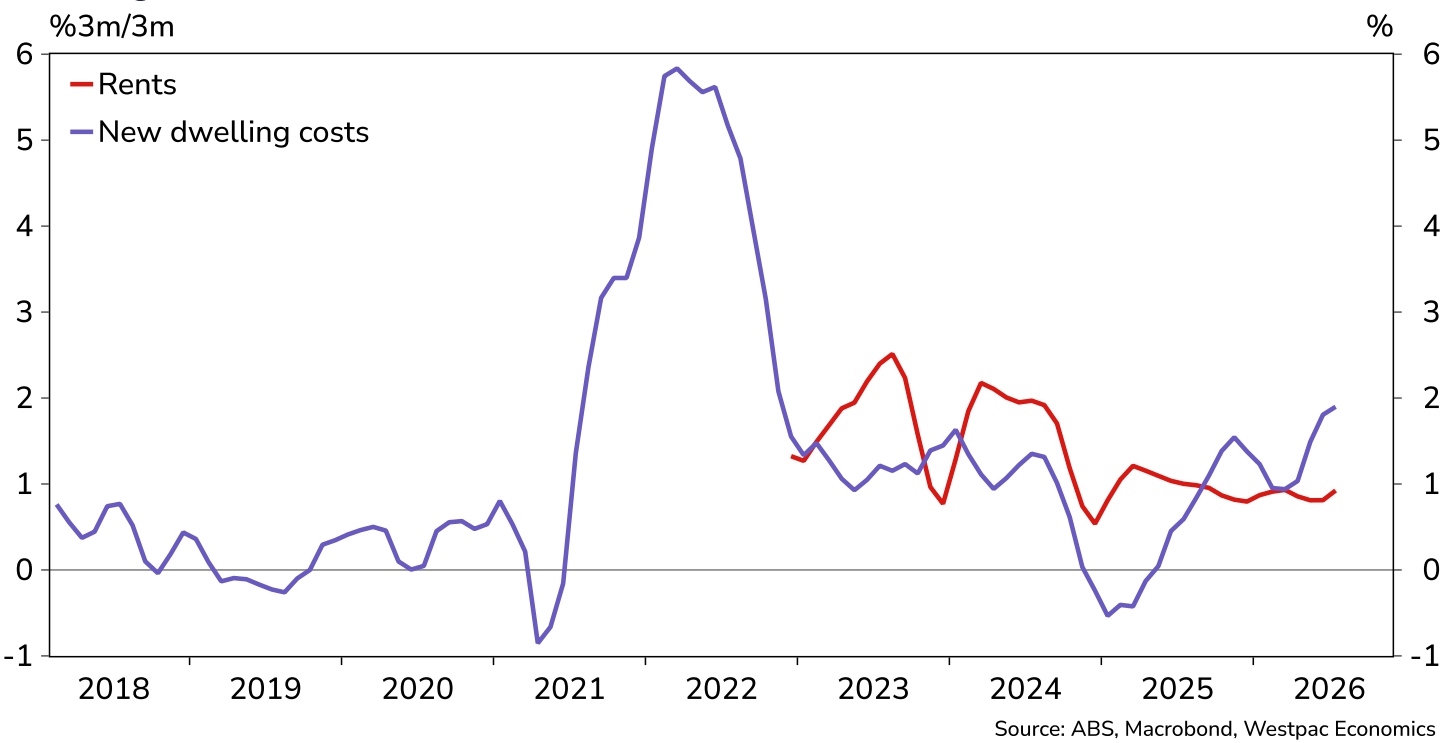
Source: ABS, Macrobond, Westpac Economics



What does this mean for the RBA?

An upside surprise in both headline and core measures of inflation will keep the RBA alert to the risks of domestic inflationary pressures and hence, they will maintain the hawkish rhetoric of late. However, one month is not a trend. The RBA will wait for a full update on core inflation from the September quarter CPI to get a clearer picture on just how much of today's surprise was due to firms adjusting prices to the larger than expected increase in awards/minimum rates of pay, and so a once-off adjustment, and how much is due to more fundamental inflationary pressure. As such, we maintain the view that while a November rate hike remains a risk, we do not see it as our base case.

Housing-related inflation



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25 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment softened overnight as geopolitical tensions escalated, with the US unveiling its “economic D-Day” sanctions campaign against Iran while trade tensions with Canada remained elevated. Semiconductor stocks also came under pressure ahead of Nvidia’s earnings.

Equity markets weakened, led by technology shares. Major US indices closed lower, while an ETF tracking memory-chip producers slumped 5.9%. European markets were mixed.

Bond markets firmed, with US Treasuries rallying after reports the Treasury could use cash stockpile to buy back higher-yielding bonds. The US 10-year Treasury yield fell 4bps to 4.70%.

The Aussie declined 0.3% to US\$0.7150, ahead of the release of the RBA Minutes later today. Commodity markets were mixed, with gains in gold and copper offset by declines in oil prices and broader commodity indices.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	0.3%
AUD/USD	0.7164	0.8%
AUD/JPY	113.89	0.7%
AUD/GBP	0.5255	0.7%
AUD/NZD	1.1990	0.2%
AUD/EUR	0.6135	0.7%
AUD/CNH	4.8142	0.6%
AUD/SGD	0.9092	0.6%
AUD/HKD	5.6171	0.8%
AUD/CAD	0.9887	0.6%
EUR/USD	1.1677	0.0%
USD/JPY	159.01	-0.1%
USD Index	98.80	-0.1%

Equities	Close	Change
S&P/ASX 200	9,059	-0.3%
S&P 500	7,674	0.4%
Japan Nikkei	66,016	-0.3%
Hang Seng	26,009	1.2%
Euro Stoxx 50	6,462	0.6%
UK FTSE100	10,817	0.6%
VIX Index	15.13	-5.5%

Commodities	Current	Change
CRB Index	406.24	0.7%
Gold	4603.07	1.9%
Copper	14216	1.3%
Oil (WTI futures)	87.06	0.3%
Coal (coking)	233.00	1.7%
Coal (thermal)	139.75	1.0%
Iron Ore	96.45	0.1%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	-0.01
180 day BBSY	4.83	-0.01
1 year swap	4.59	0.00
2 year swap	4.57	0.01
3 year swap	4.56	0.01
4 year swap	4.58	0.01
5 year swap	4.62	0.01
6 year swap	4.67	0.01
7 year swap	4.73	0.00
8 year swap	4.79	0.01
9 year swap	4.84	0.01
10 year swap	4.90	0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.57	0.04
10 year bond	5.06	0.05
United States		
3-month T Bill	3.71	0.00
2 year bond	4.24	0.05
10 year bond	4.73	0.03
Other (10 year yields)		
Germany	3.26	0.00
Japan	2.89	0.03
UK	5.06	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	-0.01
3 yr bond	4.56	0.00
3 mth bill rate	4.50	0.01
SPI 200	9,028	0.5%



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Financial Markets

- The US announced a fresh round of sanctions against Iran, dubbed the “economic D-Day” campaign by President Trump. The measures target more than 70 entities linked to Iran and threaten action against countries that continue doing business with Tehran. The effectiveness of the sanctions will largely depend on whether the US is prepared to enforce them against China, Iran’s largest oil customer. Despite the tougher rhetoric, WTI crude fell 2.4% to US\$85.01/bbl, suggesting markets believe Iran may ultimately yield to mounting economic pressure.
- Trade tensions also remain elevated between the US and Canada, with President Trump stating that a 50% tariff on Canadian automobiles and auto parts will take effect from January. Separately, reports suggest the US is preparing to impose an additional 7.5% tariff on Chinese goods over concerns about excess manufacturing capacity ahead of next month’s Trump-Xi summit. The move reinforces concerns that trade policy uncertainty will be a headwind for growth.
- Risk sentiment weakened overnight amid escalating geopolitical tensions and renewed pressure on semiconductor stocks ahead of Nvidia’s earnings release later this week. Technology shares led declines, with Nvidia, Seagate, Sandisk and Micron among the biggest losers. An ETF tracking memory-chip producers fell 5.9% on the day. The Nasdaq lost 0.8%, while the S&P 500 fell 0.3%. The Dow Jones outperformed, rising 0.3%.
- European equities were mixed in subdued trading as investors awaited further details on the US sanctions package. The Euro Stoxx 50 fell 0.2%, Germany’s DAX declined 0.2%, and France’s CAC lost 0.4%, while the FTSE 100 rose 0.3%. Asian markets were also mixed, with the Hang Seng down 1.9% and the Nikkei falling 0.7%. Locally, the S&P/ASX 200 gained 0.5% to 9,103. Equity futures were little changed, up 0.1% to 9,055.
- Bond markets were mixed overnight. Treasuries found support after reports that the US Treasury could use part of its cash balance to buy back higher-yielding legacy securities in an effort to ease borrowing costs. However, yields ultimately moved little, with the 10-year Treasury yield down 4bps to 4.70%, while the 2-year yield was unchanged at 4.23%. Traders are now pricing around 27bps of rate hikes by the end of 2026 and almost 50bps of hikes by the end of 2027.

Today’s key data and events

Time	Event	Exp	Prev
11:30	AU RBA Minutes	-	-
23:00	US FHFA House Prices Jun	0.2%	0.3%
23:00	US S&P/CS Home Price Index Jun	0.1%	0.1%
-	US Building Permits Jul Final	-	5.0%
0:00	US Richmond Fed Manufacturing Aug	6.5pts	5pts
0:00	US New Home Sales Jul	-1.3%	1.6%
0:00	US Consumer Confidence Aug	90.2pts	90.8pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Australian bond markets firmed, with yields moving lower across the curve. The 3-year government bond yield fell 3bps to 4.53%, while the 10-year yield declined 4bps to 5.02%. Futures also firmed overnight, with the 3-year futures yield up 2bps to 4.55%, while the 10-year futures yield remained unchanged at 5.02%. OIS pricing continues to imply a cash rate of around 4.50% by year-end, with the market flirting with the idea of another hike this year.
- In foreign exchange markets, the US dollar edged higher, with the DXY rising 0.2% to 98.99. The Australian dollar eased 0.3% to US\$0.7150, while also weakening against the yen, sterling, euro, yuan, Hong Kong dollar and Singapore dollar. The Australian dollar was broadly unchanged against the New Zealand dollar and strengthened 0.4% against the Canadian dollar.
- Commodity markets were mixed. The CRB Index fell 0.8%, driven largely by the 2.4% decline in oil prices. Gold rose 1.1% and copper gained 0.4%, reflecting ongoing geopolitical uncertainty, while iron ore climbed 1.8% to US\$97.90/t. Coking coal rose 0.6% and thermal coal increased 0.9%. ACCU prices fell 4.3%.

International Data

The **Chicago Fed National Activity Index**, a weighted average of 85 other monthly indicators, has been volatile lately, oscillating between above-trend and below-trend growth readings in recent months. The latest release for July reported a reading of -0.08, suggesting that after growing broadly in line with trend in Q2, the US economy started losing momentum again this quarter. A decline in the personal consumption and housing category led the way down, but the production indicator, alongside the sales, orders and inventories gauge, was also weaker. The labour market improved, but remained a touch below trend.



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25 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment softened overnight as geopolitical tensions escalated, with the US unveiling its “economic D-Day” sanctions campaign against Iran while trade tensions with Canada remained elevated. Semiconductor stocks also came under pressure ahead of Nvidia’s earnings.

Equity markets weakened, led by technology shares. Major US indices closed lower, while an ETF tracking memory-chip producers slumped 5.9%. European markets were mixed.

Bond markets firmed, with US Treasuries rallying after reports the Treasury could use cash stockpile to buy back higher-yielding bonds. The US 10-year Treasury yield fell 4bps to 4.70%.

The Aussie declined 0.3% to US\$0.7150, ahead of the release of the RBA Minutes later today. Commodity markets were mixed, with gains in gold and copper offset by declines in oil prices and broader commodity indices.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	0.3%
AUD/USD	0.7164	0.8%
AUD/JPY	113.89	0.7%
AUD/GBP	0.5255	0.7%
AUD/NZD	1.1990	0.2%
AUD/EUR	0.6135	0.7%
AUD/CNH	4.8142	0.6%
AUD/SGD	0.9092	0.6%
AUD/HKD	5.6171	0.8%
AUD/CAD	0.9887	0.6%
EUR/USD	1.1677	0.0%
USD/JPY	159.01	-0.1%
USD Index	98.80	-0.1%

Equities	Close	Change
S&P/ASX 200	9,059	-0.3%
S&P 500	7,674	0.4%
Japan Nikkei	66,016	-0.3%
Hang Seng	26,009	1.2%
Euro Stoxx 50	6,462	0.6%
UK FTSE100	10,817	0.6%
VIX Index	15.13	-5.5%

Commodities	Current	Change
CRB Index	406.24	0.7%
Gold	4603.07	1.9%
Copper	14216	1.3%
Oil (WTI futures)	87.06	0.3%
Coal (coking)	233.00	1.7%
Coal (thermal)	139.75	1.0%
Iron Ore	96.45	0.1%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	-0.01
180 day BBSY	4.83	-0.01
1 year swap	4.59	0.00
2 year swap	4.57	0.01
3 year swap	4.56	0.01
4 year swap	4.58	0.01
5 year swap	4.62	0.01
6 year swap	4.67	0.01
7 year swap	4.73	0.00
8 year swap	4.79	0.01
9 year swap	4.84	0.01
10 year swap	4.90	0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.57	0.04
10 year bond	5.06	0.05
United States		
3-month T Bill	3.71	0.00
2 year bond	4.24	0.05
10 year bond	4.73	0.03
Other (10 year yields)		
Germany	3.26	0.00
Japan	2.89	0.03
UK	5.06	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	-0.01
3 yr bond	4.56	0.00
3 mth bill rate	4.50	0.01
SPI 200	9,028	0.5%



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Financial Markets

- The US announced a fresh round of sanctions against Iran, dubbed the “economic D-Day” campaign by President Trump. The measures target more than 70 entities linked to Iran and threaten action against countries that continue doing business with Tehran. The effectiveness of the sanctions will largely depend on whether the US is prepared to enforce them against China, Iran’s largest oil customer. Despite the tougher rhetoric, WTI crude fell 2.4% to US\$85.01/bbl, suggesting markets believe Iran may ultimately yield to mounting economic pressure.
- Trade tensions also remain elevated between the US and Canada, with President Trump stating that a 50% tariff on Canadian automobiles and auto parts will take effect from January. Separately, reports suggest the US is preparing to impose an additional 7.5% tariff on Chinese goods over concerns about excess manufacturing capacity ahead of next month’s Trump-Xi summit. The move reinforces concerns that trade policy uncertainty will be a headwind for growth.
- Risk sentiment weakened overnight amid escalating geopolitical tensions and renewed pressure on semiconductor stocks ahead of Nvidia’s earnings release later this week. Technology shares led declines, with Nvidia, Seagate, Sandisk and Micron among the biggest losers. An ETF tracking memory-chip producers fell 5.9% on the day. The Nasdaq lost 0.8%, while the S&P 500 fell 0.3%. The Dow Jones outperformed, rising 0.3%.
- European equities were mixed in subdued trading as investors awaited further details on the US sanctions package. The Euro Stoxx 50 fell 0.2%, Germany’s DAX declined 0.2%, and France’s CAC lost 0.4%, while the FTSE 100 rose 0.3%. Asian markets were also mixed, with the Hang Seng down 1.9% and the Nikkei falling 0.7%. Locally, the S&P/ASX 200 gained 0.5% to 9,103. Equity futures were little changed, up 0.1% to 9,055.
- Bond markets were mixed overnight. Treasuries found support after reports that the US Treasury could use part of its cash balance to buy back higher-yielding legacy securities in an effort to ease borrowing costs. However, yields ultimately moved little, with the 10-year Treasury yield down 4bps to 4.70%, while the 2-year yield was unchanged at 4.23%. Traders are now pricing around 27bps of rate hikes by the end of 2026 and almost 50bps of hikes by the end of 2027.

Today’s key data and events

Time	Event	Exp	Prev
11:30	AU RBA Minutes	-	-
23:00	US FHFA House Prices Jun	0.2%	0.3%
23:00	US S&P/CS Home Price Index Jun	0.1%	0.1%
-	US Building Permits Jul Final	-	5.0%
0:00	US Richmond Fed Manufacturing Aug	6.5pts	5pts
0:00	US New Home Sales Jul	-1.3%	1.6%
0:00	US Consumer Confidence Aug	90.2pts	90.8pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Australian bond markets firmed, with yields moving lower across the curve. The 3-year government bond yield fell 3bps to 4.53%, while the 10-year yield declined 4bps to 5.02%. Futures also firmed overnight, with the 3-year futures yield up 2bps to 4.55%, while the 10-year futures yield remained unchanged at 5.02%. OIS pricing continues to imply a cash rate of around 4.50% by year-end, with the market flirting with the idea of another hike this year.
- In foreign exchange markets, the US dollar edged higher, with the DXY rising 0.2% to 98.99. The Australian dollar eased 0.3% to US\$0.7150, while also weakening against the yen, sterling, euro, yuan, Hong Kong dollar and Singapore dollar. The Australian dollar was broadly unchanged against the New Zealand dollar and strengthened 0.4% against the Canadian dollar.
- Commodity markets were mixed. The CRB Index fell 0.8%, driven largely by the 2.4% decline in oil prices. Gold rose 1.1% and copper gained 0.4%, reflecting ongoing geopolitical uncertainty, while iron ore climbed 1.8% to US\$97.90/t. Coking coal rose 0.6% and thermal coal increased 0.9%. ACCU prices fell 4.3%.

International Data

The **Chicago Fed National Activity Index**, a weighted average of 85 other monthly indicators, has been volatile lately, oscillating between above-trend and below-trend growth readings in recent months. The latest release for July reported a reading of -0.08, suggesting that after growing broadly in line with trend in Q2, the US economy started losing momentum again this quarter. A decline in the personal consumption and housing category led the way down, but the production indicator, alongside the sales, orders and inventories gauge, was also weaker. The labour market improved, but remained a touch below trend.



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Cliff Notes: a cautious turn

[#cliffnotes](#)[#rba](#)[#australia](#)[#inflation](#)[#us](#)[#fomc](#)[#ecb](#)[#aud](#)[#usd](#)

By [Elliot Clarke](#)

Head of International Economics, Westpac

10:43 August 14 2026

Share

Key insights from the week that was.



This week the RBA took centre stage in Australia deciding unanimously to keep the cash rate unchanged for a second consecutive meeting. As detailed by [Chief Economist Luci Ellis](#), the accompanying statement highlighted that the MPB is prepared to increase the cash rate from here, *if upside risks to inflation materialise*. This is more specific and narrower language than in May, when it

stated that the cash rate would be increased “if needed”.

Headline and trimmed mean inflation have both come in lower than the RBA expected in May, and the labour market and housing market are both weaker than it anticipated. These outcomes have strengthened their assessment that monetary policy is somewhat restrictive, likely sufficiently so to bring inflation ^{below} the target range mid-point by 2028. Inflation risks are still regarded as skewed to the upside, however, and the labour market tight. So, we expect the RBA's communications to maintain a hawkish tone while they remain on hold through late-2026 and early-2027. By August 2027 though, we believe a period of below-trend growth, an unemployment rate above the full employment level and a trend deceleration in annual inflation will be enough to warrant the first of three 25bp rate cuts, to be followed up in November 2027 and February 2028. Until this relief is given, the consumer is likely to remain cautious on spending and housing, topics assessed in depth in our latest Red Book.

On the data front, the July NAB business survey captured businesses' reaction to the breakdown of the US/Iran Memorandum of Understanding and the brief spike in Brent oil above USD100 per barrel. Business conditions continued to show resilience (+1pt to 4), but confidence remained sub-par, registering a second-consecutive reading of -6 – 11pts below its long-run average and within the bottom 10% of outcomes recorded since 1997. Input cost increases are materially affecting business profitability, particularly in sectors where weak and/or fragile demand is limiting the ability of firms to pass costs on. The survey's gauge of profitability remained only modestly below its long-run average, and the employment index in line. That said, forward orders showed a 3pt decline in July to -3 highlights a need to monitor risks closely.

Offshore, US inflation data was in focus. Again, it proved benign, headline prices rising 0.1% and 0.2% excluding food and energy. While annual headline inflation is still a multiple of the FOMC's 2.0%yr target (3.4%yr in July), core inflation has moderated all the way back to 2.5%yr. And recent monthly outcomes suggest further progress is in train. Since December 2025, core goods prices have essentially been flat. Core services inflation has meanwhile averaged 0.3% per month over the period with an outsized contribution from shelter. Indeed, 6-month annualised inflation excluding food, energy ^{and shelter} was just 1.6% in July compared to 2.4% for the traditional ex food and energy measure. There is little the FOMC can do about shelter inflation in the short to medium-term, and inflation across the rest of the basket is clearly not suggesting a hike(s) is necessary now or in coming months.

Last Friday's nonfarm payrolls report also argues in favour of restraint by the FOMC, the employment gauge surprising to the downside in July (-23k) following a -103k revision to the prior two months. Household survey employment was weaker still, with 87k fewer people reporting they are employed in the month, continuing the trend of the past 6 months (an average monthly decline of 153k). Declining participation continues to mask the deterioration in household employment. Had participation not fallen 1.2ppts since January 2025, the unemployment rate would be through 5.0%. Average hourly earnings are increasingly reflecting labour market slack, rising just 0.1% in the month, slowing the annual pace to 3.2%.

All told, we expect the US economy to continue to show resilience, growing around trend in 2026–28. But the household sector is set to remain under considerable pressure, with excess capacity likely to

build in the labour market and the ability to unlock housing wealth constrained by borrowing costs and uncertainty. A complete update of our global analysis and forecasts will be made available in our August Market Outlook today on [Westpac IQ](#).

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Hike odds have risen, but not odds-on

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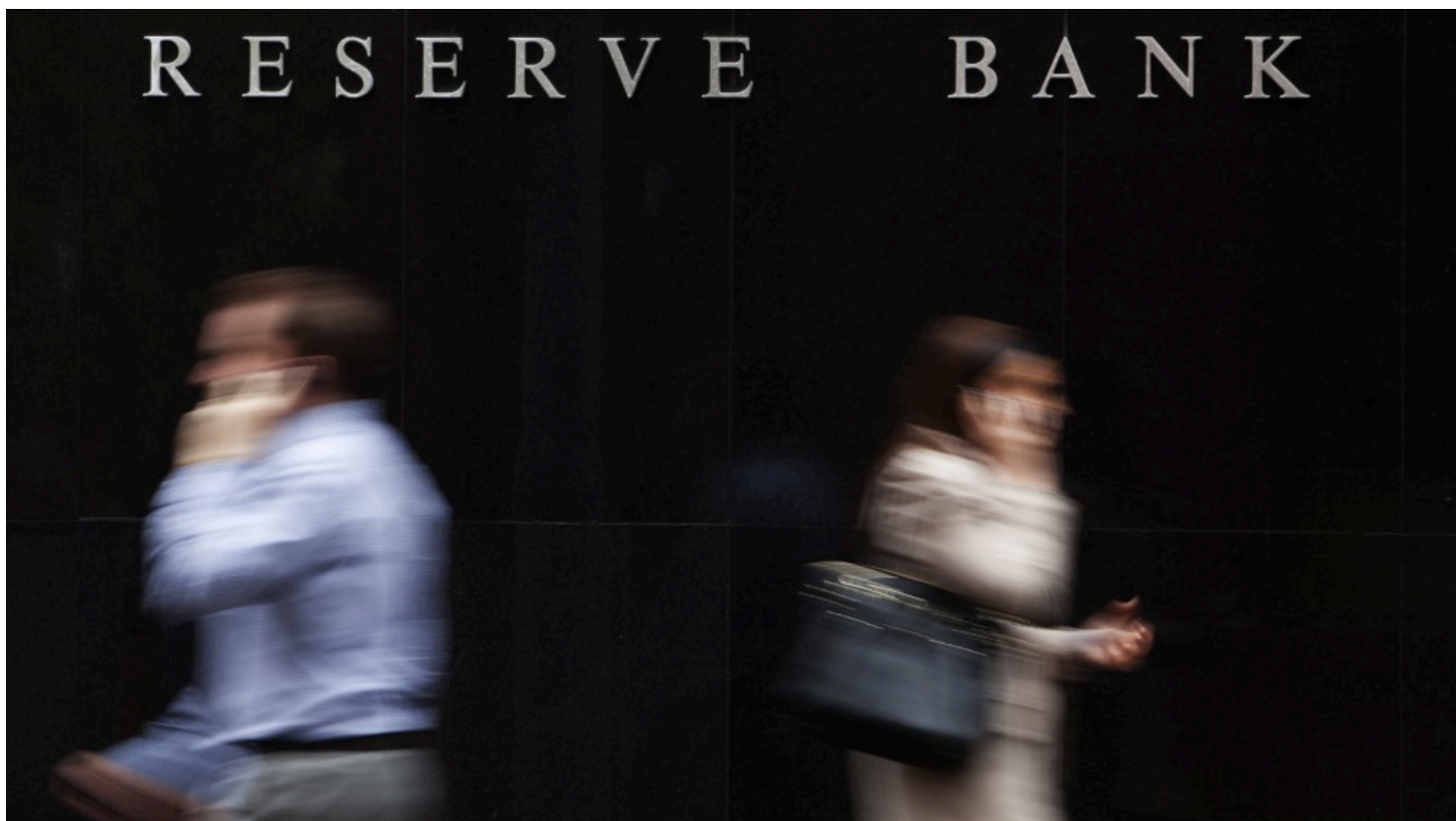
By Luci Ellis

Chief Economist Westpac Group, Westpac

11:51 August 28 2026

Share

Higher July CPI raises risk of November hike, but is not enough to lock one in.



- When we last updated our rates view on 29 July, we said that the risk of a rate hike in November could not be ruled out, but it was no longer the base case.

- **The strong July monthly CPI does raise the chance of an RBA hike in November.** But we do not think this one data point is enough to rush all the way to the other side of boat and lock in a hike. The RBA has emphasised that the monthly data are noisy, and their short history means seasonal patterns are unclear. The new financial year is a time when many businesses re-price, with subsequent months more moderate. This has been a pattern in the data in the past and might be again this year.
- **Recall also that the earlier data flow broke the other way.** Labour market and wages data, as well as the Q2 CPI were all softer than RBA had been forecasting. Consumer spending has been more resilient recently, but we do not think the RBA will read “not outright contracting” as a sign of upside inflation risks crystallising.
- Our earlier expectations for near-term hikes centred on concerns about outsized pass-through of higher fuel costs. Risks from this source have faded. If the RBA does raise the cash rate in the near term, it would more of an insurance hike, reflecting unease about a slow pace of return of inflation to target.
- **The timing of the September meeting is awkward for policymakers considering an early hike.** The August CPI is released the following day. If it surprises on the downside or is simply moderate, the Monetary Policy Board (MPB) could look premature if it hiked the day before. (For anyone wondering, the RBA does *not* receive CPI data ahead of the market. A small number of ministerial staffers get an embargoed release a couple of hours early, but not the RBA.)
- **For this reason, a November hike is more plausible than September.** In our view, November timing would still require confirmation from the intervening data.
- **Whatever the next few meetings bring, split decisions are a distinct possibility.** If the minutes are any guide, some MPB members seem to be leaning towards the idea of pre-emptive hikes as insurance against future price spikes. The post-Review personnel changes have added a more academic – and potentially more activist – perspective to the MPB. Its proponents could be less inclined to wait out monetary policy’s transmission lags when inflation is half a percentage point above the target range.
- But other members are likely to differ from the staff about the level and trend growth in supply capacity, particularly labour supply (see this note from Ryan Wells in May for more background). A September hike would certainly involve dissents. Depending on Q3 inflation and the rest of the data flow between now and then, a November hike could easily involve a split vote as well.
- **Bottom line: there are near-future states of the world which will lead us to change our call and expect a hike in November.** As we said at the time of the August MPB meeting, we believe that investors should allow for some risk of a hike later this year. But one monthly CPI print is not enough evidence to price in a hike fully. We will be particularly attentive to the labour market and national accounts in coming weeks, as well as the August CPI.

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25 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment softened overnight as geopolitical tensions escalated, with the US unveiling its “economic D-Day” sanctions campaign against Iran while trade tensions with Canada remained elevated. Semiconductor stocks also came under pressure ahead of Nvidia’s earnings.

Equity markets weakened, led by technology shares. Major US indices closed lower, while an ETF tracking memory-chip producers slumped 5.9%. European markets were mixed.

Bond markets firmed, with US Treasuries rallying after reports the Treasury could use cash stockpile to buy back higher-yielding bonds. The US 10-year Treasury yield fell 4bps to 4.70%.

The Aussie declined 0.3% to US\$0.7150, ahead of the release of the RBA Minutes later today. Commodity markets were mixed, with gains in gold and copper offset by declines in oil prices and broader commodity indices.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	0.3%
AUD/USD	0.7164	0.8%
AUD/JPY	113.89	0.7%
AUD/GBP	0.5255	0.7%
AUD/NZD	1.1990	0.2%
AUD/EUR	0.6135	0.7%
AUD/CNH	4.8142	0.6%
AUD/SGD	0.9092	0.6%
AUD/HKD	5.6171	0.8%
AUD/CAD	0.9887	0.6%
EUR/USD	1.1677	0.0%
USD/JPY	159.01	-0.1%
USD Index	98.80	-0.1%

Equities	Close	Change
S&P/ASX 200	9,059	-0.3%
S&P 500	7,674	0.4%
Japan Nikkei	66,016	-0.3%
Hang Seng	26,009	1.2%
Euro Stoxx 50	6,462	0.6%
UK FTSE100	10,817	0.6%
VIX Index	15.13	-5.5%

Commodities	Current	Change
CRB Index	406.24	0.7%
Gold	4603.07	1.9%
Copper	14216	1.3%
Oil (WTI futures)	87.06	0.3%
Coal (coking)	233.00	1.7%
Coal (thermal)	139.75	1.0%
Iron Ore	96.45	0.1%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	-0.01
180 day BBSY	4.83	-0.01
1 year swap	4.59	0.00
2 year swap	4.57	0.01
3 year swap	4.56	0.01
4 year swap	4.58	0.01
5 year swap	4.62	0.01
6 year swap	4.67	0.01
7 year swap	4.73	0.00
8 year swap	4.79	0.01
9 year swap	4.84	0.01
10 year swap	4.90	0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.57	0.04
10 year bond	5.06	0.05
United States		
3-month T Bill	3.71	0.00
2 year bond	4.24	0.05
10 year bond	4.73	0.03
Other (10 year yields)		
Germany	3.26	0.00
Japan	2.89	0.03
UK	5.06	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	-0.01
3 yr bond	4.56	0.00
3 mth bill rate	4.50	0.01
SPI 200	9,028	0.5%



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Financial Markets

- The US announced a fresh round of sanctions against Iran, dubbed the “economic D-Day” campaign by President Trump. The measures target more than 70 entities linked to Iran and threaten action against countries that continue doing business with Tehran. The effectiveness of the sanctions will largely depend on whether the US is prepared to enforce them against China, Iran’s largest oil customer. Despite the tougher rhetoric, WTI crude fell 2.4% to US\$85.01/bbl, suggesting markets believe Iran may ultimately yield to mounting economic pressure.
- Trade tensions also remain elevated between the US and Canada, with President Trump stating that a 50% tariff on Canadian automobiles and auto parts will take effect from January. Separately, reports suggest the US is preparing to impose an additional 7.5% tariff on Chinese goods over concerns about excess manufacturing capacity ahead of next month’s Trump-Xi summit. The move reinforces concerns that trade policy uncertainty will be a headwind for growth.
- Risk sentiment weakened overnight amid escalating geopolitical tensions and renewed pressure on semiconductor stocks ahead of Nvidia’s earnings release later this week. Technology shares led declines, with Nvidia, Seagate, Sandisk and Micron among the biggest losers. An ETF tracking memory-chip producers fell 5.9% on the day. The Nasdaq lost 0.8%, while the S&P 500 fell 0.3%. The Dow Jones outperformed, rising 0.3%.
- European equities were mixed in subdued trading as investors awaited further details on the US sanctions package. The Euro Stoxx 50 fell 0.2%, Germany’s DAX declined 0.2%, and France’s CAC lost 0.4%, while the FTSE 100 rose 0.3%. Asian markets were also mixed, with the Hang Seng down 1.9% and the Nikkei falling 0.7%. Locally, the S&P/ASX 200 gained 0.5% to 9,103. Equity futures were little changed, up 0.1% to 9,055.
- Bond markets were mixed overnight. Treasuries found support after reports that the US Treasury could use part of its cash balance to buy back higher-yielding legacy securities in an effort to ease borrowing costs. However, yields ultimately moved little, with the 10-year Treasury yield down 4bps to 4.70%, while the 2-year yield was unchanged at 4.23%. Traders are now pricing around 27bps of rate hikes by the end of 2026 and almost 50bps of hikes by the end of 2027.

Today’s key data and events

Time	Event	Exp	Prev
11:30	AU RBA Minutes	-	-
23:00	US FHFA House Prices Jun	0.2%	0.3%
23:00	US S&P/CS Home Price Index Jun	0.1%	0.1%
-	US Building Permits Jul Final	-	5.0%
0:00	US Richmond Fed Manufacturing Aug	6.5pts	5pts
0:00	US New Home Sales Jul	-1.3%	1.6%
0:00	US Consumer Confidence Aug	90.2pts	90.8pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Australian bond markets firmed, with yields moving lower across the curve. The 3-year government bond yield fell 3bps to 4.53%, while the 10-year yield declined 4bps to 5.02%. Futures also firmed overnight, with the 3-year futures yield up 2bps to 4.55%, while the 10-year futures yield remained unchanged at 5.02%. OIS pricing continues to imply a cash rate of around 4.50% by year-end, with the market flirting with the idea of another hike this year.
- In foreign exchange markets, the US dollar edged higher, with the DXY rising 0.2% to 98.99. The Australian dollar eased 0.3% to US\$0.7150, while also weakening against the yen, sterling, euro, yuan, Hong Kong dollar and Singapore dollar. The Australian dollar was broadly unchanged against the New Zealand dollar and strengthened 0.4% against the Canadian dollar.
- Commodity markets were mixed. The CRB Index fell 0.8%, driven largely by the 2.4% decline in oil prices. Gold rose 1.1% and copper gained 0.4%, reflecting ongoing geopolitical uncertainty, while iron ore climbed 1.8% to US\$97.90/t. Coking coal rose 0.6% and thermal coal increased 0.9%. ACCU prices fell 4.3%.

International Data

The **Chicago Fed National Activity Index**, a weighted average of 85 other monthly indicators, has been volatile lately, oscillating between above-trend and below-trend growth readings in recent months. The latest release for July reported a reading of -0.08, suggesting that after growing broadly in line with trend in Q2, the US economy started losing momentum again this quarter. A decline in the personal consumption and housing category led the way down, but the production indicator, alongside the sales, orders and inventories gauge, was also weaker. The labour market improved, but remained a touch below trend.



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Data centres and renewables plug the widening public infrastructure gap

#australia

#construction



By Pat Bustamante

Senior Economist, Westpac

14:51 August 26 2026

 Share

Construction activity declined 2.1%qtr in Q2 2026. Outside of mining-related volatility, activity remained solid, driven by residential building (+1.7%qtr), private non-residential building (+2.3%qtr, includes data centres) and electricity related construction (+7.5%qtr in nominal terms).

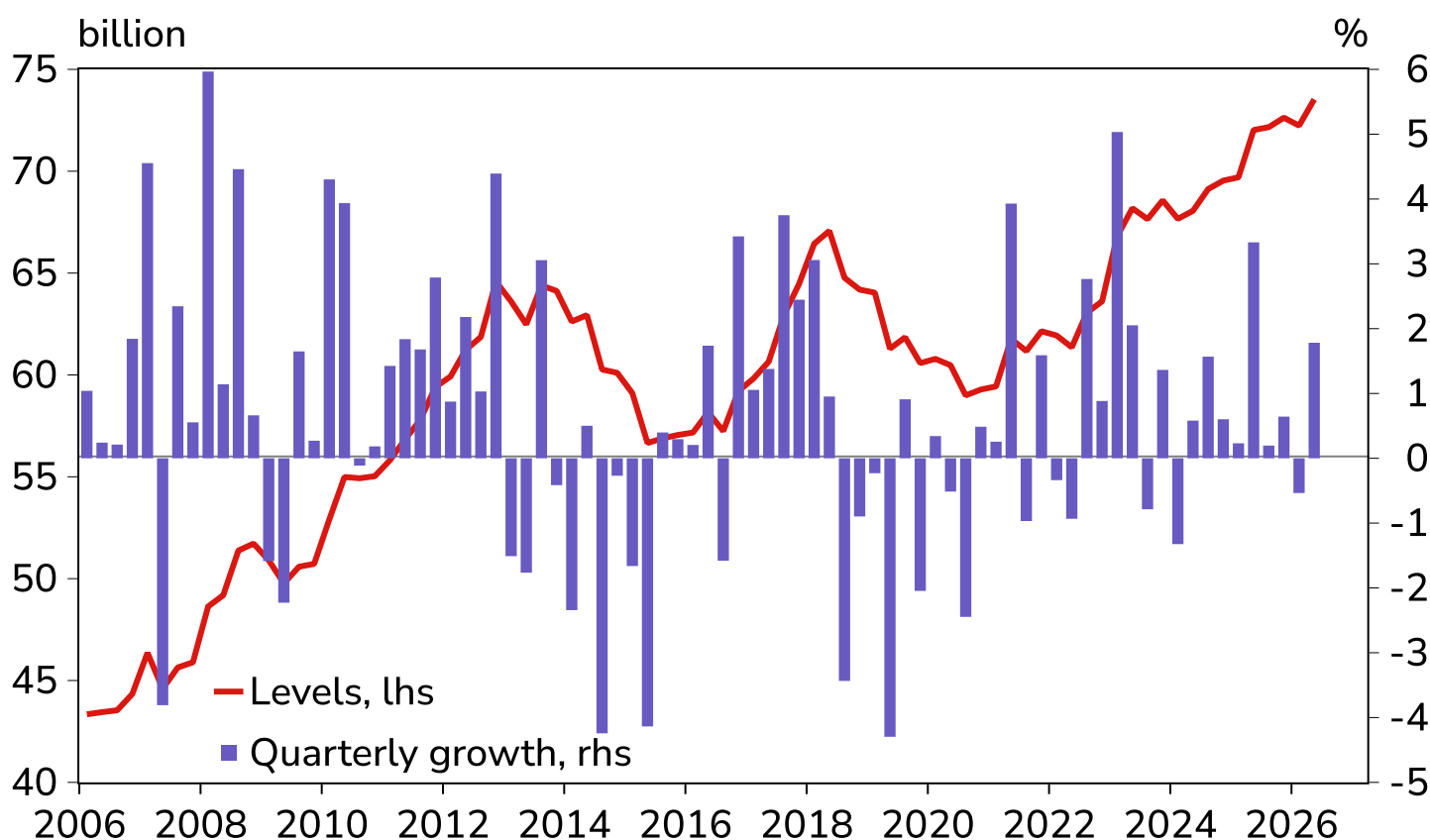


Construction activity declined 2.1%qtr in Q2 2026 to be 2.7% higher in year-ended terms. This was not far off the 1.0%qtr fall expected by Westpac Economics, but considerably weaker than the +0.4% growth expected by the market consensus. The weakness in the aggregate number was driven by the unwind of a mining related spike (related to the installation of a floating production unit for the Scarborough Energy Project in WA), which in turn was driven by the ABS' practice in this measure of recognising installed imported structures on a cash basis.

Outside of this, activity was solid, rising an estimated 1.6%qtr on the back of a 1.7%.qtr pickup in residential building and a 2.3%qtr lift in private non-residential building activity. Residential building is up 9.1% in year-ended terms – the strongest outcome in a decade (June quarter 2016). Supporting this residential activity, we saw the number of dwellings under construction lift 10.7% over the year to Q1, with the recent run of approvals suggesting smaller gains going forward. Public infrastructure work declined for a third consecutive quarter, down 2.1%qtr and 3.9%yr, consistent with our view that the infrastructure pipeline has passed its peak.

Underlying construction work done

Excludes WA Engineering construction. Chain Volume, \$bn.



Source: ABS, Macrobond, Westpac Economics

What does this mean for the National Accounts?

Today's release is the first of a set of partials which will feed into next week's June quarter 2026 National Accounts. While the headline numbers suggest downside risks for the Q2 GDP outcome, this is not the case - if anything, today's numbers alone point to stronger growth in residential and new buildings activity over the quarter.

Today's construction work data is recorded on a value of work done/installed basis. This means capital expenditure on machinery, equipment and structures is allocated to the quarter in which the capital items are ready for use. However, the National Accounts are measured on an accrual basis using 'progress payments', meaning the value of the investment is recorded incrementally as the project progresses not just when the project is complete.

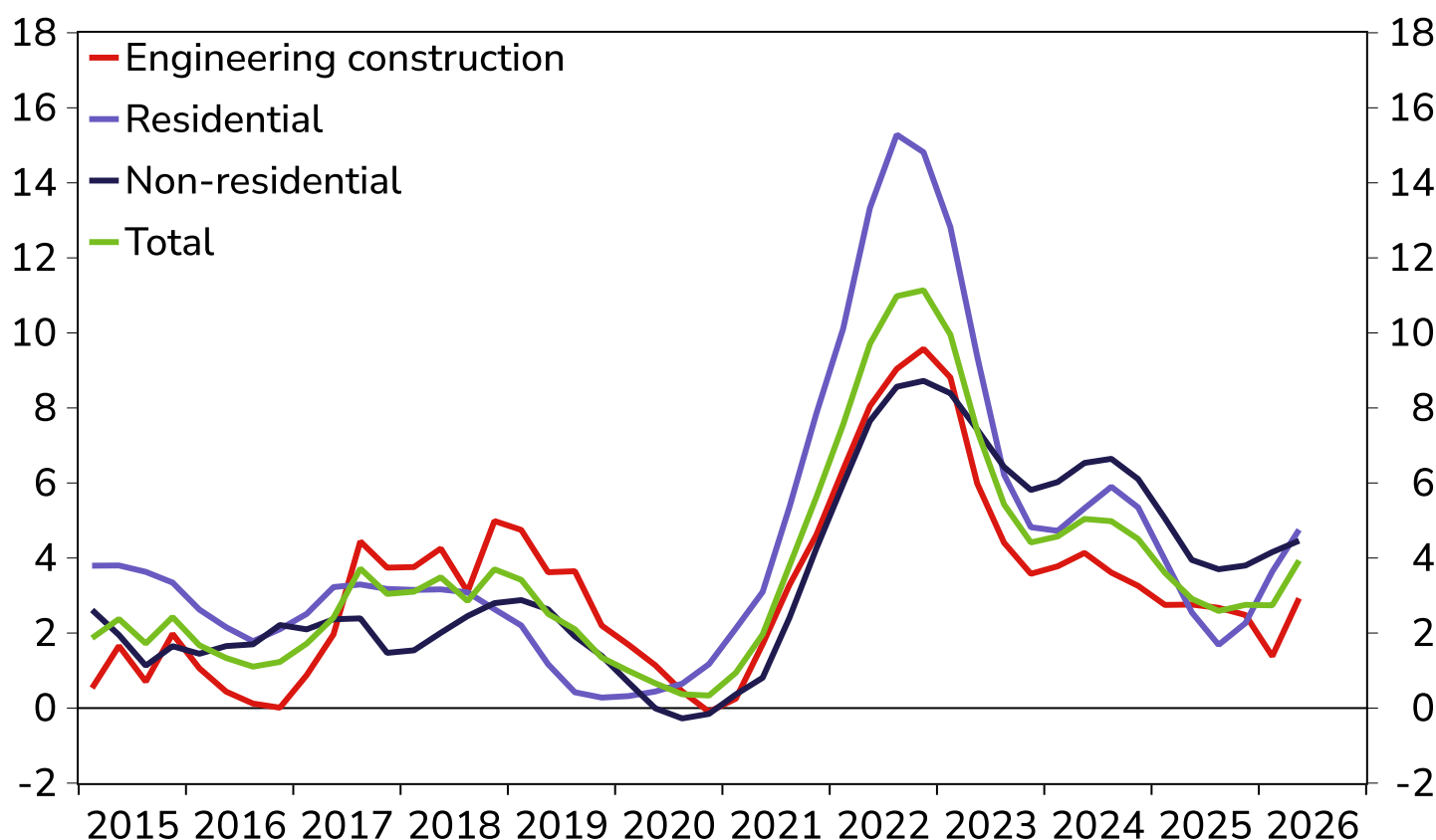
What about inflationary pressures and the impact of the data centre boom?

The spike in construction costs during the pandemic was largely synchronised across dwellings, non-residential buildings and engineering construction. Today, however, cost pressures differ as demand profiles across these segments diverge.

While rebounding in the quarter, possibly on the back of the large pick-up in new electricity generation and distribution work, engineering construction costs have been moderating as major public infrastructure programs wind down. In contrast, dwelling construction costs are accelerating as activity in this segment picks up. Non-residential building costs appear to be going sideways, rather than significantly reaccelerating, with strength in private investment, including data centres, offset by a slowdown in public projects.

Cost pressures firm

Year-ended % change



Source: ABS, Macrobond, Westpac Economics

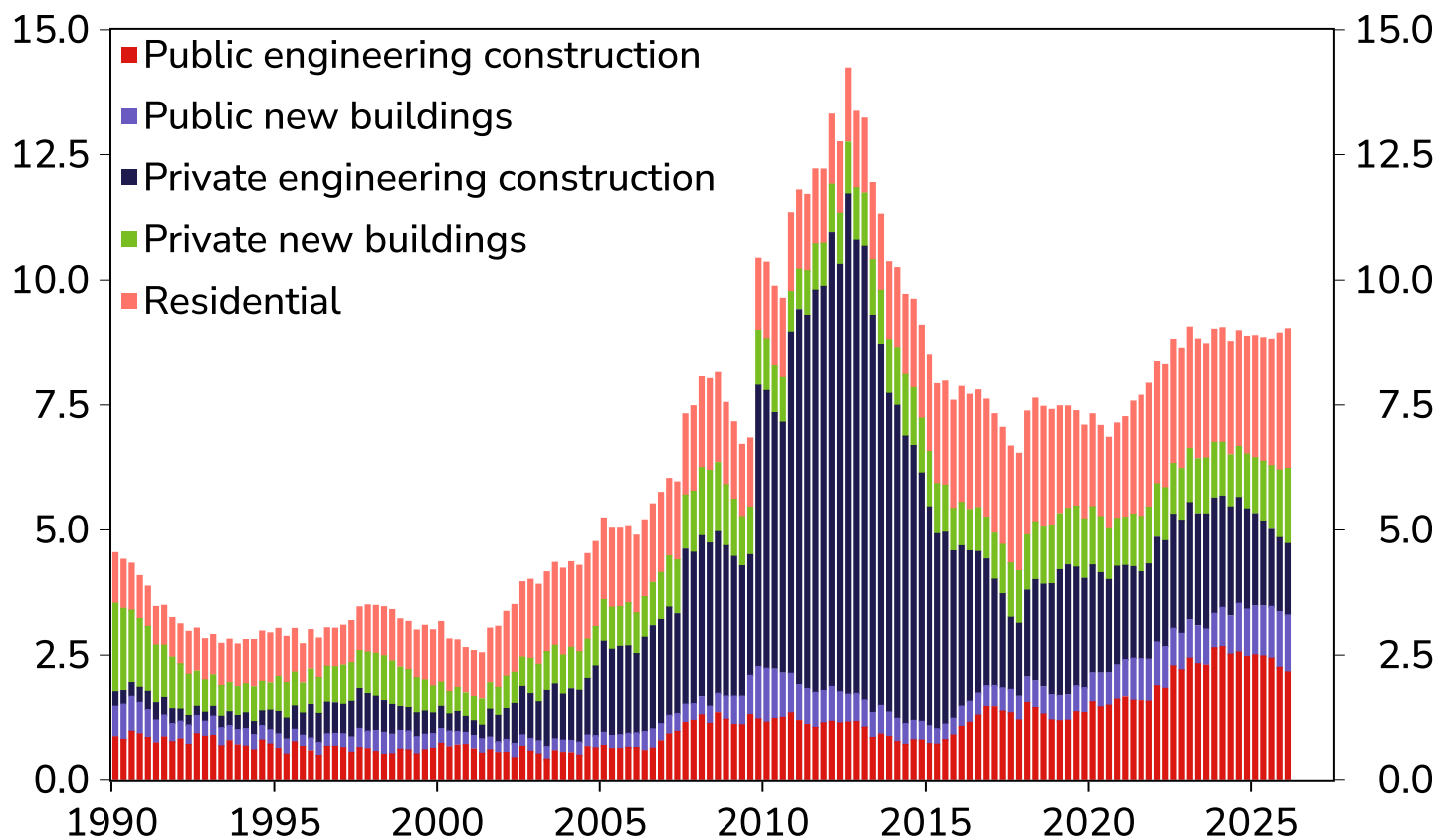
At 3.9%yr, aggregate construction cost growth is toward the upper end of what was recorded over 2018-19. This raises questions about whether the strong demand in pockets like data centre investment are contributing to broader inflationary pressures. For now, there is limited evidence of this

happening. However, construction cost deflators continue to firm in year-ended terms, suggesting that the disinflation anticipated by the RBA may take longer to materialise.

How this plays out going forward depends on how much the roll-off in public construction activity makes room for the pickup in private non-residential building work, particularly data centres, and private engineering construction associated with the renewable energy transition. Data on work yet to be done suggest this handover will keep the pipeline balanced: despite the substantial increase in approved data centre projects, the value of total construction work yet to be done has remained broadly stable as a share of nominal GDP.

Construction pipeline remains stable

Work yet to be done, % of GDP



Source: ABS, Macrobond, Westpac Economics

The detail

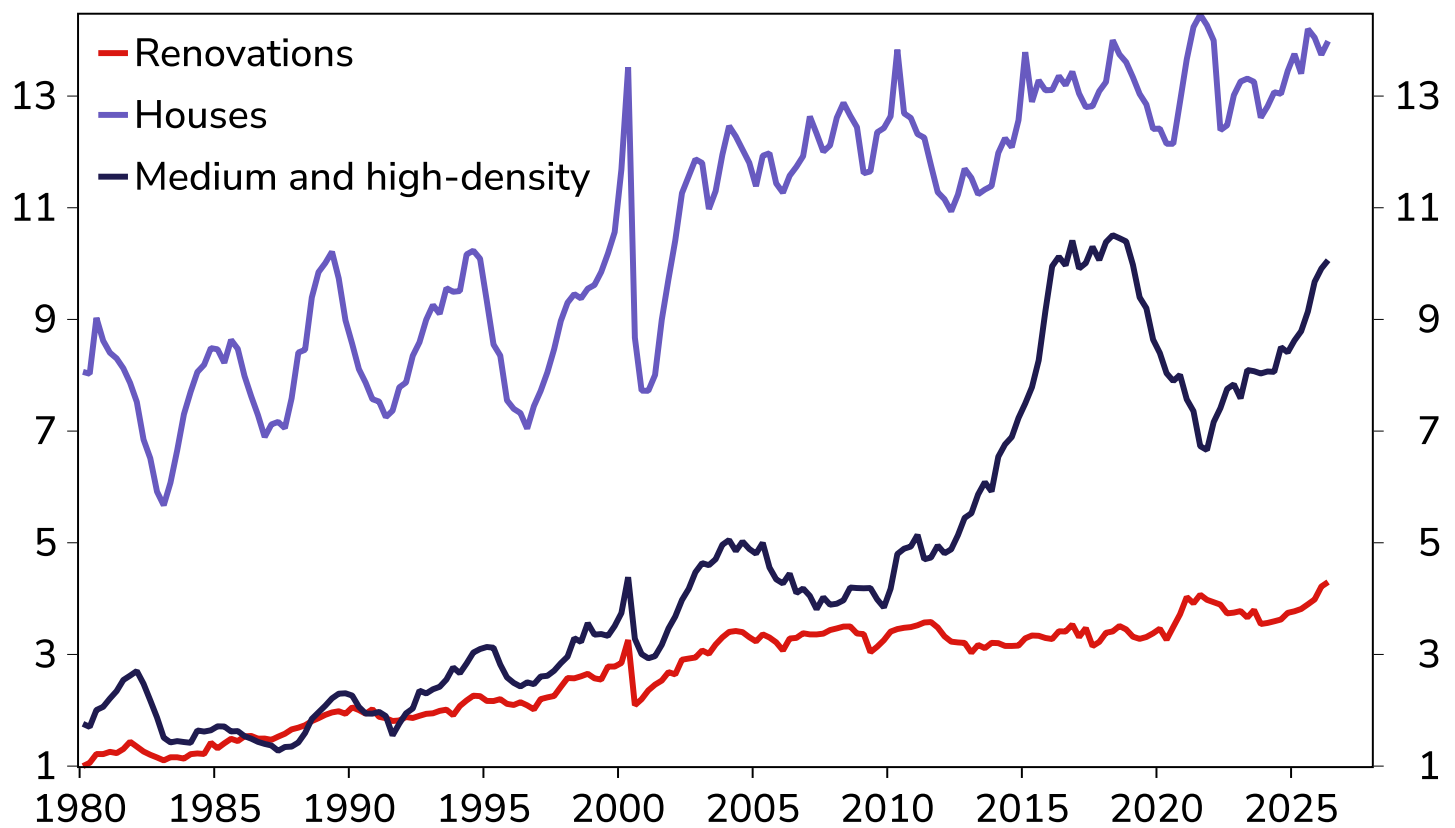
Residential construction outperformed, recording a 1.7%qtr increase in Q2, following an upwardly revised 0.6%qtr rise in Q1 2026 (previously estimated as a 0.6% fall). Growth was driven by a 1.7%qtr increase in new residential construction and a 2.0%qtr lift in renovation activity.

In year-ended terms, residential construction is up 9.1%yr, the strongest growth rate since the June quarter of 2016. This suggests the sector is responding to growing demand by expanding output, despite a prolonged period of elevated interest rates and ongoing cost pressures.

The strength in residential construction suggests supply is finally responding to Australia's housing shortage. However, with approvals easing and demand expected to moderate, the current pace of expansion may prove difficult to sustain, particularly given rising construction costs.

Residential construction continues to lift

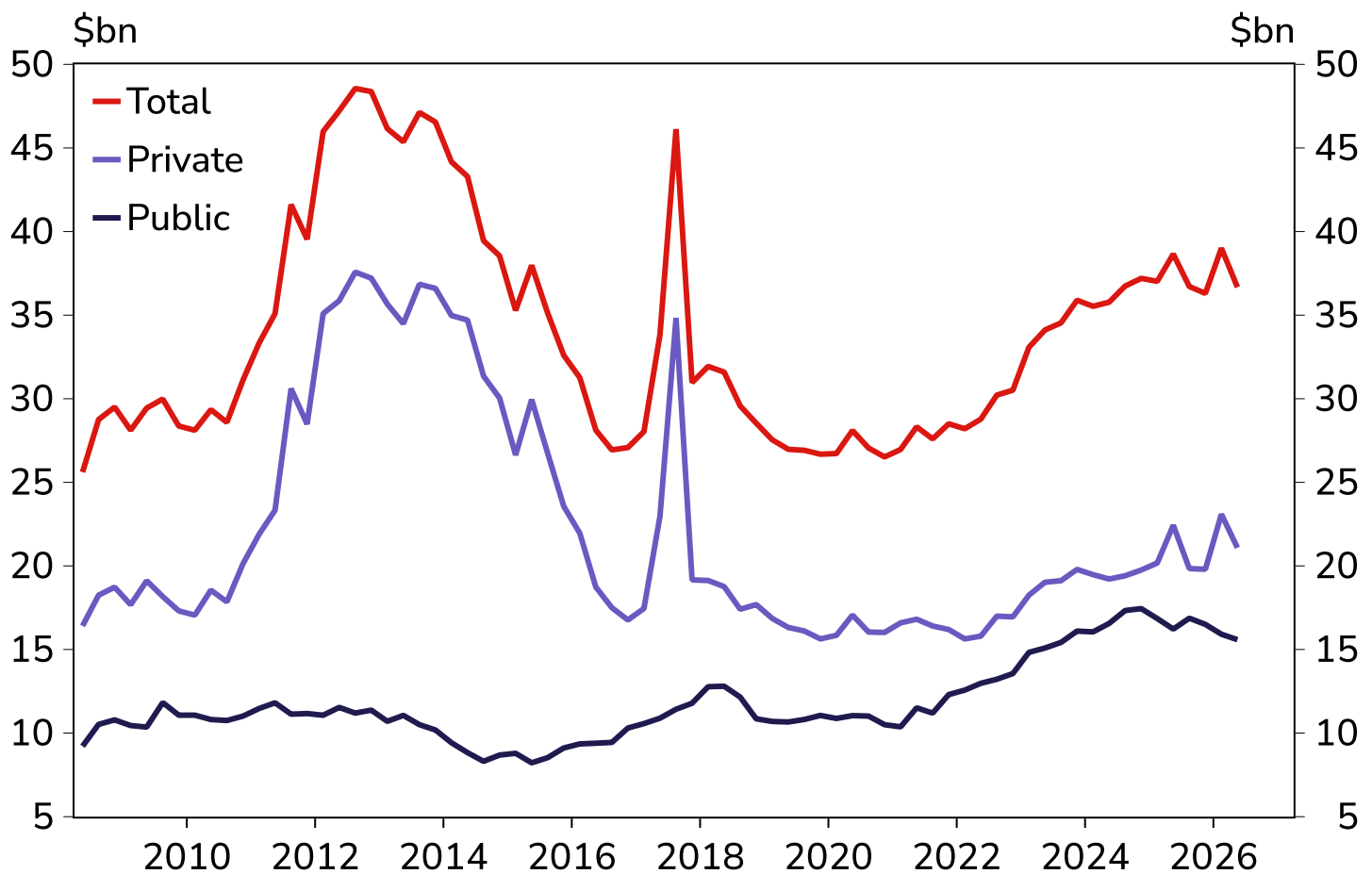
Chain Volume, \$bn



Source: ABS, Macrobond, Westpac Economics

Engineering construction (EC) declined 6.0%qtr in Q2 2026, leaving activity 5.1% lower in year-ended terms. However, this weakness largely reflected the unwind of a mining-related spike. Excluding this volatility, engineering construction grew a healthy 2.0%qtr in the quarter.

Public infrastructure continues to slide



Source: ABS, Macrobond, Westpac Economics

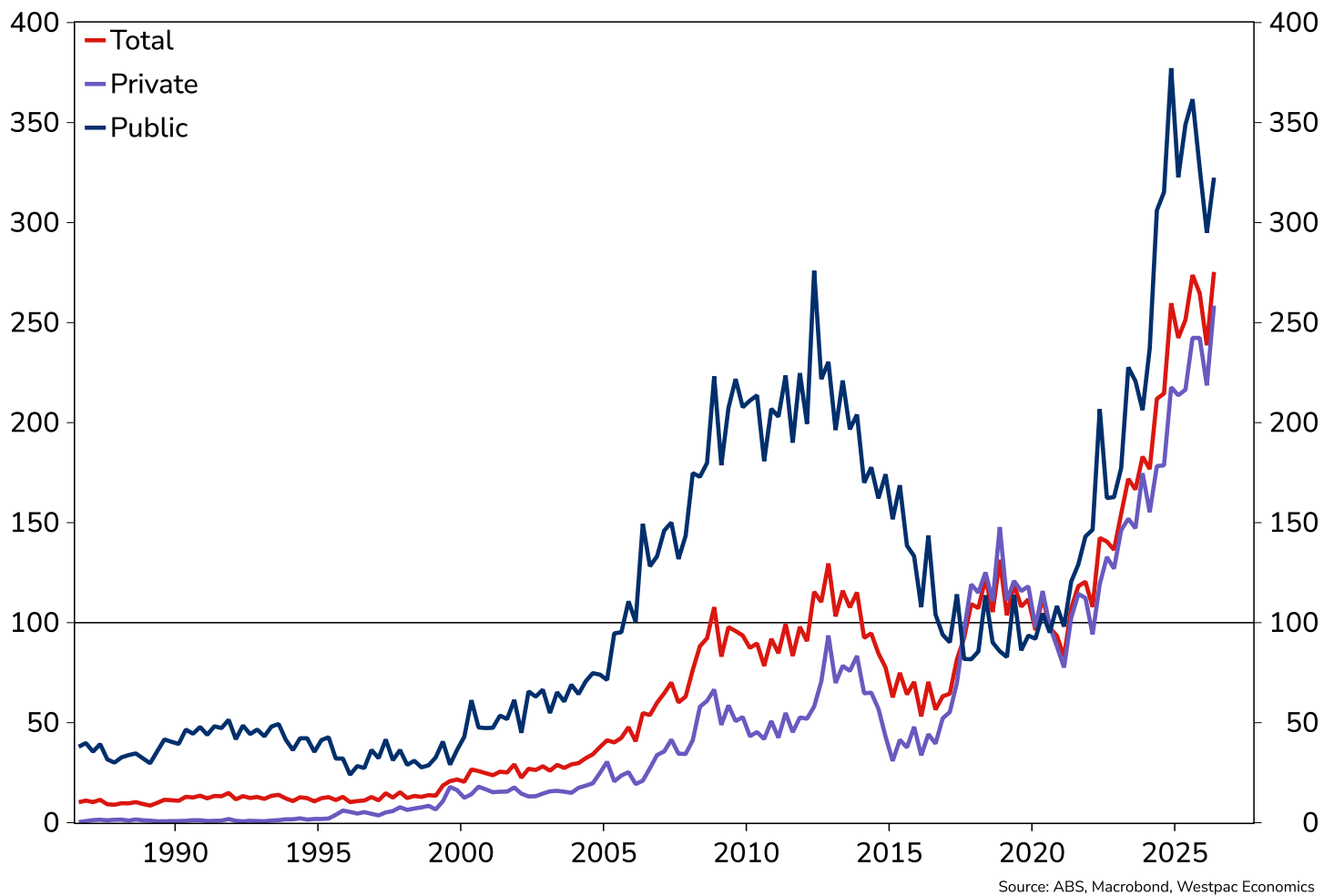
As foreshadowed in this month's *Market Outlook*, the public infrastructure pipeline appears to have passed its peak as major transport projects across Australia's east coast, particularly in NSW and Victoria, are completed. Consistent with this, public engineering work fell a further 2.1%qtr in Q2 and is now almost 4.0% lower than a year ago.

In contrast, private engineering construction remains robust. After adjusting for mining-related volatility, private EC work grew almost 6.0%qtr in Q2. The value of private work on electricity generation and distribution, which is largely driven by renewable energy projects such as wind and solar developments, increased by around 7.5qtr.

Looking ahead, the private engineering construction pipeline remains supported by structural investment themes, particularly the energy transition and the nationwide roll-out of data centres. However, constraints around utility provision, grid connections and supporting infrastructure pose a key risk to the timely delivery of these projects.

Electricity generation work done, by sector

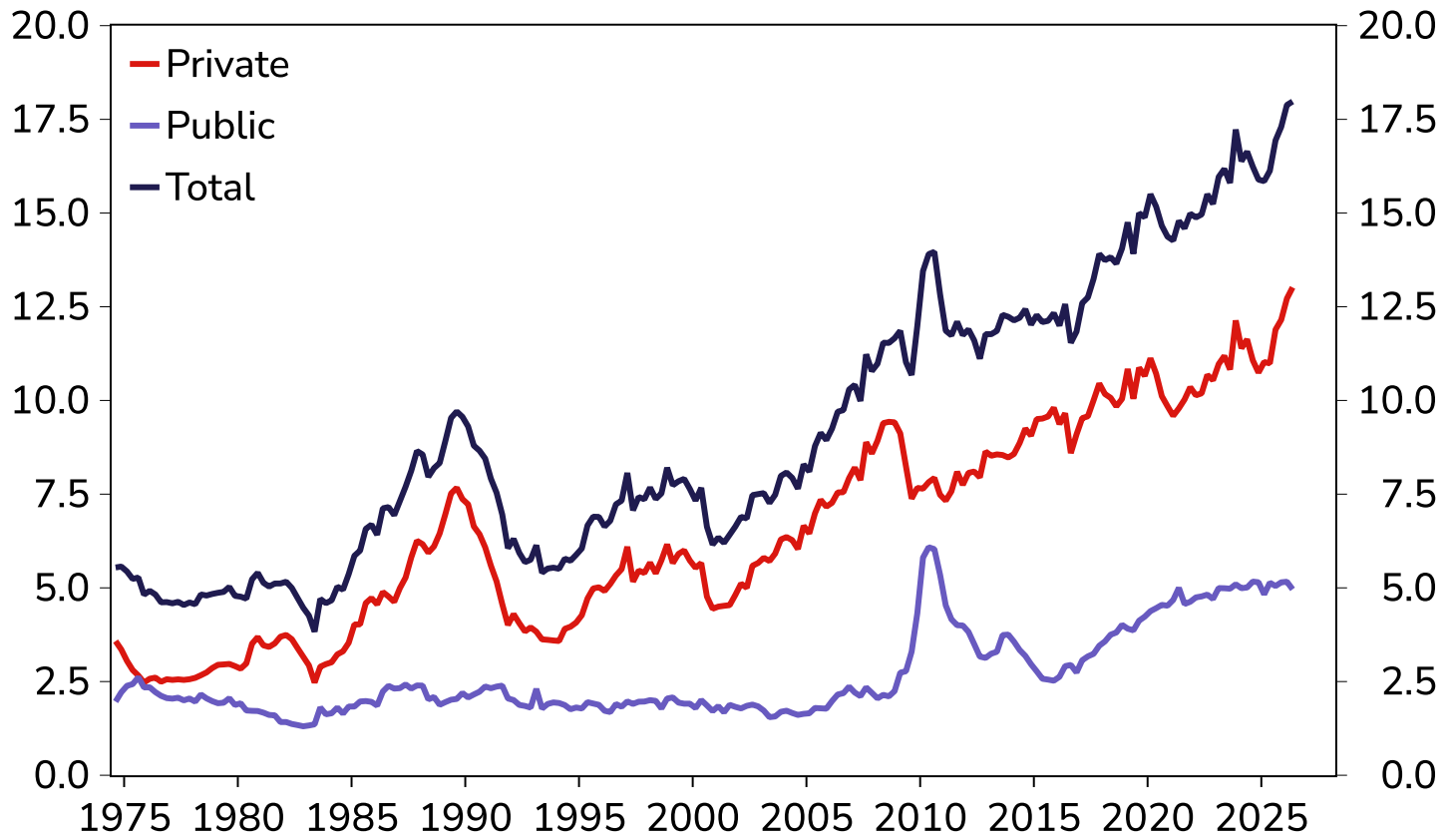
Index 2020 = 100



Non-residential building construction increased 0.5%qtr in Q2 2026, leaving activity 11.5% higher over the year. Strength in the private sector, up 2.3%qtr and 18.4%yr, more than offset a 3.9%qtr decline in public activity. Private non-residential construction is now running at its strongest level since early 2008, supported by the need to accommodate a larger population and the ongoing data centre build-out.

Non-Residential Construction Work Done

Chain Volume, \$bn

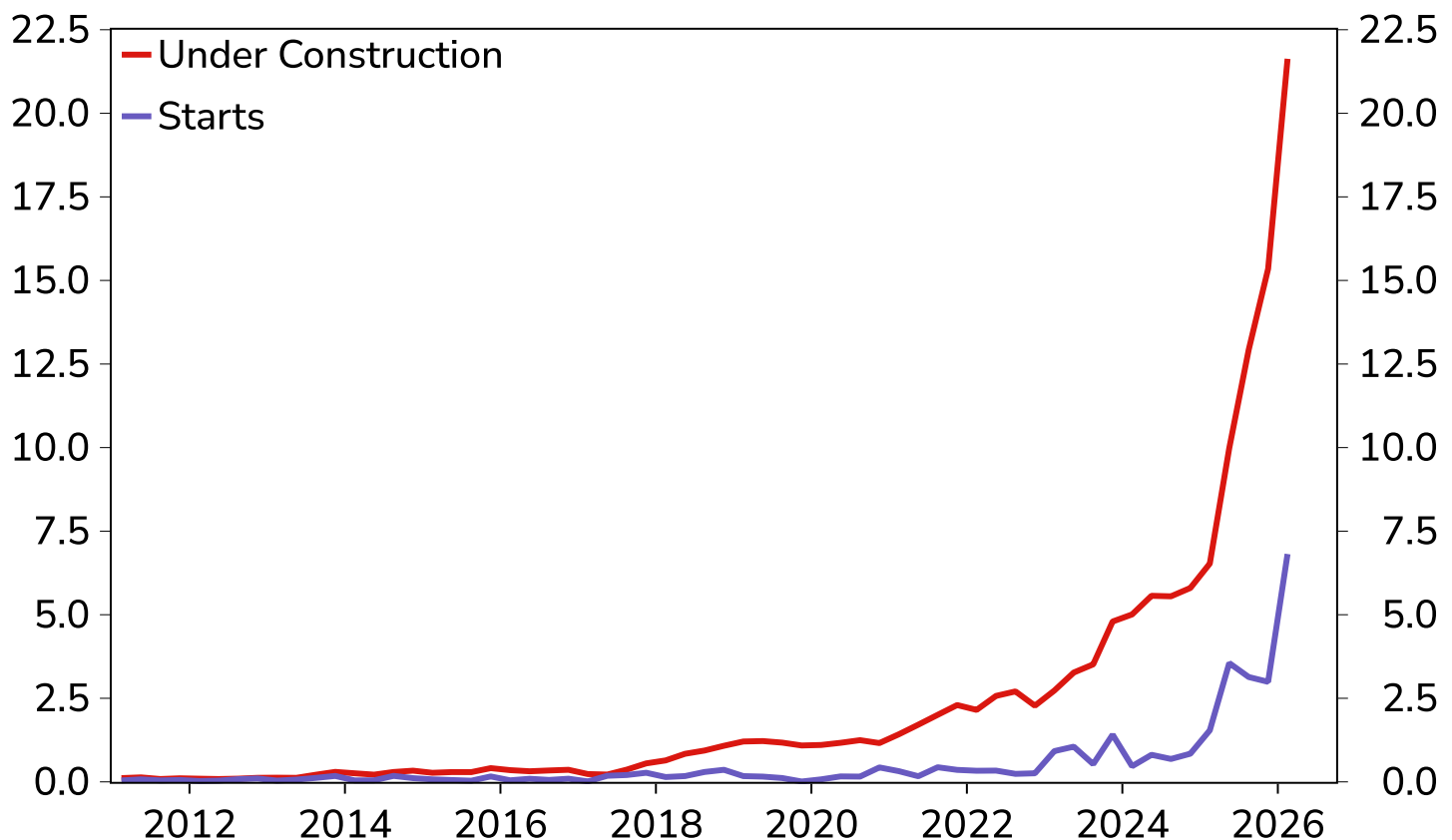


Source: ABS, Macrobond, Westpac Economics

Although the contribution from individual projects is difficult to quantify, the surge in data centre commencements during the second half of 2025 is likely supporting activity and should remain an important source of construction demand over the second half of this year and beyond.

Other commercial buildings continues to grow

Values, \$bn.



Source: ABS, Macrobond, Westpac Economics

State detail

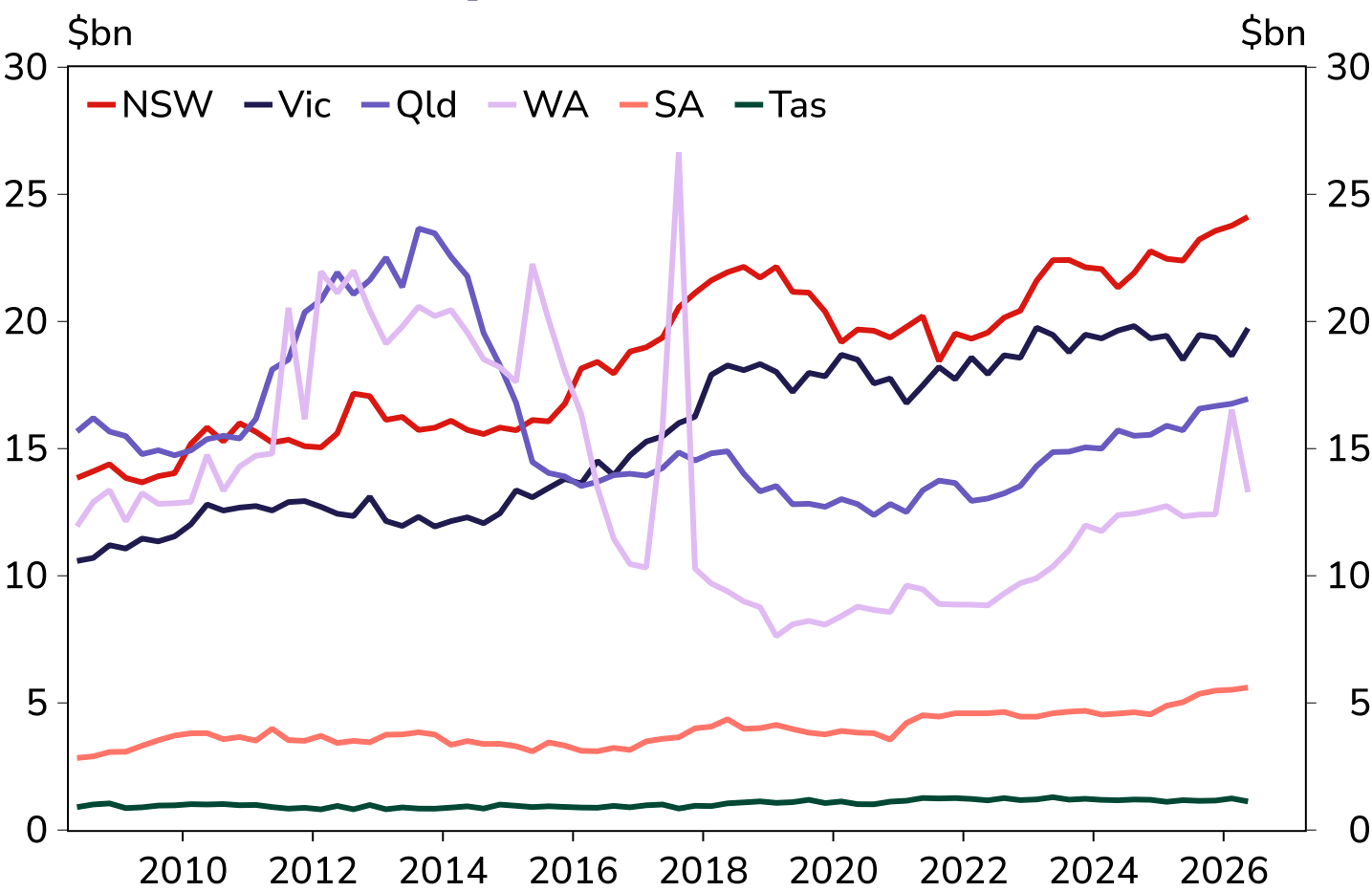
State outcomes were heavily influenced by the unwind of the mining-related spike in WA, masking generally resilient conditions elsewhere. Excluding WA, construction activity was resilient, with Victoria leading gains and the eastern states continuing to record gains.

Victoria (+5.8%qtr) recorded the strongest increase, while SA (+1.6%qtr), NSW (+1.4%qtr), Queensland (+1.1%qtr) and the Northern Territory (+2.7%qtr) also posted gains.

In contrast, WA (-19.7%qtr) recorded a sharp decline as mining-related activity unwound following the surge associated with the Scarborough Energy Project in the March quarter. Tasmania (-9.5%qtr) and the ACT (-8.8%qtr) also recorded sizeable contractions.

Despite the quarterly volatility, construction activity remained higher than a year ago in most states, with SA (+11.5%yr) recording the strongest annual growth, followed by Queensland (+7.9%yr), NSW (+7.7%yr), WA (+7.7%yr) and Victoria (+6.7%yr). The exceptions were Tasmania (-4.3%yr), the ACT (-15.7%yr) and the Northern Territory (-81.3%yr), where activity remained well below year-earlier levels.

Vic, SA and NSW outperform



Source: ABS, Macrobond, Westpac Economics

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25 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment softened overnight as geopolitical tensions escalated, with the US unveiling its “economic D-Day” sanctions campaign against Iran while trade tensions with Canada remained elevated. Semiconductor stocks also came under pressure ahead of Nvidia’s earnings.

Equity markets weakened, led by technology shares. Major US indices closed lower, while an ETF tracking memory-chip producers slumped 5.9%. European markets were mixed.

Bond markets firmed, with US Treasuries rallying after reports the Treasury could use cash stockpile to buy back higher-yielding bonds. The US 10-year Treasury yield fell 4bps to 4.70%.

The Aussie declined 0.3% to US\$0.7150, ahead of the release of the RBA Minutes later today. Commodity markets were mixed, with gains in gold and copper offset by declines in oil prices and broader commodity indices.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	0.3%
AUD/USD	0.7164	0.8%
AUD/JPY	113.89	0.7%
AUD/GBP	0.5255	0.7%
AUD/NZD	1.1990	0.2%
AUD/EUR	0.6135	0.7%
AUD/CNH	4.8142	0.6%
AUD/SGD	0.9092	0.6%
AUD/HKD	5.6171	0.8%
AUD/CAD	0.9887	0.6%
EUR/USD	1.1677	0.0%
USD/JPY	159.01	-0.1%
USD Index	98.80	-0.1%

Equities	Close	Change
S&P/ASX 200	9,059	-0.3%
S&P 500	7,674	0.4%
Japan Nikkei	66,016	-0.3%
Hang Seng	26,009	1.2%
Euro Stoxx 50	6,462	0.6%
UK FTSE100	10,817	0.6%
VIX Index	15.13	-5.5%

Commodities	Current	Change
CRB Index	406.24	0.7%
Gold	4603.07	1.9%
Copper	14216	1.3%
Oil (WTI futures)	87.06	0.3%
Coal (coking)	233.00	1.7%
Coal (thermal)	139.75	1.0%
Iron Ore	96.45	0.1%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	-0.01
180 day BBSY	4.83	-0.01
1 year swap	4.59	0.00
2 year swap	4.57	0.01
3 year swap	4.56	0.01
4 year swap	4.58	0.01
5 year swap	4.62	0.01
6 year swap	4.67	0.01
7 year swap	4.73	0.00
8 year swap	4.79	0.01
9 year swap	4.84	0.01
10 year swap	4.90	0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.57	0.04
10 year bond	5.06	0.05
United States		
3-month T Bill	3.71	0.00
2 year bond	4.24	0.05
10 year bond	4.73	0.03
Other (10 year yields)		
Germany	3.26	0.00
Japan	2.89	0.03
UK	5.06	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	-0.01
3 yr bond	4.56	0.00
3 mth bill rate	4.50	0.01
SPI 200	9,028	0.5%



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Financial Markets

- The US announced a fresh round of sanctions against Iran, dubbed the “economic D-Day” campaign by President Trump. The measures target more than 70 entities linked to Iran and threaten action against countries that continue doing business with Tehran. The effectiveness of the sanctions will largely depend on whether the US is prepared to enforce them against China, Iran’s largest oil customer. Despite the tougher rhetoric, WTI crude fell 2.4% to US\$85.01/bbl, suggesting markets believe Iran may ultimately yield to mounting economic pressure.
- Trade tensions also remain elevated between the US and Canada, with President Trump stating that a 50% tariff on Canadian automobiles and auto parts will take effect from January. Separately, reports suggest the US is preparing to impose an additional 7.5% tariff on Chinese goods over concerns about excess manufacturing capacity ahead of next month’s Trump-Xi summit. The move reinforces concerns that trade policy uncertainty will be a headwind for growth.
- Risk sentiment weakened overnight amid escalating geopolitical tensions and renewed pressure on semiconductor stocks ahead of Nvidia’s earnings release later this week. Technology shares led declines, with Nvidia, Seagate, Sandisk and Micron among the biggest losers. An ETF tracking memory-chip producers fell 5.9% on the day. The Nasdaq lost 0.8%, while the S&P 500 fell 0.3%. The Dow Jones outperformed, rising 0.3%.
- European equities were mixed in subdued trading as investors awaited further details on the US sanctions package. The Euro Stoxx 50 fell 0.2%, Germany’s DAX declined 0.2%, and France’s CAC lost 0.4%, while the FTSE 100 rose 0.3%. Asian markets were also mixed, with the Hang Seng down 1.9% and the Nikkei falling 0.7%. Locally, the S&P/ASX 200 gained 0.5% to 9,103. Equity futures were little changed, up 0.1% to 9,055.
- Bond markets were mixed overnight. Treasuries found support after reports that the US Treasury could use part of its cash balance to buy back higher-yielding legacy securities in an effort to ease borrowing costs. However, yields ultimately moved little, with the 10-year Treasury yield down 4bps to 4.70%, while the 2-year yield was unchanged at 4.23%. Traders are now pricing around 27bps of rate hikes by the end of 2026 and almost 50bps of hikes by the end of 2027.

Today’s key data and events

Time	Event	Exp	Prev
11:30	AU RBA Minutes	-	-
23:00	US FHFA House Prices Jun	0.2%	0.3%
23:00	US S&P/CS Home Price Index Jun	0.1%	0.1%
-	US Building Permits Jul Final	-	5.0%
0:00	US Richmond Fed Manufacturing Aug	6.5pts	5pts
0:00	US New Home Sales Jul	-1.3%	1.6%
0:00	US Consumer Confidence Aug	90.2pts	90.8pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Australian bond markets firmed, with yields moving lower across the curve. The 3-year government bond yield fell 3bps to 4.53%, while the 10-year yield declined 4bps to 5.02%. Futures also firmed overnight, with the 3-year futures yield up 2bps to 4.55%, while the 10-year futures yield remained unchanged at 5.02%. OIS pricing continues to imply a cash rate of around 4.50% by year-end, with the market flirting with the idea of another hike this year.
- In foreign exchange markets, the US dollar edged higher, with the DXY rising 0.2% to 98.99. The Australian dollar eased 0.3% to US\$0.7150, while also weakening against the yen, sterling, euro, yuan, Hong Kong dollar and Singapore dollar. The Australian dollar was broadly unchanged against the New Zealand dollar and strengthened 0.4% against the Canadian dollar.
- Commodity markets were mixed. The CRB Index fell 0.8%, driven largely by the 2.4% decline in oil prices. Gold rose 1.1% and copper gained 0.4%, reflecting ongoing geopolitical uncertainty, while iron ore climbed 1.8% to US\$97.90/t. Coking coal rose 0.6% and thermal coal increased 0.9%. ACCU prices fell 4.3%.

International Data

The **Chicago Fed National Activity Index**, a weighted average of 85 other monthly indicators, has been volatile lately, oscillating between above-trend and below-trend growth readings in recent months. The latest release for July reported a reading of -0.08, suggesting that after growing broadly in line with trend in Q2, the US economy started losing momentum again this quarter. A decline in the personal consumption and housing category led the way down, but the production indicator, alongside the sales, orders and inventories gauge, was also weaker. The labour market improved, but remained a touch below trend.



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25 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment softened overnight as geopolitical tensions escalated, with the US unveiling its “economic D-Day” sanctions campaign against Iran while trade tensions with Canada remained elevated. Semiconductor stocks also came under pressure ahead of Nvidia’s earnings.

Equity markets weakened, led by technology shares. Major US indices closed lower, while an ETF tracking memory-chip producers slumped 5.9%. European markets were mixed.

Bond markets firmed, with US Treasuries rallying after reports the Treasury could use cash stockpile to buy back higher-yielding bonds. The US 10-year Treasury yield fell 4bps to 4.70%.

The Aussie declined 0.3% to US\$0.7150, ahead of the release of the RBA Minutes later today. Commodity markets were mixed, with gains in gold and copper offset by declines in oil prices and broader commodity indices.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	0.3%
AUD/USD	0.7164	0.8%
AUD/JPY	113.89	0.7%
AUD/GBP	0.5255	0.7%
AUD/NZD	1.1990	0.2%
AUD/EUR	0.6135	0.7%
AUD/CNH	4.8142	0.6%
AUD/SGD	0.9092	0.6%
AUD/HKD	5.6171	0.8%
AUD/CAD	0.9887	0.6%
EUR/USD	1.1677	0.0%
USD/JPY	159.01	-0.1%
USD Index	98.80	-0.1%

Equities	Close	Change
S&P/ASX 200	9,059	-0.3%
S&P 500	7,674	0.4%
Japan Nikkei	66,016	-0.3%
Hang Seng	26,009	1.2%
Euro Stoxx 50	6,462	0.6%
UK FTSE100	10,817	0.6%
VIX Index	15.13	-5.5%

Commodities	Current	Change
CRB Index	406.24	0.7%
Gold	4603.07	1.9%
Copper	14216	1.3%
Oil (WTI futures)	87.06	0.3%
Coal (coking)	233.00	1.7%
Coal (thermal)	139.75	1.0%
Iron Ore	96.45	0.1%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	-0.01
180 day BBSY	4.83	-0.01
1 year swap	4.59	0.00
2 year swap	4.57	0.01
3 year swap	4.56	0.01
4 year swap	4.58	0.01
5 year swap	4.62	0.01
6 year swap	4.67	0.01
7 year swap	4.73	0.00
8 year swap	4.79	0.01
9 year swap	4.84	0.01
10 year swap	4.90	0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.57	0.04
10 year bond	5.06	0.05
United States		
3-month T Bill	3.71	0.00
2 year bond	4.24	0.05
10 year bond	4.73	0.03
Other (10 year yields)		
Germany	3.26	0.00
Japan	2.89	0.03
UK	5.06	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	-0.01
3 yr bond	4.56	0.00
3 mth bill rate	4.50	0.01
SPI 200	9,028	0.5%



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Financial Markets

- The US announced a fresh round of sanctions against Iran, dubbed the “economic D-Day” campaign by President Trump. The measures target more than 70 entities linked to Iran and threaten action against countries that continue doing business with Tehran. The effectiveness of the sanctions will largely depend on whether the US is prepared to enforce them against China, Iran’s largest oil customer. Despite the tougher rhetoric, WTI crude fell 2.4% to US\$85.01/bbl, suggesting markets believe Iran may ultimately yield to mounting economic pressure.
- Trade tensions also remain elevated between the US and Canada, with President Trump stating that a 50% tariff on Canadian automobiles and auto parts will take effect from January. Separately, reports suggest the US is preparing to impose an additional 7.5% tariff on Chinese goods over concerns about excess manufacturing capacity ahead of next month’s Trump-Xi summit. The move reinforces concerns that trade policy uncertainty will be a headwind for growth.
- Risk sentiment weakened overnight amid escalating geopolitical tensions and renewed pressure on semiconductor stocks ahead of Nvidia’s earnings release later this week. Technology shares led declines, with Nvidia, Seagate, Sandisk and Micron among the biggest losers. An ETF tracking memory-chip producers fell 5.9% on the day. The Nasdaq lost 0.8%, while the S&P 500 fell 0.3%. The Dow Jones outperformed, rising 0.3%.
- European equities were mixed in subdued trading as investors awaited further details on the US sanctions package. The Euro Stoxx 50 fell 0.2%, Germany’s DAX declined 0.2%, and France’s CAC lost 0.4%, while the FTSE 100 rose 0.3%. Asian markets were also mixed, with the Hang Seng down 1.9% and the Nikkei falling 0.7%. Locally, the S&P/ASX 200 gained 0.5% to 9,103. Equity futures were little changed, up 0.1% to 9,055.
- Bond markets were mixed overnight. Treasuries found support after reports that the US Treasury could use part of its cash balance to buy back higher-yielding legacy securities in an effort to ease borrowing costs. However, yields ultimately moved little, with the 10-year Treasury yield down 4bps to 4.70%, while the 2-year yield was unchanged at 4.23%. Traders are now pricing around 27bps of rate hikes by the end of 2026 and almost 50bps of hikes by the end of 2027.

Today’s key data and events

Time	Event	Exp	Prev
11:30	AU RBA Minutes	-	-
23:00	US FHFA House Prices Jun	0.2%	0.3%
23:00	US S&P/CS Home Price Index Jun	0.1%	0.1%
-	US Building Permits Jul Final	-	5.0%
0:00	US Richmond Fed Manufacturing Aug	6.5pts	5pts
0:00	US New Home Sales Jul	-1.3%	1.6%
0:00	US Consumer Confidence Aug	90.2pts	90.8pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Australian bond markets firmed, with yields moving lower across the curve. The 3-year government bond yield fell 3bps to 4.53%, while the 10-year yield declined 4bps to 5.02%. Futures also firmed overnight, with the 3-year futures yield up 2bps to 4.55%, while the 10-year futures yield remained unchanged at 5.02%. OIS pricing continues to imply a cash rate of around 4.50% by year-end, with the market flirting with the idea of another hike this year.
- In foreign exchange markets, the US dollar edged higher, with the DXY rising 0.2% to 98.99. The Australian dollar eased 0.3% to US\$0.7150, while also weakening against the yen, sterling, euro, yuan, Hong Kong dollar and Singapore dollar. The Australian dollar was broadly unchanged against the New Zealand dollar and strengthened 0.4% against the Canadian dollar.
- Commodity markets were mixed. The CRB Index fell 0.8%, driven largely by the 2.4% decline in oil prices. Gold rose 1.1% and copper gained 0.4%, reflecting ongoing geopolitical uncertainty, while iron ore climbed 1.8% to US\$97.90/t. Coking coal rose 0.6% and thermal coal increased 0.9%. ACCU prices fell 4.3%.

International Data

The **Chicago Fed National Activity Index**, a weighted average of 85 other monthly indicators, has been volatile lately, oscillating between above-trend and below-trend growth readings in recent months. The latest release for July reported a reading of -0.08, suggesting that after growing broadly in line with trend in Q2, the US economy started losing momentum again this quarter. A decline in the personal consumption and housing category led the way down, but the production indicator, alongside the sales, orders and inventories gauge, was also weaker. The labour market improved, but remained a touch below trend.



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Cliff Notes: the foundations of confidence

[#cliffnotes](#)[#rba](#)[#australia](#)[#inflation](#)[#us](#)[#fomc](#)[#ecb](#)[#aud](#)[#usd](#)

By [Elliot Clarke](#)

Head of International Economics, Westpac

11:02 August 21 2026

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Key insights from the week that was.



After an upside surprise in June, [the labour force survey](#) disappointed in July, reporting a loss of 15.8k jobs. This leaves average monthly employment growth year-to-date at 20.8k, above 2025's 12.6k but below the pace needed to keep the unemployment rate unchanged. It is therefore unsurprising that the unemployment rate continued to edge higher, reaching 4.5% in July, 0.4ppts above its level at the turn

of the year. Hours worked also disappointed, declining 0.6% in the month to be up just 0.2% over the year. Slowly but surely, slack is forming in the labour market, weighing on activity growth but supporting the disinflationary trend. That trend must be sustained if the next move in the cash rate is to be down as Westpac forecasts, albeit not until next August.

The Q2 wage price index was also favourable for the inflation outlook. As expected, the headline wage price index rose 0.8% in Q2 to be 3.2% higher over the year. Private sector wage growth is now at its weakest since Q4 2021 (0.7%qtr, 3.1%yr). Public sector wage momentum provided an offset in Q2, gaining 0.9%qtr and 3.4%yr. The detail suggests that a larger share of public sector jobs received a wage increase than a year ago (25% versus 20%), but that the average hourly wage increase for those jobs was smaller (3.1% versus 3.5%).

Australian consumers are becoming more aware of labour market risks, with the Westpac-MI consumer sentiment survey unemployment index rising above its long-run average in August. But the cumulative impact of cost-of-living pressures remains the major impediment to confidence: both “family finances versus a year ago” and “family finances next 12 months” stayed below average in August, despite mortgage holders receiving a welcome reprieve from the RBA. And improved comfort around family finances is only the first step towards a recovery in consumer demand. “Time to buy a major household item” remains 24% below average despite a monthly bounce, while “time to buy a dwelling” is similarly 20% below average. We expect a lengthy period of weakness in Australia’s economy, with a return to trend activity growth not foreseen until late-2028.

Offshore, attention centred on FOMC messaging. Overall, the July minutes showed a high degree of caution over the inflation outlook, reflecting uncertainty around the Middle East conflict and US economic policy, as well as an expectation that the US economy would maintain its recent momentum. “Most participants anticipated that inflation would step down over the rest of the year as the effects of tariffs and earlier energy price increases wane, but many participants noted the possibility that inflation might be more persistently elevated.” In that context, “many participants assessed that policy tightening would likely be necessary if inflation did not decline”.

Since the meeting, data has been constructive for the disinflationary trend, and the majority of FOMC members who have spoken have recognised the importance of the Committee’s credibility on inflation but also that they have time on their side in assessing conditions.

Turning to Asia, the July China data round underwhelmed yet again. The return from trade is incredible, but retail sales growth has essentially stalled, 0.6%yr, and the decline in fixed asset investment is increasingly broad based, -6.7%ytd. House price declines continue to weigh on household wealth, and domestic equity holdings do not have the scale or breadth to compensate.

Authorities may be keeping quiet on stimulus ahead of the next meeting between President Xi and President Trump, and as the US looks to expand its economic actions against Iran – potentially via third parties with ties to Iran, such as China. But, very clearly, there is an urgent need for stimulus if the 2026 and 2027 growth targets are to be achieved.

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25 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment softened overnight as geopolitical tensions escalated, with the US unveiling its “economic D-Day” sanctions campaign against Iran while trade tensions with Canada remained elevated. Semiconductor stocks also came under pressure ahead of Nvidia’s earnings.

Equity markets weakened, led by technology shares. Major US indices closed lower, while an ETF tracking memory-chip producers slumped 5.9%. European markets were mixed.

Bond markets firmed, with US Treasuries rallying after reports the Treasury could use cash stockpile to buy back higher-yielding bonds. The US 10-year Treasury yield fell 4bps to 4.70%.

The Aussie declined 0.3% to US\$0.7150, ahead of the release of the RBA Minutes later today. Commodity markets were mixed, with gains in gold and copper offset by declines in oil prices and broader commodity indices.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	0.3%
AUD/USD	0.7164	0.8%
AUD/JPY	113.89	0.7%
AUD/GBP	0.5255	0.7%
AUD/NZD	1.1990	0.2%
AUD/EUR	0.6135	0.7%
AUD/CNH	4.8142	0.6%
AUD/SGD	0.9092	0.6%
AUD/HKD	5.6171	0.8%
AUD/CAD	0.9887	0.6%
EUR/USD	1.1677	0.0%
USD/JPY	159.01	-0.1%
USD Index	98.80	-0.1%

Equities	Close	Change
S&P/ASX 200	9,059	-0.3%
S&P 500	7,674	0.4%
Japan Nikkei	66,016	-0.3%
Hang Seng	26,009	1.2%
Euro Stoxx 50	6,462	0.6%
UK FTSE100	10,817	0.6%
VIX Index	15.13	-5.5%

Commodities	Current	Change
CRB Index	406.24	0.7%
Gold	4603.07	1.9%
Copper	14216	1.3%
Oil (WTI futures)	87.06	0.3%
Coal (coking)	233.00	1.7%
Coal (thermal)	139.75	1.0%
Iron Ore	96.45	0.1%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	-0.01
180 day BBSY	4.83	-0.01
1 year swap	4.59	0.00
2 year swap	4.57	0.01
3 year swap	4.56	0.01
4 year swap	4.58	0.01
5 year swap	4.62	0.01
6 year swap	4.67	0.01
7 year swap	4.73	0.00
8 year swap	4.79	0.01
9 year swap	4.84	0.01
10 year swap	4.90	0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.57	0.04
10 year bond	5.06	0.05
United States		
3-month T Bill	3.71	0.00
2 year bond	4.24	0.05
10 year bond	4.73	0.03
Other (10 year yields)		
Germany	3.26	0.00
Japan	2.89	0.03
UK	5.06	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	-0.01
3 yr bond	4.56	0.00
3 mth bill rate	4.50	0.01
SPI 200	9,028	0.5%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- The US announced a fresh round of sanctions against Iran, dubbed the “economic D-Day” campaign by President Trump. The measures target more than 70 entities linked to Iran and threaten action against countries that continue doing business with Tehran. The effectiveness of the sanctions will largely depend on whether the US is prepared to enforce them against China, Iran’s largest oil customer. Despite the tougher rhetoric, WTI crude fell 2.4% to US\$85.01/bbl, suggesting markets believe Iran may ultimately yield to mounting economic pressure.
- Trade tensions also remain elevated between the US and Canada, with President Trump stating that a 50% tariff on Canadian automobiles and auto parts will take effect from January. Separately, reports suggest the US is preparing to impose an additional 7.5% tariff on Chinese goods over concerns about excess manufacturing capacity ahead of next month’s Trump-Xi summit. The move reinforces concerns that trade policy uncertainty will be a headwind for growth.
- Risk sentiment weakened overnight amid escalating geopolitical tensions and renewed pressure on semiconductor stocks ahead of Nvidia’s earnings release later this week. Technology shares led declines, with Nvidia, Seagate, Sandisk and Micron among the biggest losers. An ETF tracking memory-chip producers fell 5.9% on the day. The Nasdaq lost 0.8%, while the S&P 500 fell 0.3%. The Dow Jones outperformed, rising 0.3%.
- European equities were mixed in subdued trading as investors awaited further details on the US sanctions package. The Euro Stoxx 50 fell 0.2%, Germany’s DAX declined 0.2%, and France’s CAC lost 0.4%, while the FTSE 100 rose 0.3%. Asian markets were also mixed, with the Hang Seng down 1.9% and the Nikkei falling 0.7%. Locally, the S&P/ASX 200 gained 0.5% to 9,103. Equity futures were little changed, up 0.1% to 9,055.
- Bond markets were mixed overnight. Treasuries found support after reports that the US Treasury could use part of its cash balance to buy back higher-yielding legacy securities in an effort to ease borrowing costs. However, yields ultimately moved little, with the 10-year Treasury yield down 4bps to 4.70%, while the 2-year yield was unchanged at 4.23%. Traders are now pricing around 27bps of rate hikes by the end of 2026 and almost 50bps of hikes by the end of 2027.

Today’s key data and events

Time	Event	Exp	Prev
11:30	AU RBA Minutes	-	-
23:00	US FHFA House Prices Jun	0.2%	0.3%
23:00	US S&P/CS Home Price Index Jun	0.1%	0.1%
-	US Building Permits Jul Final	-	5.0%
0:00	US Richmond Fed Manufacturing Aug	6.5pts	5pts
0:00	US New Home Sales Jul	-1.3%	1.6%
0:00	US Consumer Confidence Aug	90.2pts	90.8pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Australian bond markets firmed, with yields moving lower across the curve. The 3-year government bond yield fell 3bps to 4.53%, while the 10-year yield declined 4bps to 5.02%. Futures also firmed overnight, with the 3-year futures yield up 2bps to 4.55%, while the 10-year futures yield remained unchanged at 5.02%. OIS pricing continues to imply a cash rate of around 4.50% by year-end, with the market flirting with the idea of another hike this year.
- In foreign exchange markets, the US dollar edged higher, with the DXY rising 0.2% to 98.99. The Australian dollar eased 0.3% to US\$0.7150, while also weakening against the yen, sterling, euro, yuan, Hong Kong dollar and Singapore dollar. The Australian dollar was broadly unchanged against the New Zealand dollar and strengthened 0.4% against the Canadian dollar.
- Commodity markets were mixed. The CRB Index fell 0.8%, driven largely by the 2.4% decline in oil prices. Gold rose 1.1% and copper gained 0.4%, reflecting ongoing geopolitical uncertainty, while iron ore climbed 1.8% to US\$97.90/t. Coking coal rose 0.6% and thermal coal increased 0.9%. ACCU prices fell 4.3%.

International Data

The **Chicago Fed National Activity Index**, a weighted average of 85 other monthly indicators, has been volatile lately, oscillating between above-trend and below-trend growth readings in recent months. The latest release for July reported a reading of -0.08, suggesting that after growing broadly in line with trend in Q2, the US economy started losing momentum again this quarter. A decline in the personal consumption and housing category led the way down, but the production indicator, alongside the sales, orders and inventories gauge, was also weaker. The labour market improved, but remained a touch below trend.



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18 August 2026

JULY CPI PREVIEW

Weaker pass-through has lead to a downward revision

Key points

- We expect the July CPI to rise 0.84%*mth*, taking the annual pace down a peg to 3.3%*yr* from 3.8%*yr* in June. On a seasonally adjusted basis, we expect a 0.4%*mth* increase.
- The July Trimmed Mean is forecast to lift 0.38%*mth*, on par with the average for the previous three months, taking the annual pace down a touch to 3.5%*yr* while the six-month annualised pace lifts a touch to 3.7%*%yr*.
- Holiday travel and auto fuel are the key drivers of the stronger monthly outcome, reflecting higher holiday travel cost and the partial unwinding of the temporary fuel excise cuts. The main offset is a drop in the DMO electricity prices.
- For the September quarter we revised our CPI estimate down to 1.1%*qtr* from 1.3%*qtr* while the Trimmed Mean is now expected to print 0.8%*qtr* vs. 1.0%*qtr*. The softer than expected momentum in the June quarter is expected to continue into the September quarter.

Breakdown: Q3 Quarterly & July Monthly CPI

	Q3	May	Jun	Jul
	Qtr fcs	Mth	Mth	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	1.0	0.6	0.4	0.4
of which, bread & cereals	0.9	0.2	0.7	0.0
of which, meat & seafood	0.7	1.1	-0.3	0.2
of which, dairy & related prod.	1.8	2.3	1.3	-0.1
of which, fruit & vegetables	0.8	1.1	1.0	0.6
of which, food products nec	0.4	-0.9	-0.2	0.6
of which, non-alcohol bev.	0.5	1.5	1.0	-0.3
Alcohol & tobacco	1.0	0.9	-0.5	0.4
of which, alcohol	0.7	1.3	-0.7	0.4
of which, tobacco	1.6	-0.1	0.0	0.3
Clothing & footwear	0.4	-2.9	-1.0	2.0
of which, garments	-0.6	-3.3	-3.1	2.6
Housing	1.3	0.5	0.5	0.3
of which, rents	0.9	0.4	0.3	0.3
of which, house purchases	1.3	0.9	0.4	0.4
of which, electricity	-3.6	0.9	0.7	-4.4
of which, gas & other fuels	6.8	-3.1	2.7	5.5
H/hold contents & services	1.0	0.3	-4.2	1.4
Health	-0.3	-0.5	-0.1	0.1
Transportation	1.6	-3.9	-2.7	1.9
of which, auto fuel	2.0	-11.9	-10.9	5.1
Communication	1.2	0.2	-0.7	1.5
Recreation	1.8	-3.1	1.8	1.9
of which, holiday travel	3.0	-6.9	4.6	3.2
Education	0.1	0.0	0.0	0.0
Financial & insurance services	0.8	0.2	0.5	0.2
CPI: All groups	1.1	-0.7	-0.1	0.8
CPI: Trimmed mean	0.8	0.4	0.3	0.4

Sources: ABS, Westpac Banking Corporation

All eyes on market services

Justin Smirk, Senior Economist
Neha Sharma, Economist

July set to be a touch stronger

The June Monthly CPI was [much better than feared](#). The headline CPI printed -0.1mth , below both our forecast and market expectations of 0.4mth and 0.2mth , respectively. The TM rose 0.3mth and 3.6yr , also slightly softer than our forecast of 0.4mth and 3.7yr . The main driver of the decline was automotive fuel, which fell 10.9mth subtracting 0.4pts from the CPI. Other sources of weakness were clothing & footwear, household furnishings, and audio, visual and computing equipment which saw the usual end-of-financial-year discounting.

The expected increase in holiday travel was there. However, the 4.6mth increase reflected a seasonal increase in international travel of 8.0mth but the 1.3% increase in domestic travel was much softer than the usual seasonal rise so the offset was not as large as it could have been. Also helping to offset the softer data flow was a 12.7mth rise in urban transport fares as the cost of living public transport fare reductions were unwound.

In the second half of July there was an increase in Middle East tensions with the breakdown in the US-Iran MoU. Brent briefly spiked above US\$100/bbl and the [July business survey](#) had product price growth nearly doubling to 1.1qtr , suggesting firms are rebuilding margins. While this is still below the April 1.8qtr peak, recorded at the height of the Middle East conflict, it's still well above the long-run average ($+0.6\text{ppt}$). Meanwhile, input costs continue to ramp up. Labour cost growth accelerated, rising 0.5ppt to 2.2qtr , the strongest outcome since May 2024 and 1.0ppt above its long-run average, most likely reflecting the impact of the 4.75% increase in award/minimum wages. Overall, businesses' purchase cost growth increased 0.2ppt to 2.3qtr holding 1.1ppt above its long-run average.

Meanwhile, consumer's year-ahead inflation expectations moderated in May and June on the back of the fuel excise being cut by 32c/l , halving the excise. From July 1, 16 cents in excise was added back with the final 16 cents added back on August 3. This boost to retail prices, plus the firming in Brent around US\$80/bbl, has seen retail auto fuel prices rise through July and these gains continued into August. As such, we would expect to see consumer inflationary expectation to lift again through these months.

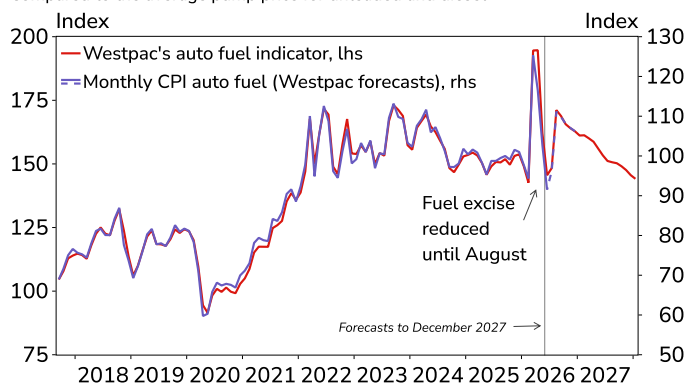
Breakdown Monthly CPI Indicator

	Apr	May	Jun	Jul
	Mth	Mth	Mth	Mth fcs
Item	%yr	%yr	%yr	%yr
Food	2.8	3.3	3.3	3.3
of which, bread & cereals	0.7	1.5	2.3	1.7
of which, meat & seafood	5.0	5.4	5.4	5.5
of which, dairy prod.	2.3	5.2	6.3	6.3
of which, fruit & vegetables	0.1	2.0	0.7	0.6
of which, food products	2.2	1.6	1.3	1.5
of which, non-alcohol bev.	2.0	1.5	2.0	1.7
Alcohol & tobacco	4.3	4.7	4.4	3.7
of which, alcohol	1.6	2.2	1.6	1.1
of which, tobacco	10.7	10.9	11.2	10.1
Clothing & footwear	5.9	5.0	4.9	4.4
of which, garments	3.1	2.1	1.5	1.4
Housing	6.3	6.5	6.8	4.9
of which, rents	3.5	3.6	3.6	3.5
of which, house purchases	4.7	5.6	5.8	5.7
of which, electricity	22.5	21.1	22.4	3.1
of which, gas & other fuels	5.7	4.9	7.2	6.4
H/hold contents & services	1.2	1.7	1.6	1.0
Health	4.0	3.8	3.7	3.7
Transportation	6.6	3.3	0.1	0.9
of which, auto fuel	18.6	7.7	-7.3	-2.6
Communication	1.5	2.1	2.2	2.2
Recreation	2.5	2.4	3.3	2.7
of which, holiday travel	1.7	1.9	4.0	2.5
Education	4.8	4.8	4.8	4.8
Financial & insurance	3.0	3.2	3.2	3.2
CPI: All groups	4.2	4.0	3.8	3.3
CPI: Trimmed mean	3.4	3.6	3.6	3.5

Sources: ABS, Westpac Banking Corporation

CPI Auto fuel prices

Compared to the average pump price for unleaded and diesel



Source: ABS, Macrobond, Westpac Economics

Rising fuel prices boost July but core modest

We expect the July monthly CPI to rise 0.8%*mt* with the annual pace easing back to 3.3%*yr* from 3.8%*yr* while our seasonally adjusted estimate gains 0.4%*mt*/3.2%*yr*. We estimate the monthly TM inflation to also rise 0.4%*mt*, taking the annual pace to 3.5%*yr* from 3.6%*yr* in June. Market services excluding volatiles and holiday travel is expected to rise 0.5%*mt* and 3.7%*yr*, largely reflecting the minimum wage decision coming into effect from 1 July.

The largest contributors to the monthly print are transport (0.21*ppt*) due to a solid gain in auto fuel (0.17*ppt*) while recreation lifts (0.25*ppt*) with solid gains in holiday travel & accommodation (0.22*ppt*) to which the seasonal gains in household furnishing & equipment (0.11*ppt*) are added into the mix. For July we don't see any significant offsetting negatives.

Key details for July

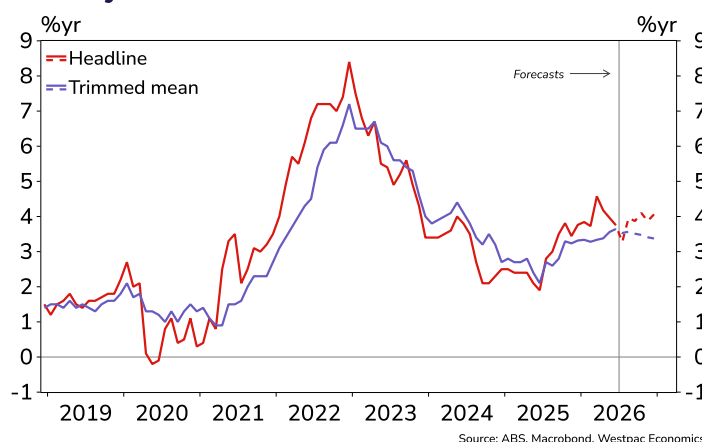
Food & non-alcoholic beverages are expected to rise 0.4%*mt* and 3.3%*yr*, largely due to a 0.5%*mt* rise in meals out & takeaway – at 4.2%*yr* this is the highest in the monthly series' history. As noted in our [Market Outlook](#), the impact of El Niño on commodity prices is uneven, but key areas of exposure for Australia is in wheat and livestock which is expected to place upward pressure on meat, dairy, and bread & cereal prices. We are also monitoring the spread of bird flu. To date, there have been no detections in commercial poultry.

Housing is expected to rise 0.3%*mt* in July, taking annual inflation to 4.9%*yr*. Key components include:

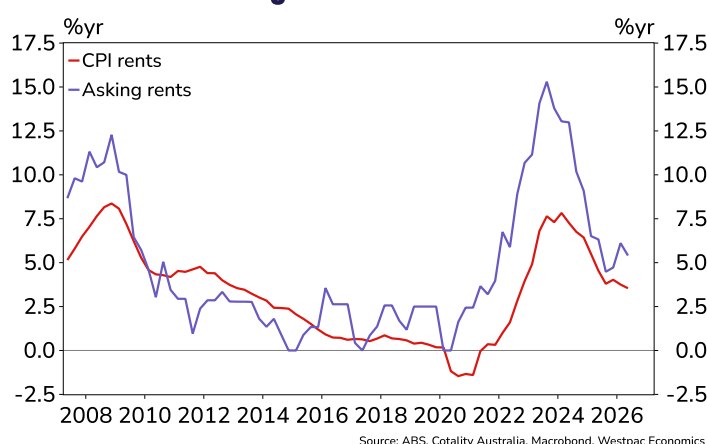
- Rents are expected to rise 0.3%*mt* and 3.5%*yr*. We continue to expect a modest firming in CPI rents into year-end given the divergence with asking rents, although this appears to have peaked and is gradually easing.
- New dwelling prices are expected to rise 0.4%*mt* and 5.7%*yr*. While we believe annual new dwelling inflation has peaked, the pace of moderation is likely to be gradual, easing to around 5.5%*yr* in Q3 and 5.1%*yr* by year-end as capacity constraints persist across the sector. Tradelink price change notifications continue to slow but remain above average, while residential construction producer prices are running at their highest pace since late-2023.
- Electricity prices are expected to fall 4.4%*mt*, leaving annual inflation at 3.1%*yr*. The decline reflects new annual market offers coming into effect, with final determinations indicating lower prices across most states. Annual price changes for water & sewerage and gas are expected to offset this decline.

Transport is expected to rise 2.1%*mt* and 1.1%*yr* owing to a 5.1%*mt* rise in automotive fuel. Insurance is expected to rise 0.8%*mt* following an unexpected 0.3%*mt* decline in June. Meanwhile, holiday travel is expected to rise 3.2%*mt*/2.5%*yr*.

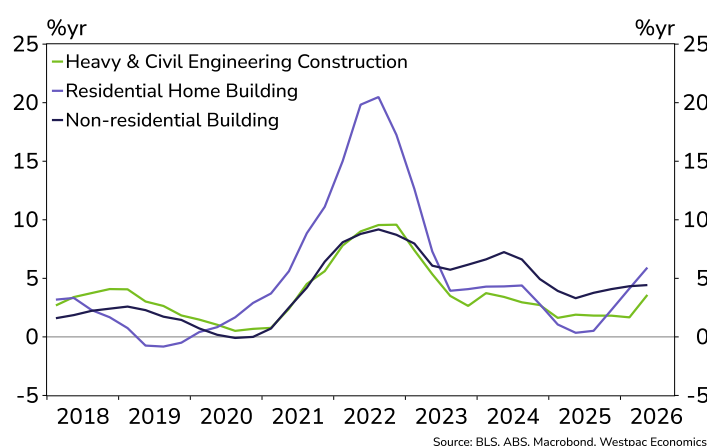
Monthly: Headline and Trimmed Mean Inflation



CPI Rents and Asking Rents Growth



Australian Construction Inflation



Risks to July baseline

We view risks around the July outcome as broadly balanced. On the upside, domestic market services inflation may prove stronger than we have accounted for given the larger-than-expected minimum wage decision amid existing pressures for businesses including from retail rents and utilities. While the pass-through from higher energy costs appears to have tapered off, some freight-related cost pressures may still be working their way through supply chains. Food is the most freight-intensive category, with fruit & vegetables among the most exposed.

This is offset by softer demand conditions and declining house prices limiting developers' pricing power, resulting in softer-than-expected new dwellings inflation. Additionally, insurance remains a key uncertainty and could undershoot again despite the continued strength in repair and maintenance costs.

Oil prices to ease through H2 2026

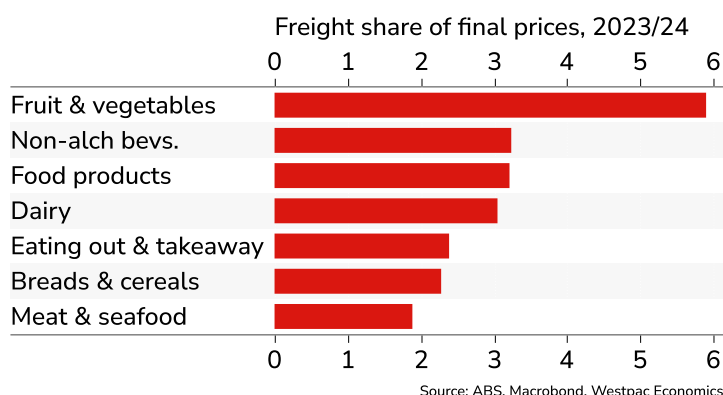
We have revised down our oil price forecasts for late-2026 and early-2027, reflecting our view that the peak in oil prices has already occurred. We lowered the profile by US\$3/bbl in both Q4 2026 and Q1 2027, which now average US\$81/bbl and US\$80/bbl respectively. While we continue to expect some strength through the second half of 2026, we now see less justification for a renewed rise above recent highs. This assessment is also consistent with recent reports suggesting the US administration is placing greater emphasis on economic sanctions and maritime pressure on Iran rather than direct military escalation, reducing the likelihood of a material re-tightening in global oil markets. The remainder of the profile is unchanged.

Model suggests a disinflationary trend to 2027

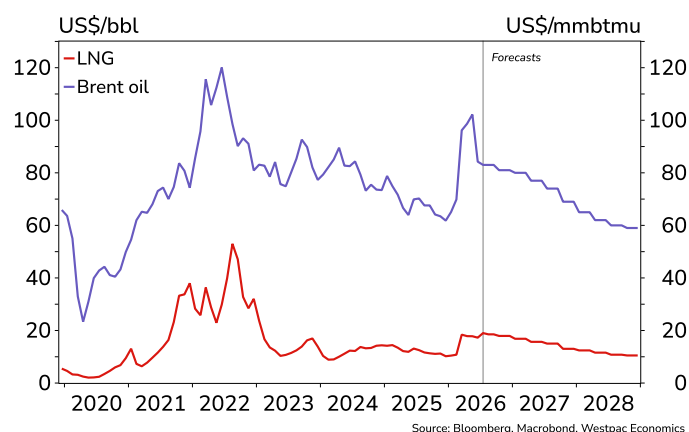
The chart on the right shows the central estimate from a range of modelling and forecasting approaches (including our bottom-up measure). These suggest that trimmed mean inflation will continue to moderate over the next few years, provided the broader economic outlook evolves broadly as expected. Under these conditions, all estimates have trimmed mean inflation within the RBA's target band by end-2027 and all but one see it moving below the mid-point of the target band by end-2028. For Q3 2026, the outcomes range between 3.4-3.5%yr, stretching out to 2.4-2.9%yr by end-2027 and 2.2-2.5%yr by end-28.

It is worth cautioning that these represent central outcomes only. Forecast uncertainty remains high, particularly over longer horizons, and the confidence bands around these estimates are wide. As such, there are plausible cases where disinflation could prove more rapid (e.g. more pronounced weakness in the labour market), or alternatively, underlying price pressures are more persistent (e.g. further supply shocks).

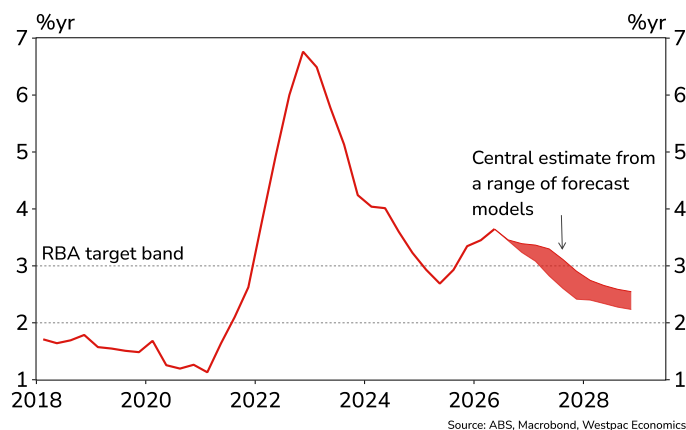
Food and Beverages Freight Exposure



Oil and LNG forecasts



Trimmed Mean Inflation Paths



Quarterly CPI profile has been revised down...

We released updated forecasts in our latest *Market Outlook* on August 14 ([see here](#)). This is a softer profile than what we expected back in July and broadly in line with the RBA's updated profile in the August SoMP.

Westpac estimates that the Q3 CPI will lift by 1.1%qtr taking the annual pace to 3.7%yr from 3.9%yr in Q2. This represents a 0.2ppt revision to our previous estimate of 1.3%qtr. With a Q4 estimate of 0.8%qtr for Q4, revised from 1.0%qtr, we now have a year end CPI inflation forecast of 3.9%yr, this is down from our previous estimate of 4.3%yr but still a touch stronger than the latest RBA estimate of 3.6%yr.

The seasonally adjusted CPI is estimated to increase 0.9% in Q3 and Q4 highlighting that some of the strength seen in Q3 is usual seasonality which is reversed in Q4.

Key to this softer profile is the revision to our Brent profile which is down by US\$3/bbl in both Q4 2026 and Q1 2027 for an average of US\$81/bbl and US\$80/bbl respectively. Along with a reduction in refining margins auto fuel is set to be a meaningfully less inflationary influence than we first thought.

In Q3 the most significant contribution comes from housing at 0.28ppt but with the inflationary pressure from dwelling purchases not being as strong as expected, now 1.3%qtr in Q3 and 0.9%qtr in Q4, this explains part of our downward revisions to both headline and core inflation estimates. We are expecting housing inflationary pressure to continue to moderate into the first half of 2027.

Recreation will also provide a boost in Q3 (0.22ppt) with a stronger than usual seasonal rise in international travel & accommodation (7.5%qtr) as Australian travel costs catch up to price increases reported by OECD countries. However, there should be a partial seasonal reversal through the first half of 2027.

Food is also set to make a robust contribution (1.0%qtr, 0.17ppt) in Q3 and while this series can be somewhat volatile due to the peaks and troughs of fresh fruit & vegetable pricing, we will be watching this series more closely than usual as the larger than usual El Niño formation presents a significant

upside risk here, most likely in 2027 but could start to appear in late-2026.

...while revisions to core inflation more marginal.

Westpac estimate a 0.8%qtr increase in the Q3 trimmed mean easing the annual pace by 0.1ppt to 3.5%yr. Our earlier estimate was for a 1.0% increase in Q3 which, with rounding, held the annual pace flat at 3.6%yr. For end-2026 we now estimate trimmed mean inflation to come in at a 3.3%yr pace, down from our earlier estimate of 3.5%yr and on par with the RBA's most recent estimate.

The six month annualised pace of core inflation has taken a step down from 3.9% at Q4 2025 to 3.6% at Q1 2026, 3.4% at Q2 and we estimate it to be at a 3.3%yr pace through the second half of the year before heading down through 3%yr around mid-2027.

The moderation in housing inflation is helping to lower core inflation but so too has the softer than expected inflation in market services. We now expect market services ex volatile to be around a 3.3%yr to 3.5%yr pace through the second half of 2026. Just how businesses responded to the recent increase in award/minimum wage rates of pay will be critical to this profile and we will know more as the September quarter data unfolds.

Quarterly forecast inflation profile

		Sep-26	Dec-26	Mar-27	Jun-27
CPI	Index	103.4	104.2	104.9	105.6
	(%qtr)	1.1	0.8	0.6	0.6
	(%yr)	3.7	3.9	3.1	3.2
Trimmed mean	(%qtr)	0.8	0.8	0.8	0.7
	(%yr)	3.5	3.3	3.2	3.1
	(6mth ann'd)	3.3	3.3	3.1	2.9

Source: ABS, Westpac Economics.

Monthly inflation profile

		Apr-26	May-26	Jun-26	Jul-26(f)	Aug-26(f)	Sep-26(f)	Oct-26(f)	Nov-26(f)	Dec-26(f)
CPI	Index	102.8	102.1	102.0	102.9	103.5	103.9	104.1	103.9	105.1
	(%mth)	0.4	-0.7	-0.1	0.8	0.6	0.4	0.2	-0.2	1.1
	(%yr)	4.2	4.0	3.8	3.3	4.0	3.9	4.1	3.9	4.1
Trimmed mean	(%mth)	0.3	0.4	0.3	0.4	0.3	0.2	0.3	0.2	0.2
	(%yr)	3.4	3.6	3.6	3.5	3.6	3.5	3.5	3.4	3.4
	(6mth ann'd)	3.2	3.5	3.5	3.7	3.9	3.8	3.7	3.3	3.2

Source: ABS, Westpac Economics.

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25 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment softened overnight as geopolitical tensions escalated, with the US unveiling its “economic D-Day” sanctions campaign against Iran while trade tensions with Canada remained elevated. Semiconductor stocks also came under pressure ahead of Nvidia’s earnings.

Equity markets weakened, led by technology shares. Major US indices closed lower, while an ETF tracking memory-chip producers slumped 5.9%. European markets were mixed.

Bond markets firmed, with US Treasuries rallying after reports the Treasury could use cash stockpile to buy back higher-yielding bonds. The US 10-year Treasury yield fell 4bps to 4.70%.

The Aussie declined 0.3% to US\$0.7150, ahead of the release of the RBA Minutes later today. Commodity markets were mixed, with gains in gold and copper offset by declines in oil prices and broader commodity indices.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	0.3%
AUD/USD	0.7164	0.8%
AUD/JPY	113.89	0.7%
AUD/GBP	0.5255	0.7%
AUD/NZD	1.1990	0.2%
AUD/EUR	0.6135	0.7%
AUD/CNH	4.8142	0.6%
AUD/SGD	0.9092	0.6%
AUD/HKD	5.6171	0.8%
AUD/CAD	0.9887	0.6%
EUR/USD	1.1677	0.0%
USD/JPY	159.01	-0.1%
USD Index	98.80	-0.1%

Equities	Close	Change
S&P/ASX 200	9,059	-0.3%
S&P 500	7,674	0.4%
Japan Nikkei	66,016	-0.3%
Hang Seng	26,009	1.2%
Euro Stoxx 50	6,462	0.6%
UK FTSE100	10,817	0.6%
VIX Index	15.13	-5.5%

Commodities	Current	Change
CRB Index	406.24	0.7%
Gold	4603.07	1.9%
Copper	14216	1.3%
Oil (WTI futures)	87.06	0.3%
Coal (coking)	233.00	1.7%
Coal (thermal)	139.75	1.0%
Iron Ore	96.45	0.1%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	-0.01
180 day BBSY	4.83	-0.01
1 year swap	4.59	0.00
2 year swap	4.57	0.01
3 year swap	4.56	0.01
4 year swap	4.58	0.01
5 year swap	4.62	0.01
6 year swap	4.67	0.01
7 year swap	4.73	0.00
8 year swap	4.79	0.01
9 year swap	4.84	0.01
10 year swap	4.90	0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.57	0.04
10 year bond	5.06	0.05
United States		
3-month T Bill	3.71	0.00
2 year bond	4.24	0.05
10 year bond	4.73	0.03
Other (10 year yields)		
Germany	3.26	0.00
Japan	2.89	0.03
UK	5.06	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	-0.01
3 yr bond	4.56	0.00
3 mth bill rate	4.50	0.01
SPI 200	9,028	0.5%



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Financial Markets

- The US announced a fresh round of sanctions against Iran, dubbed the “economic D-Day” campaign by President Trump. The measures target more than 70 entities linked to Iran and threaten action against countries that continue doing business with Tehran. The effectiveness of the sanctions will largely depend on whether the US is prepared to enforce them against China, Iran’s largest oil customer. Despite the tougher rhetoric, WTI crude fell 2.4% to US\$85.01/bbl, suggesting markets believe Iran may ultimately yield to mounting economic pressure.
- Trade tensions also remain elevated between the US and Canada, with President Trump stating that a 50% tariff on Canadian automobiles and auto parts will take effect from January. Separately, reports suggest the US is preparing to impose an additional 7.5% tariff on Chinese goods over concerns about excess manufacturing capacity ahead of next month’s Trump-Xi summit. The move reinforces concerns that trade policy uncertainty will be a headwind for growth.
- Risk sentiment weakened overnight amid escalating geopolitical tensions and renewed pressure on semiconductor stocks ahead of Nvidia’s earnings release later this week. Technology shares led declines, with Nvidia, Seagate, Sandisk and Micron among the biggest losers. An ETF tracking memory-chip producers fell 5.9% on the day. The Nasdaq lost 0.8%, while the S&P 500 fell 0.3%. The Dow Jones outperformed, rising 0.3%.
- European equities were mixed in subdued trading as investors awaited further details on the US sanctions package. The Euro Stoxx 50 fell 0.2%, Germany’s DAX declined 0.2%, and France’s CAC lost 0.4%, while the FTSE 100 rose 0.3%. Asian markets were also mixed, with the Hang Seng down 1.9% and the Nikkei falling 0.7%. Locally, the S&P/ASX 200 gained 0.5% to 9,103. Equity futures were little changed, up 0.1% to 9,055.
- Bond markets were mixed overnight. Treasuries found support after reports that the US Treasury could use part of its cash balance to buy back higher-yielding legacy securities in an effort to ease borrowing costs. However, yields ultimately moved little, with the 10-year Treasury yield down 4bps to 4.70%, while the 2-year yield was unchanged at 4.23%. Traders are now pricing around 27bps of rate hikes by the end of 2026 and almost 50bps of hikes by the end of 2027.

Today’s key data and events

Time	Event	Exp	Prev
11:30	AU RBA Minutes	-	-
23:00	US FHFA House Prices Jun	0.2%	0.3%
23:00	US S&P/CS Home Price Index Jun	0.1%	0.1%
-	US Building Permits Jul Final	-	5.0%
0:00	US Richmond Fed Manufacturing Aug	6.5pts	5pts
0:00	US New Home Sales Jul	-1.3%	1.6%
0:00	US Consumer Confidence Aug	90.2pts	90.8pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Australian bond markets firmed, with yields moving lower across the curve. The 3-year government bond yield fell 3bps to 4.53%, while the 10-year yield declined 4bps to 5.02%. Futures also firmed overnight, with the 3-year futures yield up 2bps to 4.55%, while the 10-year futures yield remained unchanged at 5.02%. OIS pricing continues to imply a cash rate of around 4.50% by year-end, with the market flirting with the idea of another hike this year.
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25 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment softened overnight as geopolitical tensions escalated, with the US unveiling its “economic D-Day” sanctions campaign against Iran while trade tensions with Canada remained elevated. Semiconductor stocks also came under pressure ahead of Nvidia’s earnings.

Equity markets weakened, led by technology shares. Major US indices closed lower, while an ETF tracking memory-chip producers slumped 5.9%. European markets were mixed.

Bond markets firmed, with US Treasuries rallying after reports the Treasury could use cash stockpile to buy back higher-yielding bonds. The US 10-year Treasury yield fell 4bps to 4.70%.

The Aussie declined 0.3% to US\$0.7150, ahead of the release of the RBA Minutes later today. Commodity markets were mixed, with gains in gold and copper offset by declines in oil prices and broader commodity indices.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	0.3%
AUD/USD	0.7164	0.8%
AUD/JPY	113.89	0.7%
AUD/GBP	0.5255	0.7%
AUD/NZD	1.1990	0.2%
AUD/EUR	0.6135	0.7%
AUD/CNH	4.8142	0.6%
AUD/SGD	0.9092	0.6%
AUD/HKD	5.6171	0.8%
AUD/CAD	0.9887	0.6%
EUR/USD	1.1677	0.0%
USD/JPY	159.01	-0.1%
USD Index	98.80	-0.1%

Equities	Close	Change
S&P/ASX 200	9,059	-0.3%
S&P 500	7,674	0.4%
Japan Nikkei	66,016	-0.3%
Hang Seng	26,009	1.2%
Euro Stoxx 50	6,462	0.6%
UK FTSE100	10,817	0.6%
VIX Index	15.13	-5.5%

Commodities	Current	Change
CRB Index	406.24	0.7%
Gold	4603.07	1.9%
Copper	14216	1.3%
Oil (WTI futures)	87.06	0.3%
Coal (coking)	233.00	1.7%
Coal (thermal)	139.75	1.0%
Iron Ore	96.45	0.1%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	-0.01
180 day BBSY	4.83	-0.01
1 year swap	4.59	0.00
2 year swap	4.57	0.01
3 year swap	4.56	0.01
4 year swap	4.58	0.01
5 year swap	4.62	0.01
6 year swap	4.67	0.01
7 year swap	4.73	0.00
8 year swap	4.79	0.01
9 year swap	4.84	0.01
10 year swap	4.90	0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.57	0.04
10 year bond	5.06	0.05
United States		
3-month T Bill	3.71	0.00
2 year bond	4.24	0.05
10 year bond	4.73	0.03
Other (10 year yields)		
Germany	3.26	0.00
Japan	2.89	0.03
UK	5.06	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	-0.01
3 yr bond	4.56	0.00
3 mth bill rate	4.50	0.01
SPI 200	9,028	0.5%



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Financial Markets

- The US announced a fresh round of sanctions against Iran, dubbed the “economic D-Day” campaign by President Trump. The measures target more than 70 entities linked to Iran and threaten action against countries that continue doing business with Tehran. The effectiveness of the sanctions will largely depend on whether the US is prepared to enforce them against China, Iran’s largest oil customer. Despite the tougher rhetoric, WTI crude fell 2.4% to US\$85.01/bbl, suggesting markets believe Iran may ultimately yield to mounting economic pressure.
- Trade tensions also remain elevated between the US and Canada, with President Trump stating that a 50% tariff on Canadian automobiles and auto parts will take effect from January. Separately, reports suggest the US is preparing to impose an additional 7.5% tariff on Chinese goods over concerns about excess manufacturing capacity ahead of next month’s Trump-Xi summit. The move reinforces concerns that trade policy uncertainty will be a headwind for growth.
- Risk sentiment weakened overnight amid escalating geopolitical tensions and renewed pressure on semiconductor stocks ahead of Nvidia’s earnings release later this week. Technology shares led declines, with Nvidia, Seagate, Sandisk and Micron among the biggest losers. An ETF tracking memory-chip producers fell 5.9% on the day. The Nasdaq lost 0.8%, while the S&P 500 fell 0.3%. The Dow Jones outperformed, rising 0.3%.
- European equities were mixed in subdued trading as investors awaited further details on the US sanctions package. The Euro Stoxx 50 fell 0.2%, Germany’s DAX declined 0.2%, and France’s CAC lost 0.4%, while the FTSE 100 rose 0.3%. Asian markets were also mixed, with the Hang Seng down 1.9% and the Nikkei falling 0.7%. Locally, the S&P/ASX 200 gained 0.5% to 9,103. Equity futures were little changed, up 0.1% to 9,055.
- Bond markets were mixed overnight. Treasuries found support after reports that the US Treasury could use part of its cash balance to buy back higher-yielding legacy securities in an effort to ease borrowing costs. However, yields ultimately moved little, with the 10-year Treasury yield down 4bps to 4.70%, while the 2-year yield was unchanged at 4.23%. Traders are now pricing around 27bps of rate hikes by the end of 2026 and almost 50bps of hikes by the end of 2027.

Today’s key data and events

Time	Event	Exp	Prev
11:30	AU RBA Minutes	-	-
23:00	US FHFA House Prices Jun	0.2%	0.3%
23:00	US S&P/CS Home Price Index Jun	0.1%	0.1%
-	US Building Permits Jul Final	-	5.0%
0:00	US Richmond Fed Manufacturing Aug	6.5pts	5pts
0:00	US New Home Sales Jul	-1.3%	1.6%
0:00	US Consumer Confidence Aug	90.2pts	90.8pts

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Cliff Notes: deciphering signal from noise in real time

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By [Elliot Clarke](#) & [Ryan Wells](#)

09:45 August 28 2026

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Key insights from the week that was.



The main event in Australia this week was the [July CPI](#) report. It surprised modestly to the upside on both a headline (1.0%/3.5%yr) and trimmed mean basis (0.5%/3.6%yr). Strength in durable goods pricing was a key contributor, including for clothing and footwear, motor vehicles and household contents; however, in part this was due to regular seasonality caused by the conclusion of the EOFY sales discounting period. Of greater concern was the upside surprise for market services, even after

making an allowance for the larger-than-expected awards wage increase which came into effect in July. While the risk of another RBA rate hike later in the year cannot be dismissed, it is not our base case. In the interim though, the RBA will certainly maintain a hawkish bias.

The inflation print was followed up by another solid showing from the household spending indicator, up 1.1% (7.0%yr) in July. Gains were broadly based but led by discretionary spending categories – consistent with the resilience recently shown by our own card indicators. That said, some pockets of strength may have been more price than volume led. The end of the fuel excise cut will also likely temper momentum in discretionary spending in coming months, particularly if global oil prices hold up.

We also received two partial indicators for investment this week ahead of Q2 GDP next Wednesday.

Construction activity disappointed, a 2.1% decline in Q2 bringing annual growth down to 2.1%yr. Most of the decline was driven by the mining sector following the completion of a large mining infrastructure installation in WA earlier in the year. Lumpy completions like these tend to have a smaller impact on National Accounts estimates as GDP is reported on an accrual basis (i.e. as work is done). Activity was otherwise firm, namely in residential construction (1.7%) and non-residential building (0.5%), though public infrastructure declined again. The recent uptick in cost pressures will be closely watched hence, but the pipeline still looks broadly balanced as public works roll off and private activity picks up.

Private CAPEX also surprised to the downside, falling 3.6% in Q2, although the annual pace remains at an elevated 10.7%yr. An unwind in machinery and equipment spending was the chief culprit, falling 8.9% in the quarter, largely due to a cooling in data centre-related equipment spending – an import-intensive component that will have only a negligible net impact on GDP. Excluding this specific dynamic, private capex spending rose a solid 2.6% in the quarter. Total capex plans also remain very healthy, consistent with double-digit real growth over the 2027-28 financial year.

Ahead of next Wednesday's release, our Q2 GDP preview will be published later today on Westpac IQ.

Offshore, the data flow was centred on the US consumer. US GDP growth was unrevised in Q2's second estimate at 1.5% annualised. In the detail, household consumption was revised up a touch (3.2% to 3.4% annualised) but offset by marginal downward revisions to business investment and government spending, as well as a larger drag from net exports. US personal consumption growth then beat expectations in July as it rose 0.2%, aided by a 0.4% increase in incomes. That said, the deflator was also 0.1ppts stronger at 0.2%, leaving real consumption flat for the month compared to a solid average gain of 0.2% per month through the first half.

While US consumers have steadily increased everyday spending at a steady clip through 2026, they are reticent to act on housing. US new home sales unexpectedly dropped by 10.5% in July to an annualised pace of just 607k – a new low for 2026. House price growth also remained weak, the FHFA house price measure and S&P Cotality Case-Shiller 20-City index averaging a monthly gain of just 0.1% through the first half.

While the stronger of the two major sentiment surveys, Conference Board consumer confidence still

bears witness to households’ entrenched anxiety. In August, the index held near its lowest level in 18 months – a level also materially below the historic average. Cost of living pressures are critical to consumers’ concern: inflation has outpaced wage growth since the pandemic and workers fear this trend will continue, with 1-year inflation expectations remaining elevated in August at 5.8%yr – a multiple of nominal income growth.

Away from the data flow, this week the White House announced a new set of sanctions against Iran, ambitiously heralded by President Trump as Iran’s “economic D-Day”. The US’ plan directly sanctions more than 70 entities related to various activities undertaken by Iran. However, the effectiveness of the new measures largely rests on whether the US is prepared to act against China, given their strong trade and financial relationship with Iran. The initial response suggests China is unlikely to acquiesce, with initial reports suggesting the unilateral sanctions will be ignored by China and Hong Kong.

The piece of news on the Strait that moved markets this week was instead reports of further discussions on commercial shipping between Iran and Oman. If agreed to, this could bring a degree of confidence over supply through the Strait, particularly if the US remains focused on applying economic pressure.

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A capex reset, not a shutdown

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By [Luka Belobrajdic](#)
Economist, Westpac

16:10 August 27 2026

 Share

Private capex surprised on the downside, falling 3.6%qtr in the June quarter 2026, although remaining up a solid 10.7%yr. Machinery and equipment led the decline as information media and telecommunications unwound part of last quarter's surge, while buildings and structures provided support.



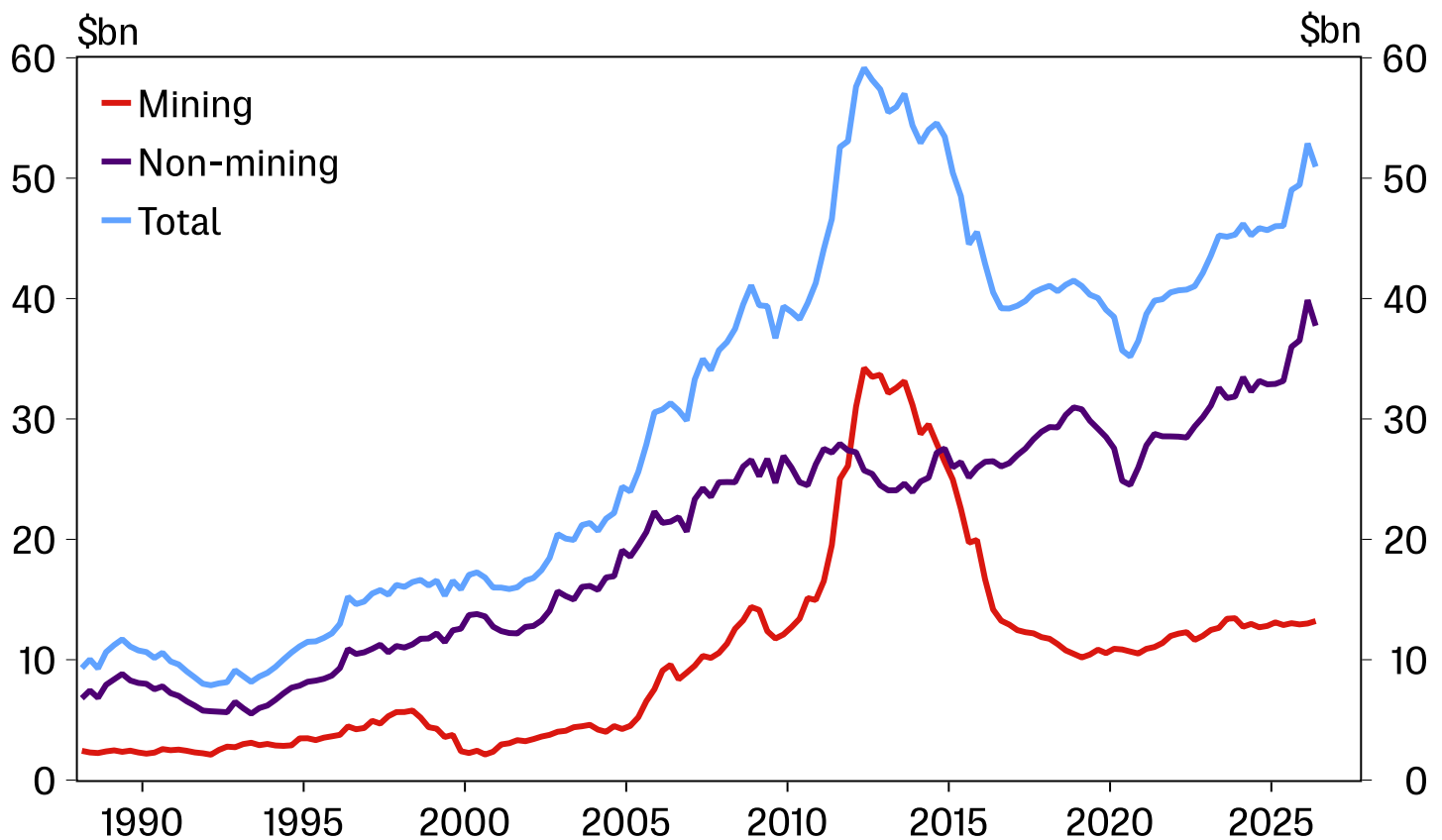
Private capex surprised materially to the downside, falling 3.6%qtr in the June quarter 2026. Despite the decline, investment remained 10.7% higher than a year ago, while the March quarter result was revised up by 0.4ppt to 6.9%qtr. Today's outcome was the weakest quarterly result since June 2020 and came in below our expectation for a flat result and well-below that of market consensus of a 0.8%qtr rise.

The decline was driven by machinery and equipment (M&E), which fell 8.9%qtr. As expected, information media and telecommunications unwound part of last quarter's exceptional strength, although the magnitude exceeded expectations, with M&E investment in the industry falling 53%qtr. Even so, M&E investment in the sector remains exceptionally strong, up 93.5%yr. Excluding information media and telecommunications, total M&E investment rose a solid 3.2%qtr. By contrast, buildings and structures increased 2.1%qtr and provided support to the headline result.

Looking ahead, spending plans continue to point to a significant acceleration in investment through FY2027, with real capex growth of around 16%yr expected. Information media and telecommunications is likely to remain a key driver, with short-term expectations in the June quarter running 92% above equivalent levels a year earlier.

Capital Expenditure

By industry



Source: ABS, Macrobond, Westpac Economics



What does this mean for next week's National Accounts?

Today's result poses slight downside risk to our Q2 2026 GDP nowcast, ahead of our full update

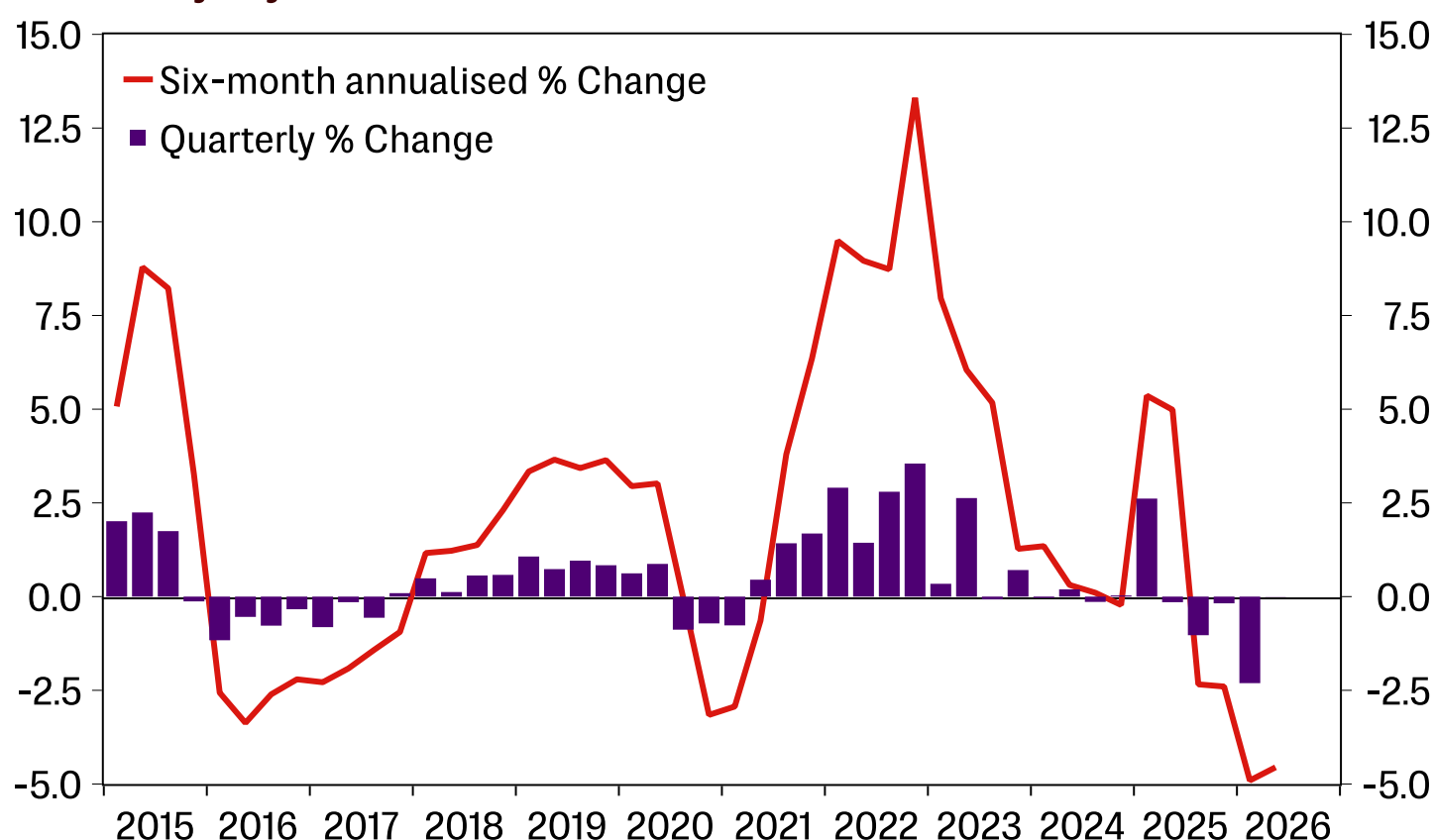
tomorrow. However, the headline capex decline likely overstates the drag on domestic activity. The weakness was concentrated in import-intensive machinery and equipment investment by the information and telecommunications sector, much of which should net out of GDP. Excluding this segment, total capex rose a solid 2.6%qtr.

What about inflationary pressures?

Capex price pressures have re-emerged, with the headline deflator rising 1.0%qtr following a 1.1%qtr decline in the March quarter. The machinery and equipment deflator was flat in Q2, ending a year of consecutive declines, although it remains down 4.6% in six-month annualised terms. The modest reacceleration in prices likely reflects a reduced disinflationary impulse from imported capital goods. ADP equipment imports fell 26%qtr in Q2, limiting the pass-through of lower-priced imported equipment that weighed on prices over H1 2026.

New Machinery and Equipment Price Index

Seasonally Adjusted



Source: ABS, Macrobond, Westpac Economics



Industry detail

Mining capex supported the headline, rising 1.6%qtr. Machinery and equipment led the increase, up 5.4%qtr, while buildings and structures were broadly flat, down 0.1%qtr. Non-mining capex fell 5.3%qtr but remains 13.8% higher over the year. The decline was driven by machinery and equipment, down 11.3%qtr, while buildings and structures rose 3.3%qtr.

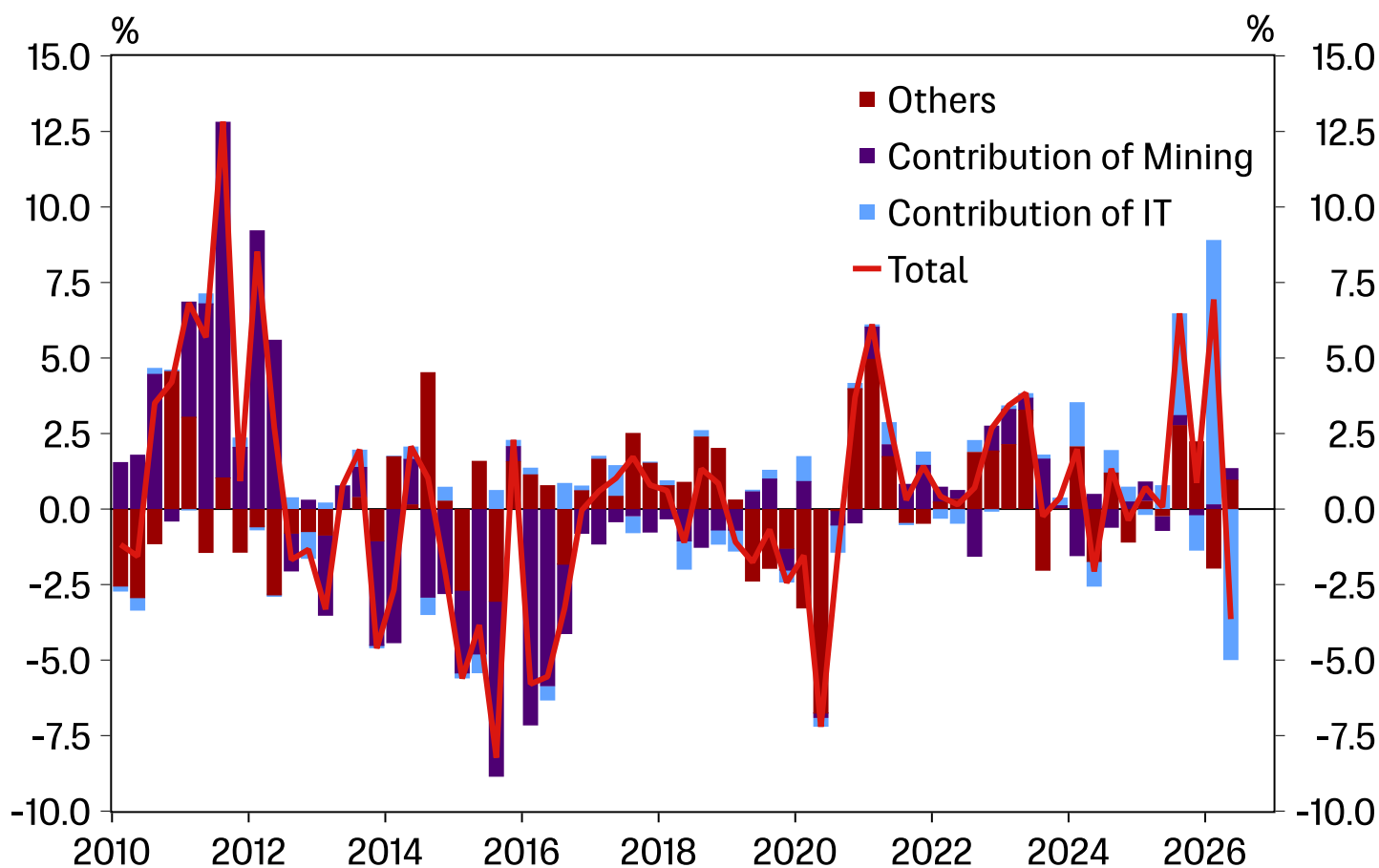
As anticipated, information media and telecommunications was the primary drag on the headline result,

falling 30.2%qtr, its largest quarterly decline since 2002. Leading indicators had been mixed, with 'other commercial building' approvals remaining elevated through H1 2026 while trade data pointed to a sharp pullback in ADP equipment imports. The divergence between asset classes remained clear. Buildings and structures rose 17.7%qtr, extending growth into an eighth consecutive quarter, while machinery and equipment fell 53%qtr, subtracting \$3.1bn from headline capex. The result highlights the volatility associated with large-scale data-centre investment. Despite the quarterly reset, total investment in the industry remains up 76.8%yr and the sector remains the second-largest source of capex behind mining, suggesting the broader data-centre build-out continues at pace. The sector's contribution to aggregate investment is increasingly reminiscent of the early stages of the mining investment boom, with movements in information media and telecommunications continuing to dominate overall capex outcomes.

Elsewhere, professional, scientific and technical services also weighed on the headline, declining 12.0%qtr. Machinery and equipment fell 16.3%qtr, partly offset by a 17.2%qtr rise in buildings and structures. Offsetting some of this weakness, transport and construction recorded strong gains of 16.5%qtr and 16.1%qtr respectively. In both industries, machinery and equipment outperformed while buildings and structures were weaker.

Electricity, gas, water and waste returned to growth, rising 5.5%qtr following a 6.3%qtr decline previously. Buildings and structures increased 7.8%qtr, while machinery and equipment fell 14.1%qtr. The ABS attributed the rise to the commencement of several large projects during the quarter. The sector is likely to remain supported by the energy transition and growing infrastructure requirements associated with expanding data-centre capacity.

Contributions to Capex Growth



Source: ABS, Macrobond, Westpac Economics



Capex spending plans

Alongside the capex data, the ABS also publishes businesses spending plans for this financial year, which allows us to assess how the capex spending is likely to evolve over the coming quarters. Usually, those plans tend to have a bias, with companies first estimates usually erring on the side of caution. Over time, business tend to revise their plans higher. We apply a methodology, that takes historical ratios of plans to actuals alongside business conditions which allows us to derive a more realistic capex estimate in the year ahead.

Full-year nominal FY2026 spending came in at \$210bn, exactly in line with our expectations. A somewhat stronger-than-expected deflator saw real capex growth come in at 10.2%yr, slightly below our 10.7%yr forecast.

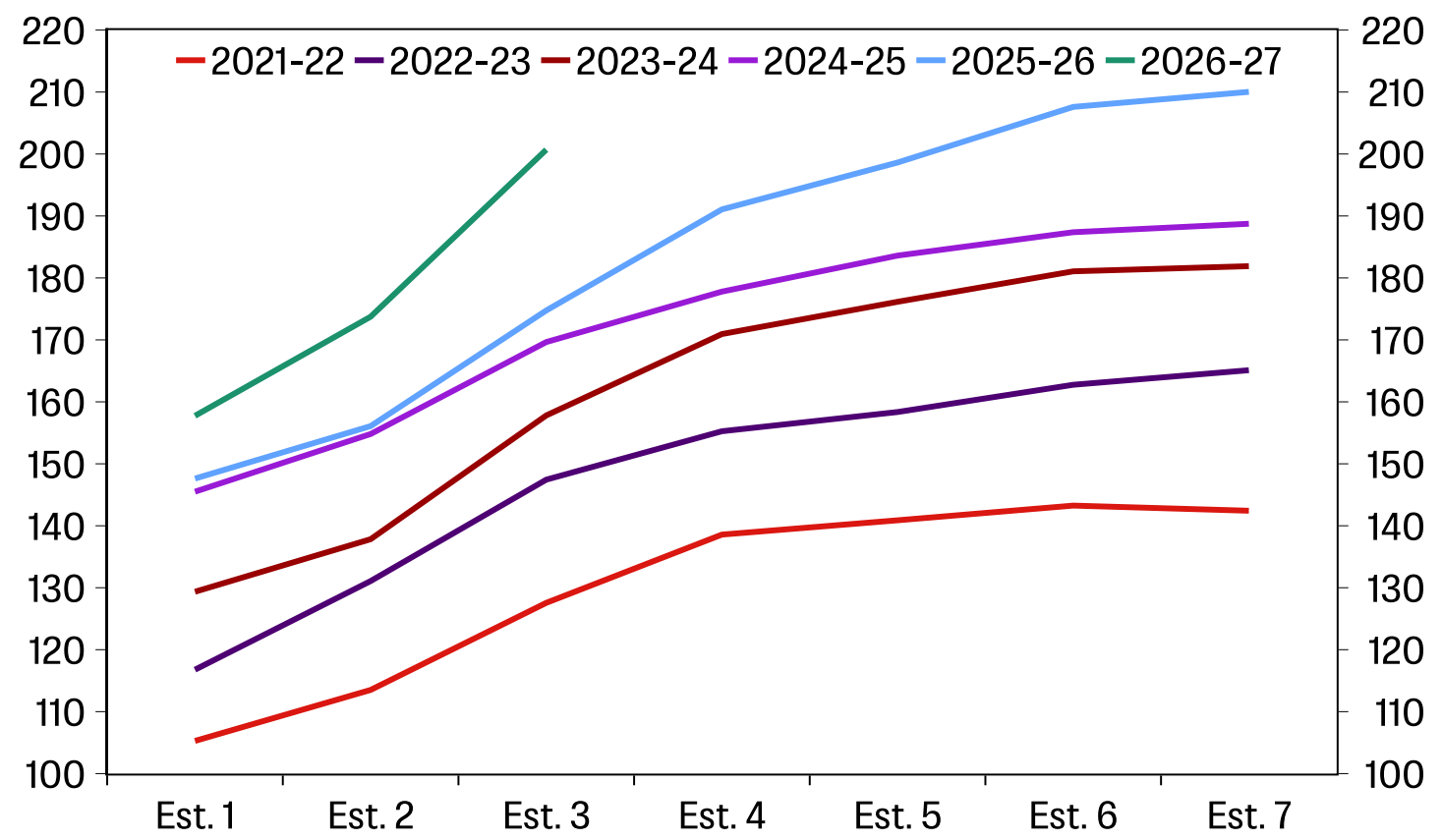
Estimate 3 for FY2027 was \$201bn, above our expectation of \$195bn. The improvement comes alongside a marked recovery in business confidence through Q2. Estimate 3 recorded 14.8% above the equivalent estimate a year ago and 15.5% higher than Estimate 2. Based on the historical profile of estimates, this implies nominal capex of around \$247bn in FY2027, representing growth of 17.9%yr.

Price effects continue to appear contained, with the capex deflator flat in year-ended terms. However, this largely reflects base effects following the sharp decline in prices earlier in 2026. While we expect the deflator to increase through FY2027, a still-elevated AUD and the import-intensive nature of data-

centre investment should keep price pressures relatively subdued. Combined with nominal growth of 17.9%yr, this implies real capex growth of around 16%yr, which would be the strongest outcome since the mining investment boom in FY2012.

Capex Spending Plans

Value, \$bn



Source: ABS, Macrobond, Westpac Economics 

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25 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment softened overnight as geopolitical tensions escalated, with the US unveiling its “economic D-Day” sanctions campaign against Iran while trade tensions with Canada remained elevated. Semiconductor stocks also came under pressure ahead of Nvidia’s earnings.

Equity markets weakened, led by technology shares. Major US indices closed lower, while an ETF tracking memory-chip producers slumped 5.9%. European markets were mixed.

Bond markets firmed, with US Treasuries rallying after reports the Treasury could use cash stockpile to buy back higher-yielding bonds. The US 10-year Treasury yield fell 4bps to 4.70%.

The Aussie declined 0.3% to US\$0.7150, ahead of the release of the RBA Minutes later today. Commodity markets were mixed, with gains in gold and copper offset by declines in oil prices and broader commodity indices.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	0.3%
AUD/USD	0.7164	0.8%
AUD/JPY	113.89	0.7%
AUD/GBP	0.5255	0.7%
AUD/NZD	1.1990	0.2%
AUD/EUR	0.6135	0.7%
AUD/CNH	4.8142	0.6%
AUD/SGD	0.9092	0.6%
AUD/HKD	5.6171	0.8%
AUD/CAD	0.9887	0.6%
EUR/USD	1.1677	0.0%
USD/JPY	159.01	-0.1%
USD Index	98.80	-0.1%

Equities	Close	Change
S&P/ASX 200	9,059	-0.3%
S&P 500	7,674	0.4%
Japan Nikkei	66,016	-0.3%
Hang Seng	26,009	1.2%
Euro Stoxx 50	6,462	0.6%
UK FTSE100	10,817	0.6%
VIX Index	15.13	-5.5%

Commodities	Current	Change
CRB Index	406.24	0.7%
Gold	4603.07	1.9%
Copper	14216	1.3%
Oil (WTI futures)	87.06	0.3%
Coal (coking)	233.00	1.7%
Coal (thermal)	139.75	1.0%
Iron Ore	96.45	0.1%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	-0.01
180 day BBSY	4.83	-0.01
1 year swap	4.59	0.00
2 year swap	4.57	0.01
3 year swap	4.56	0.01
4 year swap	4.58	0.01
5 year swap	4.62	0.01
6 year swap	4.67	0.01
7 year swap	4.73	0.00
8 year swap	4.79	0.01
9 year swap	4.84	0.01
10 year swap	4.90	0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.57	0.04
10 year bond	5.06	0.05
United States		
3-month T Bill	3.71	0.00
2 year bond	4.24	0.05
10 year bond	4.73	0.03
Other (10 year yields)		
Germany	3.26	0.00
Japan	2.89	0.03
UK	5.06	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	-0.01
3 yr bond	4.56	0.00
3 mth bill rate	4.50	0.01
SPI 200	9,028	0.5%



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Financial Markets

- The US announced a fresh round of sanctions against Iran, dubbed the “economic D-Day” campaign by President Trump. The measures target more than 70 entities linked to Iran and threaten action against countries that continue doing business with Tehran. The effectiveness of the sanctions will largely depend on whether the US is prepared to enforce them against China, Iran’s largest oil customer. Despite the tougher rhetoric, WTI crude fell 2.4% to US\$85.01/bbl, suggesting markets believe Iran may ultimately yield to mounting economic pressure.
- Trade tensions also remain elevated between the US and Canada, with President Trump stating that a 50% tariff on Canadian automobiles and auto parts will take effect from January. Separately, reports suggest the US is preparing to impose an additional 7.5% tariff on Chinese goods over concerns about excess manufacturing capacity ahead of next month’s Trump-Xi summit. The move reinforces concerns that trade policy uncertainty will be a headwind for growth.
- Risk sentiment weakened overnight amid escalating geopolitical tensions and renewed pressure on semiconductor stocks ahead of Nvidia’s earnings release later this week. Technology shares led declines, with Nvidia, Seagate, Sandisk and Micron among the biggest losers. An ETF tracking memory-chip producers fell 5.9% on the day. The Nasdaq lost 0.8%, while the S&P 500 fell 0.3%. The Dow Jones outperformed, rising 0.3%.
- European equities were mixed in subdued trading as investors awaited further details on the US sanctions package. The Euro Stoxx 50 fell 0.2%, Germany’s DAX declined 0.2%, and France’s CAC lost 0.4%, while the FTSE 100 rose 0.3%. Asian markets were also mixed, with the Hang Seng down 1.9% and the Nikkei falling 0.7%. Locally, the S&P/ASX 200 gained 0.5% to 9,103. Equity futures were little changed, up 0.1% to 9,055.
- Bond markets were mixed overnight. Treasuries found support after reports that the US Treasury could use part of its cash balance to buy back higher-yielding legacy securities in an effort to ease borrowing costs. However, yields ultimately moved little, with the 10-year Treasury yield down 4bps to 4.70%, while the 2-year yield was unchanged at 4.23%. Traders are now pricing around 27bps of rate hikes by the end of 2026 and almost 50bps of hikes by the end of 2027.

Today’s key data and events

Time	Event	Exp	Prev
11:30	AU RBA Minutes	-	-
23:00	US FHFA House Prices Jun	0.2%	0.3%
23:00	US S&P/CS Home Price Index Jun	0.1%	0.1%
-	US Building Permits Jul Final	-	5.0%
0:00	US Richmond Fed Manufacturing Aug	6.5pts	5pts
0:00	US New Home Sales Jul	-1.3%	1.6%
0:00	US Consumer Confidence Aug	90.2pts	90.8pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Australian bond markets firmed, with yields moving lower across the curve. The 3-year government bond yield fell 3bps to 4.53%, while the 10-year yield declined 4bps to 5.02%. Futures also firmed overnight, with the 3-year futures yield up 2bps to 4.55%, while the 10-year futures yield remained unchanged at 5.02%. OIS pricing continues to imply a cash rate of around 4.50% by year-end, with the market flirting with the idea of another hike this year.
- In foreign exchange markets, the US dollar edged higher, with the DXY rising 0.2% to 98.99. The Australian dollar eased 0.3% to US\$0.7150, while also weakening against the yen, sterling, euro, yuan, Hong Kong dollar and Singapore dollar. The Australian dollar was broadly unchanged against the New Zealand dollar and strengthened 0.4% against the Canadian dollar.
- Commodity markets were mixed. The CRB Index fell 0.8%, driven largely by the 2.4% decline in oil prices. Gold rose 1.1% and copper gained 0.4%, reflecting ongoing geopolitical uncertainty, while iron ore climbed 1.8% to US\$97.90/t. Coking coal rose 0.6% and thermal coal increased 0.9%. ACCU prices fell 4.3%.

International Data

The **Chicago Fed National Activity Index**, a weighted average of 85 other monthly indicators, has been volatile lately, oscillating between above-trend and below-trend growth readings in recent months. The latest release for July reported a reading of -0.08, suggesting that after growing broadly in line with trend in Q2, the US economy started losing momentum again this quarter. A decline in the personal consumption and housing category led the way down, but the production indicator, alongside the sales, orders and inventories gauge, was also weaker. The labour market improved, but remained a touch below trend.



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26 August 2026

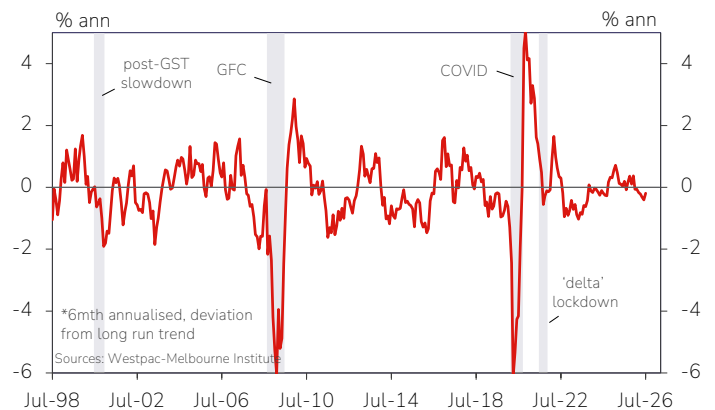
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Leading Index growth rate lifts to -0.2% in July from -0.4% in June.
- Momentum running below trend but not particularly weak.
- Detail shows main drag coming from financial conditions and labour market.
- GDP growth likely positive overall, close to flat in per capita terms.

Westpac-MI Leading Index



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Leading Index suggests growth a little less sluggish



Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, lifted to –0.2% in July from –0.4% in June.

The July update marks the seventh consecutive below-trend read on the Leading Index growth rate. That said, momentum has improved a touch since mid-year with the latest monthly read of –0.2% only marginally below ‘trend’. This compares with the two-year stretch of below-trend reads in 2022–24 which saw an average read of –0.4%, ranging as low as –1.0%. All up, the latest Leading Index points to an economy that is soft, but not particularly weak. GDP growth likely to still be positive overall in coming quarters but perhaps running close to flat in per capita terms.

The detail shows the sub-trend Leading Index growth signal is mainly coming from financial conditions and the labour market. The headline growth rate of –0.2% reflects a –0.2ppt drag from ‘financial market’ components (the S&P ASX200 and the yield spread) and a further 0.2ppt drag from ‘labour market’ components (total hours worked and consumer unemployment expectations). Contributions from other components are more mixed, with a slight drag from wider consumer sentiment and commodity prices but slightly bigger (but still small) positives from dwelling approvals and US industrial production.

It’s a similar story when we look at how the signal has shifted since the start of the year. The Leading Index growth rate has slowed from –0.06% in January to –0.20% in July, a 0.14ppt deterioration. The single biggest component contributing to this has been the yield spread where sharply higher short-term interest rates, mainly due to the RBA cash rate increases, have driven an abrupt narrowing that has taken –0.33ppts off the Index growth rate. Labour market components have taken an additional 0.11ppts off the Index growth rate with a retracement in commodity prices (in AUD terms) taking off another 0.19ppts. Against this, the growth pulse has seen some modest support coming from US industrial production (+0.26ppts); dwelling approvals (+0.15ppts); and slightly less downbeat reads on the Westpac–MI Consumer Expectations Index (+0.07ppts).

The Westpac–Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

Stepping back, the component contributions and changes over the last six months have been relatively small by historical standards. Meanwhile, the most substantive change – the drag from an abrupt narrowing in the yield spread – has largely run its course with the RBA’s shift from active monetary tightening to a ‘hawkish hold’ set to see a mechanical moderation in this specific drag in the months ahead. All else being equal that should see momentum improve a touch but, absent some other developments, the overall picture looks likely to be one of soft growth and an economy that is lacking direction either way.

The Reserve Bank Monetary Policy Board next meets on September 28–29. We expect it to again leave the cash rate unchanged but reiterate that it is prepared to hike again if high inflation is showing signs of being more persistent. While not the Bank’s primary consideration, the soft growth picture coming from the Leading Index and other measures will be of some comfort to the Board. On the one hand, it suggests demand is continuing to come more into line with supply capacity. However, the moderate slowing also points to an underlying resilience. Whether the pace of softening is enough to ensure a timely moderation in inflation back to the 2–3% target range is the key question.



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Higher long bond yields stem from more than just one thing

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By Luci Ellis

Chief Economist Westpac Group, Westpac

10:32 August 21 2026

Share

AI-related investment and US fiscal incontinence add to the existing tendency for the global rates structure to average higher than pre-pandemic. Expect more US government action to contain debt-servicing costs.



- Bond yields have been rising in recent weeks, especially at the long end of the maturity spectrum. We have long believed that the global structure of interest rates would have a higher centre of gravity

in future than it did in the period between the GFC and the pandemic. The factors often cited for the recent rise in yields – larger government deficits globally, the investment boom from AI – were already behind this judgement.

- The question then arises: have we allowed enough for these forces? Getting the direction right is one thing; quantifying the impact is another. In doing so, though, we must take care not to confuse trend and cycle. Some of the recent rise stems from the exceptional demand for funding data centre construction. This effect of the technology wave could last a while, but it is more a cyclical development than a permanent structural one.
- For the Australian economy, developments at the long end of the yield curve tend to be less relevant. Most financing happens at the short end of the maturity spectrum, especially for households. But there are borrowers and investors who are affected by long-dated yields, especially governments.
- Higher yields mean higher debt-servicing costs, particularly for the US government. Expect more manoeuvres like the US Treasury supporting the yen by selling euros not dollars, as well as the buy-back operation this week. These are merely stop-gaps rather than a lasting solution like genuine fiscal consolidation.

Westpac Economics has long held the house view that the global structure of interest rates would be higher in the future than it was in the period between the GFC and the pandemic. Central bank policy might influence the short end, but over a longer period, what matters for interest rates globally is the global balance of saving and investment. Pre-pandemic, saving rates were high, thanks in part to official sectors accumulating reserves. Meanwhile, investment was weak. Confidence had been frayed by the crisis, and some governments were in austerity mode. That decade's new technologies did not spark the same kind of productivity-enhancing investment boom as computers and the internet did in the late 1990s and early 2000s. And in any case, banks in North America and Europe were recapitalising and less inclined to lend.

There were good reasons to see that period as an aberration, though, including the very long-term evidence we noted two years ago. As we highlighted at the time, a range of forces have been pushing “neutral” rates higher, along with the structure of interest rates more broadly. These include higher government spending as populations age, as well as the private sector needing to invest in both energy transition and AI. Higher defence spending was also in the mix, especially after Germany changed its constitution last year to allow more deficit spending for this purpose. The general fiscal incontinence of the US government was already evident two years ago and worsened under the current administration. All these factors imply greater bond supply, and so higher yields.

To unpack this further, a bond yield is normally thought of as being the combination of several components that are easier to name than to measure. Nominal government bond yields are composed of (expected) inflation plus real yields, where real yields are normally assumed to reflect expected future (real) policy rates plus a “term premium”. The term premium is in principle the compensation investors require for the risk that things turn out differently from their expectations of the other two components, and in practice is a residual grab bag of everything else that might affect demand and supply in the bond market. Corporate bonds add a risk spread to this, reflecting that a company might default but a sovereign issuing in its own currency will never need to.

The higher global structure of interest rates can be seen in all these components. Inflation generally undershot central bank targets in the 2010s; since the pandemic, it has at best been around target, with global supply shocks periodically lifting it above target. Real yields are higher, and with shorter-maturity bonds now paying positive real yields, we are seeing less of the “search for yield” behaviour that compressed both term premia and risk spreads in the 2010s.

But how much?

It is one thing to say rates will be higher on average. We also need to ask: by how much? This is where the AI boom comes in. The scale of the planned global investment in data centres is nothing short of mind-boggling, and it is creating substantial demand for debt finance. The “hyperscaler” tech firms (Alphabet, Amazon, Meta and Microsoft) used to be enormous cash generators. Now they are responsible for some of the largest debt issuances in the market, including Alphabet’s super-sized \$A deal this week. Issuance in Australia and other non-US jurisdictions makes sense for these firms. They want to access a diversified pool of investors, and many of the assets they are financing are outside the US, especially now that data centres have become unpopular in many US communities.

The scale of this greater investment call on global savings is one reason to expect longer-dated yields to average even higher in the near term than their range since the pandemic so far.

We must take care, though, to distinguish trend from cycle. This is particularly relevant for the data centre boom, which is likely to be a big thing for the next few years, but settle down as the technology matures and computing capacity expands (and becomes cheaper).

The US government is also making an exceptional call on global saving, and this looks more like a longer-term structural trend than the AI boom does. The US federal government has been running deficits in excess of 4% of GDP for a decade, aside from a brief period in 2022, and more than 6% since the beginning of 2023.

In recent weeks, rumblings of investor discontent about the US fiscal position have become evident in yields. And those hyperscaler bonds, including the \$A-denominated ones, are offering a higher yield for companies with similar ratings to the US sovereign. The bonds of governments in better fiscal positions, including Australia’s, also start looking attractive. To this we must add that Japan now looks to be becoming a “normal” economy with positive inflation and interest rates, and an undervalued currency that might tempt some investors to bet on an appreciation. While it remains the case that There Is No Alternative to the US Treasury market for depth and liquidity, some diversification out of USD assets is starting to look both more feasible and more attractive.

The other consequences

For the Australian economy, developments at the long end of the yield curve tend to be less relevant than those at the short end. Most financing happens at the short end of the maturity spectrum, especially for households. But some borrowers and investors are affected by long-dated yields, especially governments, and the local firms involved in data centre construction.

Offshore, we can see higher yields constraining policy decisions by the US government and can expect more on this front. The US government's debt-servicing costs are becoming more burdensome as large deficits persist and yields rise. Just in the past few weeks, we have seen some unusual currency interventions by the US Treasury, followed by buy-backs designed to shorten the maturity profile of US government debt and lower the term premium paid. And while we expect the Fed will not fold in the face of pressure to keep rates low, we can well imagine the content of the phone calls between FOMC Chair Warsh and President Trump. Expect more manoeuvres by the US authorities along the lines seen recently. These are merely stop-gaps, though, not lasting solutions like genuine fiscal consolidation.

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25 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment softened overnight as geopolitical tensions escalated, with the US unveiling its “economic D-Day” sanctions campaign against Iran while trade tensions with Canada remained elevated. Semiconductor stocks also came under pressure ahead of Nvidia’s earnings.

Equity markets weakened, led by technology shares. Major US indices closed lower, while an ETF tracking memory-chip producers slumped 5.9%. European markets were mixed.

Bond markets firmed, with US Treasuries rallying after reports the Treasury could use cash stockpile to buy back higher-yielding bonds. The US 10-year Treasury yield fell 4bps to 4.70%.

The Aussie declined 0.3% to US\$0.7150, ahead of the release of the RBA Minutes later today. Commodity markets were mixed, with gains in gold and copper offset by declines in oil prices and broader commodity indices.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	0.3%
AUD/USD	0.7164	0.8%
AUD/JPY	113.89	0.7%
AUD/GBP	0.5255	0.7%
AUD/NZD	1.1990	0.2%
AUD/EUR	0.6135	0.7%
AUD/CNH	4.8142	0.6%
AUD/SGD	0.9092	0.6%
AUD/HKD	5.6171	0.8%
AUD/CAD	0.9887	0.6%
EUR/USD	1.1677	0.0%
USD/JPY	159.01	-0.1%
USD Index	98.80	-0.1%

Equities	Close	Change
S&P/ASX 200	9,059	-0.3%
S&P 500	7,674	0.4%
Japan Nikkei	66,016	-0.3%
Hang Seng	26,009	1.2%
Euro Stoxx 50	6,462	0.6%
UK FTSE100	10,817	0.6%
VIX Index	15.13	-5.5%

Commodities	Current	Change
CRB Index	406.24	0.7%
Gold	4603.07	1.9%
Copper	14216	1.3%
Oil (WTI futures)	87.06	0.3%
Coal (coking)	233.00	1.7%
Coal (thermal)	139.75	1.0%
Iron Ore	96.45	0.1%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	-0.01
180 day BBSY	4.83	-0.01
1 year swap	4.59	0.00
2 year swap	4.57	0.01
3 year swap	4.56	0.01
4 year swap	4.58	0.01
5 year swap	4.62	0.01
6 year swap	4.67	0.01
7 year swap	4.73	0.00
8 year swap	4.79	0.01
9 year swap	4.84	0.01
10 year swap	4.90	0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.57	0.04
10 year bond	5.06	0.05
United States		
3-month T Bill	3.71	0.00
2 year bond	4.24	0.05
10 year bond	4.73	0.03
Other (10 year yields)		
Germany	3.26	0.00
Japan	2.89	0.03
UK	5.06	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	-0.01
3 yr bond	4.56	0.00
3 mth bill rate	4.50	0.01
SPI 200	9,028	0.5%



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Financial Markets

- The US announced a fresh round of sanctions against Iran, dubbed the “economic D-Day” campaign by President Trump. The measures target more than 70 entities linked to Iran and threaten action against countries that continue doing business with Tehran. The effectiveness of the sanctions will largely depend on whether the US is prepared to enforce them against China, Iran’s largest oil customer. Despite the tougher rhetoric, WTI crude fell 2.4% to US\$85.01/bbl, suggesting markets believe Iran may ultimately yield to mounting economic pressure.
- Trade tensions also remain elevated between the US and Canada, with President Trump stating that a 50% tariff on Canadian automobiles and auto parts will take effect from January. Separately, reports suggest the US is preparing to impose an additional 7.5% tariff on Chinese goods over concerns about excess manufacturing capacity ahead of next month’s Trump-Xi summit. The move reinforces concerns that trade policy uncertainty will be a headwind for growth.
- Risk sentiment weakened overnight amid escalating geopolitical tensions and renewed pressure on semiconductor stocks ahead of Nvidia’s earnings release later this week. Technology shares led declines, with Nvidia, Seagate, Sandisk and Micron among the biggest losers. An ETF tracking memory-chip producers fell 5.9% on the day. The Nasdaq lost 0.8%, while the S&P 500 fell 0.3%. The Dow Jones outperformed, rising 0.3%.
- European equities were mixed in subdued trading as investors awaited further details on the US sanctions package. The Euro Stoxx 50 fell 0.2%, Germany’s DAX declined 0.2%, and France’s CAC lost 0.4%, while the FTSE 100 rose 0.3%. Asian markets were also mixed, with the Hang Seng down 1.9% and the Nikkei falling 0.7%. Locally, the S&P/ASX 200 gained 0.5% to 9,103. Equity futures were little changed, up 0.1% to 9,055.
- Bond markets were mixed overnight. Treasuries found support after reports that the US Treasury could use part of its cash balance to buy back higher-yielding legacy securities in an effort to ease borrowing costs. However, yields ultimately moved little, with the 10-year Treasury yield down 4bps to 4.70%, while the 2-year yield was unchanged at 4.23%. Traders are now pricing around 27bps of rate hikes by the end of 2026 and almost 50bps of hikes by the end of 2027.

Today’s key data and events

Time	Event	Exp	Prev
11:30	AU RBA Minutes	-	-
23:00	US FHFA House Prices Jun	0.2%	0.3%
23:00	US S&P/CS Home Price Index Jun	0.1%	0.1%
-	US Building Permits Jul Final	-	5.0%
0:00	US Richmond Fed Manufacturing Aug	6.5pts	5pts
0:00	US New Home Sales Jul	-1.3%	1.6%
0:00	US Consumer Confidence Aug	90.2pts	90.8pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

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25 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment softened overnight as geopolitical tensions escalated, with the US unveiling its “economic D-Day” sanctions campaign against Iran while trade tensions with Canada remained elevated. Semiconductor stocks also came under pressure ahead of Nvidia’s earnings.

Equity markets weakened, led by technology shares. Major US indices closed lower, while an ETF tracking memory-chip producers slumped 5.9%. European markets were mixed.

Bond markets firmed, with US Treasuries rallying after reports the Treasury could use cash stockpile to buy back higher-yielding bonds. The US 10-year Treasury yield fell 4bps to 4.70%.

The Aussie declined 0.3% to US\$0.7150, ahead of the release of the RBA Minutes later today. Commodity markets were mixed, with gains in gold and copper offset by declines in oil prices and broader commodity indices.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	0.3%
AUD/USD	0.7164	0.8%
AUD/JPY	113.89	0.7%
AUD/GBP	0.5255	0.7%
AUD/NZD	1.1990	0.2%
AUD/EUR	0.6135	0.7%
AUD/CNH	4.8142	0.6%
AUD/SGD	0.9092	0.6%
AUD/HKD	5.6171	0.8%
AUD/CAD	0.9887	0.6%
EUR/USD	1.1677	0.0%
USD/JPY	159.01	-0.1%
USD Index	98.80	-0.1%

Equities	Close	Change
S&P/ASX 200	9,059	-0.3%
S&P 500	7,674	0.4%
Japan Nikkei	66,016	-0.3%
Hang Seng	26,009	1.2%
Euro Stoxx 50	6,462	0.6%
UK FTSE100	10,817	0.6%
VIX Index	15.13	-5.5%

Commodities	Current	Change
CRB Index	406.24	0.7%
Gold	4603.07	1.9%
Copper	14216	1.3%
Oil (WTI futures)	87.06	0.3%
Coal (coking)	233.00	1.7%
Coal (thermal)	139.75	1.0%
Iron Ore	96.45	0.1%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	-0.01
180 day BBSY	4.83	-0.01
1 year swap	4.59	0.00
2 year swap	4.57	0.01
3 year swap	4.56	0.01
4 year swap	4.58	0.01
5 year swap	4.62	0.01
6 year swap	4.67	0.01
7 year swap	4.73	0.00
8 year swap	4.79	0.01
9 year swap	4.84	0.01
10 year swap	4.90	0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.57	0.04
10 year bond	5.06	0.05
United States		
3-month T Bill	3.71	0.00
2 year bond	4.24	0.05
10 year bond	4.73	0.03
Other (10 year yields)		
Germany	3.26	0.00
Japan	2.89	0.03
UK	5.06	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	-0.01
3 yr bond	4.56	0.00
3 mth bill rate	4.50	0.01
SPI 200	9,028	0.5%



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Financial Markets

- The US announced a fresh round of sanctions against Iran, dubbed the “economic D-Day” campaign by President Trump. The measures target more than 70 entities linked to Iran and threaten action against countries that continue doing business with Tehran. The effectiveness of the sanctions will largely depend on whether the US is prepared to enforce them against China, Iran’s largest oil customer. Despite the tougher rhetoric, WTI crude fell 2.4% to US\$85.01/bbl, suggesting markets believe Iran may ultimately yield to mounting economic pressure.
- Trade tensions also remain elevated between the US and Canada, with President Trump stating that a 50% tariff on Canadian automobiles and auto parts will take effect from January. Separately, reports suggest the US is preparing to impose an additional 7.5% tariff on Chinese goods over concerns about excess manufacturing capacity ahead of next month’s Trump-Xi summit. The move reinforces concerns that trade policy uncertainty will be a headwind for growth.
- Risk sentiment weakened overnight amid escalating geopolitical tensions and renewed pressure on semiconductor stocks ahead of Nvidia’s earnings release later this week. Technology shares led declines, with Nvidia, Seagate, Sandisk and Micron among the biggest losers. An ETF tracking memory-chip producers fell 5.9% on the day. The Nasdaq lost 0.8%, while the S&P 500 fell 0.3%. The Dow Jones outperformed, rising 0.3%.
- European equities were mixed in subdued trading as investors awaited further details on the US sanctions package. The Euro Stoxx 50 fell 0.2%, Germany’s DAX declined 0.2%, and France’s CAC lost 0.4%, while the FTSE 100 rose 0.3%. Asian markets were also mixed, with the Hang Seng down 1.9% and the Nikkei falling 0.7%. Locally, the S&P/ASX 200 gained 0.5% to 9,103. Equity futures were little changed, up 0.1% to 9,055.
- Bond markets were mixed overnight. Treasuries found support after reports that the US Treasury could use part of its cash balance to buy back higher-yielding legacy securities in an effort to ease borrowing costs. However, yields ultimately moved little, with the 10-year Treasury yield down 4bps to 4.70%, while the 2-year yield was unchanged at 4.23%. Traders are now pricing around 27bps of rate hikes by the end of 2026 and almost 50bps of hikes by the end of 2027.

Today’s key data and events

Time	Event	Exp	Prev
11:30	AU RBA Minutes	-	-
23:00	US FHFA House Prices Jun	0.2%	0.3%
23:00	US S&P/CS Home Price Index Jun	0.1%	0.1%
-	US Building Permits Jul Final	-	5.0%
0:00	US Richmond Fed Manufacturing Aug	6.5pts	5pts
0:00	US New Home Sales Jul	-1.3%	1.6%
0:00	US Consumer Confidence Aug	90.2pts	90.8pts

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25 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment softened overnight as geopolitical tensions escalated, with the US unveiling its “economic D-Day” sanctions campaign against Iran while trade tensions with Canada remained elevated. Semiconductor stocks also came under pressure ahead of Nvidia’s earnings.

Equity markets weakened, led by technology shares. Major US indices closed lower, while an ETF tracking memory-chip producers slumped 5.9%. European markets were mixed.

Bond markets firmed, with US Treasuries rallying after reports the Treasury could use cash stockpile to buy back higher-yielding bonds. The US 10-year Treasury yield fell 4bps to 4.70%.

The Aussie declined 0.3% to US\$0.7150, ahead of the release of the RBA Minutes later today. Commodity markets were mixed, with gains in gold and copper offset by declines in oil prices and broader commodity indices.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	0.3%
AUD/USD	0.7164	0.8%
AUD/JPY	113.89	0.7%
AUD/GBP	0.5255	0.7%
AUD/NZD	1.1990	0.2%
AUD/EUR	0.6135	0.7%
AUD/CNH	4.8142	0.6%
AUD/SGD	0.9092	0.6%
AUD/HKD	5.6171	0.8%
AUD/CAD	0.9887	0.6%
EUR/USD	1.1677	0.0%
USD/JPY	159.01	-0.1%
USD Index	98.80	-0.1%

Equities	Close	Change
S&P/ASX 200	9,059	-0.3%
S&P 500	7,674	0.4%
Japan Nikkei	66,016	-0.3%
Hang Seng	26,009	1.2%
Euro Stoxx 50	6,462	0.6%
UK FTSE100	10,817	0.6%
VIX Index	15.13	-5.5%

Commodities	Current	Change
CRB Index	406.24	0.7%
Gold	4603.07	1.9%
Copper	14216	1.3%
Oil (WTI futures)	87.06	0.3%
Coal (coking)	233.00	1.7%
Coal (thermal)	139.75	1.0%
Iron Ore	96.45	0.1%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	-0.01
180 day BBSY	4.83	-0.01
1 year swap	4.59	0.00
2 year swap	4.57	0.01
3 year swap	4.56	0.01
4 year swap	4.58	0.01
5 year swap	4.62	0.01
6 year swap	4.67	0.01
7 year swap	4.73	0.00
8 year swap	4.79	0.01
9 year swap	4.84	0.01
10 year swap	4.90	0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.57	0.04
10 year bond	5.06	0.05
United States		
3-month T Bill	3.71	0.00
2 year bond	4.24	0.05
10 year bond	4.73	0.03
Other (10 year yields)		
Germany	3.26	0.00
Japan	2.89	0.03
UK	5.06	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	-0.01
3 yr bond	4.56	0.00
3 mth bill rate	4.50	0.01
SPI 200	9,028	0.5%



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Financial Markets

- The US announced a fresh round of sanctions against Iran, dubbed the “economic D-Day” campaign by President Trump. The measures target more than 70 entities linked to Iran and threaten action against countries that continue doing business with Tehran. The effectiveness of the sanctions will largely depend on whether the US is prepared to enforce them against China, Iran’s largest oil customer. Despite the tougher rhetoric, WTI crude fell 2.4% to US\$85.01/bbl, suggesting markets believe Iran may ultimately yield to mounting economic pressure.
- Trade tensions also remain elevated between the US and Canada, with President Trump stating that a 50% tariff on Canadian automobiles and auto parts will take effect from January. Separately, reports suggest the US is preparing to impose an additional 7.5% tariff on Chinese goods over concerns about excess manufacturing capacity ahead of next month’s Trump-Xi summit. The move reinforces concerns that trade policy uncertainty will be a headwind for growth.
- Risk sentiment weakened overnight amid escalating geopolitical tensions and renewed pressure on semiconductor stocks ahead of Nvidia’s earnings release later this week. Technology shares led declines, with Nvidia, Seagate, Sandisk and Micron among the biggest losers. An ETF tracking memory-chip producers fell 5.9% on the day. The Nasdaq lost 0.8%, while the S&P 500 fell 0.3%. The Dow Jones outperformed, rising 0.3%.
- European equities were mixed in subdued trading as investors awaited further details on the US sanctions package. The Euro Stoxx 50 fell 0.2%, Germany’s DAX declined 0.2%, and France’s CAC lost 0.4%, while the FTSE 100 rose 0.3%. Asian markets were also mixed, with the Hang Seng down 1.9% and the Nikkei falling 0.7%. Locally, the S&P/ASX 200 gained 0.5% to 9,103. Equity futures were little changed, up 0.1% to 9,055.
- Bond markets were mixed overnight. Treasuries found support after reports that the US Treasury could use part of its cash balance to buy back higher-yielding legacy securities in an effort to ease borrowing costs. However, yields ultimately moved little, with the 10-year Treasury yield down 4bps to 4.70%, while the 2-year yield was unchanged at 4.23%. Traders are now pricing around 27bps of rate hikes by the end of 2026 and almost 50bps of hikes by the end of 2027.

Today’s key data and events

Time	Event	Exp	Prev
11:30	AU RBA Minutes	-	-
23:00	US FHFA House Prices Jun	0.2%	0.3%
23:00	US S&P/CS Home Price Index Jun	0.1%	0.1%
-	US Building Permits Jul Final	-	5.0%
0:00	US Richmond Fed Manufacturing Aug	6.5pts	5pts
0:00	US New Home Sales Jul	-1.3%	1.6%
0:00	US Consumer Confidence Aug	90.2pts	90.8pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Australian bond markets firmed, with yields moving lower across the curve. The 3-year government bond yield fell 3bps to 4.53%, while the 10-year yield declined 4bps to 5.02%. Futures also firmed overnight, with the 3-year futures yield up 2bps to 4.55%, while the 10-year futures yield remained unchanged at 5.02%. OIS pricing continues to imply a cash rate of around 4.50% by year-end, with the market flirting with the idea of another hike this year.
- In foreign exchange markets, the US dollar edged higher, with the DXY rising 0.2% to 98.99. The Australian dollar eased 0.3% to US\$0.7150, while also weakening against the yen, sterling, euro, yuan, Hong Kong dollar and Singapore dollar. The Australian dollar was broadly unchanged against the New Zealand dollar and strengthened 0.4% against the Canadian dollar.
- Commodity markets were mixed. The CRB Index fell 0.8%, driven largely by the 2.4% decline in oil prices. Gold rose 1.1% and copper gained 0.4%, reflecting ongoing geopolitical uncertainty, while iron ore climbed 1.8% to US\$97.90/t. Coking coal rose 0.6% and thermal coal increased 0.9%. ACCU prices fell 4.3%.

International Data

The **Chicago Fed National Activity Index**, a weighted average of 85 other monthly indicators, has been volatile lately, oscillating between above-trend and below-trend growth readings in recent months. The latest release for July reported a reading of -0.08, suggesting that after growing broadly in line with trend in Q2, the US economy started losing momentum again this quarter. A decline in the personal consumption and housing category led the way down, but the production indicator, alongside the sales, orders and inventories gauge, was also weaker. The labour market improved, but remained a touch below trend.



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27 August 2026

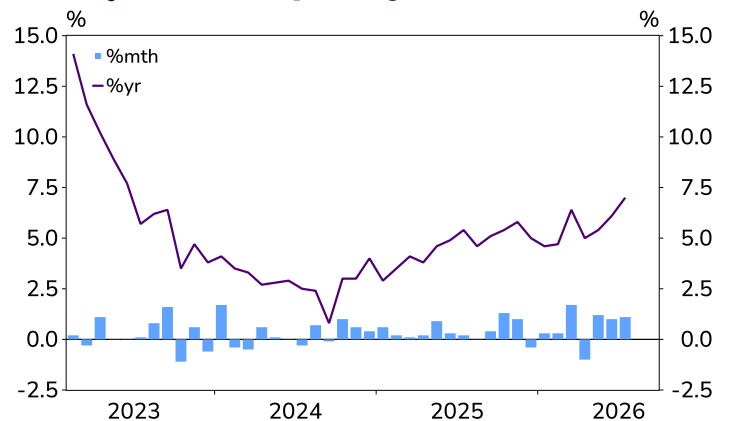
HOUSEHOLD SPENDING INDICATOR BULLETIN

Spending continues to defy expectations

Key points

- Household spending rose 1.1%_{mt} in July (June revised to 1.0%_{mt}), lifting annual growth to 7.0%_{yr}. The three-month pace accelerated to 3.3%, the strongest in almost four years.
- Discretionary spending remains the key driver, rising 4.5% over the past three months versus 1.1% for non-discretionary spending, suggesting softer spending on essentials has freed up capacity elsewhere.
- The strength was broad-based, with all nine spending categories recording gains, led by clothing & footwear, recreation & culture, and miscellaneous spending.
- All mainland states recorded gains for the third consecutive month, led by WA (+1.5%_{mt}), Victoria (+1.3%_{mt}) and Queensland (+1.1%_{mt}).
- Spending continues to surprise to the upside. Some of this is a prices story but there appears to be genuine underlying momentum which our internal card data shows extended into August.

Monthly Household Spending Indicator Growth



Source: ABS, Macrobond, Westpac Economics

Jul household spending indicator: 1.1%_{mt}, 7.0%_{yr}

Higher prices or genuine momentum? Likely both



Neha Sharma
Economist

The monthly household spending indicator rose 1.1%*mt* in July, with June revised 0.2*ppts* higher to 1.0%*mt*, this took the annual pace to 7.0%*yr*. The three-month pace firmed to a robust 3.3% from 1.2% in June and is the strongest in nearly four years. The result was well-above both Westpac's and the market's expectations.

Services continued to lead, up 1.5%*mt* (6.8%*yr*), while goods spending rose 0.7%*mt* (7.2%*yr*). Discretionary and non-discretionary spending increased at a similar pace in July, up 1.0%*mt* (7.8%*yr*) and 1.1%*mt* (5.6%*yr*) respectively. However, over the past three months discretionary spending has significantly outperformed, rising 4.5% versus 1.1% for non-discretionary. As highlighted in the **Westpac-DataX Card Tracker**, softer spending on essentials appears to have freed up capacity for discretionary purchases (see [here](#)).

All nine spending categories recorded gains, underscoring the broad-based nature of the increase. Clothing & footwear led the way, up 1.6%*mt*, followed by recreation & culture (1.5%*mt*), miscellaneous spending (1.3%*mt*) and health (1.2%*mt*). Hotels, cafés & restaurants (+1.1%*mt*) and food (+1.0%*mt*) also rose strongly, with the ABS citing price rises being a notable factor for the higher spending. Alcohol & tobacco spending increased 0.9%*mt*, while transport (+0.6%*mt*) and household furnishings (+0.4%*mt*) posted more modest gains. For transport, higher fuel prices appear to have driven a weaker consumption response. Nominal fuel spending rose 2.2%*mt*, but fuel volumes fell 4.7%*mt* following the scaling back of the fuel excise discount to 16c/l in July.

All mainland states recorded gains for the third consecutive month. WA was out in front with spending rising 1.5%*mt*, followed by Vic (+1.3%*mt*), Qld (+1.1%*mt*), with NSW and SA both up 0.7%*mt*.

Consumer spending continues to surprise to the upside, despite facing several headwinds. While the ABS highlighted firmer prices as a driver of spending growth in some categories, the strength is evident even in real per capita terms, suggesting a genuine underlying demand pulse. Our **Westpac-DataX Card Tracker** also shows solid momentum carrying into early-August, including spending by Australians travelling overseas. Although this sits outside the scope of this release, it will be captured in the Q3 national accounts.

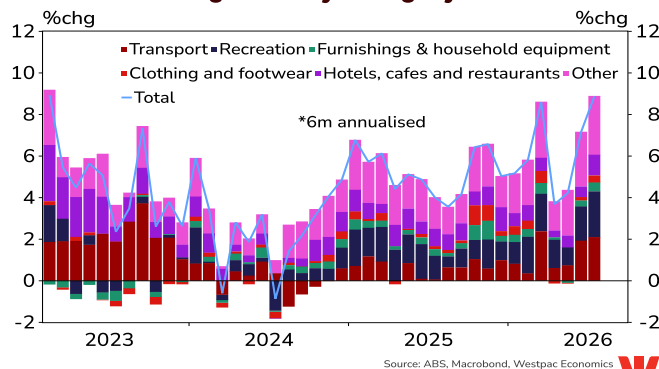
The transport detail highlights some of cross-currents. Consumers scaling back on fuel consumption is unlikely to be sustained indefinitely. So eventually some spending will re-shift towards essentials. Additionally, higher interest rates are still making their way through the economy including through softening labour market trends which will dampen spending.

Household spending indicator – July 2026

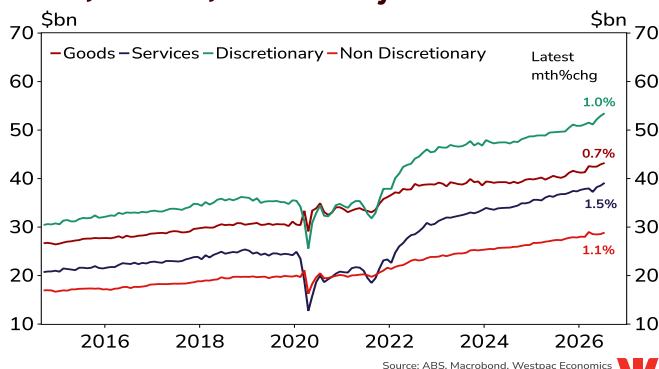
	\$bn	% chg mth		% chg yr	
	Jul-26	Jun-26	Jul-26	Jun-26	Jul-26
sa	82.34	1.0	1.1	6.1	7.0
trend	81.68	0.6	0.6	6.0	7.0

Source: ABS, Macrobond, Westpac Economics.

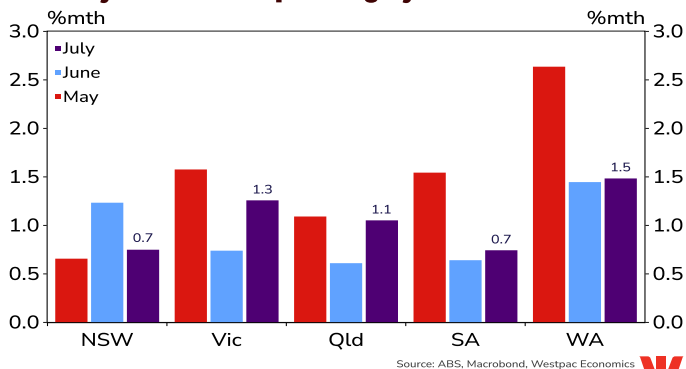
Contribution to growth by category: nominal



Goods, services, discretionary & non-discret.



Monthly household spending by state





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Q2 Wage Price Index: steady

#wages

#inflation

#labour



By Ryan Wells

Economist, Westpac

13:14 August 19 2026

 Share

Private wages continue to decelerate while public wages provide a bit of an offset, before the award wage lift in Q3. Q2 2026: 0.8%qtr, 3.2%yr.

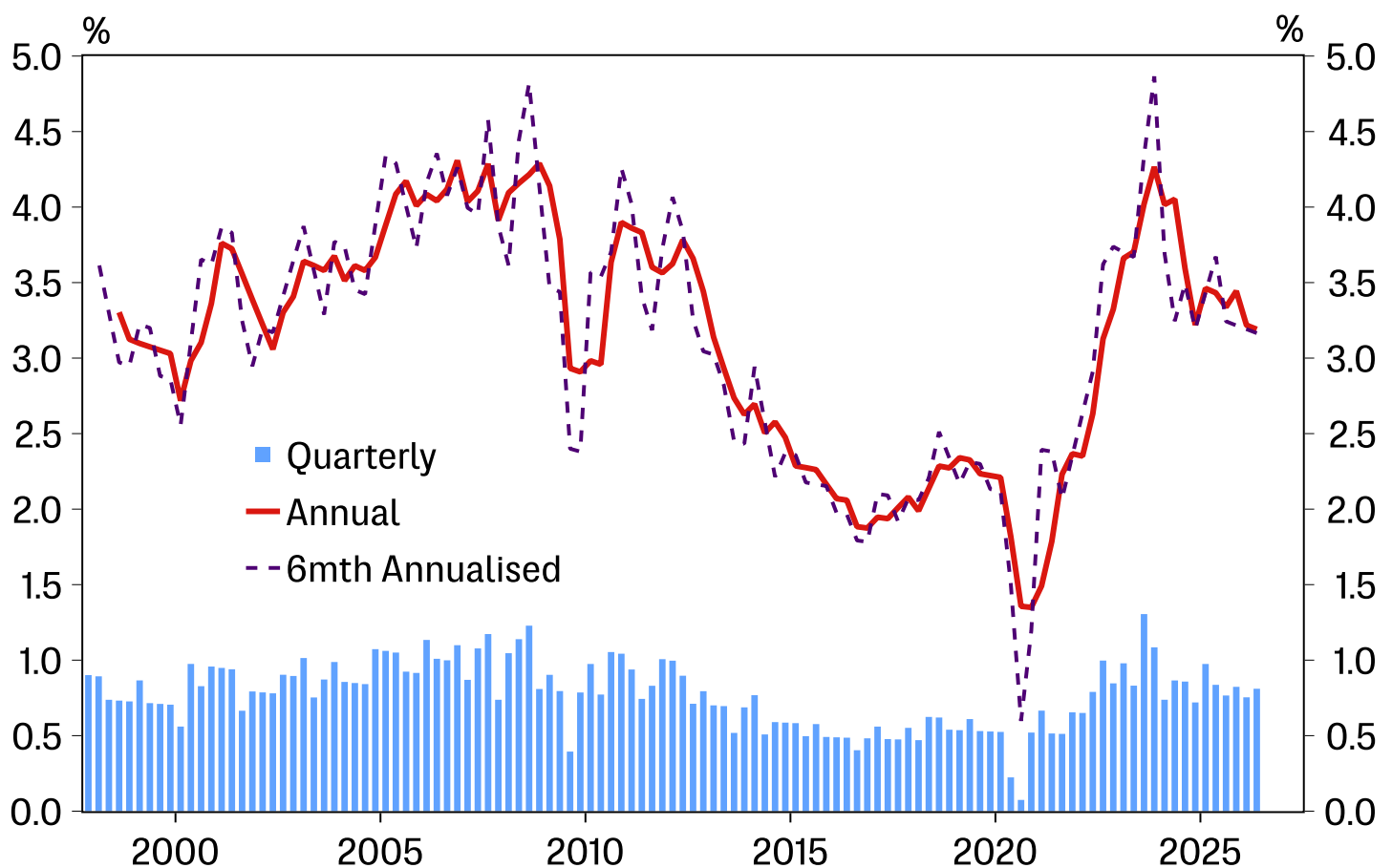


- The Wage Price Index (WPI) rose 0.8% in Q2 2026, in line with Westpac's forecast and the market consensus. Wages growth is softer than in 2025, when the bump higher in public sector wages

brought annual growth closer to the 3½% mark; at 3.2%yr, wages growth is currently tracking slightly below the RBA's forecast (3.3%yr).

- Overall, the mix was broadly as expected. Private sector wages have continued to decelerate to its softest pace since Q4 2021, in line with a softer labour market. Meanwhile, public sector wages provided a bit of an offset, with the ABS noting gains from government public service jobs and scheduled rises under the existing APS-wide enterprise agreement for Commonwealth employees.
- Q3's result will be closely watched, as it will capture the Fair Work Commission's 2026 Annual Wage Review which handed down a larger-than-expected increase in award wages of 4.75%. Our base case is that wages growth will nudge back up to 3.4%yr but whether a higher pace can be sustained will depend on how the labour market evolves from here – the recent sharp rise in underemployment is a key signal to watch going forward.

Wages growth not a concern for inflation at present



Source: ABS, Macrobond, Westpac Economics



Wages by Sector

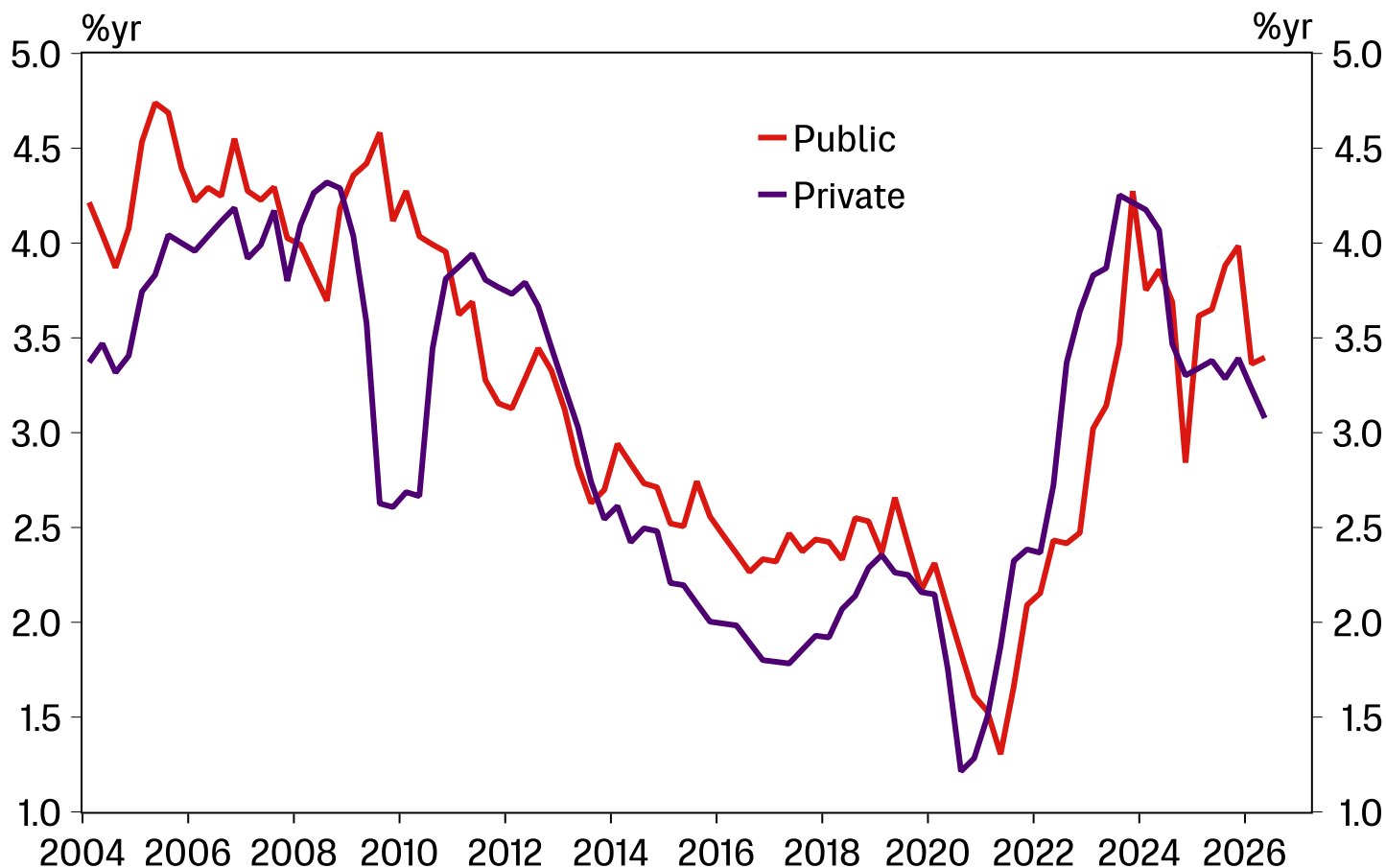
By sector, private wages (excl. bonuses) have continued to decelerate. In Q2, private wages grew by 0.7%, the smallest quarterly gain since the Q4 2021, during the 'delta' outbreak of COVID-19. This leaves the annual pace at 3.1%yr, down from 3.4%yr six months ago. This is in line with the evidence of a softer labour market over the first half of this year. Most notably, a sharp rise in underemployment has surfaced over recent months, likely tied to added pressure from the cost-of-living and interest rate rises, causing more people to seek extra hours of work.

Compared to the same quarter a year ago, the private sector saw a smaller share of jobs record a wage increase (10% vs. 12%), but of those jobs, they recorded around the same average hourly wage increase (3.9%).

Public wages provided a bit of an offset to the private sector in the quarter, gaining 0.9% in Q2, echoing the solid momentum from this time last year, allowing the annual rate hold steady at 3.4%yr. The ABS noted the main driver of the gain were state government public service jobs, in addition to “scheduled rises paid under the existing APS-wide enterprise agreement for Commonwealth employees.”

Interestingly, compared to the same quarter a year ago, there was a larger proportion of jobs in the public sector that recorded a wage increase (25% vs. 20%), but of those jobs, they recorded a smaller average hourly wage change (3.1% vs. 3.5%). This speaks to a broader base of wages growth across the public sector at present, compared to last year’s public sector wage gains which were led by specific state-based enterprise agreements and an increase in aged care wages.

Private wages decelerate, public wages offset a touch



Source: ABS, Macrobond, Westpac Economics



Industry

The contribution from public sector wages was clearly apparent in the industry data. In the quarter, public administration and safety was the largest contributor to aggregate wages growth – impressively, this matched the contribution from health care and social services, Australia’s largest industry with

around three-times as many jobs as public administration and safety.

Across the individual industries, health care and social assistance is still leading the pack in terms of annual wages growth (3.8%yr), followed by public administration and safety (3.6%yr) and utilities (3.6%yr), then mining (3.5%yr) and transport, postal and warehousing (3.5%yr). The main laggards are those industries dominated by private sector jobs, including professional, scientific and technical services (2.5%yr), financial and insurance services (2.7%yr) and administrative and support services (2.7%yr).

Bargaining Stream

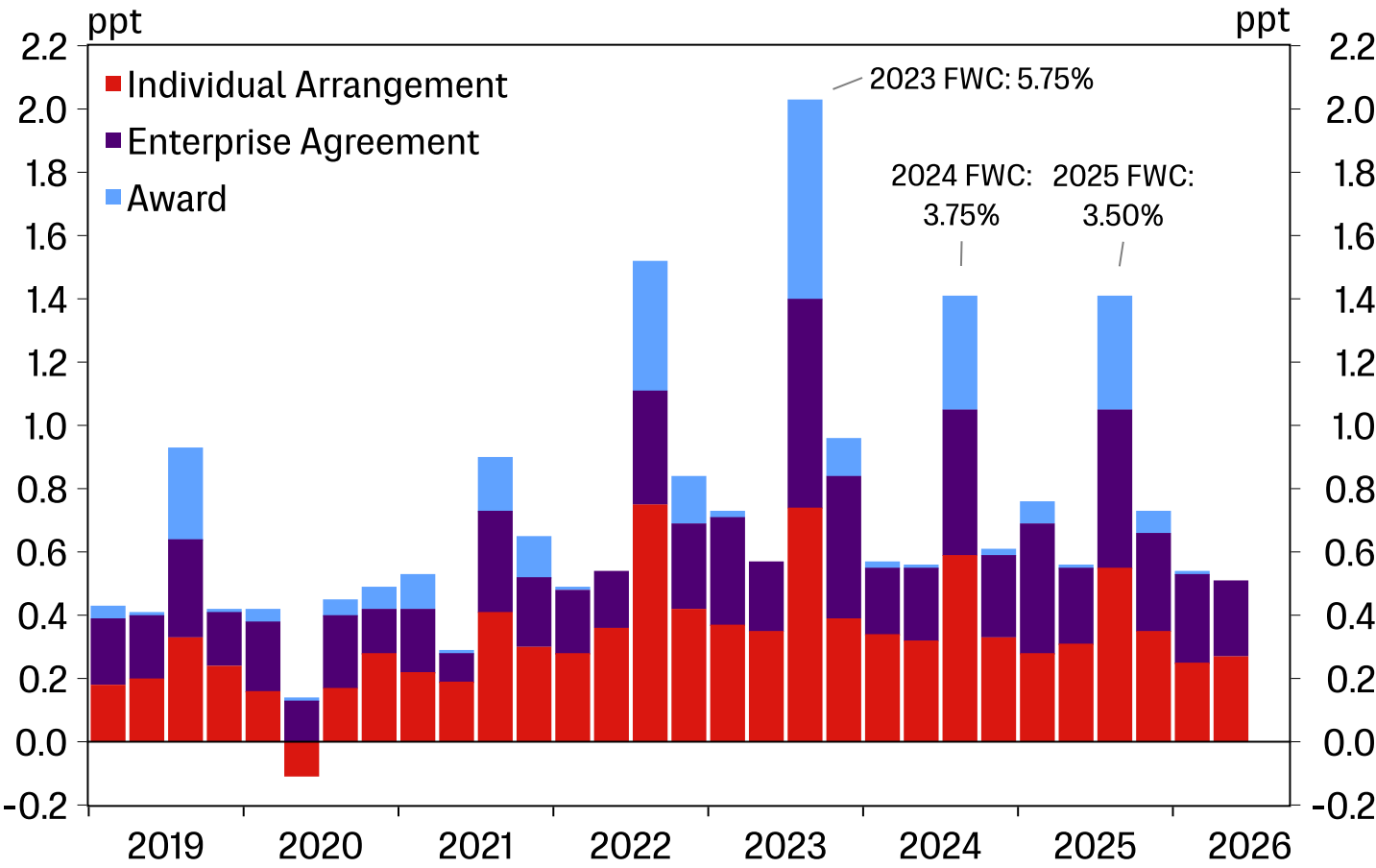
Westpac has long believed focusing on wage inflation by wage bargaining stream can help to understand how wages respond to the economic cycle. Long term readers would know that the Australian labour market is split into three categories of pay setting methods:

- Awards,
- Enterprise agreements, or
- Individual arrangements.

In original terms, the WPI lifted 0.6% in Q2 2026. Of that 0.6% increase, jobs covered by individual arrangements made the largest contribution at 0.27ppt, followed by 0.24ppt from enterprise arrangements, and zero for awards. Compared to this time last year, we can see there has been a continued, gradual slowing in individual arrangements, while the contribution from enterprise arrangements have been relatively more stable.

The largest share of Australian wage adjustments tends to occur in Q3, with July being the start of the new financial year. This result will be closely watched, as it will capture the Fair Work Commission's 2026 Annual Wage Review which handed down a larger-than-expected increase in award wages of 4.75%. Our base case is that this should nudge wages growth back up to 3.4%yr but whether a higher pace can be sustained will depend how the labour market evolves from here. There has been a sharp rise in underemployment in recent months, and this may well be signalling a weaker labour market to come, which may limit bargaining power and dampen the rise in wages growth.

Contributions to Quarterly WPI Growth



Source: ABS, Macrobond, Westpac Economics 

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14 August 2026

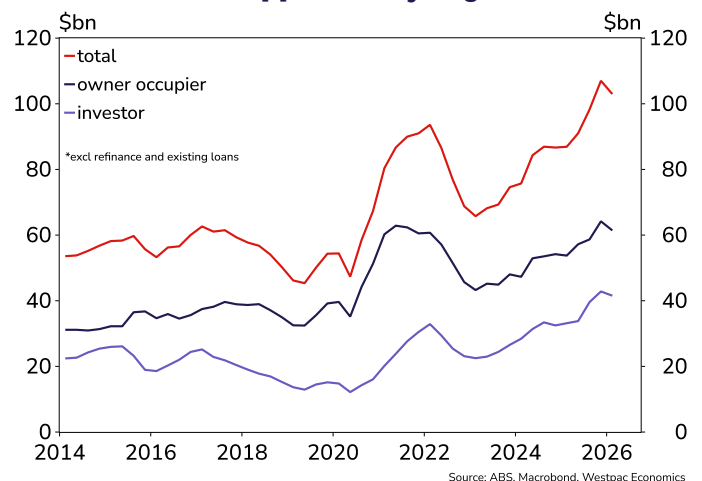
AUSTRALIAN DWELLING FINANCE BULLETIN

Decline gathers pace

Key points

- The value of new dwelling finance approvals excl. refinance fell 5.2%qtr, the largest quarterly drop in three years. Annual growth eased to 7.3%yr.
- The weakness was accounted for mainly by lower lending volumes: loan numbers were down 4.0%qtr (-0.6%yr), while average loan size also contributed negatively.
- Borrowing by investors led total approvals lower. Volumes were down 8.6%qtr, leading to a 10.2%qtr drop in values.
- Borrowing by owner occupiers also dropped, by 1.9%qtr, in value terms suggesting that this segment is also under pressure from high interest rates, weak sentiment and high economic uncertainty.
- We fully expect the weakness in new dwelling approvals to persist into Q3, and eventually show up in the slower housing credit growth.

New finance approvals by segment: value



Q2 new dwelling finance:
-5.2%qtr,
+7.3%yr

Investors leading new housing finance lower



Mantas Vanagas
Senior Economist

After a weak start to the year, when the value of new dwelling finance approvals, excluding refinancing, dropped 3.4%qtr, the latest figures show that the pace of decline accelerated to 5.2%qtr in Q2, the weakest result since late 2022. The outcome was not a major surprise, coming in close to market consensus (-5.3%qtr) and our expectations (-6.0%qtr). Lower lending volumes, down 4.0%qtr, were the main factor behind the decline, with average loan size also contributing negatively, in line with the recent drop in house prices.

Looking across the major segments, borrowing by investors was the principal source of weakness. Volumes were down 8.6%qtr, leading to a 10.2%qtr drop in values. Weakening of this magnitude in a single quarter has previously only been seen during major correction periods – after the post-pandemic boom and during the tightening of investor lending standards by regulators in 2017-19. The numbers confirmed that investors are reacting negatively to changes to the capital gains tax discount and negative gearing tax changes announced in the Federal Budget in mid-May.

Borrowing by owner occupiers also fell, by 1.9%qtr, following an even steeper 3.5%qtr decline in Q1. While the focus has been on investors, this negative trend suggests that, in the context of high interest rates, weak consumer sentiment and elevated economic uncertainty, the owner-occupier segment is also under significant pressure. Interestingly, first-time buyers in this segment saw new finance approval values stabilise, with 0.2%qtr growth after a 4.8%qtr correction in Q1.

Lending for land purchases and renovations also fell significantly, by 5.1%qtr. Some of this likely reflects higher construction and material costs due to supply disruptions linked to the Middle East conflict. With households also having to divert more spending to cover higher energy costs, the retreat in renovation lending also suggests that households may be delaying non-urgent projects.

Today's results are broadly consistent with our assessment that a notable housing market correction is underway. We expect the weakness in new dwelling approvals to persist into Q3, particularly on the investor side, as the full impact of the reaction to tax changes comes through. The housing credit data have so far shown little impact from weakness in other major housing market indicators, including new finance approvals, but we think this mostly reflects lags in the system, which should be resolved in the coming months.

Dwelling finance: Q2 2026

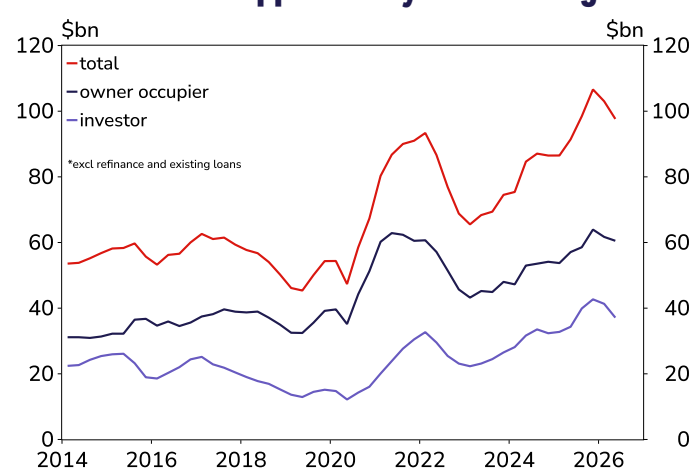
	%chg qtr			% chg yr	
	latest	Mar	Jun	Mar	Jun
Number ('000s)					
Owner-occupiers	81.6	-3.8	-3.3	4.9	-3.0
Investors	52.6	-4.7	-8.6	19.2	3.3
Total dwelling finance[^]	134.2	-6.2	-4.0	8.6	-0.6
Value (\$bn)					
Owner-occupiers	60.5	-3.5	-1.9	14.8	5.8
Investors	37.1	-3.2	-10.2	24.7	9.8
Total dwelling finance	97.6	-3.4	-5.2	18.6	7.3
Land and renovations	6.7	-2.2	-5.1	28.7	15.5
Refinance	60.4	0.8	-1.7	10.7	5.4
Total housing incl. refinance	164.7	-1.9	-4.0	16.0	6.9

* unless specified, all figures exclude land, additions and alterations, and refinance. Where specified, refinance is 'external' only, i.e. with a new lender.

[^]seasonally adjusted by Westpac.

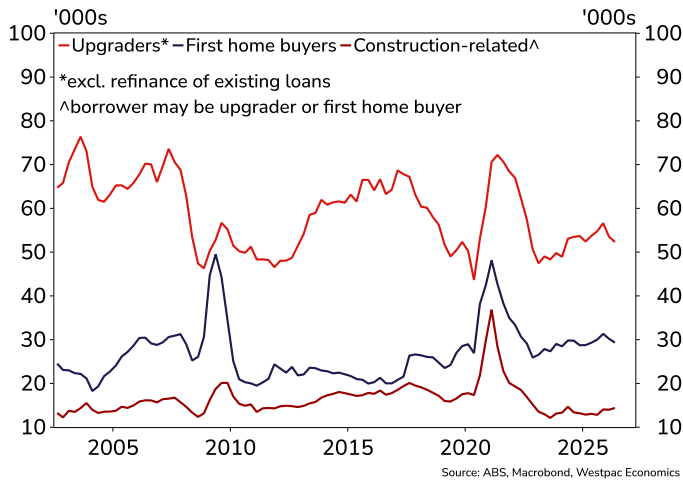
Sources: ABS, Cotality, APM, Westpac Economics

New finance approvals by detailed segment

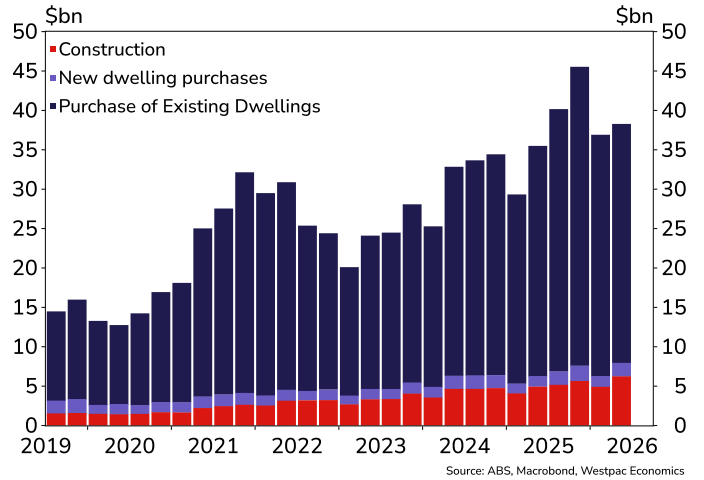


Source: ABS, Macrobond, Westpac Economics

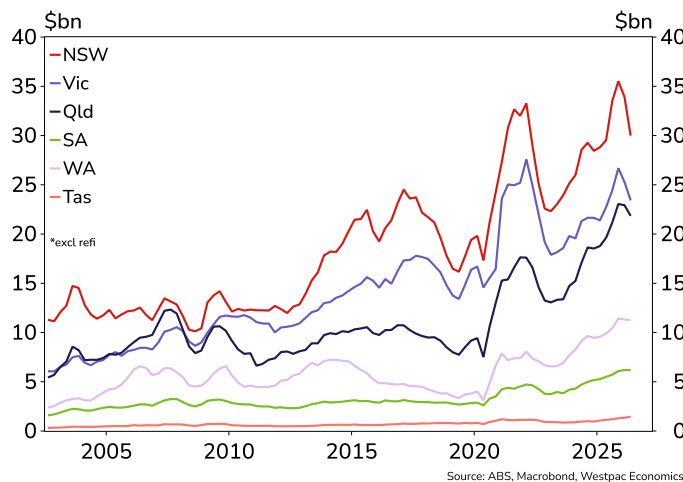
Owner occupier finance approvals (number)



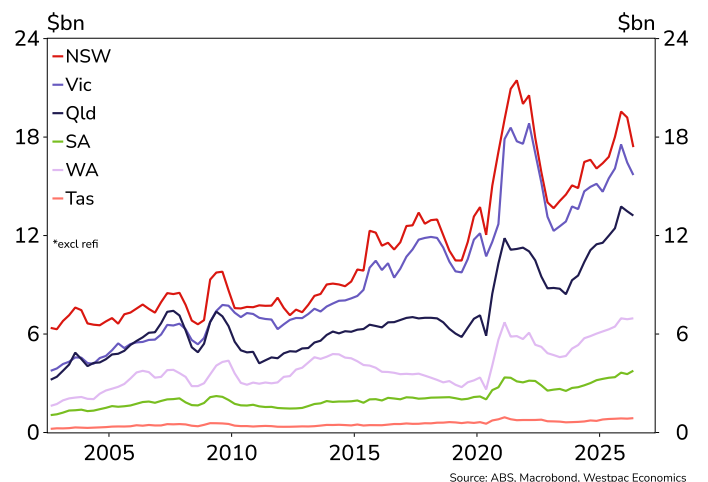
Investor loan by purpose



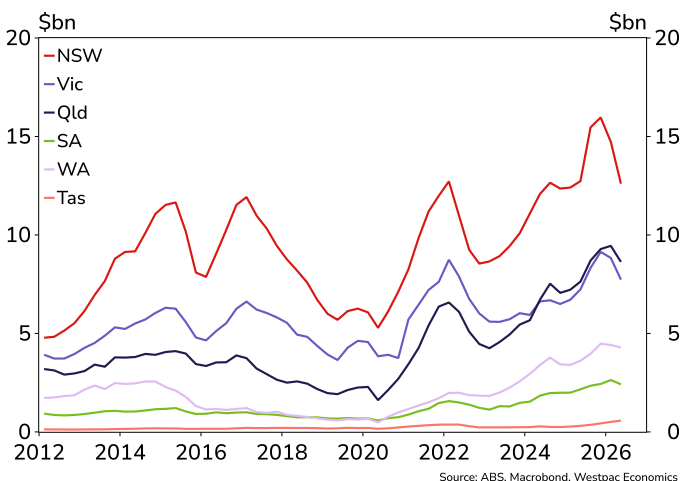
Dwelling finance by state: total value



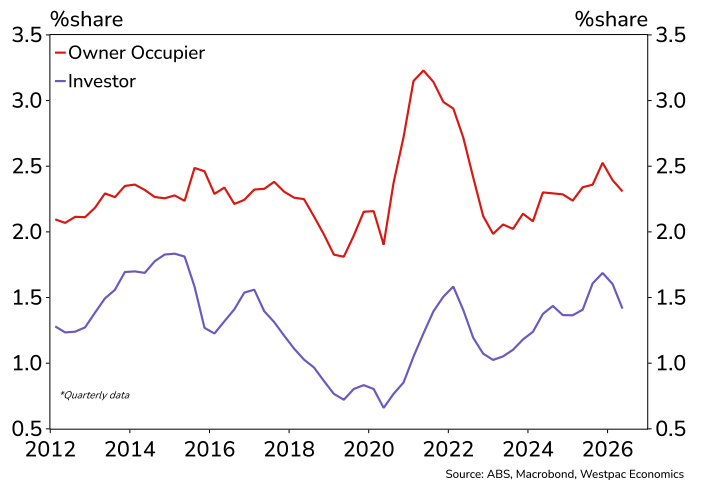
Dwelling finance by state: owner occupier



Dwelling finance by state: investor



Dwelling finance as a share of housing credit





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US dollar struggling to make ground despite global risks

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By [Elliot Clarke](#)

Head of International Economics, Westpac

11:40 August 17 2026

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Key themes for FX markets.



The US dollar has struggled to make headway this month, repeatedly ranging 0.5ppts higher than its 10 July level, when our last Market Outlook was released, only to falter and eventually end the period 1.5ppts lower at 99.5 today. This is despite a deal between the US and Iran remaining elusive and with market participants optimistic on US growth but concerned over inflation, and consequently expecting

the FOMC to hike into year end.

As has been the case over the past year, the primary contributors to movements in the US dollar DXY index over the past 30 days were Euro and Sterling, both appreciating around 1.5 cents to USD1.16 and USD1.36 respectively. Compared to history, these are not challenging levels for either currency; and the balance of risks faced by each nation are becoming more favourable with respect to growth and inflation.

To end-2027, we look for a continuation of this trend, leaving EUR/USD and GBP/USD at USD1.21 and USD1.39 respectively, after which each currency is likely to plateau.

The more time passes, the greater the likelihood of the balance of risks shifting against the US and in favour of Europe and the UK. In part, this is because the US economy has experienced an extended period of outperformance that is coming across an increasingly narrow base, suggesting the run may not last. But it also pertains to the political status quo; the degree of common purpose over defence and economic development in Europe is a striking contrast with the US' partisan turbulence. Government debt is an issue for all three jurisdictions, but the structural imbalance in the US budget position, the ratcheting higher of US debt service, and the market's unease over dwindling forward guidance by the FOMC all point to a much greater financial headwind for the US dollar than Euro or Sterling.

It is worth remembering that, while the 10-year average for DXY is around 1.0% below spot, the 20-year average is almost 9.0% lower. If risks crystallise against the US, there is a material chance of an outsized market move.

As we write, the big story of the month is slowly fading into obscurity. After numerous failed attempts to turn the yen around, and with USD/JPY threatening to go through JPY165, Japanese authorities this month sought the aid of the US government. Buying of the yen by both counter-parties, aided by an active PR campaign, initially saw USD/JPY drop from a recent peak of JPY164 to a low of JPY155. However, despite warnings of additional actions, USD/JPY reversed course within days, trading back above JPY159. Without further intervention by both Japan and the US, the yen is likely to weaken further as participants search for authorities' limit. Still, a return to JPY165 seems unlikely absent a marked deterioration in Japan's economy; USD/JPY holding around JPY160 for the foreseeable future is much more probable.

In our view, the yen is unlikely to begin a lasting uptrend until expectations for tighter US monetary policy recede, which we do not see occurring until late-2026. Thereafter, progress is likely to be slow, as participants continue to doubt the Bank of Japan's resolve and given Japan has less exposure to the global tech expansion than South Korea, Taiwan and China. We expect USD/JPY to only decline to JPY154 by end-2027, then to JPY146 come end-2028. At that level, USD/JPY will still be 32% above the 30-year average of 1990–2019 – a truly historic divergence.

For the rest of Asia's currencies, the direction of travel is likely to be up, albeit proportional to each nation's exposure to technology and starting valuation.

Benefiting not only from exposure to high-end technology expansion but also pharmaceuticals, engineering, finance and tourism, at SGD1.28 Singapore's dollar is within a cent of its lowest level in a decade, and also within reach of the historic low of SGD1.22 seen in 2012. We expect the cross to settle between current spot and the 2012 low by end-2028, targeting SGD1.25 at that time. That said, a downside surprise for the US economy could see the 2012 low reached in the interim.

The softer starting point for China's renminbi provides it with a little more room to rally over the forecast period. To end-2027 then end-2028, we see USD/CNY falling from CNY6.74 today to CNY6.40 and CNY6.30 respectively. A run towards CNY6.00 is certainly possible, although it would arguably require a marked change in domestic conditions as well as continued strength in trade and financial net inflows.

India's rupee is an interesting comparison to the above Asian currencies. While India offers the world considerable capacity for technology and professional services as well as low-value-add manufacturing, it lacks the intellectual property of the US, China, Taiwan and South Korea. It also does not have the efficient process, depth of knowledge, financial capital and transport infrastructure that holds Singapore in such great stead. Concerted structural change is necessary if the rupee is going to materially reverse the declines of recent years. This is despite the nation's considerable advantage in terms of its population. To end-2028, we see USD/INR only falling from INR95 to INR87 against a 20-year average of INR64. To this view, there is clearly downside risk for the rupee, particularly if energy prices remain elevated.

This analysis first appeared in [Westpac Economics' August Market Outlook](#).

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Week beginning 24 August 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Higher bond yields: not just one thing.

The Week That Was: The foundations of confidence.

Focus on New Zealand: Counting down the days.

For the week ahead:

Australia: RBA minutes, CPI, Q2 private capex, Q2 construction work done, Westpac-MI leading index.

New Zealand: Q2 retail sales, employment indicator.

Japan: CPI, jobless rate.

China: Industrial profits.

Euro Area: Economic confidence, consumer confidence, M3 money supply, IFO business climate survey.

United States: Q2 GDP, personal income and spending, PCE deflator, consumer confidence, new home sales.

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Higher bond yields: not just one thing



Luci Ellis
Chief Economist, Westpac Group

- Bond yields have been rising in recent weeks, especially at the long end of the maturity spectrum. We have long believed that the global structure of interest rates would have a higher centre of gravity in future than it did in the period between the GFC and the pandemic. The factors often cited for the recent rise in yields – larger government deficits globally, the investment boom from AI – were already behind this judgement.
- The question then arises: have we allowed enough for these forces? Getting the direction right is one thing; quantifying the impact is another. In doing so, though, we must take care not to confuse trend and cycle. Some of the recent rise stems from the exceptional demand for funding data centre construction. This effect of the technology wave could last a while, but it is more a cyclical development than a permanent structural one.
- For the Australian economy, developments at the long end of the yield curve tend to be less relevant. Most financing happens at the short end of the maturity spectrum, especially for households. But there are borrowers and investors who are affected by long-dated yields, especially governments.
- Higher yields mean higher debt-servicing costs, particularly for the US government. Expect more manoeuvres like the US Treasury supporting the yen by selling euros not dollars, as well as the buy-back operation this week. These are merely stop-gaps rather than a lasting solution like genuine fiscal consolidation.

Westpac Economics has long held the house view that the global structure of interest rates would be higher in the future than it was in the period between the GFC and the pandemic. Central bank policy might influence the short end, but over a longer period, what matters for interest rates globally is the global balance of saving and investment. Pre-pandemic, saving rates were high, thanks in part to official sectors accumulating reserves. Meanwhile, investment was weak. Confidence had been frayed by the crisis, and some governments were in austerity mode. That decade's new technologies did not spark the same kind of productivity-enhancing investment boom as computers and the internet did in the late 1990s and early 2000s. And in any case, banks in North America and Europe were recapitalising and less inclined to lend.

There were good reasons to see that period as an aberration, though, including the very long-term evidence we noted [two years ago](#). As we highlighted [at the time](#), a range of forces have been pushing “neutral” rates higher, along with the

structure of interest rates more broadly. These include higher government spending as populations age, as well as the private sector needing to invest in both energy transition and AI. Higher defence spending was also in the mix, especially after Germany changed its constitution last year to allow more deficit spending for this purpose. The general fiscal incontinence of the US government was already evident two years ago and worsened under the current administration. All these factors imply greater bond supply, and so higher yields.

To unpack this further, a bond yield is normally thought of as being the combination of several components that are easier to name than to measure. Nominal government bond yields are composed of (expected) inflation plus real yields, where real yields are normally assumed to reflect expected future (real) policy rates plus a “term premium”. The term premium is in principle the compensation investors require for the risk that things turn out differently from their expectations of the other two components, and in practice is a residual grab bag of everything else that might affect demand and supply in the bond market. Corporate bonds add a risk spread to this, reflecting that a company might default but a sovereign issuing in its own currency will never need to.

The higher global structure of interest rates can be seen in all these components. Inflation generally undershot central bank targets in the 2010s; since the pandemic, it has at best been around target, with global supply shocks periodically lifting it above target. Real yields are higher, and with shorter-maturity bonds now paying positive real yields, we are seeing less of the “search for yield” behaviour that compressed both term premia and risk spreads in the 2010s.

“rumblings of investor discontent about the US fiscal position have become evident in yields.”

But how much?

It is one thing to say rates will be higher on average. We also need to ask: by how much? This is where the AI boom comes in. The scale of the planned global investment in data centres is nothing short of mind-boggling, and it is creating substantial demand for debt finance. The “hyperscaler” tech firms (Alphabet, Amazon, Meta and Microsoft) used to be enormous cash generators. Now they are responsible for some of the largest debt issuances in the market, including Alphabet's

super-sized \$A deal this week. Issuance in Australia and other non-US jurisdictions makes sense for these firms. They want to access a diversified pool of investors, and many of the assets they are financing are outside the US, especially now that data centres have become unpopular in many US communities.

The scale of this greater investment call on global savings is one reason to expect longer-dated yields to average even higher in the near term than their range since the pandemic so far.

We must take care, though, to distinguish trend from cycle. This is particularly relevant for the data centre boom, which is likely to be a big thing for the next few years, but settle down as the technology matures and computing capacity expands (and becomes cheaper).

The US government is also making an exceptional call on global saving, and this looks more like a longer-term structural trend than the AI boom does. The US federal government has been running deficits in excess of 4% of GDP for a decade, aside from a brief period in 2022, and more than 6% since the beginning of 2023.

In recent weeks, rumblings of investor discontent about the US fiscal position have become evident in yields. And those hyperscaler bonds, including the \$A-denominated ones, are offering a higher yield for companies with similar ratings to the US sovereign. The bonds of governments in better fiscal positions, including Australia's, also start looking attractive. To this we must add that Japan now looks to be becoming a "normal" economy with positive inflation and interest rates, and an undervalued currency that might tempt some investors to bet on an appreciation. While it remains the case that [There Is No Alternative](#) to the US Treasury market for depth and liquidity, some diversification out of USD assets is starting to look both more feasible and more attractive.

The other consequences

For the Australian economy, developments at the long end of the yield curve tend to be less relevant than those at the short end. Most financing happens at the short end of the maturity spectrum, especially for households. But some borrowers and investors are affected by long-dated yields, especially governments, and the local firms involved in data centre construction.

Offshore, we can see higher yields constraining policy decisions by the US government and can expect more on this front. The US government's debt-servicing costs are becoming more burdensome as large deficits persist and yields rise. Just in the past few weeks, we have seen some unusual currency interventions by the US Treasury, followed by buy-backs designed to shorten the maturity profile of US government debt and lower the term premium paid. And while we expect the Fed will not fold in the face of pressure to keep rates low, we can well imagine the content of the phone calls between FOMC Chair Warsh and President Trump. Expect more manoeuvres by the US authorities along the lines seen recently. These are merely stop-gaps, though, not lasting solutions like genuine fiscal consolidation.

Cliff Notes: the foundations of confidence

Elliot Clarke, Head of International Economics

After an upside surprise in June, [the labour force survey](#) disappointed in July, reporting a loss of 15.8k jobs. This leaves average monthly employment growth year-to-date at 20.8k, above 2025's 12.6k but below the pace needed to keep the unemployment rate unchanged. It is therefore unsurprising that the unemployment rate continued to edge higher, reaching 4.5% in July, 0.4ppts above its level at the turn of the year. Hours worked also disappointed, declining 0.6% in the month to be up just 0.2% over the year. Slowly but surely, slack is forming in the labour market, weighing on activity growth but supporting the disinflationary trend. That trend must be sustained if the next move in the cash rate is to be down as Westpac forecasts, albeit not until next August.

The [Q2 wage price index](#) was also favourable for the inflation outlook. As expected, the headline wage price index rose 0.8% in Q2 to be 3.2% higher over the year. Private sector wage growth is now at its weakest since Q4 2021 (0.7%qtr, 3.1%yr). Public sector wage momentum provided an offset in Q2, gaining 0.9%qtr and 3.4%yr. The detail suggests that a larger share of public sector jobs received a wage increase than a year ago (25% versus 20%), but that the average hourly wage increase for those jobs was smaller (3.1% versus 3.5%).

Australian consumers are becoming more aware of labour market risks, with [the Westpac-MI consumer sentiment](#) survey unemployment index rising above its long-run average in August. But the cumulative impact of cost-of-living pressures remains the major impediment to confidence: both "family finances versus a year ago" and "family finances next 12 months" stayed below average in August, despite mortgage holders receiving a welcome reprieve from the RBA. And improved comfort around family finances is only the first step towards a recovery in consumer demand. "Time to buy a major household item" remains 24% below average despite a monthly bounce, while "time to buy a dwelling" is similarly 20% below average. We expect a lengthy period of weakness in Australia's economy, with a return to trend activity growth not foreseen until late-2028.

Offshore, attention centred on FOMC messaging. Overall, the July minutes showed a high degree of caution over the inflation outlook, reflecting uncertainty around the Middle East conflict and US economic policy, as well as an expectation that the US economy would maintain its recent momentum. "Most participants anticipated that inflation would step down over the rest of the year as the effects of tariffs and earlier energy price increases wane, but many participants noted the possibility that inflation might be more persistently elevated." In that context, "many participants assessed that policy tightening would likely be necessary if inflation did not decline".

Since the meeting, data has been constructive for the disinflationary trend, and the majority of FOMC members who have spoken have recognised the importance of the Committee's credibility on inflation but also that they have time on their side in assessing conditions.

Turning to Asia, the July China data round underwhelmed yet again. The return from trade is incredible, but retail sales growth has essentially stalled, 0.6%yr, and the decline in fixed asset investment is increasingly broad based, -6.7%ytd. House price declines continue to weigh on household wealth, and domestic equity holdings do not have the scale or breadth to compensate.

Authorities may be keeping quiet on stimulus ahead of the next meeting between President Xi and President Trump, and as the US looks to expand its economic actions against Iran – potentially via third parties with ties to Iran, such as China. But, very clearly, there is an urgent need for stimulus if the 2026 and 2027 growth targets are to be achieved.

Counting down the days



Michael Gordon
Senior Economist

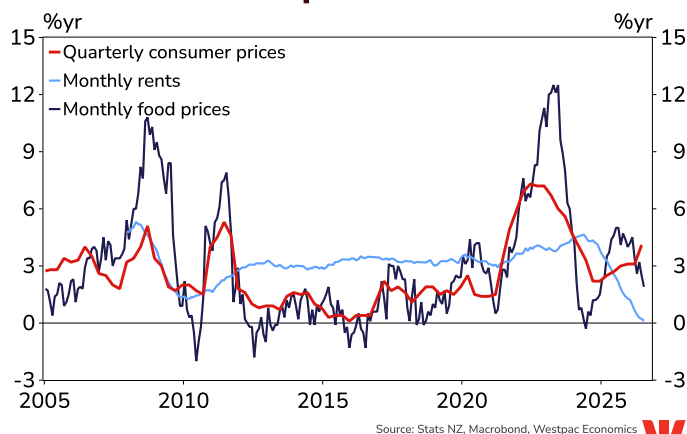
This week saw a handful of data releases, with no decisive signals for the RBNZ as it approaches its 2 September Monetary Policy Statement. Market pricing is firmly in favour of another OCR hike next month, but there is much more uncertainty around what the RBNZ will signal for the remaining meetings this year. We'll be discussing these issues and more in our latest quarterly Economic Overview, released next Wednesday.

The monthly selected prices release, which covers almost half of the quarterly CPI basket, was softer than expected in July. Of particular note was a muted 0.1% rise in food prices for the month, with annual growth slowing to an 18-month low of 1.9%. Meat prices saw their largest monthly fall since 2020, and there were also price declines for wine and some dairy products.

Outside of food, petrol prices were down 6% over the month, with diesel down 12%. However, the renewed hostilities in the Middle East since July mean that prices at the pump have been higher again over August. There were large increases in domestic and international airfares, both of which experience large seasonal swings, and are likely to ease back next month. However, with global oil prices still elevated, this is one area where we could see ongoing strength.

July also saw another 0.1% fall in housing rents, continuing the weak trend seen over the past year. With weak population growth and ample supply, housing rents are likely to remain subdued for some time. Rents make up just over 10% of the CPI, so they are having a significant dampening effect on overall inflation at the moment.

NZ selected consumer prices

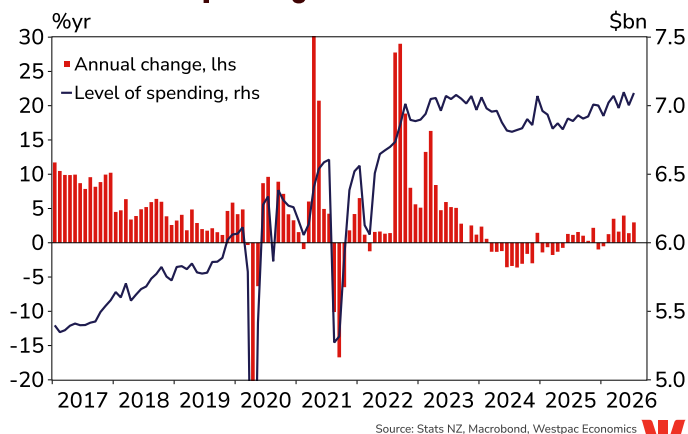


Altogether, the July results signal some downside risk to our existing forecast of a 0.7% rise in consumer prices in the September quarter (which would see annual inflation slow down from 4.1% to 3.7%). However, we're still left with a picture of inflation that's likely to be well above the RBNZ's target range for the remainder of this year, including firm levels of core inflation.

The June quarter producer price index showed a range of cost pressures, with input prices rising 2.9% and output prices up 1.6%. Higher fuel prices were an obvious driver, showing through in a range of industries such as wholesaling, transport and construction. As the June quarter CPI has already shown, though, many firms have limited ability to pass on these cost increases.

Turning to the activity data, card spending at retail stores rose by 1.3% in July, following an equal-sized fall in June. Indeed, these figures have been volatile for several months even after seasonal adjustment – there may have been some changes in the timing of spending that are difficult to account for. Looking through this, spending is up modestly on a year ago, but price increases – especially for fuel – will have accounted for a large part of this. We expect next week's retail trade survey to show a 0.2% fall in sales volumes for the June quarter.

NZ retail card spending

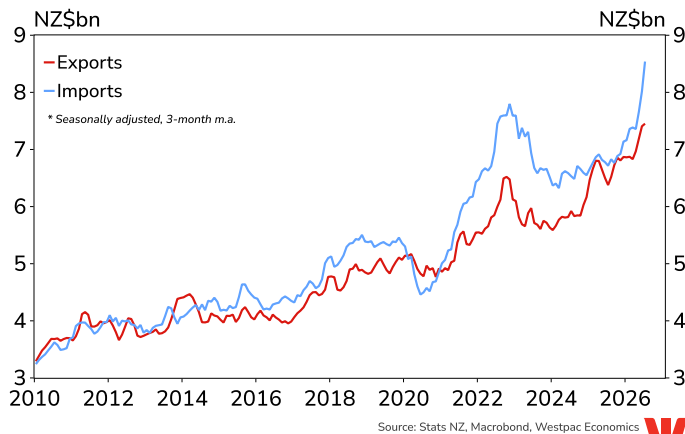


The services PSI was little changed at 50.6 in July, holding just above the zero-growth mark. So far this year the services survey has been more subdued compared to the manufacturing survey, which recorded a solid 54.3 in July after spiking to 60.1 in June. That may reflect their relative exposures to the global market, with strong demand and a favourable exchange rate boosting export-oriented sectors and regions.

The second GlobalDairyTrade auction for August saw a 2.3% rise in dairy prices, led by strong gains in whole milk and skim milk powders. These results had been well signalled by the futures market, which has seen a strong run-up in prices in recent weeks. Longer-dated contracts – covering the New Zealand summer – have risen particularly strongly, suggesting that the market is eyeing the risk that a severe El Niño event could restrict milk production this season. With New Zealand accounting for a large share of internationally-traded dairy products, past droughts have tended to squeeze global prices higher, sometimes resulting in a net boost to industry-wide earnings.

The final release this week was the goods trade data for July, which fell further into deficit in seasonally adjusted terms. Exports remained strong, supported by higher commodity prices. But the country's import bill has surged in the last few months, mostly reflecting the jump in fuel prices. The July figures also included a particularly large diesel shipment, for the purpose of lifting our onshore fuel reserves in response to the Middle East conflict. Outside of fuel, the ongoing growth in imports of capital equipment suggests that firms have remained willing to invest through the war uncertainty.

Merchandise trade



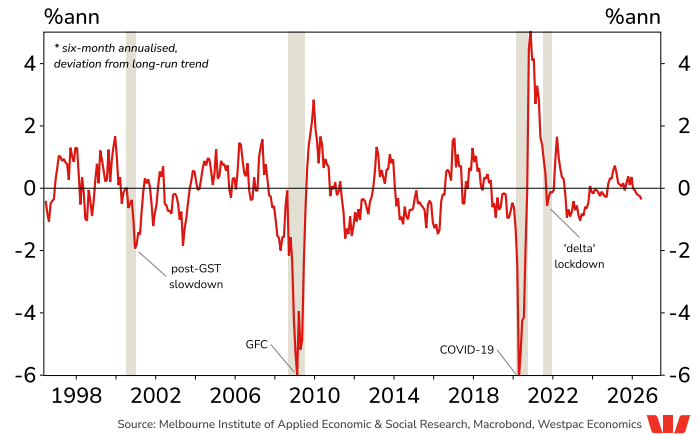
AUS: Jul Westpac-MI Leading Index

Aug 26, Last: -0.36%

The Leading Index growth rate dropped to -0.36% in June from -0.25% in May. The update pointed to a more material loss of momentum although the growth pulse was still not overly weak.

The July read include will again include a mixed bag of monthly updates with equity markets and commodity prices firming, dwelling approvals posting a solid rise and the yield spread and consumer expectations a little more positive but some softer signals emanating from labour market components: consumer unemployment expectations and total hours worked. All up the mix may see a slight improvement in the growth rate signal.

Westpac-MI Leading Index



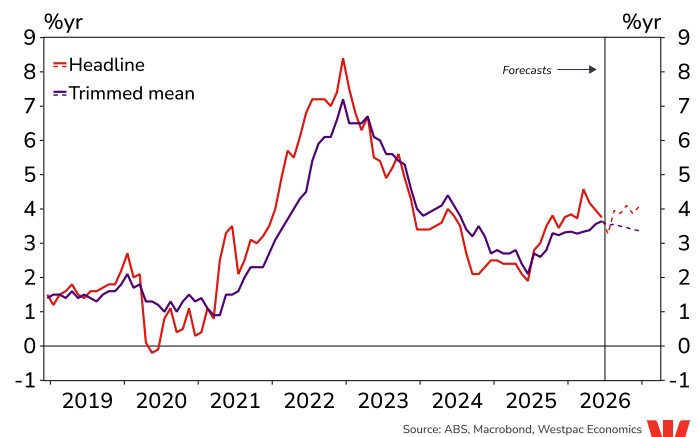
AUS: Jul Monthly CPI (%yr)

Aug 26, Last: 3.8, Westpac f/c: 3.3
Mkt f/c: 3.3, Range: 3.1 to 3.6

The June Monthly CPI was much better than feared, falling for a second consecutive month at -0.1%mt/3.8%yr. The monthly trimmed mean also moderated to 0.3%mt with a slight up tick in the year-ended pace of 3.6%yr.

We expect the July monthly CPI to rise 0.8%mt with the annual pace easing back to 3.3%yr. Holiday travel and auto fuel are the key drivers of the stronger monthly outcome, alongside a pick-up in some domestic market services resulting from the higher minimum wage decision. Electricity will be the main drag in the month. The monthly trimmed mean is forecast to rise 0.4%mt, taking the annual pace to 3.5%yr. For the full preview, see [here](#).

Headline and Trimmed Mean Inflation



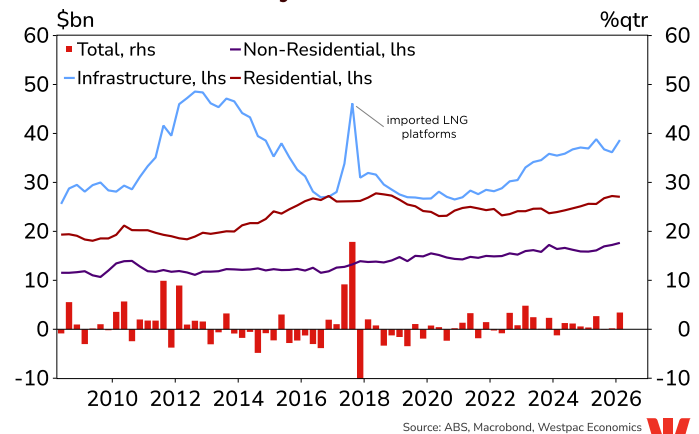
AUS: Q2 Construction Work Done (%qtr)

Aug 26, Last: 3.4, Westpac f/c: -1.0
Market f/c: 0.5, Range: -2.0 to 2.5

Construction activity grew 3.4%qtr in Q1, leaving it 6.3% higher over the year. However, the headline result was boosted by the installation of a floating production unit for the Scarborough Energy Project, much of which would have already been captured in the National Accounts through earlier progress payments. As this temporary spike unwinds, we expect construction activity to fall by around 1.0%qtr in Q2.

Beyond this, underlying trends remain more favourable. Public infrastructure investment is soft as major projects are completed, but residential construction is expected to recover following the unexpected Q1 decline. At the same time, data centre related developments and population-driven demand for commercial floorspace should continue to support non-residential building activity.

Construction activity maintains a solid trend



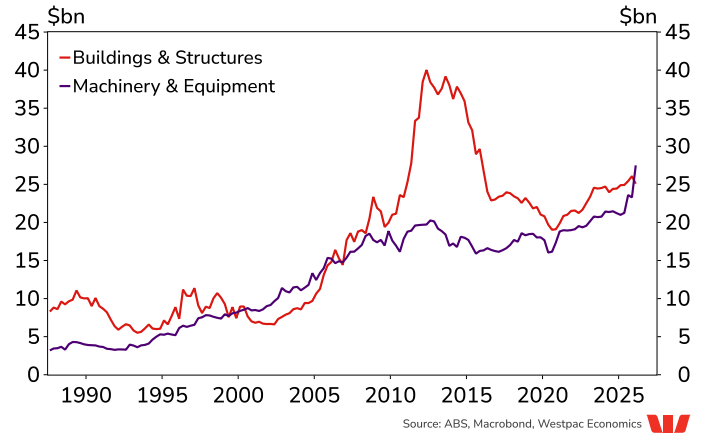
AUS: Q2 Private CAPEX (%qtr)

Aug 27, Last: 6.5, Westpac f/c: 0.0
Market f/c: 0.0, Range: -6.0 to 4.0

Private capex grew a very strong 6.5%qtr in Q1 2026, with investment in machinery and equipment driving much of the increase, primarily led by the IT sector. Capital imports suggest there will be some payback in the machinery and equipment component this quarter following that surge. However, there has also been a significant increase in the construction of commercial buildings with building approvals rising strongly over the June quarter. Overall, this should see private capex hold flat in Q2, while remaining elevated in level terms.

Est 6 for 2025/26 capex plans, after our adjustment, is consistent with robust nominal growth of 11.2%yr and real growth of 10.7%yr. We expect Est 3 unadjusted plans for 2026/27 to come in at \$195bn, an 11.5% increase on a year ago, pointing to continued growth in FY27.

Private Capex



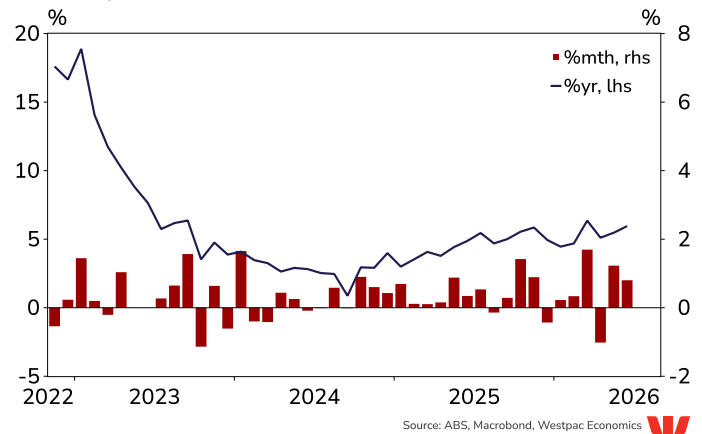
AUS: Jul Household Spending Indicator (%mth)

Aug 27, Last: 0.8, Westpac f/c: -0.5
Mkt f/c: 0.3, Range: -0.5 to 0.7

The household spending indicator rose 0.8%mth in June, beating expectations. The gain followed a choppy run, spending up 1.2%mth in May having fallen 1%mth in April. Annual growth strengthened to 6.0%yr.

Our **Westpac-DataX Card Tracker** maintained solid momentum through July and early August. However, the gains were stronger in parts that are not covered by the ABS HSI (including international transactions). A narrower measure that more closely aligned with the HSI points to a dip in the July month. Vehicle sales (covered by HSI but not the card tracker) also look to have dipped after a strong June quarter. Overall we expect the indicator to show a 0.5% decline with a small downward revision to June also possible.

Monthly household spending indicator

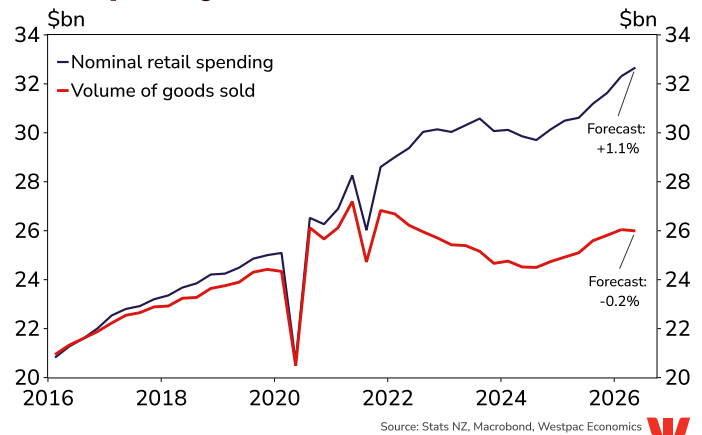


NZ: Q2 Retail Trade Survey (%qtr)

Aug 24, Volumes last: 0.9, Westpac f/c: -0.2

In the early part of this year, we were seeing signs that spending appetites were lifting, with retail sales posting several quarters of solid growth. However, that momentum has taken a knock recently due to the large increase in fuel prices and related uncertainty about the economy outlook. We're forecasting a 1.1% rise in nominal spending over the June quarter. However, with a large rise in prices, volumes are expected to be down 0.2%. Core spending is expected likely to be firmer, with a moderate 0.6% rise forecast.

Retail spending

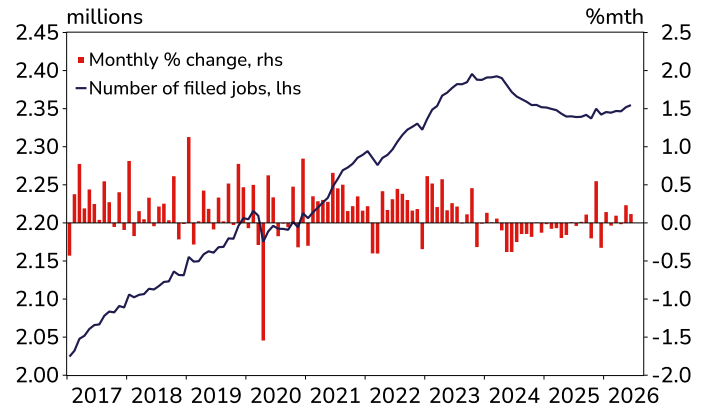


NZ: Jul Monthly Employment Indicator (%mth)

Aug 28, Last: 0.1, Westpac f/c: 0.3

The MEI has continued to tick higher in recent months, showing that the jobs market has held its ground through the Iran conflict and the consequent surge in fuel prices. The weekly snapshots provided by Stats NZ have been running ahead of year-ago levels and suggest another solid result for July – we've pencilled in a 0.3% rise on the initial release, although this measure tends to get revised down a bit in later releases.

Monthly Employment Indicator



Source: Stats NZ, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 24							
NZ	Q2	Real Retail Sales	%qtr	0.9	0.0	-0.2	High fuel prices weighing on spending.
US	Jul	Chicago Fed Activity Index	index	-0.02	-	-	Indicates underlying growth momentum relative to trend.
Tue 25							
Aus		RBA Minutes	-	-	-	-	Discussion of inflationary pressures in focus.
		RBA Speak	-	-	-	-	Speech by David Jacobs, Head of Domestic Markets, 2:00pm.
Ger	Aug	IFO Business Climate Survey	index	86.6	-	-	Will test whether confidence is stabilising
US	Jun	FHFA House Price Index	%mth	0.3	0.2	-	High interest rates dampening house price growth,
	Jun	S&P/CS Home Price Index	%mth	0.15	0.10	-	Has been around zero lately.
	Jul	Building Permits	%mth	5.0	-	-	Final estimate, ample supply keeping new construction low.
	Jul	New Home Sales	'000	628	620	-	Slow housing market activity.
	Aug	Richmond Fed Manufac. Survey	index	5	7	-	Manufacturing sentiment recovered in recent months.
	Aug	Conf. Board Consumer Confidence	index	90.8	90.2	-	Weakened notably over the last twelve months.
Wed 26							
Aus	Jul	Westpac-MI Leading Index	%ann'd	-0.4	-	-	Mixed monthly data may see an improvement on net in July.
	Jul	Monthly CPI	%ann	3.8	3.3	3.3	Holiday travel and autofuels will support the headline.
	Q2	Construction Work Done	%qtr	3.4	0.5	-1.0	First partials of the Q2 GDP growth.
US	Jul	Personal Income	%mth	0.2	0.2	-	Income growth continues to support spending
	Jul	Personal Spending	%mth	0.4	0.0	-	Can strong Q2 growth be maintained in Q3?
	Jul	PCE Deflator	%mth	-0.1	0.1	-	Inflation pressures are easing gradually...
	Jul	Core PCE Deflator	%mth	0.1	0.2	-	...but core inflation may prove sticky.
	Q2	GDP	%ann'd	1.5	1.5	-	Second est., slower Q2 growth despite higher consumption.
	Jul	Durable Goods Orders	%mth	0.5	0.5	-	AI investment driving underlying demand.
Thur 27							
Aus	Q2	Private New Capital Expenditure	%qtr	6.5	0.0	0.0	Data-centre investment in focus after a surge in Q1.
	Jul	Household Spending Indicator	%mth	0.8	0.3	-0.5	Vehicle sales to detract from the headline after a strong June.
Chn	Jul	Industrial Profits	%ann	15.1	-	-	Weak domestic demand challenging profit growth.
Eur	Jul	M3 Money Supply	%ann	3.3	-	-	Focus on credit conditions after the ECB interest rate hike.
US	Jul	Wholesale Inventories	%mth	0.2	-	-	Inventory adjustment cycle still unfolding.
	Jul	Advance Goods Trade balance	\$bn	-101.4	-99.5	-	Goods trade deficit increased recently.
		Initial Jobless Claims	000s	206	208	-	Consistent with broadly balanced supply and demand.
	Aug	Kansas City Fed Manufac. Activity	index	9	-	-	Manufacturing sentiment recovered in recent months.
Fri 28							
NZ	Jul	Employment Indicator	%mth	0.1	-	0.3	Jobs have held their ground through the Iran conflict.
Jpn	Aug	Tokyo CPI	%ann	2.0	1.9	-	Inflation pressures remain firm.
	Jul	Jobless Rate	%	2.5	2.5	-	Labour market conditions remain tight.
Eur	Aug	EC Economic Confidence Index	index	96.9	-	-	Good indicator of how GDP growth impulse is evolving in Q3.
	Aug	EC Consumer Confidence Survey	index	-15.9	-16.0	-	Recovering after the energy price shock.
US	Aug	Chicago PMI	index	57.6	59.0	-	Increased a lot this year despite higher economic uncertainty.
	Aug	Uni. Of Michigan Sentiment	index	51.0	51.0	-	Confidence remains very low by historical norms.
		Fedspeak	-	-	-	-	Chair Kevin Warsh's speech at Jackson Hole

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (21 Aug)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.35	4.35	4.35	4.35	4.10	3.85	3.60	3.60	3.60	3.60
90 Day BBSW	4.49	4.46	4.46	4.46	4.26	4.01	3.76	3.61	3.71	3.70	3.70
3 Year Swap	4.56	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
3 Year Bond	4.57	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
10 Year Bond	5.06	4.95	4.85	4.75	4.65	4.65	4.65	4.65	4.65	4.65	4.65
10 Year Spread to US (bps)	34	30	25	20	10	5	0	-5	-10	-15	-20
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.70	4.65	4.60	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.99	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.66	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.71	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	1	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (21 Aug)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.7139	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5941	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	159.03	162	160	160	158	156	154	152	150	148	146
EUR/USD	1.1691	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3643	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7218	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.1969	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.2	0.2	0.3	0.4	0.4	0.4	0.4	-	-	-	-
%yr end	2.4	1.7	1.5	1.0	1.1	1.3	1.4	1.5	2.6	1.0	1.5	2.5
Unemployment rate %	4.2	4.4	4.6	4.8	4.9	4.9	4.8	4.8	4.3	4.8	4.8	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.1	0.8	0.6	0.6	0.8	0.5	-	-	-	-
%yr end	4.1	3.9	3.7	3.9	3.1	3.2	2.9	2.6	3.6	3.9	2.6	2.4
Trimmed Mean CPI %qtr	0.8	0.8	0.8	0.8	0.8	0.7	0.6	0.6	-	-	-	-
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.9	2.7	3.3	3.3	2.7	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	-0.1	0.6	0.7	1.0	0.5	0.6	0.7	-	-	-	-
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.4	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	-	-	-	-
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

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Week beginning 17 August 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA holds at 4.35%, narrows risk of hikes.

The Week That Was: A cautious turn.

Focus on New Zealand: Political drama and mixed data.

For the week ahead:

Australia: Labour force survey, Q2 WPI, Westpac-MI Consumer Sentiment, inflation expectations.

New Zealand: Retail card spending, food price index, Q2 PPI, trade balance, performance services index.

Japan: Q2 GDP, CPI, industrial production, core machinery orders.

China: Retail sales, industrial production, fixed asset investment.

Euro Area: ZEW survey of expectations.

United Kingdom: CPI, ILO unemployment rate, retail sales, GfK consumer sentiment.

United States: Leading index, import price index, industrial production, FOMC meeting minutes.

Global: S&P Global manufacturing and services PMIs.

Information contained in this report current as at 14 August 2026.

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RBA holds at 4.35%, narrows risk of hikes



Luci Ellis
Chief Economist, Westpac Group

As widely expected, the RBA Monetary Policy Board (MPB) kept the cash rate on hold at 4.35% at its August meeting. The accompanying statement highlighted that the MPB is prepared to increase the cash rate from here, if upside risks to inflation materialise. This is more specific and narrower language than in May, when it was stated that the cash rate would be increased “if needed”.

The RBA has evidently concluded that the base case is that rates are on hold. Headline and trimmed mean inflation have both come in lower than the RBA expected in May, and the labour market and housing market are both weaker than it expected. Pass-through of higher energy prices came in quickly and in size – as we flagged at the time. But as we noted in our [change of rate call](#), this pass-through has since tapered off, undershooting the RBA's expectations.

This decision is a hold of a different character to June's meeting, where a hike was not even contemplated because the MPB was in “wait and see” mode ahead of the Q2 CPI. This month's decision involved consideration of a hike, but the base case forecasts, which show inflation below the target midpoint by 2028, did not really support such a decision.

Softer inflation and labour market outcomes have strengthened the assessment that monetary policy is somewhat restrictive, a judgement the RBA had less confidence about earlier in the year. Still, the RBA is looking for a period of below-trend growth, and ultimately some spare capacity to build up, to engineer the reduction in inflation. Currently its forecasts show the economy to be on track to deliver that outcome.

The MPB is not yet ready to rule out rate hikes, however, because it assesses that inflation risks are skewed to the upside. It is particularly concerned that pass-through from energy prices to other prices might continue, even though it has eased off a bit sooner than originally expected. Further escalation in the Middle East conflict might result in higher energy prices than forecast, and/or more pass-through. These are similar considerations to the ones that led us to [flag that there was still some chance that the RBA hikes again this cycle](#), even though that is no longer our base case.

The RBA still assesses the labour market to be somewhat tight, although it has eased recently. However, some of the [measures](#) the RBA typically relies on for this assessment have been affected by changes to the Labour Force Survey; measures that do not involve this survey such as capacity utilisation and business difficulty finding suitable labour provide a clearer easing

signal. The SMP highlights underemployment as supporting the assessment that the labour market is still tight. As we have [previously noted](#), other measures of underemployment published by the ABS have increased more sharply than the headline measure. The RBA's evolving assessment of labour market conditions will be a key driver of its inflation outlook, arguably more so than the housing market, which is also being affected by changes to taxation arrangements.

The RBA's underlying analysis that capacity pressures are boosting inflation and constraining output growth remains in place. Although the RBA's assessment of potential output growth is a little higher than in recent quarters, the revision was driven solely by a revised outlook for population growth. The RBA's downbeat assumptions about trend productivity growth have not changed, despite extensive language in the SMP highlighting the boom in AI and data centre investment, which has been stronger than its forecasts recognised in May.

“RBA on hold as expected, recognising the data has broken against its hawkish narrative.”

Curiously, the SMP highlighted the inflationary risks posed by the AI boom pressuring construction capacity at home and semiconductor-related inflation globally, despite not factoring in any positive productivity spillover from the resulting investment. While productivity benefits would be expected to come through with a lag, how long this was expected to take was not addressed. We also find it curious that the SMP and Governor highlighted the contention for construction labour and other resources this involves, but the effects of this are only barely evident in its GDP forecasts. This implies a view that data centre construction must be crowding out other construction.

We continue to expect the RBA to remain on hold through to mid next year. However, it will be a “hawkish hold” with the MPB slow to relax given its view that upside inflation risks predominate. While we believe that investors should allow for some risk of a hike later this year, it is not our base case. There are clearly upside risks to inflation, as the RBA has highlighted, but in our view downside risks as well.

Forecast changes

- A full update to our forecasts has been published in our [Market Outlook](#) publication today, August 14.

Cliff Notes: a cautious turn

Elliot Clarke, Head of International Economics

This week the RBA took centre stage in Australia deciding unanimously to keep the cash rate unchanged for a second consecutive meeting. As detailed by [Chief Economist Luci Ellis](#), the accompanying statement highlighted that the MPB is prepared to increase the cash rate from here, if upside risks to inflation materialise. This is more specific and narrower language than in May, when it stated that the cash rate would be increased “if needed”.

Headline and trimmed mean inflation have both come in lower than the RBA expected in May, and the labour market and housing market are both weaker than it anticipated. These outcomes have strengthened their assessment that monetary policy is somewhat restrictive, likely sufficiently so to bring inflation below the target range mid-point by 2028. Inflation risks are still regarded as skewed to the upside, however, and the labour market tight. So, we expect the RBA's communications to maintain a hawkish tone while they remain on hold through late-2026 and early-2027. By August 2027 though, we believe a period of below-trend growth, an unemployment rate above the full employment level and a trend deceleration in annual inflation will be enough to warrant the first of three 25bp rate cuts, to be followed up in November 2027 and February 2028. Until this relief is given, the consumer is likely to remain cautious on spending and housing, topics assessed in depth in our latest [Red Book](#).

On the data front, [the July NAB business survey](#) captured businesses' reaction to the breakdown of the US/Iran Memorandum of Understanding and the brief spike in Brent oil above USD100 per barrel. Business conditions continued to show resilience (+1pt to 4), but confidence remained sub-par, registering a second-consecutive reading of -6 – 11pts below its long-run average and within the bottom 10% of outcomes recorded since 1997. Input cost increases are materially affecting business profitability, particularly in sectors where weak and/or fragile demand is limiting the ability of firms to pass costs on. The survey's gauge of profitability remained only modestly below its long-run average, and the employment index in line. That said, forward orders showed a 3pt decline in July to -3 highlights a need to monitor risks closely.

Offshore, US inflation data was in focus. Again, it proved benign, headline prices rising 0.1% and 0.2% excluding food and energy. While annual headline inflation is still a multiple of the FOMC's 2.0%yr target (3.4%yr in July), core inflation has moderated all the way back to 2.5%yr. And recent monthly outcomes suggest further progress is in train. Since December 2025, core goods prices have essentially been flat. Core services inflation has meanwhile averaged 0.3% per month

over the period with an outsized contribution from shelter. Indeed, 6-month annualised inflation excluding food, energy and shelter was just 1.6% in July compared to 2.4% for the traditional ex food and energy measure. There is little the FOMC can do about shelter inflation in the short to medium-term, and inflation across the rest of the basket is clearly not suggesting a hike(s) is necessary now or in coming months.

Last Friday's nonfarm payrolls report also argues in favour of restraint by the FOMC, the employment gauge surprising to the downside in July (-23k) following a -103k revision to the prior two months. Household survey employment was weaker still, with 87k fewer people reporting they are employed in the month, continuing the trend of the past 6 months (an average monthly decline of 153k). Declining participation continues to mask the deterioration in household employment. Had participation not fallen 1.2ppts since January 2025, the unemployment rate would be through 5.0%. Average hourly earnings are increasingly reflecting labour market slack, rising just 0.1% in the month, slowing the annual pace to 3.2%.

All told, we expect the US economy to continue to show resilience, growing around trend in 2026–28. But the household sector is set to remain under considerable pressure, with excess capacity likely to build in the labour market and the ability to unlock housing wealth constrained by borrowing costs and uncertainty. A complete update of our global analysis and forecasts will be made available in our August Market Outlook today on [Westpac IQ](#).

Political drama and mixed data



Darren Gibbs
Senior Economist

While much of the focus remains on developments offshore, over the past week market participants have also had to digest both further domestic political drama and the release of several local economic indicators.

Beginning with political developments, the National Party is continuing to poll well below its 2023 General Election result, suggesting that several of the party's MPs are at risk of losing their seats at the next General Election on 7 November. So perhaps unsurprisingly, media speculation about a possible change in the party's leadership – citing sources within the party – resurfaced over the weekend. This led Prime Minister Christopher Luxon to call an impromptu caucus meeting on Wednesday, calling MPs back to Wellington despite parliament being in recess.

Following a three-hour meeting, Luxon held a very short press conference at which he confirmed that he had survived a no confidence motion. This follows him surviving an earlier confidence motion back in April (on that occasion, initiated by Luxon himself following widespread media reporting of dissatisfaction within the party caucus). Later in the day it emerged that one minister, Chris Penk, had challenged Luxon for the leadership. Penk has since been sacked from the Cabinet and has announced that he will no longer be standing for re-election.

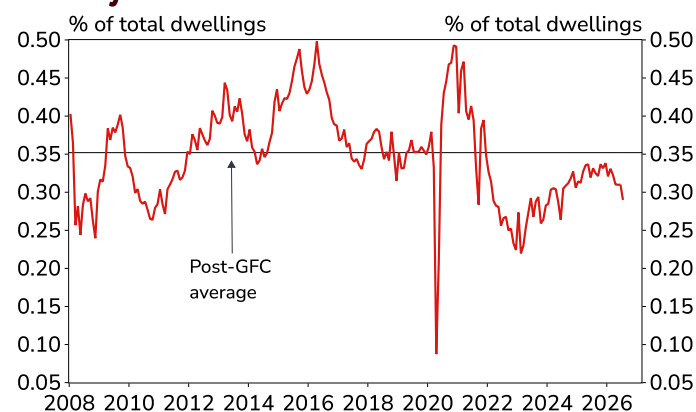
With the next General Election now less than 90 days away, polling continues to show a tight race. Crucially, another well-respected poll released this week (the 1News-Verian poll) suggests that the Opportunity Party will – for the first time – achieve the 5% vote threshold that will allow it to enter parliament. Moreover, the same polling suggested that it could well be the “kingmaker” after the election. Given that the National Party has indicated an unwillingness to work with it, the Opportunity Party's rise increases the likelihood of a change of government.

It will be interesting to see how this week's developments impact polling over coming weeks, with political infighting usually punished by potential voters. It is worth noting that measures of headline business confidence have historically been weaker when a left-of-centre government is in power, so it would not be surprising to see a slip in sentiment over the next month or so (even more so given the ongoing Middle East conflict).

Turning to this week's economic data, news from the housing market remained soft in July. House sales fell 4.6% – their fifth straight monthly decline. Sales are now at their lowest level in two years. The median time to sell extended to around 47

days, thus remaining much longer than the historic average. Meanwhile, the REINZ house price index was unchanged for the month and was down 0.4% on a year ago. Conditions remain stronger in the south, with prices up on a year ago in Canterbury, Otago and Southland. However, Auckland prices were down 1.7% on a year ago, while Wellington was down 4.4%. Fixed-term mortgage rates have continued to rise since the start of this year, in anticipation of the next RBNZ tightening cycle (which is now in motion). This will continue to weigh on the housing market, leaning against any improvement in incomes as the economy gets back on its feet.

Monthly house sales



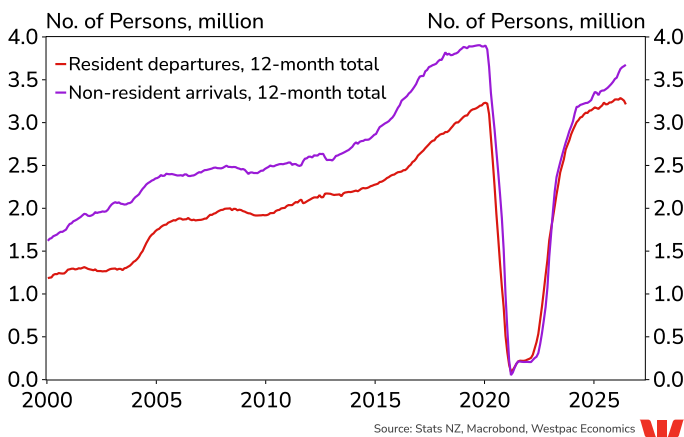
Source: REINZ, Stats NZ, Macrobond, Westpac Economics

The subdued activity being seen in the housing market is also a reflection of slow population growth. The estimated net migrant inflow in the year to June was just 17,600 – little more than half the average pace experienced over the past two decades. The net inflow has increased marginally over the past year, mostly due to a 5% decline in migrant departures. Looking ahead, given the expected cyclical improvement in the New Zealand economy over the next 12 months, and the expected weakening of the Australian labour market, a further reduction in migrant outflows should contribute to a gradual strengthening in population growth, providing some support to the housing market in time.

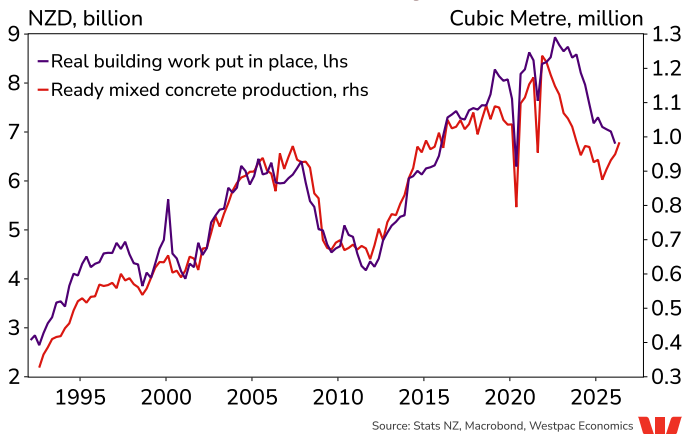
In other news, short-term foreign visitor arrivals were down fractionally in June but still 8% higher than a year earlier. Annual growth in total arrivals hides some quite divergent performance across New Zealand's major source markets, however. Arrivals from Australia – the largest market – were up 16%/yr and are now well above pre-pandemic levels,

doubtless helped by the significant fall in the NZD/AUD cross over the past year. The recent strong performance of the Chinese market also continued, with arrivals up 33%yr (now around 88% of pre-pandemic levels). By contrast, arrivals from the US and Canada were down around 8%yr. Less surprisingly, arrivals from Germany and the UK were down over 9%yr, likely reflecting both the undesirability of transiting via the key Middle East hubs as well as the large increase in long-haul airfares. Meanwhile, the Middle East conflict also appears to be impacting the travel habits of New Zealanders, with outbound travel falling for a third consecutive month in June to sit slightly below its year-earlier level.

Tourism flows



Concrete poured vs real building work

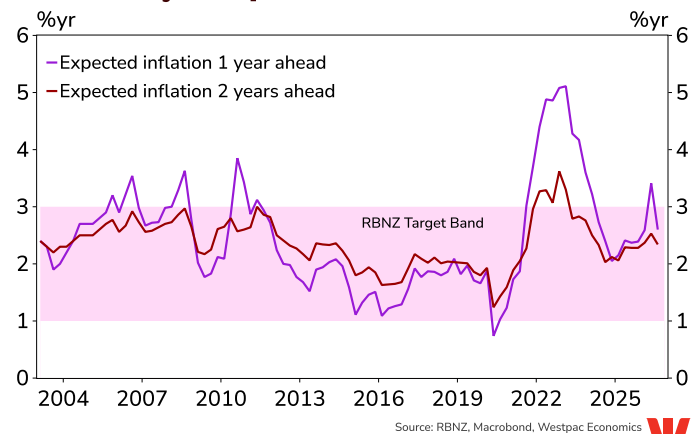


The Business NZ manufacturing index fell 5.8pts to 54.3 in July – roughly halfway between its sharply contrasting May and June readings. The sharpest decline was seen in the new orders index, which fell 10.8pts to 53.3 – just above its May reading. By contrast, the production index remained quite resilient, falling just 1.9pts to 57.3. We think that the manufacturing sector is continuing to benefit from strong conditions in the primary food sector and the beginnings of an upturn in the construction sector. Indeed, further signs of the latter were evident in concrete production data for the June quarter. At the nationwide level, production increased 3.7%

during the quarter to be 12.4% higher than a year earlier. In common with many other macroeconomic statistics, the South Island regions stood out as relatively strong, with growth of 25%yr in Canterbury and 20%yr in Otago/Southland.

Turning to inflation, the RBNZ's September survey of professional forecasters and selected businesspeople pointed to a welcome decline in expectations over the next couple of years. Expectations for inflation one year ahead fell to 2.60%, down sharply from 3.41% last quarter. Similarly, the closely watched measure of inflation in two years' time fell to 2.34%, down from 2.53% previously. We did see a small rise in expectations for longer term inflation (five and ten years ahead), but those increases are well within the normal quarter-to-quarter volatility we typically see. Meanwhile, in a similar vein, the RBNZ's household survey reported that the median one-year ahead inflation expectation had declined by 0.5pts to 4.5%, while the two-year ahead expectation fell 0.6pts to 3.4%. At the margin these results might ease the RBNZ's concerns about the potential for second-round inflation impacts.

RBNZ Survey of Expectations



Finally, after trending sideways for most of this year, Westpac's indicator suggests that spending levels took a step higher in July, with per-person spending on Westpac issued credit and debit cards rising 2% over the month. Helping to support July's lift in spending were falls in fuel prices, with the savings there supporting a near 3% lift in spending on groceries. We also saw sizeable increases in some categories of discretionary spending – spending in restaurants was up 5% and spending on other entertainment was up 2%. That lift coincided with the FIFA World Cup. Stats NZ will release its more comprehensive measure of electronic card spending over the coming week.

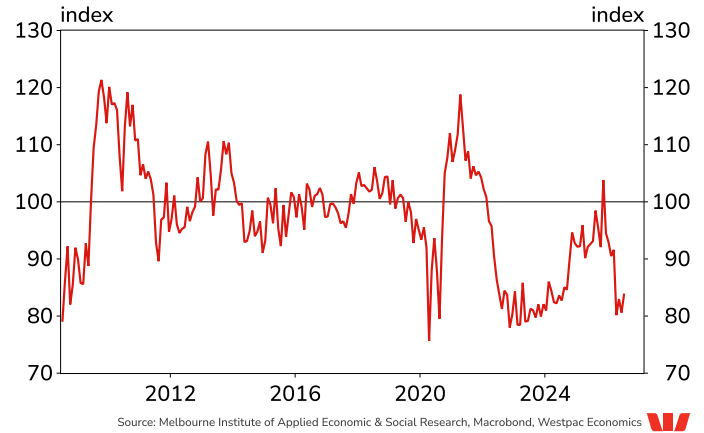
AUS: Westpac-MI Consumer Sentiment

Aug 18, Last: 83.9

Consumer sentiment rose 4.1% to 83.9 in July. Despite the gain, sentiment remains deeply pessimistic, ranking in the bottom 10% of outcomes over the survey's 50-year history. The improvement appears to reflect growing confidence that the worst-case scenarios around energy prices, interest rates and the labour market are not materialising, although cost-of-living pressures continue to weigh heavily on households.

Developments over the past month have been mixed. An unsettled situation in the Middle East has contributed to higher fuel prices following the expiry of the fuel excise discount, with the national average retail pump price now back above \$2.00/L. Offsetting this, the RBA kept rates on hold in August and signalled it was a little less worried about inflation following the softer Q2 CPI print. Sentiment may also see some influence from a broadening downturn in housing markets.

Consumer Sentiment Index



AUS: Q2 Wage Price Index (%qtr)

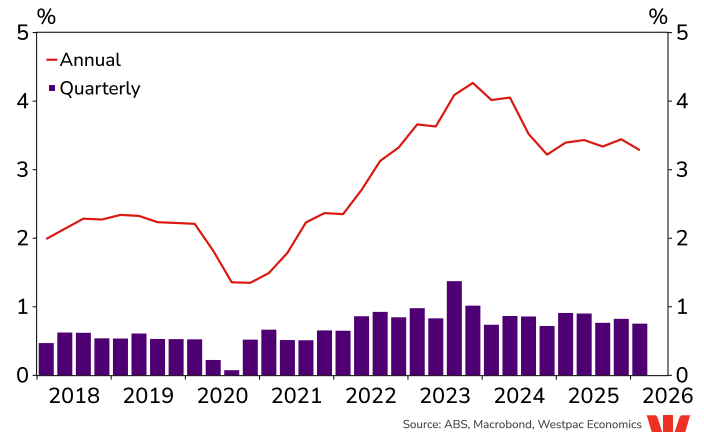
Aug 19, Last: 0.8, Westpac f/c: 0.8
Market f/c: 0.8, Range: 0.8 to 1.0

The Wage Price Index (WPI) rose 0.8% in Q1 2026, in line with Westpac's forecast and the market consensus. Growth in private sector wages continued to moderate, annual growth now at its slowest pace so far in the cycle (3.2%yr). Meanwhile, growth in public sector wages eased back following some larger gains over last year that were due to state-based enterprise agreements and an increased in aged care wages.

We expect a similar result for Q2 2026, a 0.8% increase that should see the annual pace tick down from 3.3%yr to 3.2%yr

Further ahead, the Fair Work Commission's 2026 Annual Wage Review handed down a larger-than-expected increase in award wages of 4.75%. That will come into effect in Q3, which we expect will raise the WPI pace back around the 3½%yr mark.

Wage Price Index



AUS: Jul Labour Force – Employment Change (000s)

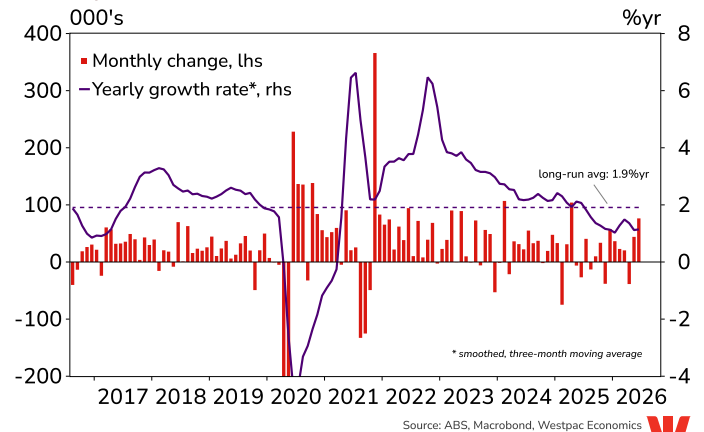
Aug 20, Last: 76.3, Westpac f/c: 15.0
Market f/c: 13.5, Range: -15.0 to 25.0

Employment surprised to the upside in June, jumping +76.3k following a couple of volatile readings over April (-38.6k) and May (+44.0k), matched by a sizeable lift in labour supply.

On a three-month average basis, employment growth is running at an annual pace of 1.1%yr, well below the long-run average (1.9%yr) and the current pace of working age population growth (1.8%yr). High inflation, recent interest rate rises and lingering uncertainty makes for a challenging hiring environment, as evinced by recent business surveys

For July, we have pencilled in a lift in employment of 15k. We recommend watching the employment-to-population ratio on the day, as it will be subject to less noise around population projections. Please see **our preview** for more detail.

Employment growth



AUS: Jul Labour Force – Unemployment Rate (%)

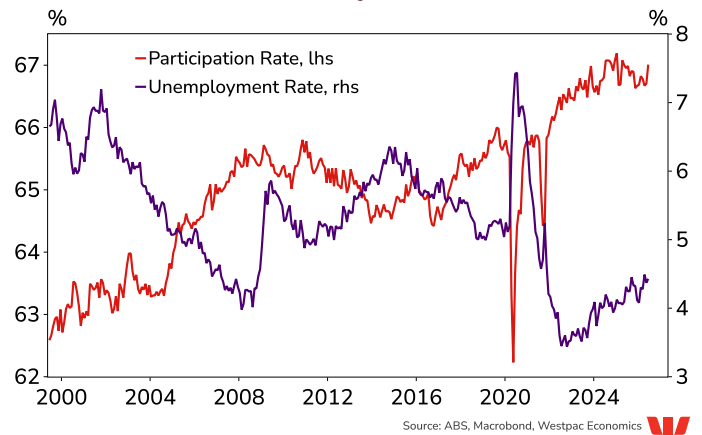
Aug 20, Last: 4.4, Westpac f/c: 4.4
Market f/c: 4.4, Range: 4.3 to 4.5

The participation rate bounced 0.3ppt higher to 67.0% in June, and since the increase in employment was driven by new entrants into the labour force, the unemployment rate held steady at 4.4%, though at the second decimal place it edged slightly higher (4.37% to 4.43%).

Explaining at least some of this surprise, the ABS noted that in May, there was a larger group of individuals who already had a job lined up but just hadn't started working, where come June they moved into the labour force and started work.

For July, we expect the participation rate to tick down to 66.9% while the unemployment rate holds broadly steady at 4.4%. As discussed in our preview, the recent sharp jump in underemployment may be a signal of more slack to come.

Participation and unemployment rates

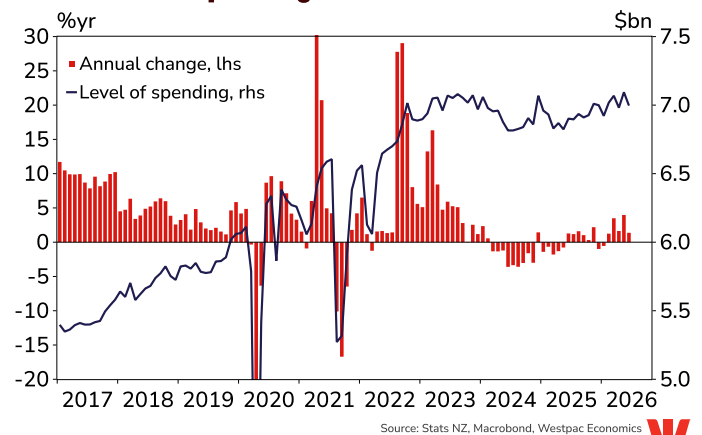


NZ: Jul Retail Card Spending (%mth)

Aug 17, Last: -1.4, Westpac f/c: 0.3

Retail spending fell 1.4% in June, reversing the step higher that we saw in May. June's fall in spending was in part due to the fall in fuel prices, with spending on fuel down 1.7%. However, while lower fuel prices did put money back into households' pockets, spending was also down in most other areas. We're expecting moderate growth of 0.4% in July. That's in part due to the continued easing in petrol prices. Core (ex-fuel) spending is likely to record a larger 0.7% gain, including a pick-up in hospitality spending which was boosted by FIFA World Cup celebrations.

NZ retail card spending

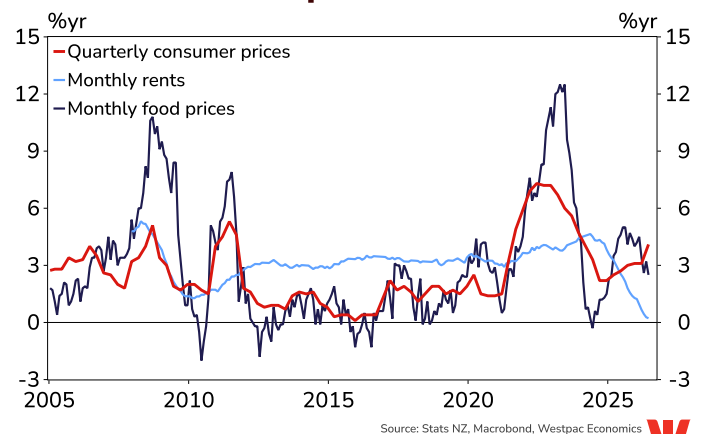


NZ: Jul Selected Consumer Prices (%mth)

Aug 17

Stats NZ's monthly Selected Prices update provides information on around 50% of the full CPI basket, including some of the more volatile components. Looking at some of the big groups, we expect the July update will show a 5% fall in fuel prices. We also expect further softness in housing rents, which have essentially shown no growth for a year. On the upside, we expect a 1% rise in food prices related to the seasonal rise in the price of fresh fruit. Overall, this month's release is expected to leave us with a picture of headline inflation tracking close to 4% and core at firm levels. The key areas of uncertainty are the travel categories, which have been volatile in the wake of the war in the Middle East.

NZ selected consumer prices



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 17							
NZ	Jul	Performance Services Index	index	50.6	–	–	Services have underperformed so far this year.
	Jul	Selected Price Indices – Food	%mth	0.6	–	1.1	Seasonal lift in prices for fresh fruit.
	Jul	Selected Price Indices – Rents	%mth	0.1	–	0.0	No sign that softness is dissipating.
	Jul	Retail Card Spending	%mth	–1.4	–	–	Core spending picking up as fuel prices edged back.
Jpn	Q2	GDP	%qtr	0.5	0.5	–	Firmer domestic demand to support growth.
	Jun	Industrial Production	%mth	1.3	–	–	Final estimate.
Chn	Jul	Retail Sales	ytd %yr	1.3	1.4	–	Activity indicators will likely show an economy that...
	Jul	Industrial Production	ytd %yr	5.4	5.3	–	...continues to lose momentum as policymakers fail to offer...
	Jul	Fixed Asset Investment	ytd %yr	–5.7	–6.2	–	...new stimulus, putting 2026 growth target at risk.
US	Aug	Fed Empire State Manufacturing	index	15.6	10	–	A bumpy up trend since early–2025 remains intact.
	Aug	NAHB Housing Market	index	34	33	–	Homebuilder sentiment expected to reach a 2026 low.
Tue 18							
Aus	Aug	Westpac–MI Consumer Sentiment	index	83.9	–	–	Steady rates, higher fuel, housing downturn, all in play.
		RBA Speak	–	–	–	–	RBA's Jones–Fireside Chat
Eur	Aug	ZEW Survey Of Expectations	index	23.4	–	–	Sitting at a five month high as reform spur hope for growth.
UK	Jun	ILO Unemployment Rate	%	4.9	4.7	–	Stabilising after coming off early–2026 peak.
US	Jul	Import Price Index	%mth	0.3	0.1	–	Prices for consumer goods firmed partly offset by energy costs.
	Jul	Housing Starts	%mth	19.0	–5.7	–	Partial unwind expected following June boost...
	Jul	Building Permits	%mth	–2.6	–0.2	–	...while permits expected to record third consecutive decline.
	Jul	Industrial Production	%mth	0.1	0.3	–	Rising production sees capacity pressures increase.
Wed 19							
Aus	Q2	WPI	%qtr	0.8	0.8	0.8	Higher than expected FWC decision to lift wages.
		RBA Speak	–	–	–	–	RBA's Hauser Fireside Chat, 12:45pm AEST.
NZ	Q2	PPI	%qtr	0.8	–	–	Will reflect higher fuel prices.
Jpn	Jun	Core Machinery Orders	%mth	–12.4	7.8	–	To partly reverse following last month's contraction.
UK	Jul	CPI	%ann	2.6	3.0	–	Services to moderate as energy pressures persist.
US		FOMC Meeting Minutes	–	–	–	–	Minutes for the July Committee meeting.
Thur 20							
Aus	Aug	MI Inflation Expectations	%ann	4.7	–	–	Could see an increase given the end of the fuel excise cut.
	Jul	Employment Change	000s	76.3	13.5	15.0	Watch employment-to-population to dampen noise...
	Jul	Unemployment Rate	%	4.4	4.4	4.4	...as participation rate ticks lower keep the UR steady.
US	Aug	Philly Fed Manufacturing	index	41.4	25.0	–	At a near five year high.
		Initial Jobless Claims	000s	209	210	–	Down trend resumes after early–May–to–mid–June up trend.
	Jul	Leading Index	pts	–0.2	0.1	–	Consumers are the key headwind to economic growth.
Fri 21							
NZ	Jul	Trade Balance	\$m	23	–	–	Exports likely to decline from exceptional June level
Jpn	Jul	CPI	%ann	1.6	2.0	–	Price pressures broaden beyond food and energy costs.
	Aug	S&P Global Manufacturing PMI	index	54.5	–	–	Activity buoyed by steepest rise in new orders in four years...
	Aug	S&P Global Services PMI	index	51.2	–	–	...while cost and capacity pressures remain at odds in services.
Eur	Aug	S&P Global Manufacturing PMI	index	51.9	51.6	–	Production sees fastest rise since post–Covid related surge...
	Aug	S&P Global Services PMI	index	51.7	51.5	–	...with services activity rebounding into expansion.
UK	Aug	GfK Consumer Sentiment	index	–17	–18	–	Yet to recover from Middle East led deterioration.
	Jul	Retail Sales	%mth	1.0	–	–	World Cup overrides sour sentiment to lift spending.
	Aug	S&P Global Manufacturing PMI	index	51.9	51.8	–	Input price inflation eased considerably...
	Aug	S&P Global Services PMI	index	52.1	51.8	–	...as services activity returned to expansion in July.
US	Aug	S&P Global Manufacturing PMI	index	53.9	53.7	–	Rising at a milder pace due to supply chain disruptions...
	Aug	S&P Global Services PMI	index	54.6	53.9	–	...while outlook for services improves bolstering job creations.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (14 Aug)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.35	4.35	4.35	4.35	4.10	3.85	3.60	3.60	3.60	3.60
90 Day BBSW	4.51	4.46	4.46	4.46	4.26	4.01	3.76	3.61	3.71	3.70	3.70
3 Year Swap	4.49	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
3 Year Bond	4.49	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
10 Year Bond	4.98	4.95	4.85	4.75	4.65	4.65	4.65	4.65	4.65	4.65	4.65
10 Year Spread to US (bps)	34	30	25	20	10	5	0	-5	-10	-15	-20
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.64	4.65	4.60	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.95	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.60	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.64	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	0	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (14 Aug)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.7062	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5856	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	159.46	162	160	160	158	156	154	152	150	148	146
EUR/USD	1.1533	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3489	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7449	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2069	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.2	0.2	0.3	0.4	0.4	0.4	0.4	-	-	-	-
%yr end	2.4	1.7	1.5	1.0	1.1	1.3	1.4	1.5	2.6	1.0	1.5	2.5
Unemployment rate %	4.2	4.4	4.6	4.8	4.9	4.9	4.8	4.8	4.3	4.8	4.8	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.1	0.8	0.6	0.6	0.8	0.5	-	-	-	-
%yr end	4.1	3.9	3.7	3.9	3.1	3.2	2.9	2.6	3.6	3.9	2.6	2.4
Trimmed Mean CPI %qtr	0.8	0.8	0.8	0.8	0.8	0.7	0.6	0.6	-	-	-	-
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.9	2.7	3.3	3.3	2.7	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	-0.1	0.6	0.7	1.0	0.5	0.6	0.7	-	-	-	-
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.4	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	-	-	-	-
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

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17 AUGUST 2026

WESTPAC—DATA CARD TRACKER

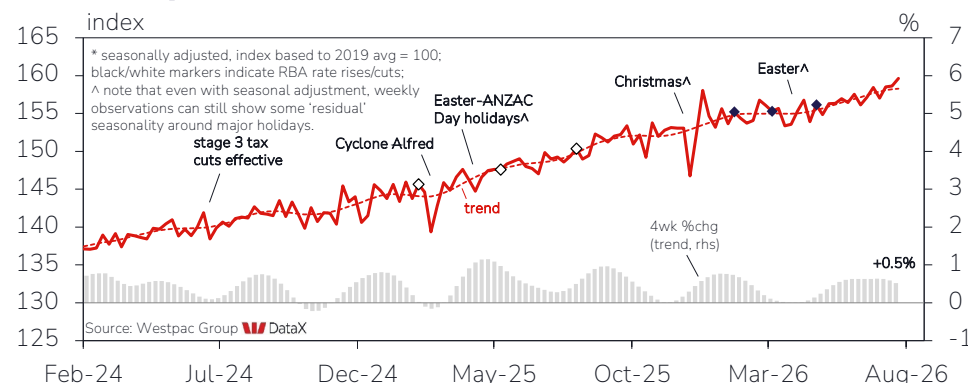
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Card activity: solid growth pulse returns

- The **Westpac–DataX Card Tracker Index*** has posted a sustained improvement since mid-July, rising 2.6pts to 159.6, a new historical high.
- Quarterly growth momentum has lifted back into the 1.1–1.5% range, the strongest pace since late-March. Notably, this has little to do with the move higher in fuel prices following the end of temporary excise tax cuts, with this effect having little bearing on quarterly growth rates so far.
- Monthly growth momentum is also holding steady at around 0.7%, although here the impact of fuel price changes is clearer with card activity ex fuel tracking a softer 0.3% pace.
- The softer fuel and electricity spending over the quarter appears to have freed up some capacity for discretionary spending. Discretionary segments are now growing at 2.4%, the strongest pace in around a year. Much of the lift has been driven by holiday travel, which has rebounded following disruptions earlier in the year associated with the Middle East conflict. In contrast, spending on essentials has been broadly flat over the quarter.
- By state, Victoria continues to lead the majors, with card spending up 2.4%, although momentum has softened noticeably over the past four weeks. Elsewhere, spending growth remains more modest but positive, tracking between 1.1% in NSW and 1.8% in WA.
- Momentum has strengthened through recent months, even though consumers face several headwinds. Looking back, the Q2 Household Spending Indicator, which captures around two-thirds of consumption, recorded a solid 0.7% rise in real terms. However, we still expect the broader national accounts measure to show a more modest 0.2% increase in Q2 when it is released on 2 September. While still early in the quarter, the latest card data suggest some upside risk to our current forecast of a 0.4% rise in household consumption in Q3. Overall, we expect consumption to rise by 1.6% in 2026 (see our August [Market Outlook](#) for the full outlook and our August [Red Book](#) for a consumer deep dive).

“... essentials relief supporting discretionary spending.”

1. Westpac–DataX Card Tracker Index*



The **Westpac–DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p9 for a detailed explanation.

This report is produced by Westpac Economics.

Matthew Hassan, Head of Australian Macro-Forecasting

Neha Sharma, Economist

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This issue was finalised on 17 August 2026.

If you would like more insights on your sector or business from this and other Westpac data please visit [Westpac DataX](#) or contact datax@westpac.com.au.

Higher rates not biting the consumer

- Chart 2 shows how quarterly growth in the **Westpac-DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. All estimates are adjusted for regular seasonal variations.
- The quarterly growth momentum continued to improve since our last update, with the latest pace tracking 1.5% – the strongest since late-March. Underlying this is a 1.2% rise in domestic transactions and a 6.0% rise in international. Earlier estimates have also been revised higher.
- Notably, excluding fuel and electricity spending from this measure, quarterly

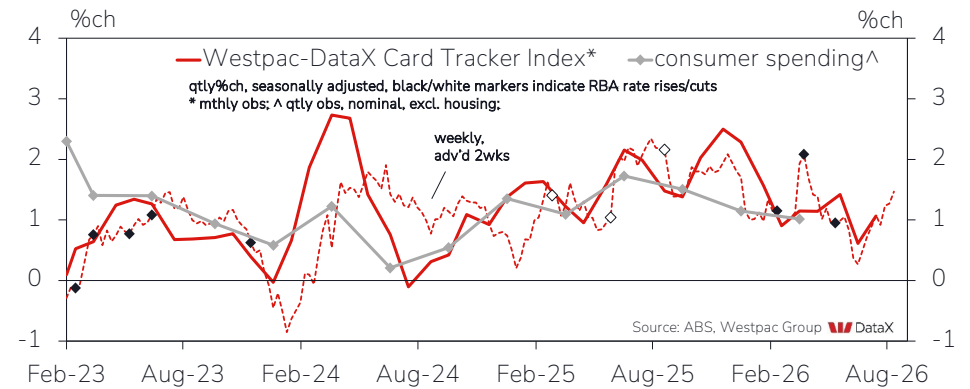
growth momentum was running at 2.1%, the strongest in around a year. The near-term momentum tells a different story, though, with broader card activity tracking 0.7% over the past month and 0.3% after excluding electricity and fuel.

- Overall, we see some upside risk to our current estimate of 0.4% for consumption in Q3.
- The Q2 ABS household spending indicator posted a solid 0.7% rise in real terms. The full consumption wash-up will be provided in the national accounts, due September 2. We expect a 0.2% rise in consumption over Q2.

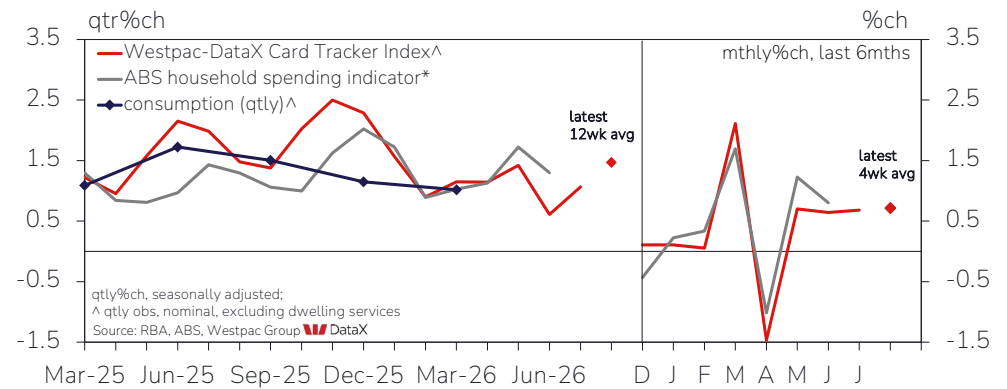
qtrly%ch	Q4	Q1	Q2	latest^
Westpac-DataX Card Tracker	2.3	1.1	0.6	1.5
ABS monthly household spending indicator*				
Nominal	2.0	1.0	1.3	n.a.
Real*	0.9	0.8	0.7	n.a.
ABS consumer spending (qtrly)#				
Nominal	1.1	1.0	n.a.	n.a.
Real	0.4	0.5	n.a.	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p9 for more details.
 * ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
 # Consumer spending excludes housing costs.
 Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



Discretionary categories and Vic lead

- Chart 4 shows quarterly growth in card activity across broad categories. The slowdown in Q2 was fairly broad-based but slightly more pronounced for essentials (noting that for essential goods this is partly due to the unwinding fuel price spike).
- The recent firming continues to be centred on discretionary categories. Growth in discretionary services is running at 3.4%qtr (strongest since mid-2025), in particular holiday travel which is growing at 5.2%qtr. Discretionary goods are growing at 1.2%qtr – the strongest in about five months.
- By contrast spending on essentials has been flat, with a modest rise in services (+0.2%qtr) offset by a decline in goods (–0.2%qtr). The weakness in the latter is entirely due to vehicle-related spending. The near-term momentum for both appears much stronger, running at 1.0%mt and 1.9%mt respectively, mostly due to the operation of vehicles and transport services component.
- Chart 5 shows card activity across the major states. Vic continues to run ahead of other states, with spending up 2.4%qtr, though the trend softened over the past four weeks. Card activity is running at 1.1%qtr in NSW, 1.2%qtr in Qld, 1.3%qtr in SA and 1.8%qtr in WA.

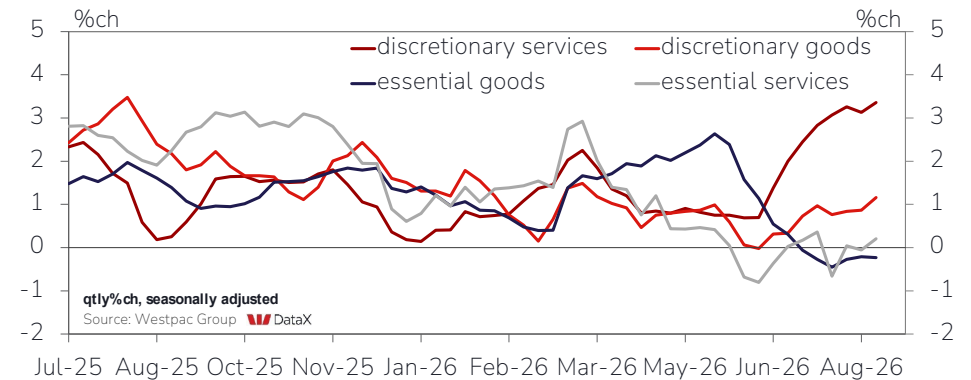
	May	Jun	Jul	8/8
Westpac–DataX Card Tracker	156.0	157.0	158.1	159.6
By category				
– discretionary*	157.5	159.1	160.4	162.7
– essential*	151.6	151.7	152.5	154.5
By state				
– NSW	149.1	149.5	150.5	154.5
– Vic	147.3	148.0	148.9	152.8
– Qld	170.1	172.3	174.3	175.3
– WA	171.4	173.9	176.2	179.8
– SA	163.3	163.6	164.9	168.4

All indexes based on the value of spending-related transactions, seasonally adjusted, 2019 avg=100, see p9 for more details including classifications.

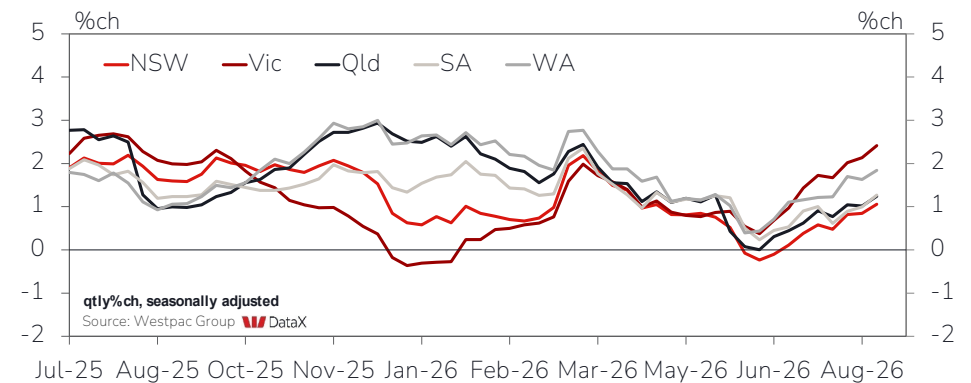
* indexes revised due to re-classification.

Sources: ABS, Westpac Group

4. Card activity by broad category



5. Card activity by state

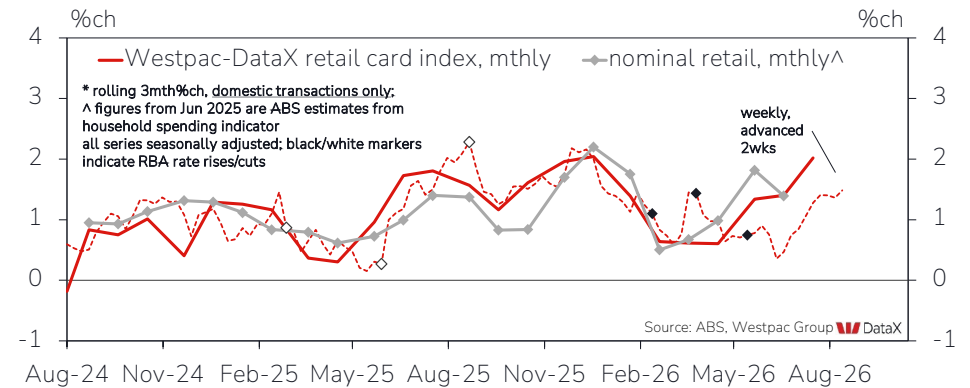


Food retailing slows led by hospitality

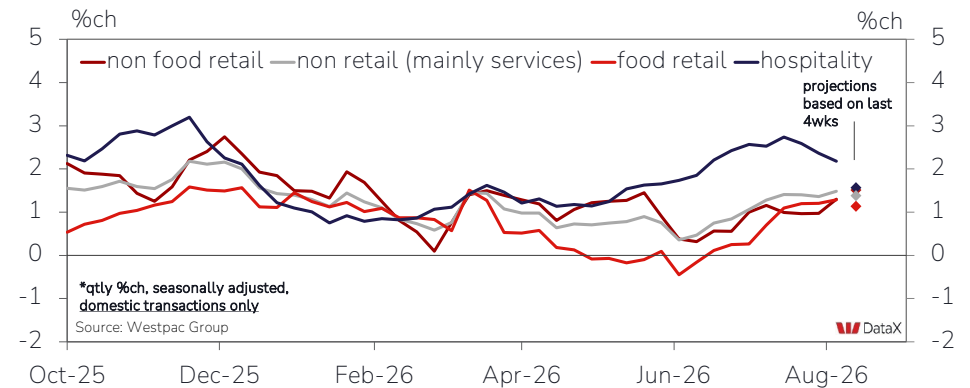
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- The divergence between the broader WCTI and the retail and MHSI card measures has narrowed substantially since our last update. The retail card index is now growing in line with broader spending, at 1.5%qtr. The recent slowing here is attributed to food-related category, in particular hospitality spending, with non-food retail spend partly offsetting. Meanwhile the MSHI card index is well behind, at 0.9%qtr.
- The [latest](#) ABS MHSI showed a 0.8% rise in June, with quarterly growth lifting to 1.3%. This compares to the June monthly outcome for our index which was flat. The ABS attributed the recent strength in spending to electric vehicle purchases. This may explain some of the miss as vehicle purchases are not well-captured in card transaction data alone.
- Our MHSI card index rose 0.9% in July, with the official ABS outcome due 27 August.

	May	Jun	Jul	8/8
MHSI card index	153.6	153.6	155.0	157.4
– qtly%ch	1.9	0.9	0.9	1.0
– qtly, ann%ch	6.2	5.1	5.3	5.3
ABS MHSI				
– %ch	1.2	0.8	n.a.	n.a.
– qtly%ch	1.7	1.3	n.a.	n.a.
– qtly ann%ch	5.4	5.5	n.a.	n.a.
Retail card index	154.2	154.5	155.6	156.1
– qtly%ch	1.3	1.4	2.0	1.5
– qtly, ann%ch	5.6	5.3	5.7	5.5
ABS retail sales				
– %ch	1.2	0.1	n.a.	n.a.
– qtly%ch	1.9	1.3	n.a.	n.a.
– qtly ann%ch	5.5	5.2	n.a.	n.a.

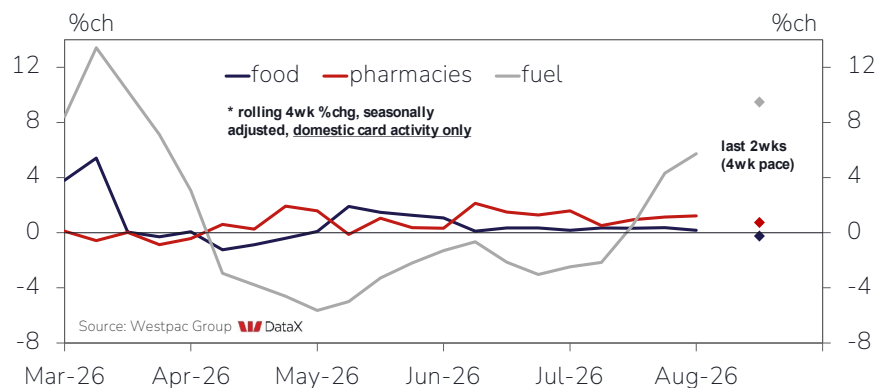
6. Card activity: retail



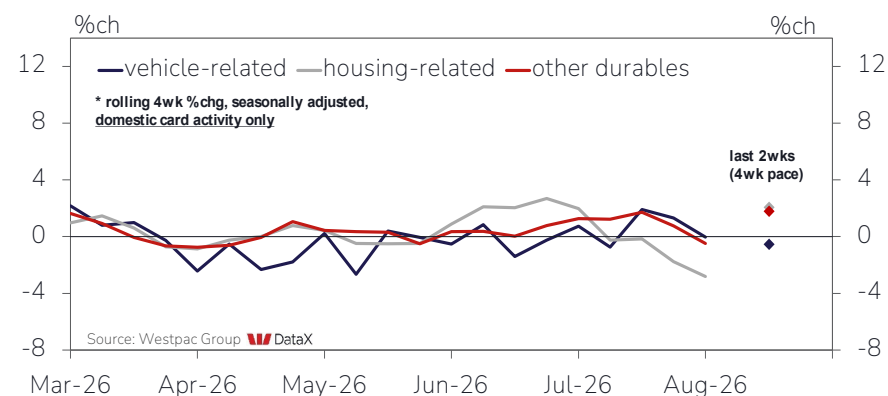
7. Card activity: retail segments and non-retail



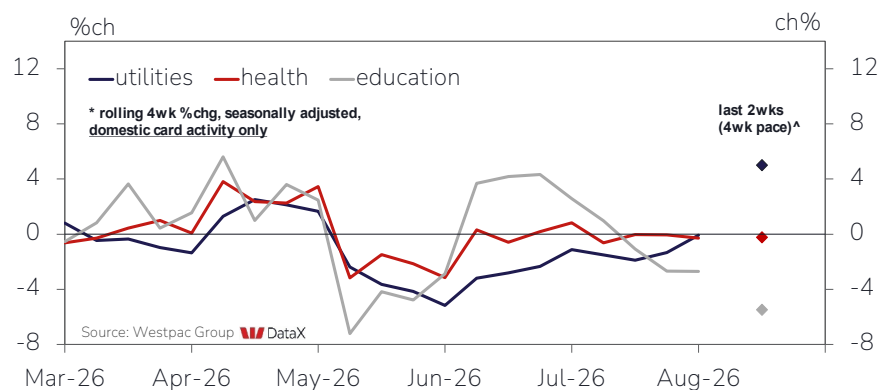
8. Card activity: essential goods



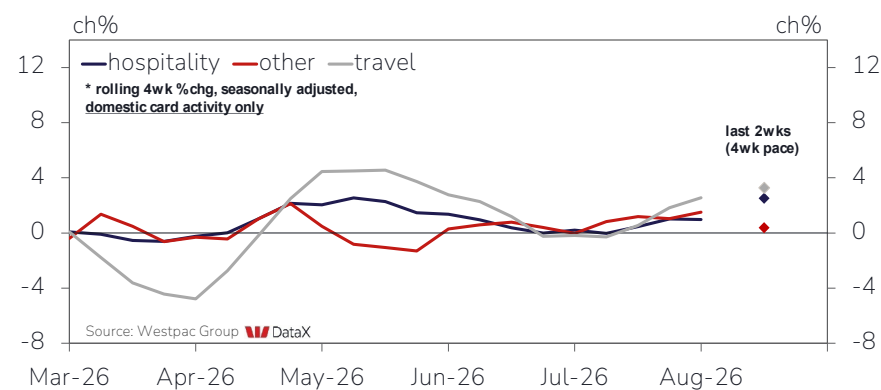
9. Card activity: discretionary goods



10. Card activity: essential services

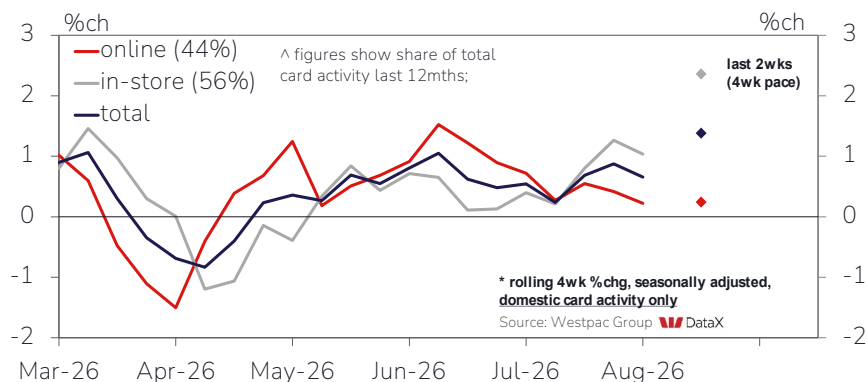


11. Card activity: discretionary services

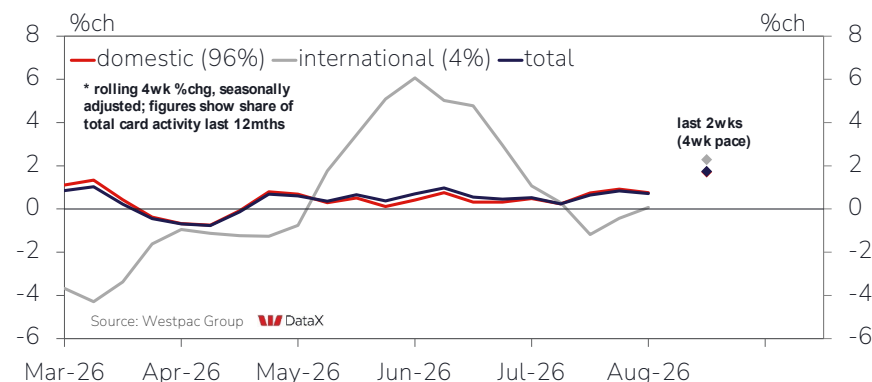


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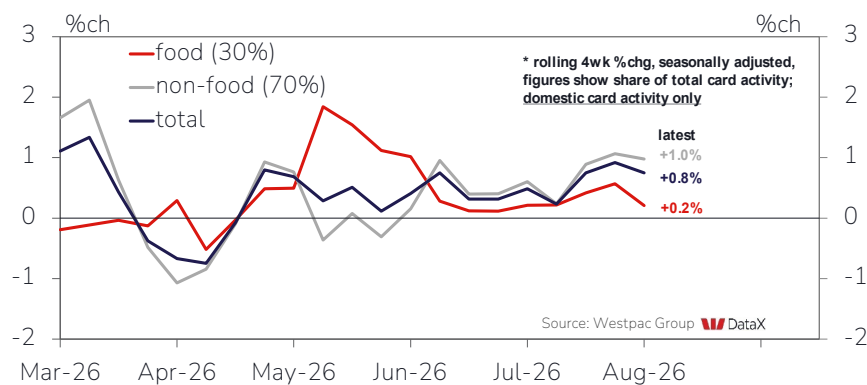
12. Card activity: online and in-store



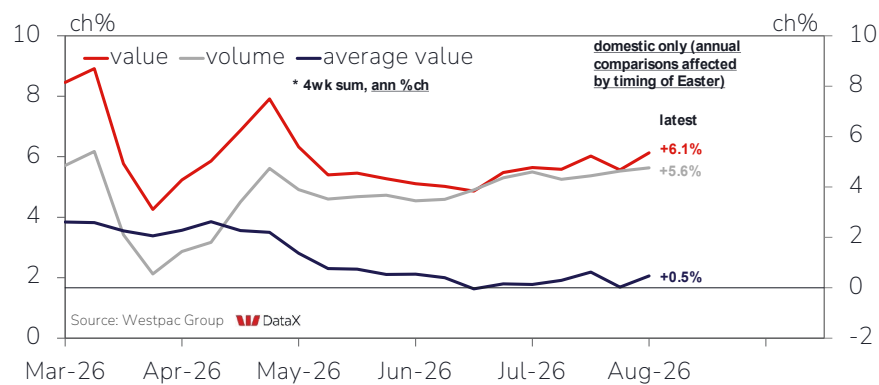
13. Card activity: domestic and international



14. Card activity: food and non-food



15. Card activity: value and volume



	2024		2025		2026		week ending:								
	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	May	Jun	Jul	18/7	25/7	1/8	8/8
Westpac–DataX Card Tracker Index	141.0	143.0	144.7	147.8	149.9	153.3	155.0	156.0	156.0	157.0	158.1	157.0	158.5	158.6	159.6
qtly%ch	0.4	1.4	1.2	2.2	1.4	2.3	1.1	0.6	1.4	0.6	1.1	0.9	1.2	1.3	1.5
qtly, ann%ch	3.9	5.4	3.8	5.3	6.3	7.2	7.1	5.5	6.4	5.5	5.9	5.7	5.8	5.8	6.0
By category															
– discretionary	142.8	145.7	146.0	149.4	151.3	155.2	155.7	157.3	157.5	159.1	160.4	160.2	161.2	161.2	162.7
– essential	137.9	138.4	141.2	143.9	146.0	148.2	151.2	151.7	151.6	151.7	152.5	151.5	153.7	153.7	154.5
services	147.3	150.3	152.7	157.0	160.0	164.0	165.3	165.8	165.7	167.9	169.2	168.5	170.0	168.5	172.1
– discretionary services	150.5	154.3	154.9	159.3	161.1	166.2	166.3	167.6	167.5	170.3	171.5	171.6	172.6	172.4	174.9
– essential services	142.7	144.6	149.5	153.6	158.4	160.9	164.0	163.2	163.1	164.5	165.8	164.0	166.2	163.1	168.2
goods	134.8	135.4	136.3	138.2	139.4	141.8	143.8	145.4	145.5	145.2	146.2	145.7	147.3	148.5	147.5
– discretionary goods	134.6	136.4	136.6	138.7	140.9	143.5	144.4	146.3	146.9	147.1	148.6	148.0	149.0	149.2	149.7
– essential goods	135.0	134.6	136.1	137.8	138.2	140.3	143.2	144.6	144.4	143.6	144.1	143.7	145.8	147.9	145.7
MHSI card index*	140.6	142.4	143.2	145.9	147.5	150.6	152.0	153.4	153.6	153.6	155.0	155.1	156.6	157.3	157.4
qtly%ch	0.4	1.2	0.6	1.9	1.0	2.1	1.0	0.9	1.9	0.9	0.9	0.8	0.9	0.8	1.0
qtly, ann%ch	3.1	4.7	2.5	4.2	4.8	5.8	6.1	5.1	6.2	5.1	5.3	5.0	5.0	5.1	5.3
retail card index*	141.0	142.8	143.3	145.8	147.5	150.5	151.4	153.5	154.2	154.5	155.6	155.3	155.7	156.3	156.1
qtly%ch	0.7	1.3	0.4	1.7	1.2	2.0	0.6	1.4	1.3	1.4	2.0	1.4	1.4	1.4	1.5
qtly, ann%ch	2.8	4.2	1.8	4.2	4.6	5.4	5.7	5.3	5.6	5.3	5.7	5.6	5.5	5.5	5.5
By state															
– NSW	136.4	138.5	139.6	142.5	144.2	148.2	148.5	149.2	149.1	149.5	150.5	151.6	152.8	153.2	154.5
– Vic	135.5	136.8	138.7	140.2	142.4	144.7	146.5	146.8	147.3	148.0	148.9	150.7	152.2	151.3	152.8
– Qld	150.7	152.3	155.5	159.5	161.9	167.0	169.6	169.8	170.1	172.3	174.3	174.1	175.0	175.3	175.3
– WA	151.0	154.2	157.3	158.9	162.9	168.2	171.6	171.1	171.4	173.9	176.2	177.9	178.7	177.9	179.8
– SA	147.7	150.0	152.0	154.4	157.3	160.2	162.2	162.8	163.3	163.6	164.9	164.4	166.1	166.6	168.4

All indexes based on the value of spending–related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p9 for more details.

* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

Sources: ABS, Westpac Group

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About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non-card transactions. This was a significant factor during the COVID-19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact-less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending-related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID period mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle-related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.



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